



Cambridge IGCSE™

ECONOMICS

0455/11

Paper 1 Multiple Choice

May/June 2020

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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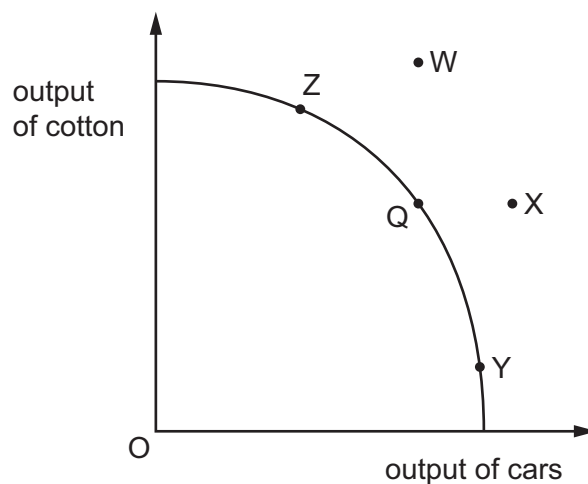
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This document has **12** pages. Blank pages are indicated.



- 1 What is an example of the purchase of a consumer good?
- A A farm owner buys a television.
 - B A farm owner buys additional land.
 - C A farm owner buys fertiliser for their crops.
 - D A farm owner buys some farming equipment.
- 2 What is the function of the factors of production in an economy?
- A to make goods and services to fulfil wants and needs
 - B to provide an even distribution of income
 - C to provide tax income for the government
 - D to reduce the existence of external costs
- 3 The diagram shows a production possibility curve (PPC) for an economy that can produce cotton and cars. The economy is at point Q.

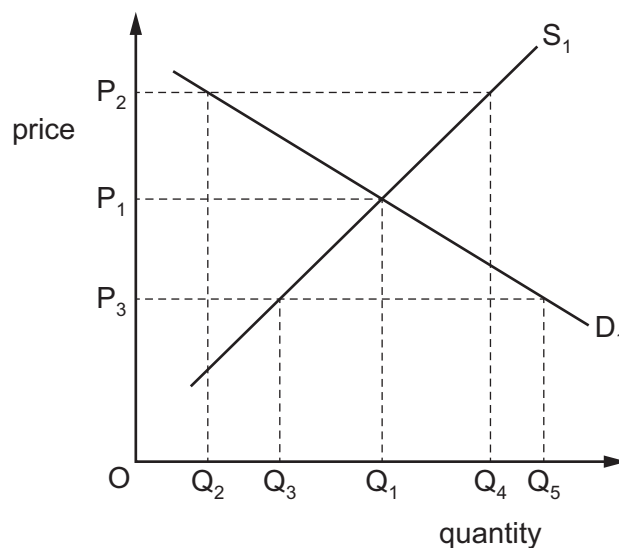


There is improved technology that can only be used in the production of cars.

How would this be represented on this diagram?

- A by a movement from Q to W
- B by a movement from Q to X
- C by a movement from Q to Y
- D by a movement from Q to Z

- 4 Which topic is included in microeconomics?
- A economic growth
 - B elasticity of demand
 - C inflation
 - D the balance of payments
- 5 What aspect of demerit goods means they are overproduced?
- A clear product information
 - B high external costs
 - C high product taxes
 - D low customer demand
- 6 The diagram shows market demand and supply curves.



To what extent is the market in disequilibrium at price P_3 ?

- A $OQ_1 - OQ_2$ B $OQ_1 - OQ_3$ C $OQ_2 - OQ_4$ D $OQ_3 - OQ_5$
- 7 Lithium is an essential metal for the production of electric cars. Following a 10% increase in the price of lithium, supplies increase by 15%. This led to a 5% increase in the price of electric cars.
- What is the price elasticity of supply (PES) for lithium?
- A 0.33 B 0.66 C 1.50 D 2.0

- 8 The wage of labour in a firm increases.

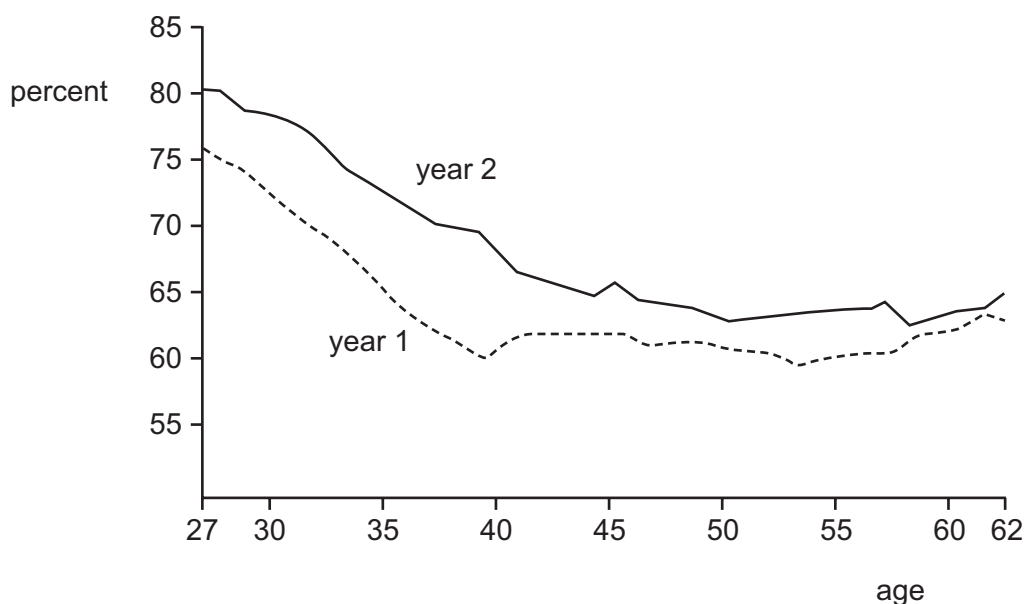
What is the **most** likely effect on the production process?

- A Capital replaces labour immediately.
- B Capital replaces labour in the long run.
- C Labour replaces capital immediately.
- D Labour replaces capital in the long run.

- 9 Which combination of influences would increase the level of borrowing by a household?

	influence 1	influence 2
A	becoming pensioners	higher rate of inflation
B	greater wealth	lower consumer confidence
C	higher consumer confidence	lower rate of interest
D	higher rate of interest	greater availability of credit

- 10 The graph shows women's wages as a percentage of men's wages in year 1 and year 2.



Which statement is shown by the graph to be true?

- A Younger women earn more than older women.
- B Women's wages remain about the same between the ages of 40–50.
- C In year 2, all women were earning more than men.
- D In year 2, women were earning a higher percentage of men's wages than in year 1.

11 People's income decreases.

How is the proportion spent on food and leisure likely to change?

	food	leisure
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

12 The table shows total fixed and total variable costs at different levels of output for a firm.

At which level of output is average total cost lowest?

	output (tonnes)	total fixed cost (\$)	total variable cost (\$)
A	100	1200	1200
B	200	1200	2000
C	300	1200	2700
D	400	1200	3600

13 The following information refers to a firm producing shoes.

At which level of output does the firm maximise profits?

	total output of pairs of shoes	total cost (\$)	total revenue (\$)
A	100	1000	1300
B	200	1800	2200
C	300	2700	3000
D	400	3200	3400

- 14 What is **most** likely to lead to an improvement in labour productivity in an industry?
- A an increase in capital investment
 - B an increase in income tax rates
 - C an increase in the demand for the industry's product
 - D an increase in the number of firms in the industry
- 15 How is a government **most** likely to prevent the growth of monopolies?
- A by encouraging mergers in the private sector
 - B by establishing nationalised industries
 - C by promoting the benefits of economies of scale
 - D by reducing barriers to entry into an industry
- 16 What is **not** included in public expenditure?
- A capital spending by firms
 - B interest payments on government borrowing
 - C investment in defence by the central government
 - D subsidies to bus companies from local government
- 17 When is the budget described as balanced?
- A when direct taxes and indirect taxes are equal
 - B when exports and imports are equal
 - C when government spending and government revenue are equal
 - D when the demand for money and the supply of money are equal
- 18 The government wishes to increase economic growth in its economy.
What would **not** be likely to achieve this aim?
- A The central bank encourages bank lending.
 - B The central bank lowers interest rates.
 - C The government increases sales tax (VAT).
 - D The government subsidises new industries.

- 19 The government redistributes income more evenly.

What is **most** likely to increase?

- A the incentive to work
- B the level of savings
- C the need for welfare payments
- D the rate of inflation

- 20 The table shows selected indicators for the labour market of an economy in 2014 and 2018.

	2014 (millions)	2018 (millions)
total labour force	30	30
employed workers	25	28
long-term unemployed	1	2
employment in manufacturing	4	2
employment in services	13	16

According to the table, what is the **most** likely type of unemployment in 2018?

- A cyclical
 - B frictional
 - C seasonal
 - D structural
- 21 What may directly cause economic growth?
- A higher imports
 - B higher levels of resources
 - C higher taxation
 - D higher unemployment
- 22 What would **not** be required in the construction of an index of consumer prices?
- A the selection of a base year
 - B the selection of a representative range of items
 - C the calculation of average wage levels
 - D the weighting of each item in the index

23 The table gives information about three economic indicators in four countries.

	rate of inflation %	rate of interest %	rate of unemployment %
country W	1.4	3.4	10.2
country X	3.7	8.7	12.3
country Y	3.6	7.3	14.2
country Z	2.1	6.0	7.7

What may be concluded from this information?

- A** Countries with higher inflation have higher interest rates.
- B** Countries with higher interest rates have lower unemployment.
- C** The country with the lowest inflation had the highest unemployment.
- D** The country with the lowest unemployment had the lowest inflation.

24 What distinguishes a more developed country from a less developed country?

- A** Inflation rates are higher in the more developed country.
- B** Interest rates are higher in the more developed country.
- C** Natural resources are higher in the more developed country.
- D** Real incomes are higher in the more developed country.

25 An additional 700 000 UK children and pensioners fell into relative poverty between 2013 and 2017.

What might be the reason for this?

- A** Direct taxes had increased, and indirect taxes had fallen.
- B** Real gross domestic product was rising faster than the population.
- C** The death rate was exceeding the birth rate.
- D** The real value of government welfare benefits had fallen.

- 26** Which changes usually result when a country develops and is able to provide free healthcare and good living conditions?

	birth rate	death rate	labour productivity
A	falls	falls	rises
B	falls	rises	falls
C	rises	falls	falls
D	rises	rises	rises

- 27** What is a quota in international trade?

- A** a government grant to encourage production
- B** an administrative and technical barrier
- C** a limit on the quantity of imports
- D** a tax on imports

- 28** Many low-income countries rely on exports of raw materials such as coffee or iron ore to earn them foreign currency.

What is a disadvantage of this?

- A** Countries have a constant demand for raw materials.
- B** International trade only benefits the importing countries.
- C** It is necessary for low-income countries to belong to a free trade area.
- D** Raw materials have fluctuating prices.

- 29** What is included as part of the current account of the balance of payments?

- A** all government income and expenditure
- B** money withdrawn from a bank account
- C** investments in other countries by manufacturers
- D** trade in goods and services

- 30** The table shows components of Japan's current account balance in trillion Yen (¥) for 2011 and 2012.

year	balance of goods ¥ trillion	balance of services ¥ trillion	balance of primary income ¥ trillion	balance of secondary income ¥ trillion
2011	−1.61	−1.76	14.04	−1.11
2012	−5.23	−2.33	13.55	−1.02

Which balance improved between 2011 and 2012?

- A** balance of goods
- B** balance of services
- C** balance of primary income
- D** balance of secondary income

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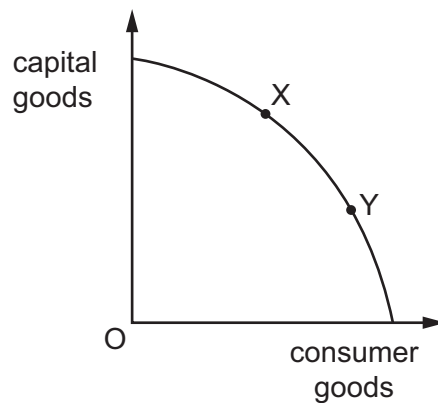
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- 1 What is the basic economic problem?
 - A excess supply of goods and services
 - B lack of profits
 - C recession
 - D scarcity of resources

- 2 On which factor of production does innovation directly depend?
 - A decisions of entrepreneurs
 - B high inputs of capital
 - C long hours of manual labour
 - D plentiful supplies of land

- 3 The diagram shows an economy's production possibility curve (PPC). The economy moves from point X to point Y.



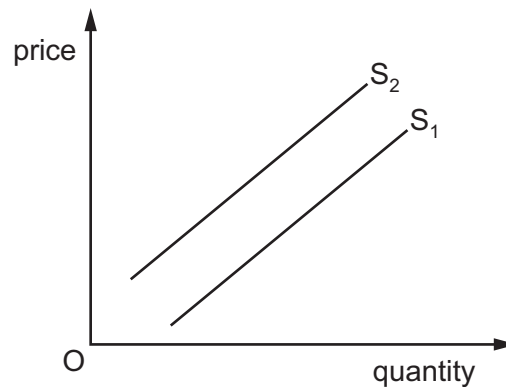
What is the **most** likely effect of this change?

- A Different quantities of the goods are produced.
 - B More people are employed.
 - C There is an immediate fall in gross domestic product.
 - D There is an increase in investment.
-
- 4 Which person makes macroeconomic decisions?
 - A a bank manager
 - B a government finance minister
 - C a shareholder in a firm
 - D a worker

5 What is a function of the price mechanism?

- A to allocate goods and services
- B to calculate national expenditure
- C to ensure an equal distribution of income
- D to guide government policy decisions

6 The diagram shows a shift in the supply curve for cars in China from S_1 to S_2 .



What is the **most** likely cause of this shift in the supply curve?

- A an increase in an indirect tax on petrol in China
- B an increase in the price of cars in China
- C an increase in the wages of Chinese car workers
- D a new subsidy given to Chinese car manufacturers

7 The price elasticity of supply of a good is 2. The price of the good then falls by 10%.

What is the effect on quantity supplied?

- A It falls by 0.2%.
- B It falls by 20%.
- C It increases by 0.2%.
- D It increases by 20%.

- 8 A German car manufacturer builds a factory in India. A group of Indian workers at the factory join a trade union.

What would this trade union be expected to do for the workers?

- A Encourage the workers to bargain individually with the employer.
 - B Negotiate with the German government on tariff reductions for Indian-produced cars.
 - C Promote an advertising campaign to sell more Indian cars.
 - D Protect the workers against unfair dismissal by the employer.
- 9 Why do women, on average, earn less than men?
- A Women may be less able than men.
 - B Women are not eligible for government jobs.
 - C Women may not work as hard as men.
 - D Women often face discrimination in the workplace.
- 10 The table shows how household spending changes with income.

income (\$ per month)	spending (\$ per month)
3000	3150
3300	3375
3600	3500
3900	3825
4200	4050
4500	4275

What is the lowest level of income at which savings are positive?

- A \$3000 B \$3600 C \$3900 D \$4200
- 11 What can a central bank increase in order to reduce consumer borrowing?
- A commercial bank deposits
 - B government spending
 - C the exchange rate
 - D the rate of interest

- 12 In the short run, a firm calculates its total fixed cost, total variable cost and total cost. It then plots a graph showing how they change as output increases.

What happens to the lines showing the total variable cost and total cost as output increases?

- A They merge to become one curve.
- B They move closer together.
- C They move further apart.
- D They remain a constant distance apart.

- 13 A firm has fixed costs of \$1000. The table shows the variable cost at different levels of output.

output (units)	1	2	3	4
variable cost (\$)	100	190	270	350

If the goods are sold for \$500 each, how much profit will be made from the sale of 4 units?

- A \$650 B \$1000 C \$1650 D \$2000

- 14 When is it **most** likely that the demand for labour in an industry increases?

- A When the demand for the industry's product increases.
- B When the level of immigration into the country increases.
- C When the level of qualifications needed to work in the industry decreases.
- D When the level of wages paid in the industry increases.

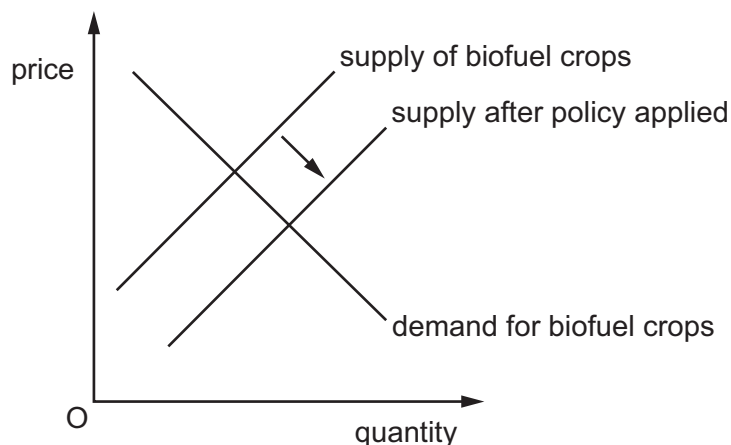
- 15 What could cause internal diseconomies of scale for a firm?

- A a fall in demand for the products produced by the firm
- B a merger with another firm that results in slower decision-making
- C spending more on research and development to create new products
- D the lack of skilled labour in the geographical area where the firm is based

- 16 What are two aims that a government normally pursues when managing the performance of the whole economy?

- A to encourage an increase in production and to prevent high inflation
- B to ensure no one is unemployed and to reduce exports
- C to give everyone equal incomes and to increase government revenue
- D to protect the environment and to reduce interest rates

- 17 What is **most** likely to be the responsibility of a central government?
- A the provision of immigration officials at an airport
 - B the provision of security cameras in a shopping centre
 - C the provision of security staff at a bank
 - D the provision of ticket inspectors on a train
- 18 Which measure would indicate that an expansionary fiscal policy is being used by the government?
- A cuts in government spending
 - B higher interest rates
 - C lower interest rates
 - D lower taxes
- 19 The diagram shows how a government policy influences the market for biofuel crops in the private sector.



According to the diagram, which policy does the government use and what effect does it have on the market?

	policy	effect
A	subsidy	increases supply
B	subsidy	lowers quantity demanded
C	tax	decreases demand
D	tax	increases supply costs

- 20** Some governments in the European Union are trying to reduce unemployment.

What should increase to achieve this?

- A** imports of goods
- B** interest rates
- C** public sector spending
- D** taxation of firms

- 21** In 2016, Romania had an increase in its real gross domestic product of 4.8%.

What must this mean about the Romanian economy?

- A** Living standards increased by 4.8%.
- B** Total consumer income increased by 4.8%.
- C** Total output of all goods and services adjusted for inflation increased by 4.8%.
- D** Total output of manufactured goods adjusted for inflation increased by 4.8%.

- 22** An economy is experiencing rising prices.

Which government policy will help reduce consumer expenditure?

- A** introducing compulsory saving for income earners
- B** investing more in building infrastructure
- C** issuing more banknotes and coins
- D** reducing indirect taxes

- 23** Some goods take a greater percentage of a typical household's total spending than others.

How is this accounted for in the construction of a consumer prices index?

- A** by deducting the goods
- B** by giving a weight to the goods
- C** by taking an average of price fluctuations during a year
- D** by using the price elasticity of demand for the goods

- 24** A low-income country experiences extreme poverty in its rural areas.

What is a possible cause of this?

- A** development of better irrigation techniques
 - B** distribution of international food aid
 - C** high trade barriers imposed by high-income countries
 - D** higher prices for agricultural produce
- 25** Which factor in the world's low-income countries limits their economic development?
- A** balance of payments surpluses
 - B** high saving ratios
 - C** large inflows of foreign investment
 - D** rapid population growth
- 26** The table shows the percentage employment in the primary, secondary and service sectors in four countries.

Which country is likely to be the **most** developed?

country	percentage employment		
	primary sector	secondary sector	service sector
A	10	35	55
B	20	60	20
C	35	35	30
D	40	40	20

- 27** A government is faced with an unwanted deficit on the current account of its balance of payments.

Which action is **most** likely to reduce the deficit?

- A** raising government spending on welfare benefits
- B** reducing income tax
- C** restricting imports by raising tariffs
- D** revaluing its currency

28 What is meant by a depreciation in the foreign exchange rate?

- A** The government intervenes to reduce the exchange rate of the country's currency.
- B** The rate of exchange of exports for imports for a country deteriorates.
- C** The rate of inflation in a country continues to rise.
- D** The value of a country's currency falls on the international exchange market.

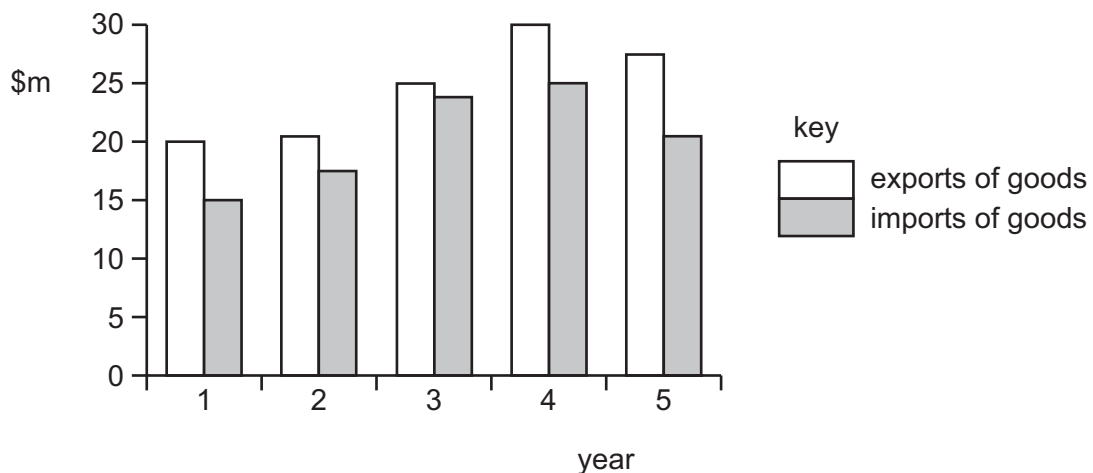
29 The table shows information from a country's current account of its balance of payments.

	\$ billion
exports of goods	20
imports of goods	24
net services	+5
net primary income	−8
net secondary income	−8

What is the country's current account balance?

- A** +\$1 billion
- B** −\$4 billion
- C** −\$7 billion
- D** −\$15 billion

30 The diagram shows the value of a country's exports and imports of goods over five years.



Between which two years did the country have an increase in the value of imports and an improvement in its balance of trade in goods?

- A** 1 and 2
- B** 2 and 3
- C** 3 and 4
- D** 4 and 5

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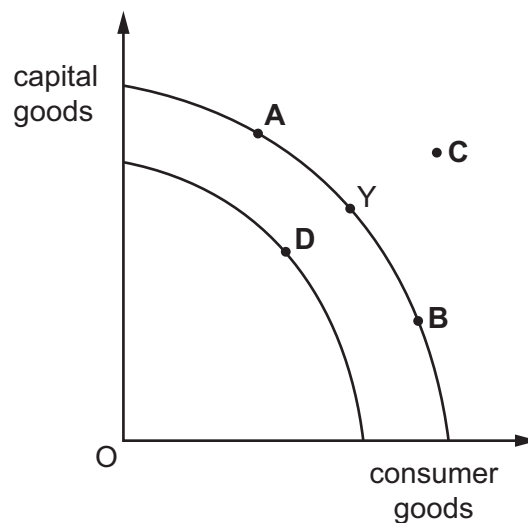


- 1 Which statement about the factors of production is correct?
- A Capital is a financial resource and includes savings in banks.
 - B Enterprise is limited in supply and includes office workers.
 - C Labour is a human resource and includes pensioners and children.
 - D Land is a natural resource and includes trees and fish.
- 2 A builder spends one hour travelling to and from work. He works 40 hours per week for \$200. He is given a choice to work 50 hours a week for an extra \$75.

What would be the opportunity cost to the builder of working the extra hours?

- A the ability to increase his purchasing power
 - B the additional time travelling to and from work
 - C the increased hourly earnings of \$7.50
 - D the ten hours of leisure time
- 3 A country's infrastructure was damaged by a natural disaster. Before the disaster, the country was producing at point Y on the production possibility curve (PPC).

Which point represents the country's production immediately after the disaster?



- 4 What is included in microeconomics?
- A the calculation of national income and expenditure
 - B the effects of a change in exchange rates on the trade balance of an economy
 - C the effects of an increase in the price of a good or service
 - D the factors leading to demand-pull inflation

- 5 What is an economist's definition of a market?
- A** a collection of informal retail outlets run by small firms
- B** a place where traders gather regularly for short periods
- C** a system that enables individuals and firms to buy and sell goods
- D** the existence of consumer demand for a good
- 6 What is an example of an external benefit from an individual cycling, rather than driving, to work?
- A** higher cost of building cycle lanes
- B** improved physical fitness to the individual from cycling
- C** lower cost of cycling compared with driving to work
- D** reduced congestion for other road users
- 7 A tailor has four customers for her range of suits. The table shows the yearly demand for the suits she makes.

demand for suits				
suit price (\$)	customer R	customer S	customer T	customer U
800	4	1	2	2
900	4	0	1	2
1000	3	0	1	1
1100	2	0	0	1

Which price should be charged to maximise the tailor's yearly revenue?

- A** \$800 **B** \$900 **C** \$1000 **D** \$1100
- 8 In response to an increase in price from \$5 per kilo to \$6 per kilo, a farmer increased supply from 400 kilos to 500 kilos per week.
- What is the price elasticity of supply?
- A** 0.8 **B** 0.9 **C** 1.2 **D** 1.25

- 9 It is expected that consumers will use less paper money.

What is the **most** likely reason for this?

- A Inflation reduces the value of paper money.
- B More ways of making payments will be available.
- C Other forms of money are more durable.
- D Paper money will have less intrinsic value.

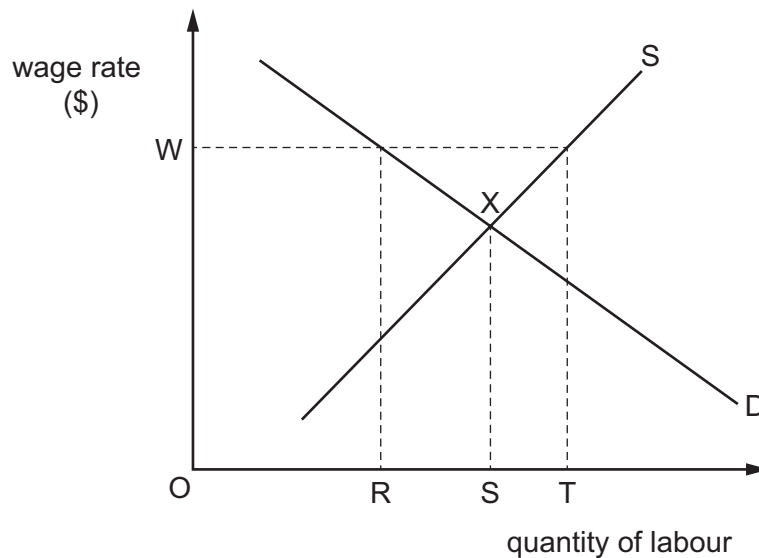
- 10 In low-income countries, fewer girls than boys become skilled design engineers.

What might explain this situation?

- A Girls are only interested in low-wage jobs.
- B Girls do not favour heavy manual work.
- C Girls have fewer opportunities to complete higher education.
- D It costs more for girls to be trained as design engineers.

- 11 The diagram shows the demand for and supply of labour in an industry. The original equilibrium is X.

A trade union then negotiates a wage rate of W.



What identifies the change in employment?

- A OR
- B OT
- C RS
- D RT

- 12** A company mining cobalt, invests in machinery to replace some workers. Eventually diseconomies of scale occur.

What could cause this situation?

- A** As more cobalt is mined average costs increase.
 - B** Fewer workers are needed to produce the required output.
 - C** Output per hour increases as more machinery is used.
 - D** Overhead costs are spread as output increases.
- 13** Why are many hairdressers able to operate as small businesses?
- A** high level of competition
 - B** high scope for economies of scale
 - C** long period of training required
 - D** low start-up and running costs
- 14** Dimitry owns a firm that produces and sells bottles of lemonade. He only sells one size of bottle.
- How would Dimitry calculate the total revenue of the firm?
- A** multiply the quantity sold by the cost per bottle
 - B** multiply the quantity sold by the price per bottle
 - C** multiply the quantity sold by the profit per bottle
 - D** multiply the quantity sold by the tax per bottle

- 15** Which market is likely to be the most competitive?

	barriers to entry	number of sellers
A	high	few
B	high	many
C	low	few
D	low	many

- 16** An economy has a high rate of inflation. In response to this, its government increases income tax.

What is the **most** likely reason for this increase?

- A** to discourage the consumption of harmful goods
- B** to raise money for government spending
- C** to redistribute income
- D** to reduce total demand

- 17** Interest rates are sometimes raised to control inflation.

Why might this policy be effective?

- A** Consumers may save more.
- B** Government spending may increase.
- C** Investment may be encouraged.
- D** The exchange rate may fall.

- 18** A government's revenue grew 8% to \$3.25 trillion. Its expenditure was reduced to \$3.69 trillion.

What can be concluded from this?

	state of budget	government policy aim
A	deficit	increase deficit
B	deficit	reduce deficit
C	surplus	increase surplus
D	surplus	reduce surplus

- 19** A country's inflation rate, measured by the Consumer Prices Index (CPI), was 3% in year 1. Three years later it was 0.8%.

What can be concluded from this information?

- A** Prices are falling.
- B** The rate of price increases is falling.
- C** The real rate of interest is negative.
- D** There is increased purchasing power for those on fixed incomes.

20 What will deflation **most** likely lead to?

- A a fall in the real value of debts
- B an increase in the exchange rate
- C an increase in the rate of interest
- D an increase in the real purchasing power of money

21 Economic growth can be defined as

- A a reduction in a country's rate of inflation.
- B an increase in a country's exports.
- C an increase in a country's population.
- D an increase in a country's productive capacity.

22 The table compares the distribution of employment in selected industries in two years.

industry	employment in millions	
	year 1	year 2
agriculture	4	3
mining	2	2
manufacturing	6	6
retailing	4	4
transport	4	5
total	20	20

How did the distribution of employment change between year 1 and year 2?

	primary sector	secondary sector
A	fell	rose
B	fell	unchanged
C	rose	fell
D	rose	unchanged

23 In a year, two changes occurred in a company.

Company directors' salaries increased by 15%.

Office workers' wages increased by 5%.

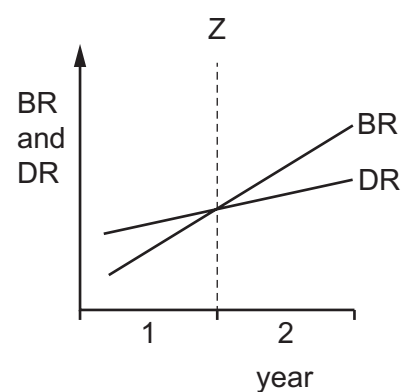
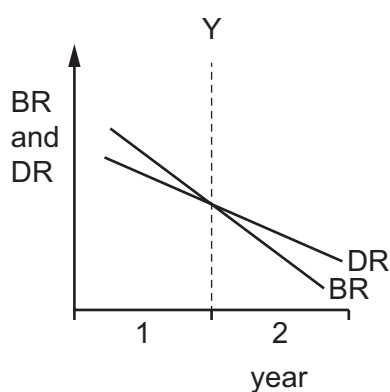
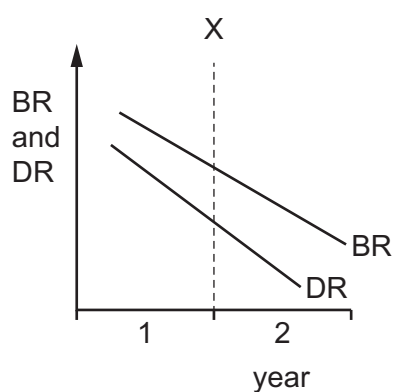
The rate of inflation was 3.4%.

What happened to real income?

	company directors' real income	office workers' real income
A	fell	fell
B	fell	rose
C	rose	fell
D	rose	rose

24 The diagrams show birth rate (BR) and death rate (DR) in three countries, X, Y and Z, in two years, 1 and 2.

There was no migration.



Where was there a rise in population in year 1 and a fall in population in year 2?

- A** X and Z **B** X only **C** Y and Z **D** Y only

- 25** The richest 60% of the population of a high-income economy received an increase in income. The income of the rest of the population did not change.

What happened to absolute and relative poverty?

	absolute poverty	relative poverty
A	increased	increased
B	increased	remained constant
C	remained constant	increased
D	remained constant	remained constant

- 26** Gross Domestic Product (GDP) is a better measure of comparative living standards when it is adjusted for the effects of

- A** exports and inflation.
- B** imports and exports.
- C** population change and exports.
- D** population change and inflation.

- 27** What is a disadvantage of increasing international specialisation?

- A** Consumers pay higher prices for goods and services reducing their welfare.
- B** Domestic firms may be uncompetitive leading to structural unemployment.
- C** Domestic firms may experience rising costs as they pay more for imports.
- D** Resources may be used less efficiently as domestic firms face less competition.

- 28** Which method of protection always reduces the supply of an imported good to zero?

- A** embargo
- B** quota
- C** subsidy
- D** tariff

- 29** A US car dealer agrees an import price of US\$25 000 for a Japanese car at the current rate of exchange.

The US dollar then strengthens by 10% against the Japanese yen.

What will be the new import price paid for the Japanese car?

- A** US\$20 000 **B** US\$22 500 **C** US\$25 000 **D** US\$27 500

30 A country has a deficit on its current account of its balance of payments.

What could increase the size of its deficit?

- A** increased exports of its services
- B** increased international competitiveness of its goods
- C** increased numbers of visitors from abroad
- D** increased spending on its military bases abroad

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Cambridge IGCSE™

ECONOMICS

0455/11

Paper 1 Multiple Choice

October/November 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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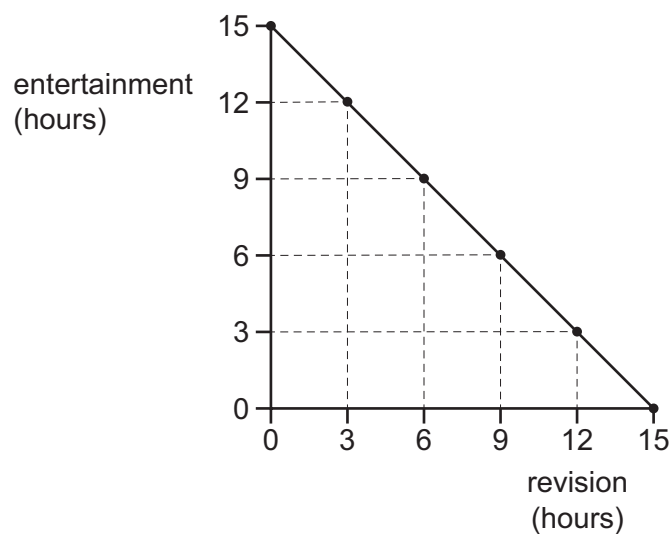
This document has **12** pages. Any blank pages are indicated.



- 1 To help reduce the price of oil, new supplies are needed. However, objectors oppose exploration of new sites because of the environmental damage it may cause.

Why is this statement an example of the basic economic problem?

- A Oil is a limited resource.
 - B Oil is expensive.
 - C The exploration involves demand and supply.
 - D There are external costs involved in production.
- 2 The production possibility curve (PPC) shows the hours per day a student has for either entertainment or revision.



The student revises for 3 hours a day. As exams approach, the student decides to revise for 9 hours a day.

What is the opportunity cost of this decision?

- A 3 hours of revision
- B 6 hours of entertainment
- C 6 hours of revision
- D 9 hours of entertainment

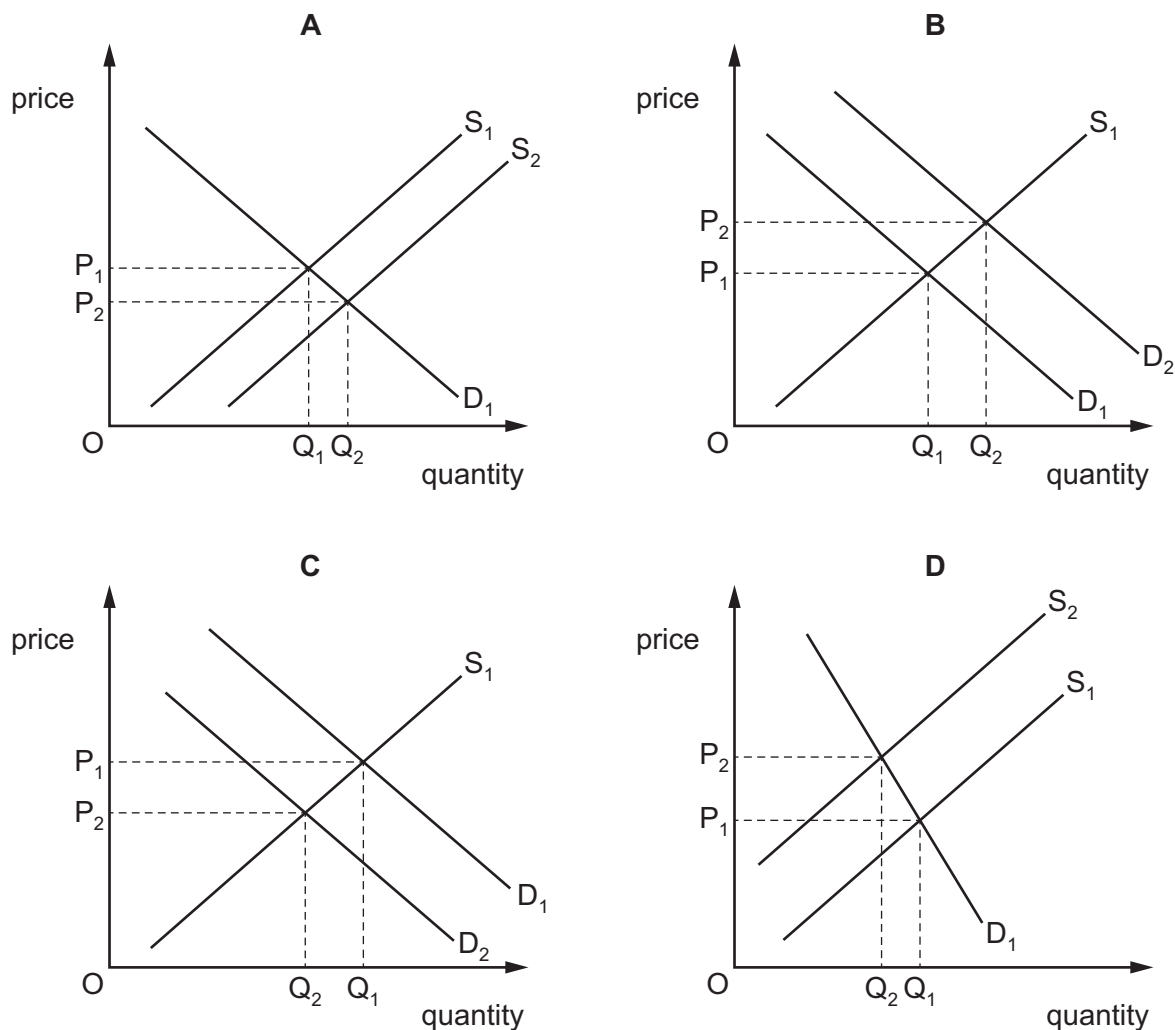
- 3** Helium is a gas that is limited in supply because it takes thousands of years to form. The US government holds 35% of the world's supply of helium and has been selling its stocks. Helium is essential in medical scanners. It is also used for party balloons, which is a wasteful alternative use of a valuable good.

Which two concepts apply to this statement?

- A** demand and supply, government subsidy
 - B** excess demand, resource allocation
 - C** opportunity cost, private monopoly
 - D** public sector, factors of production
- 4** When is production certain to harm society?
- A** when the private costs are greater than the private benefits
 - B** when the production results in externalities
 - C** when the social costs are greater than the private costs
 - D** when the social costs are greater than the social benefits
- 5** What is the role of the price mechanism in a market economy?
- A** to allocate scarce resources
 - B** to increase the provision of merit goods
 - C** to make the distribution of goods and services more equal
 - D** to reduce the negative externalities of production and consumption
- 6** What is a macroeconomic concept?
- A** the effect of a price change of a good
 - B** the equilibrium price in the market for a good
 - C** the reason for a change in a firm's behaviour
 - D** the total spending in an economy

- 7 The diagrams show changes in the demand and supply curves for a good.

Which diagram shows the effect of a government providing a subsidy for the good?



- 8 The price elasticity of demand (PED) for bottled water is -0.9 .

What will happen to the quantity demanded for bottled water if its price increases by 10%?

- A decrease by 0.9%
 - B decrease by 9%
 - C increase by 0.9%
 - D increase by 9%
- 9 What will increase the demand for labour in an industry?
- A a decrease in labour productivity in that industry
 - B a decrease in the demand for the good made in that industry
 - C an increase in labour productivity in that industry
 - D an increase in wages in that industry

10 Which government policies will both reduce the difference in income between low-paid and high-paid workers?

- A** a decrease in the maximum wage and a more regressive income tax system
- B** a decrease in the maximum wage and a reduction in trade union power
- C** an increase in the minimum wage and a more progressive income tax system
- D** an increase in the minimum wage and a more regressive income tax system

11 Wages for nurses decrease, while working hours for pilots decrease.

Assuming other factors do not change, what is the likely effect on the number of individuals choosing to become nurses or pilots?

	nurses	pilots
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

12 The table shows the average revenue of a firm at various levels of output.

output	average revenue (\$)
1	10
2	8
3	6
4	4

What happens to total revenue as output rises?

- A** It falls and then rises.
- B** It falls continuously.
- C** It rises and then falls.
- D** It rises continuously.

- 13** For some months the price of petrol (gas) decreased significantly.

How would this affect a delivery firm that delivers goods for other firms using petrol (gas) powered vehicles?

- A** Average fixed costs would decrease.
- B** Profits would decrease.
- C** Total fixed costs would decrease.
- D** Variable costs would decrease.

- 14** The size of the domestic car industry in Japan has enabled Japanese car producers to be more price competitive than rival car producers.

What is an explanation for this?

- A** Economies of scale are present in the Japanese car industry.
- B** Managerial problems exist in the Japanese car industry.
- C** Productivity is low in Japan.
- D** The Japanese car industry is very labour-intensive.

- 15** What is a major advantage of a horizontal merger compared with a conglomerate merger?

- A** It causes more motivation of the workforce.
- B** It gains financial economies of scale with cheaper borrowing from banks.
- C** It leads to a diversification making the firm less vulnerable.
- D** It reduces competition and increases the merged firm's market share.

- 16** Recession is when there are two consecutive quarters (six months) of

- A** deflation.
- B** falling GDP.
- C** rising prices.
- D** rising unemployment.

- 17** An economy is operating with all resources fully employed.

Which would be an outcome of a significant increase in government expenditure?

- A** deflation
- B** demand-pull inflation
- C** falling output
- D** increased employment

18 What causes economic growth?

- A availability of more resources
- B higher imports of consumer goods
- C higher unemployment
- D lower investment

19 The table shows a government's receipts from taxation.

	\$m
air passenger duty	10
tax on firms' profits	100
import duty	75
income tax	200
inheritance tax	50
sales tax (VAT)	300

What is the total amount of revenue raised by indirect taxes?

- A \$300 m B \$350 m C \$385 m D \$435 m

20 Which statement about supply-side policy is correct?

- A It aims to increase the productive potential of the economy.
- B It aims to increase total demand in the economy.
- C It involves changes in the equilibrium foreign exchange rate.
- D It involves changes in the rate of interest.

21 Why is weighting used in the Consumer Prices Index (CPI)?

- A to ensure that all items in the index are treated equally
- B to ensure that all price changes are included in the index
- C to ensure that the index includes changes in the quantity consumed
- D to ensure that the index reflects the spending patterns of consumers

Due to an issue with Question 22, the question has been removed from the question paper.

23 Which combination of policy measures is **most** likely to increase the level of employment?

- A** decrease general taxation and decrease the rate of interest
- B** decrease general taxation and increase the rate of interest
- C** increase general taxation and decrease the rate of interest
- D** increase general taxation and increase the rate of interest

24 What is a certain cause of absolute poverty?

- A** growing old
- B** insufficient income for basic needs
- C** lack of good healthcare
- D** many dependants in the family

25 The birth rate in a country is higher than the death rate.

What might prevent the country's population from rising?

- A** Emigration is greater than immigration.
- B** The birth rate is falling.
- C** The country's medical care improves.
- D** The death rate is rising.

26 The table shows statistics for four countries, **A–D**.

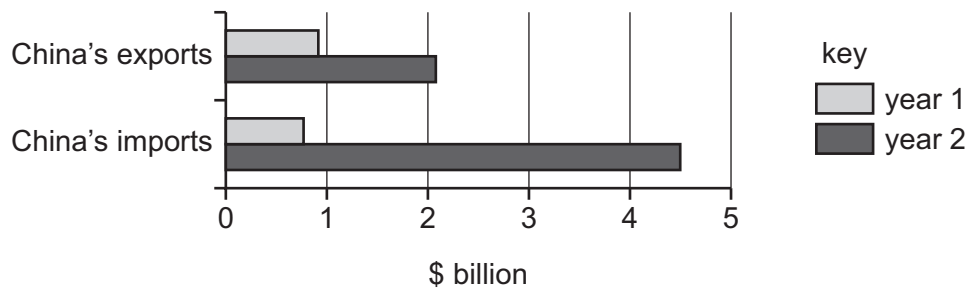
Which country has the lowest standard of living?

	average annual growth rate of population (%)	population density (per square kilometre)	life expectancy (years)	real GDP per head (\$)
A	1.9	19	46	190
B	2.7	2	58	1700
C	3.7	45	59	210
D	4.2	89	44	190

27 Why can specialisation cause economic growth?

- A** Specialisation can allow a country to produce many different goods and services.
- B** Specialisation can lead to a reduction in average costs of production.
- C** Specialisation can mean that firms in a country will face diseconomies of scale.
- D** Specialisation can reduce a country's need to depend on other economies.

28 The diagram shows China's trade with Brazil for two years.



What happened to China's trade balance with Brazil between year 1 and year 2?

- A** It experienced a falling surplus.
- B** It experienced a rising deficit.
- C** It moved from deficit to surplus.
- D** It moved from surplus to deficit.

- 29** Why do some governments limit the operations of multinational companies (MNCs) within their domestic economy?
- A** MNCs contribute to technological advances.
 - B** MNCs decrease a country's unemployment rate.
 - C** MNCs gain profits which are transferred out of the country.
 - D** MNCs increase a country's current account surplus.
- 30** What is an immediate effect for a country of a fall in its foreign exchange rate?
- A** a fall in the money supply
 - B** an increase in purchasing power
 - C** cheaper imports
 - D** more competitive exports

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Cambridge IGCSE™

ECONOMICS

0455/11

Paper 1 Multiple Choice

May/June 2022

45 minutes

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- 1 A government uses different supply-side policy measures to improve economic performance.

Which policy measure would **not** satisfy one of the government's macroeconomic aims?

- A changing the tax system which leads to more tax evasion
- B encouraging foreign investment which improves the balance of payments
- C privatising state industries which increases economic growth
- D retraining redundant workers which lowers unemployment

- 2 What could cause an increase in demand for a factor of production?

- A decrease in the efficiency of the factor of production
- B decrease in the price of an alternative factor of production
- C increase in the demand for the good or service produced
- D increase in the price of the factor of production

- 3 Which components, in addition to Gross Domestic Product (GDP) per head, are included in the Human Development Index (HDI)?

- A average earnings and inequalities of incomes
- B balance of trade and balance of payments
- C life expectancy at birth and expected years of schooling
- D size of population and age structure of population

- 4 The US government introduces tariffs on steel imported from China. This increases the price of imported Chinese steel.

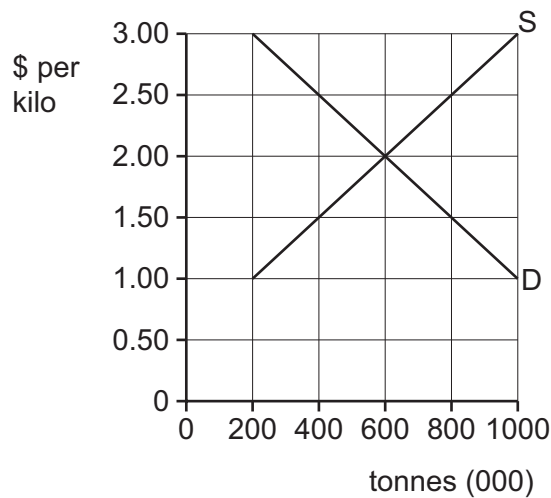
Whose income would be likely to increase as a direct result?

	Chinese steel producers	US government
A	yes	yes
B	yes	no
C	no	yes
D	no	no

- 5 A government retrain unemployed industrial workers to increase employment opportunities. The policy may have adverse effects on other government macroeconomic aims.

What illustrates this situation?

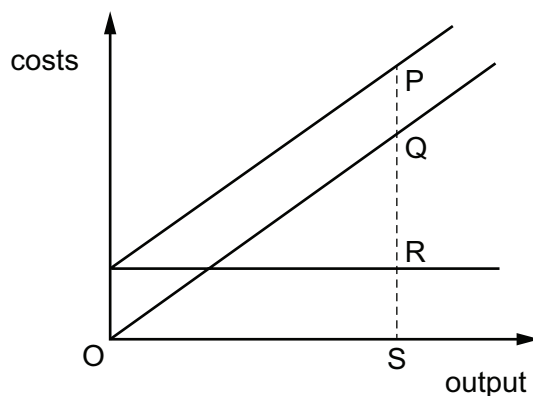
- A Better skilled workers may increase productivity and improve economic growth.
 - B Increased wage-earning capacity may lead to demand-pull inflation.
 - C More employed workers may reduce government expenditure on benefit payments.
 - D Near full employment may result in a more stable balance of payments.
- 6 The diagram shows the demand and supply for apples.



To what extent is the market for apples in disequilibrium at a price of \$2.50 per kilo?

- A Demand exceeds supply by 200 000 tonnes.
- B Demand exceeds supply by 400 000 tonnes.
- C Supply exceeds demand by 200 000 tonnes.
- D Supply exceeds demand by 400 000 tonnes.

- 7 The diagram shows the fixed costs, variable costs and total costs of a firm at output S.



Which distance represents the firm's variable costs?

- A** PQ **B** PS **C** QR **D** QS
- 8 The table shows the world output of iron ore and the average yearly price for four years.

year	world output of iron ore (billion tonnes)	average yearly price (\$ per tonne)
year 1	2.86	128
year 2	2.98	135
year 3	2.22	97
year 4	2.28	95

What can be concluded about the relationship between world output of iron ore and the average yearly price over the four years?

	world output	average yearly price
A	highest	highest
B	highest	lowest
C	lowest	highest
D	lowest	lowest

- 9 A firm has a high price elasticity of supply for its product.

What does this indicate?

- A It can increase revenue by reducing the price.
- B It can quickly respond to changes in price.
- C It keeps very low volumes of product in stock.
- D It produces a good that has close substitutes.

- 10 A manufacturer of medical supplies benefits from improved road links to its main markets.

What benefit definitely occurs as a result?

- A increased average revenue
- B increased external economies of scale
- C increased internal economies of scale
- D increased market share

- 11 Which row shows an essential characteristic of competitive markets and monopoly markets?

	competitive markets	monopoly markets
A	many buyers	single seller
B	many sellers	single buyer
C	single buyer	many buyers
D	single seller	many sellers

- 12 A student has nothing to do on a Friday evening. She withdraws \$5 from the \$100 she has in a savings account and buys a present to take to a party, to which admission is free.

What does this involve?

- A an opportunity cost equal to \$95
- B an opportunity cost equal to other goods she could have bought for \$5
- C no opportunity cost, as entrance to the party is free
- D no opportunity cost, as she had no better way of using the time

- 13 The development of artificial intelligence in machines raises the productivity of capital.

What will be the effect of this?

- A The costs of production will increase.
- B The demand for capital will increase.
- C The price of capital will fall.
- D The supply of capital will decrease.

- 14 Which combination is necessary for the construction of a consumer prices index?

	a base year	price stability	weights
A	yes	yes	yes
B	yes	no	yes
C	yes	no	no
D	no	yes	yes

- 15 A government removed the quota on goods imported into the country.

What is the **most** likely result of this?

- A a decrease in demand for domestic production
- B a decrease in domestic unemployment
- C a decrease in exports
- D a decrease in the balance of trade deficit

- 16 What is an advantage of a country having a market economic system with a large private sector?

- A Firms can become unprofitable if they do not produce what consumers want.
- B Market forces often fail to ensure maximum benefits for society.
- C Some goods may not be provided at all or not in sufficient quantity.
- D There is an unequal distribution of income which can increase over time.

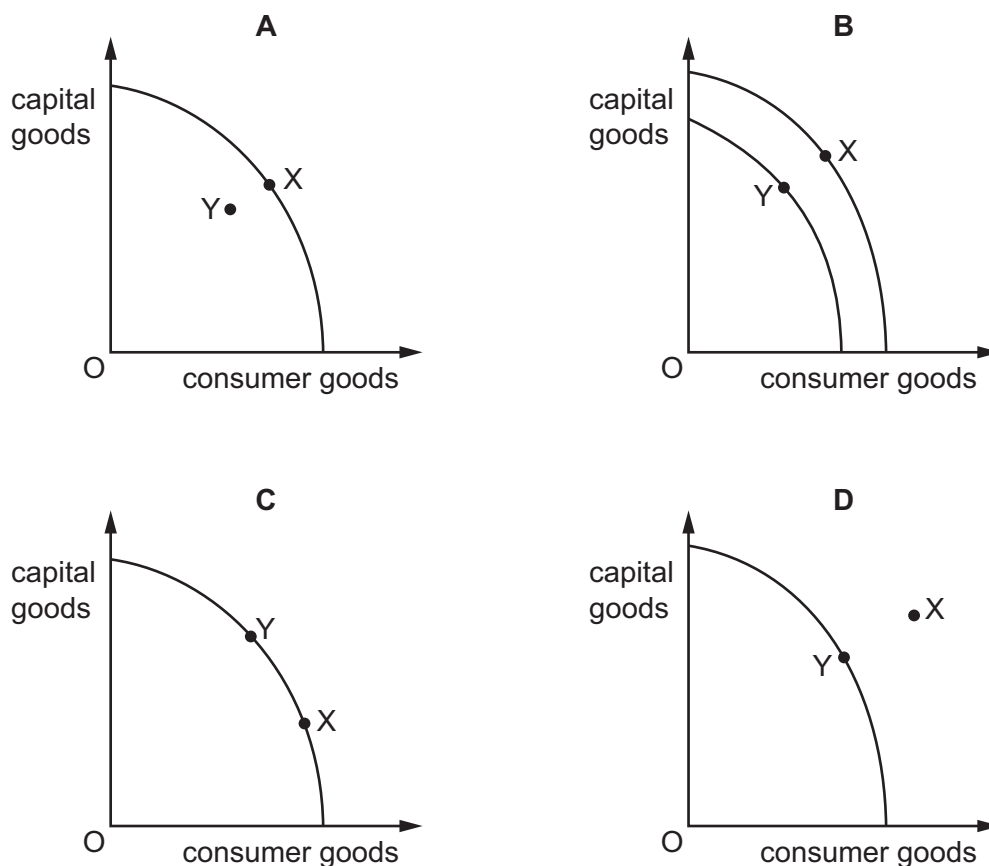
- 17 What is an example of a fiscal policy measure?

- A increasing the exchange rate
- B reducing the power of trade unions
- C reducing the rate of corporation tax
- D setting a lower interest rate

- 18 Why would an increase in the interest rate potentially lead to lower inflation?
- A Consumers will be more willing to save when interest rates are high.
 - B Consumers will be more willing to spend when interest rates are high.
 - C Producers will be more willing to borrow from banks when interest rates are high.
 - D Producers will be more willing to invest when interest rates are high.
- 19 Which government action will **not** add directly to the quantity or quality of human resources?
- A improvement in health facilities
 - B investment in education and training
 - C provision of better food and nutrition
 - D reclamation of land from the sea
- 20 What is a likely cause of economic growth?
- A decreased employment
 - B decreased investment
 - C decreased productivity
 - D decreased taxation

21 An economy experiences a recession and moves from full employment to 5% unemployment.

Which movement from X to Y on the PPC diagram shows the consequence for the economy?



22 The table shows how three people, X, Y and Z, spend their income.

	person X	person Y	person Z
food, clothing and housing	30%	25%	50%
entertainment and leisure	35%	35%	25%
luxury goods	35%	40%	25%

What is the likely order of income, from lowest income to highest income, for these three people?

- A** Y → X → Z
- B** Y → Z → X
- C** Z → X → Y
- D** Z → Y → X

23 Why would standards of living fall when there is a recession?

- A** The government would increase taxes to combat the recession.
- B** The purchasing power of households would fall.
- C** The value of the domestic currency would increase.
- D** There would be a rise in the level of immigration.

24 What is the purpose of an economy's production possibility curve (PPC)?

- A** It answers the question of what to produce in an economy.
- B** It enables microeconomic decisions to be taken by firms.
- C** It measures the supply of goods and services available in an economy.
- D** It shows the productive capacity in an economy at a point in time.

25 The governments of low-income countries often allow foreign multinational companies (MNCs) to mine minerals in their country.

Which conflict between benefit and cost might this cause the low-income countries?

	benefit	cost
A	improved balance of trade	training by the MNCs
B	higher employment	loss of a finite resource
C	increased profits for the MNCs	efficient production
D	more sustainable development	economic growth

26 The table shows some economic indicators.

Which increase in the first indicator is **most** likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
D	productivity	living standards

27 What is the definition of *foreign exchange rate*?

- A the difference between emigration and immigration
- B the difference between the values of imports and exports
- C the price of one currency in terms of another
- D the price of one good in terms of another

28 Which activity is correctly linked to the organisation that provides it?

	organisation	activity
A	central bank	regulate the rate of inflation
B	central bank	set direct tax rates
C	commercial bank	manage the government's financial accounts
D	commercial bank	safeguard the country's foreign reserves

29 Which topic is **not** included in microeconomics?

- A consumer demand
- B economies of scale
- C forms of competition
- D inflation

30 What is likely to cause an immediate decrease in the size of the labour force?

- A a fall in the average size of families
- B a fall in the birth rate
- C a reduction in the age of retirement
- D an increase in net immigration

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- 1 The Chinese government is concerned about the level of poverty and the need for more resources in low-income regions of the country. As a result, it is increasing its expenditure in those regions and reducing it in high-income regions.

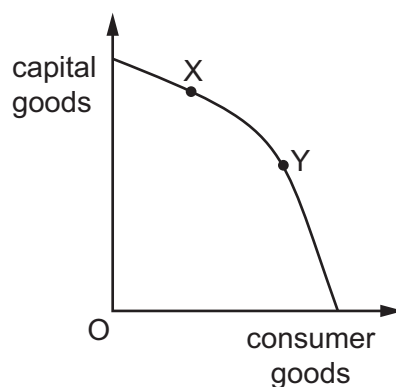
Which economic concept does this government policy illustrate?

- A diseconomies of scale
 - B market forces
 - C opportunity cost
 - D specialisation
- 2 An airline needs people and equipment. These can be divided into factors of production.

What is allocated to its correct factor of production?

	people or equipment	factor of production
A	aircraft	capital
B	airline owners	labour
C	computer network	land
D	pilots	enterprise

- 3 The diagram shows a production possibility curve (PPC) for country Z. Government policy is to move the economy from point X to point Y on the PPC.



What is the **most** likely effect of this policy?

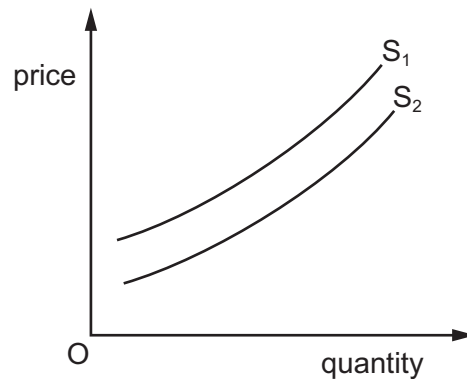
- A Living standards rise in the short run.
- B More capital goods are produced.
- C Prices of consumer goods increase.
- D Total output increases.

- 4 The table shows examples of changes in an economy.

Which combination has two microeconomic changes?

	change 1	change 2
A	an increase in the rate of inflation	a rise in the average earnings of healthcare professionals
B	an increase in the rate of inflation	a rise in the rate of unemployment
C	a reduction in output in the car industry	a rise in the average earnings of healthcare professionals
D	a reduction in output in the car industry	a rise in the rate of unemployment

- 5 The diagram shows the supply of motor vehicles.

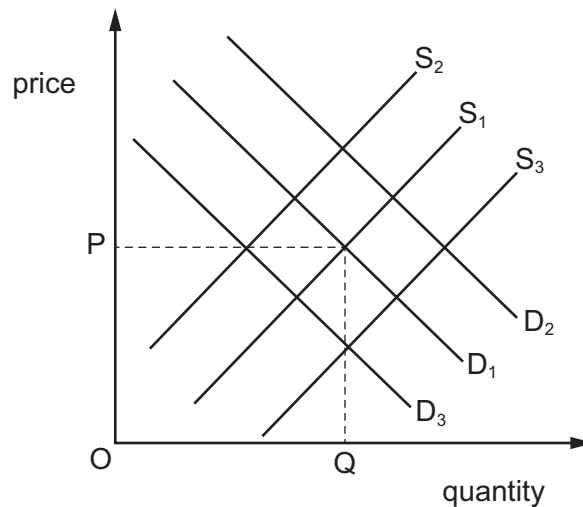


What will cause a shift in the supply curve from S_1 to S_2 ?

- A** a decrease in the profits of suppliers
- B** a fall in the real incomes of customers
- C** a more efficient assembly line using robots
- D** a rise in the cost of motor vehicle components

- 6 The diagram shows the demand for and supply of plastic bags.

The original equilibrium price is P.



How would the introduction of a unit tax on plastic bags be shown?

- A Demand would shift to D_2 .
 - B Demand would shift to D_3 .
 - C Supply would shift to S_2 .
 - D Supply would shift to S_3 .
- 7 What is the significance to firms of price elasticity of demand?
- A It allows firms to measure the effect of a change in the price of their competitors.
 - B It allows firms to measure their ability to change production due to a change in price.
 - C It allows firms to predict the change in costs of production.
 - D It allows firms to predict the effect of a change in price on their total revenue.
- 8 In a free market, market failure causes a misallocation of resources.

What is **not** an example of market failure?

- A external costs of production
- B internal diseconomies of scale
- C over-consumption of demerit goods
- D under-consumption of merit goods

9 Which organisations can directly fund the growth of firms?

	central banks	commercial banks	governments
A	no	yes	no
B	no	yes	yes
C	yes	no	no
D	yes	no	yes

10 Which advantage do coins have that makes them more suitable than paper banknotes to act as money?

- A** They are more divisible.
- B** They are more durable.
- C** They are more portable.
- D** They are more recognisable.

11 Which statement about different income groups is correct?

- A** High-income groups do not need to borrow money.
- B** High-income groups save less money than low-income groups.
- C** Low-income groups find it easier to borrow than high-income groups.
- D** Low-income groups save a smaller percentage of their income than high-income groups.

12 A musician has a choice of playing for an orchestra in either Germany or England.

Which combination of incomes and cost of living is **most** likely to cause her to choose the German orchestra?

	incomes and cost of living in Germany compared with those in England		
	pre-tax (gross) income	after-tax (net) income	cost of living
A	higher	higher	higher
B	higher	lower	lower
C	lower	higher	higher
D	lower	higher	lower

- 13** A firm sells 50 units at a price of \$3 per product.

What is the firm's total revenue and average revenue?

	total revenue \$	average revenue \$
A	50	3
B	50	50
C	150	3
D	150	50

- 14** A firm produces bicycles. It uses a combination of workers and machines. The table shows the output from different combinations of workers and machines.

Which combination shows the greatest labour productivity?

	workers	machines	output
A	4	5	17
B	8	5	32
C	10	5	45
D	20	5	76

- 15** Two large-scale firms involved in chemical manufacturing wish to merge.

Why might the government decide to prevent the merger?

- A** It enables greater economies of scale to operate.
 - B** It increases productivity per worker employed.
 - C** It reduces competition in the industry.
 - D** It results in higher wages paid to labour.
- 16** What is included in a government budget calculation?
- A** export revenue
 - B** external costs
 - C** indirect tax revenue
 - D** opportunity cost

- 17 Which change is an example of monetary policy?
- A a depreciation of the foreign exchange rate
 - B a reduction of unemployment benefits
 - C an increased import tax
 - D the introduction of import quotas
- 18 What is the **most** likely effect of increasing the rate of interest?
- A Investment increases.
 - B The cost of government borrowing falls.
 - C The exchange rate falls.
 - D The rate of inflation falls.
- 19 What is the **most** effective way for a government to raise national output?
- A encourage a period of deflation
 - B improve the productivity of resources
 - C limit the size of its population
 - D restrict its trade with other countries
- 20 The table shows real GDP and population for four countries.

Which country has the highest real GDP per head?

	real GDP (\$ billions)	population (millions)
A	200	80
B	100	25
C	80	50
D	60	12

- 21 A shop worker was made redundant due to the introduction of self-service checkouts.
- Which type of unemployment is this?
- A cyclical
 - B frictional
 - C seasonal
 - D structural

22 A decrease in which variable is **most** likely to cause the rate of inflation to increase?

- A** the average wage rate
- B** the budget deficit
- C** the interest rate
- D** the money supply

23 Which type of goods have to be financed by a government?

- A** capital goods
- B** demerit goods
- C** free goods
- D** public goods

24 The table shows the percentage changes in earnings and consumer prices for four countries for one year.

Which country is likely to have experienced the greatest increase in real income during the year?

	country	earnings	consumer prices
A	France	+6.5	+3.5
B	Germany	+4.0	+4.0
C	Japan	+4.0	−1.0
D	UK	+6.5	−2.0

25 The table shows the Human Development Index (HDI) for a country in two years.

year	HDI value
1	0.467
2	0.609

What would **not** explain the changes in the HDI?

- A** an increase in gender equality
- B** an increase in income per head
- C** an increase in life expectancy
- D** an increase in years of schooling

- 26** The table shows the percentage (%) contribution of agriculture to the GDP of three countries in a year.

country	%
X	18.5
Y	3.9
Z	2.2

What can be concluded from the table?

- A** Agricultural production in country Z was not as productive as it was in country Y.
 - B** Country X was likely to be less developed as a country than country Z.
 - C** Country Y was likely to import more agricultural produce than country Z.
 - D** Total agricultural production was higher in country X than in country Z.
- 27** The table shows some details from a country's balance of payments that has no secondary income (current transfers).

item	\$ million
exports of goods	280
imports of goods	350
exports of services	110
imports of services	60
net primary income	–40

What is the country's balance on its current account?

- A** a deficit of \$60 million
- B** a deficit of \$160 million
- C** a surplus of \$20 million
- D** a surplus of \$760 million

28 Vietnamese companies buy insurance from companies in the US.

How will this transaction be recorded in the Vietnamese balance of payments?

	section	credit / debit
A	trade in goods	credit
B	trade in services	credit
C	trade in services	debit
D	current transfers	debit

29 Which row shows the potential benefits of free trade to consumers, producers and the economy?

	consumers	producers	economy
A	higher income	lower costs	deflation
B	lower quality	higher prices	greater equality
C	lower prices	increased competition	higher current account deficit
D	more choices	larger market	lower unemployment

30 A manufacturing firm in a low-income country has decided to close.

What is **most** likely to have caused this decision?

- A** increase in foreign multinational companies operating in its country
- B** increase in global demand for its products
- C** increase in its productivity
- D** increase in subsidies received from its government

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Cambridge IGCSE™

ECONOMICS

Paper 1 Multiple Choice

0455/11

May/June 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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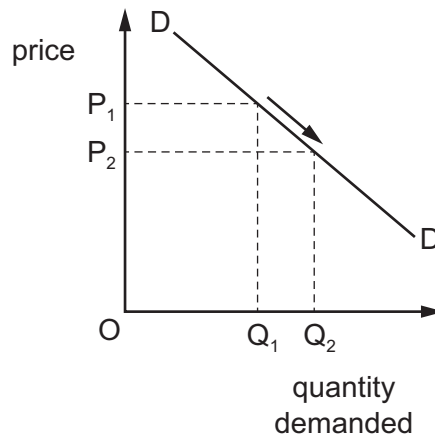
- 1 What is the cause of scarcity in an economy?
 - A high employment levels
 - B high investment levels
 - C unlimited resources
 - D unlimited wants

- 2 What does a point on a production possibility curve for an economy represent?
 - A economic growth is falling
 - B inefficient use of resources available
 - C maximum output possible with current technology
 - D total demand for goods and services

- 3 What is **most** likely to increase enterprise as a factor of production in an economy?
 - A a decrease in government spending on education
 - B a decrease in regulation on firms
 - C an increase in emigration
 - D an increase in taxation on firms

- 4 Which economic activity would be classified as macroeconomics?
 - A households spend less on holidays abroad
 - B income tax is increased by the government
 - C wages rise for construction workers
 - D world coffee price rises due to poor weather

- 5 The diagram shows the effect of a decrease in price on the demand for a product.



What does the arrow on the diagram illustrate?

- A contraction in demand
 - B decrease in demand
 - C extension in demand
 - D increase in demand
- 6 What is the correct formula to calculate price elasticity of supply?
- A the percentage change in price divided by the change in quantity supplied
 - B the percentage change in price divided by the percentage change in quantity supplied
 - C the percentage change in quantity supplied divided by the change in price
 - D the percentage change in quantity supplied divided by the percentage change in price
- 7 What is the **most** likely cause of a product having a price elasticity of demand greater than one?
- A The product has a close substitute.
 - B The product is a habit-forming good.
 - C The product is a necessity.
 - D The product requires only a small proportion of consumer income.

- 8 For some illnesses, wearing a face mask has a benefit as it could prevent people from getting infected. Not all people are willing to wear face masks.

Based on the statement above, why would there be an inefficient allocation of face masks in the free market?

- A Consumers in the free market only consider private costs and benefits.
 - B Face masks are non-rival and non-excludable.
 - C There is abuse of monopoly power by the producer of face masks.
 - D There is perfect information in the free market.
- 9 What would bring about a movement upwards along the supply curve for rice?
- A a decrease in the productivity of farmworkers
 - B a decrease in the profitability of rice production
 - C an increase in consumers' incomes
 - D an increase in farmworkers' wages
- 10 A government decides to reduce air pollution in city centres by giving financial assistance to bus companies, reducing their costs of production and prices for passengers.
- Which type of policy measure is this?
- A a maximum price
 - B a minimum price
 - C a subsidy
 - D regulation
- 11 What would be **least** likely to act as a store of value during a period of rapid inflation?
- A cash
 - B gold
 - C property
 - D shares

- 12** A country's central bank raised the rate of interest from 1% to 4% per year.

How would this change have affected the amount saved and the cost of borrowing by individuals?

	amount saved	cost of borrowing
A	decreased	decreased
B	decreased	increased
C	increased	decreased
D	increased	increased

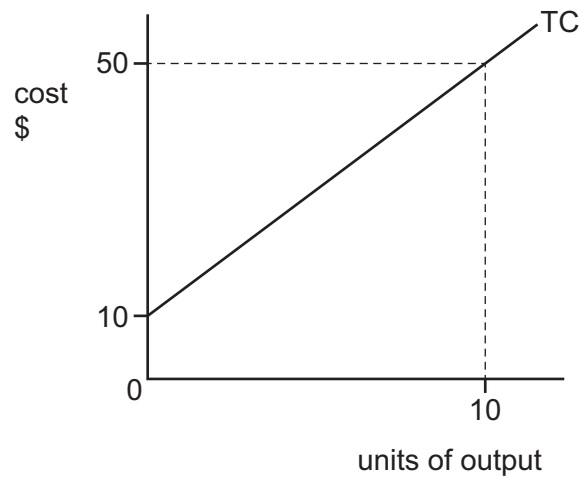
- 13** Which factor would **not** increase the bargaining strength of a trade union to raise wages?

- A** a rapidly growing economy
- B** high union membership in the industry
- C** legislation limiting strike action
- D** workers are in short supply

- 14** Which conditions are **most** likely to attract small firms to enter a market?

	the market for the product	fixed costs of entering the industry
A	local	high
B	local	low
C	national	high
D	national	low

- 15 The diagram shows a firm's total cost (TC) curve.



What is the average variable cost if the firm produces 10 units of output?

- A** \$4 **B** \$5 **C** \$40 **D** \$50
- 16 The table shows the units of factors of production that a firm needs to employ for two different levels of output.

land	labour	capital	output
5	2	4	100
10	4	8	150

What is the firm experiencing?

- A** constant returns to scale
B diseconomies of scale
C external diseconomies of scale
D external economies of scale
- 17 What is an example of a government macroeconomic aim?
- A** a minimum of 10 years of schooling
B a sales tax of 10% on consumer goods
C a target rate of 2% inflation
D increasing pay for nurses

18 Government policy measures can affect economic activity in a country.

Which pair of monetary policy measures would be likely to increase employment?

- A depreciate foreign exchange rates and increase education spending
- B increase money supply and reduce interest rates
- C provide subsidies and grants and lower sales tax
- D reduce income tax and improve infrastructure

19 What would be **most** likely to encourage saving?

- A a rise in the exchange rate
- B a rise in the goods and services tax rate
- C a rise in the income tax rate
- D a rise in the interest rate

20 The government of a country operating at full employment increases its spending on education and training.

How does this affect the likelihood of achieving low inflation in the short run and the long run?

	short run	long run
A	less likely	less likely
B	less likely	more likely
C	more likely	less likely
D	more likely	more likely

- 21 A government has introduced a tax on a necessity. Producers have passed on a large proportion of this tax to consumers in the form of higher prices.

Which row is correct?

	type of tax	price elasticity of demand
A	direct	price elastic
B	direct	price inelastic
C	indirect	price elastic
D	indirect	price inelastic

- 22 What is **most** likely to lead to an increase in structural unemployment in a country?
- A** The country is experiencing a period of negative economic growth.
 - B** The country is experiencing a period of positive economic growth.
 - C** The country is moving from producing primary sector goods to secondary sector goods.
 - D** The country is moving towards more flexible labour markets.
- 23 Which citizens are **most** likely to benefit in a period of rapid inflation?
- A** citizens who are receiving fixed state benefits
 - B** citizens who earn fixed incomes
 - C** citizens who have lent money at a fixed rate of interest
 - D** citizens who have borrowed money at a fixed rate of interest
- 24 Which statement is correct about the Human Development Index (HDI) and real GDP?
- A** HDI includes exports and imports while real GDP does not.
 - B** HDI includes life expectancy and years of schooling while real GDP does not.
 - C** HDI includes the level of output while real GDP does not.
 - D** HDI includes the level of unemployment in the population while real GDP does not.

- 25 Other things being equal, what will cause a population both to increase and to age?
- A a fall in the birth rate
 - B a fall in the death rate
 - C a rise in both the birth rate and the death rate
 - D a rise in the death rate and a fall in the birth rate
- 26 Which change would be unlikely to be found in a country as it develops?
- A an increase in average incomes and a decrease in unemployment
 - B an increase in manufacturing production and an increase in shipping services
 - C an increase in subsistence farming and a decrease in financial services
 - D an increase in tourism and an increase in the export of agricultural products
- 27 It is cheaper for developed economies to buy some cereals from developing economies than to produce them domestically.

What might reduce international trade in cereals?

- A Cereals become less popular with the population of developing economies.
 - B Developed economies place an embargo on cereal imports to prevent disease.
 - C Governments tax cereal production in developed economies.
 - D Producers of cereals in developing economies are subsidised.
- 28 A country imposes a quota on imported cars.

What is the **most** likely outcome of this action?

- A a decrease in the domestic output of cars
- B a decrease in the domestic price of cars
- C an increase in the tax revenue from car imports
- D an increase in the total revenue of domestic car producers

- 29 An Argentine product initially sells in the US for \$50 when the exchange rate between the two countries is 5 pesos to 1 dollar.

The exchange rate changes to 10 pesos to 1 dollar and the price of the product remains unchanged in Argentina.

What will be the new price of the product in the US?

- A \$5 B \$25 C \$100 D \$500

- 30 Which policy measure is **most** likely to reduce the current account deficit of the balance of payments of an economy?

- A decrease the level of subsidies to domestic producers
- B increase infrastructure spending to increase domestic productivity
- C increase interest rates
- D remove import tariffs

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Cambridge IGCSE™

ECONOMICS

0455/11

Paper 1 Multiple Choice

October/November 2023

45 minutes

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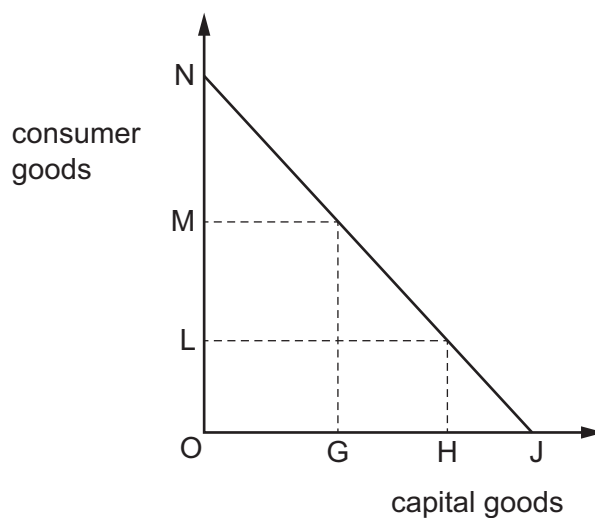
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- 1 Economists describe resources as being 'scarce'.

What must be a consequence of scarce resources?

- A production will cause external costs
 - B relative poverty will gradually increase
 - C sustainable development will take place
 - D wants will exceed productive capacity
- 2 The diagram shows the production possibility curve (PPC) for an economy producing consumer goods and capital goods.



The economy is currently producing OM consumer goods and OG capital goods. It decides to increase production of capital goods to OH.

What is the opportunity cost of this decision in terms of consumer goods?

- A JG
 - B ML
 - C MN
 - D NL
- 3 A hospital has spent all of its budget allocated for employing doctors.

What is the opportunity cost to the hospital of employing an extra doctor?

- A a reduction in the number of nurses employed
- B an improvement in the recovery rate of patients
- C an increase in the number of patients treated
- D the salary paid to the extra doctor

- 4 There has been an increase in the demand for wheat. This has led to an increase in the demand for labour to harvest the wheat.

Which branch of economics covers these two concepts?

	increase in the demand for wheat	increase in the demand for labour to harvest wheat
A	macroeconomics	macroeconomics
B	macroeconomics	microeconomics
C	microeconomics	macroeconomics
D	microeconomics	microeconomics

- 5 In the United Kingdom (UK), the price of timber used in house building increased. This was because of a boom in the UK house building industry and a shortage of drivers to deliver the timber.

What happened in the UK market for timber to cause this price increase?

	demand curve	supply curve
A	shifted left	shifted left
B	shifted left	shifted right
C	shifted right	shifted left
D	shifted right	shifted right

- 6 What does a supply curve show?

- A** A firm will supply more when consumers' purchasing power increases.
- B** The higher the price, the fewer goods are supplied as costs of production increase.
- C** The lower the price, the more profit is made by the firm.
- D** There is a positive relationship between quantity supplied and price.

- 7 A global pandemic causes the demand for air travel to decrease.

Which value for the price elasticity of supply of air travel will cause the number of tickets for air travel to fall the most?

- A** 0 **B** 0.5 **C** 1 **D** 1.5

8 What is a **disadvantage** of a market economy?

- A not enough competition
- B not enough merit goods
- C no consumer choice
- D state intervention

9 Droughts in some countries caused the supply of wheat to fall. Wheat prices then rose providing an opportunity for wheat producers in other countries to increase supply.

Why might the price of wheat continue to be high in the year following the drought?

- A Different weather conditions allowed a bumper harvest.
- B Suppliers unaffected by drought failed to increase output.
- C The government introduced a subsidy to wheat producers.
- D The wheat market returned to its original equilibrium.

10 Newly built houses tend to be inelastic in supply. A government aim is to make the supply more elastic by relaxing building regulations.

Why is the government **not** likely to achieve this aim immediately?

- A Banks will only lend to high-income earners.
- B Costs of building materials fluctuate according to season.
- C Houses take a long period of time to be built.
- D Population increases lead to greater housing demand.

11 A person planning for old age saves in the form of money rather than goods.

Which function does money perform when this is done?

- A medium of exchange
- B standard of deferred payment
- C store of value
- D unit of account

12 What is **not** normally a function of the central bank of a country?

- A** acting as lender of last resort
- B** issuing notes and coins
- C** operating the government monetary policy
- D** setting the government budget

13 What is a trade union **most** likely to protect?

- A** the profit of a firm
- B** the rights of a group of workers
- C** the satisfaction of consumers
- D** the social welfare of everybody

14 A person sets up a street food stall.

What is necessary for the food stall to survive in the long run?

	growth	profitability
A	no	no
B	no	yes
C	yes	no
D	yes	yes

15 A large privately owned firm is the sole supplier of electricity to a city.

Which combination of characteristics is likely to exist for this firm?

	barriers to entry	long-run profit	pricing decision
A	high	high	price maker
B	high	low	price taker
C	low	high	price maker
D	low	low	price taker

- 16** When a firm produces 200 units, its total variable cost is \$600 and its total fixed cost is \$2000.

What is the average cost at this output?

- A** \$3 **B** \$10 **C** \$13 **D** \$2600

- 17** The government of country Z announces a forecast budget deficit of \$234 billion, as part of its fiscal policy.

What is the effect of this forecast budget deficit likely to be?

- A** a decrease in economic growth
B a decrease in inflation
C an increase in employment
D an increase in unemployment

- 18** Low-income groups do **not** pay income tax but are able to use state-provided healthcare services.

What does this illustrate?

- A** monetary policy
B privatisation
C redistribution of income
D regressive taxation

- 19** The government uses monetary policy and reduces the interest rate.

What might be a consequence of this?

- A** a decrease in the rate of inflation
B an increase in the level of investment
C an increase in the level of savings
D an increase in unemployment

- 20** What is a likely objective of supply-side policy?
- A** improving productive potential
 - B** increasing direct taxation
 - C** increasing the power of trade unions
 - D** promoting the public sector
- 21** An increase in which economic indicator best describes economic growth?
- A** general price level
 - B** level of consumption
 - C** level of output
 - D** living standards
- 22** What is full employment considered to be?
- A** no cyclical unemployment
 - B** no frictional unemployment
 - C** no private sector unemployment
 - D** no seasonal unemployment
- 23** Which group is most likely to benefit during a period of rapid inflation?
- A** exporters
 - B** pensioners
 - C** people with debts
 - D** savers
- 24** What are the components of the Human Development Index (HDI)?
- A** life expectancy at birth, expected years of schooling, gross national income (GNI)
 - B** life expectancy at birth, expected years of schooling, gross national income (GNI) per head
 - C** population growth, adult literacy rate, gross national income (GNI) per head
 - D** population size, expected years of schooling, number of doctors per head

25 Which situation must produce an ageing population?

- A a falling birth rate and a falling death rate
- B a rising birth rate and a rising death rate
- C a rising marriage rate and a falling death rate
- D a falling marriage rate and a rising death rate

26 The table shows the unemployment rate in three developed economies in one year.

	unemployment rate %
United States	7.6
Sweden	8.2
France	10.9

What is the main cause of high rates of unemployment in developed economies in periods of recession?

- A decreases in total demand
- B movement of labour between countries
- C reduced levels of technological change
- D regional inequalities of wealth

27 What is **most** likely to result from an extension of specialisation in manufacturing?

- A for the consumer some prices will be reduced
- B for the country there will be less dependency on international trade
- C for the employee the work will become more varied
- D for the producer there will be less efficiency

28 A country imposes a tariff on an imported product.

What is the effect of this change?

	the price of the product increases	the quantity of the product imported is fixed
A	no	no
B	no	yes
C	yes	no
D	yes	yes

29 The world demand for oil is price-inelastic and oil is paid for in US dollars.

If the price of oil falls rapidly, how might it affect the US dollar?

	market for US\$	exchange rate for US\$
A	greater demand for US\$	increases
B	greater supply of US\$	decreases
C	less demand for US\$	decreases
D	less supply of US\$	increases

30 Which benefit do multinational companies (MNCs) bring to their home country?

- A** flow of profits
- B** higher wages
- C** increased employment
- D** more investment

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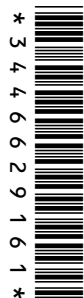
INSTRUCTIONS

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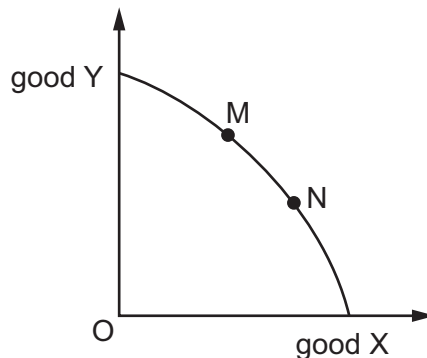
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- 1 What is a free good?
- A free samples of a new product
 - B health services provided by the state
 - C second-hand clothing
 - D sunlight
- 2 A firm is deciding whether to produce good X or good Y for the next five years. The predicted revenue for good X is \$20 000 per year and for good Y is \$18 000 per year.

What is the opportunity cost of producing good X?

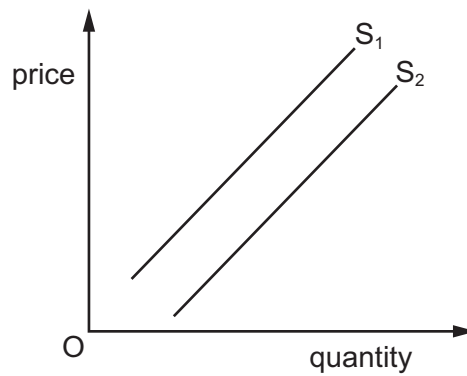
- A \$18 000
 - B \$20 000
 - C \$90 000
 - D \$100 000
- 3 The diagram shows a production possibility curve (PPC) for an economy.



What is the reason for the economy moving from point M to point N?

- A decreased unemployment in industries producing good X
 - B improvement in technology used to produce good X
 - C increased productivity of workers producing good X
 - D increased resource allocation to the production of good X
- 4 What is **not** held constant when drawing a demand curve for a good or service?
- A consumers' incomes
 - B tastes and preferences
 - C the price of substitutes
 - D the price of the good or service

- 5 The diagram shows a shift in the supply curve for New Zealand's airlines from S_1 to S_2 .



What is the most likely cause of this shift?

- A a decrease in the costs of New Zealand's airlines
 - B a decrease in the number of people wanting to fly to New Zealand
 - C an increase in the price of train and bus travel in New Zealand
 - D an increase in the tax on air travel in New Zealand
- 6 What could cause the price of tea to increase?
- A decrease in the demand for tea
 - B decrease in the price of a substitute good
 - C increase in the price of a substitute good
 - D increase in the supply of tea
- 7 A firm changes the price of its product and finds that its revenue increases.

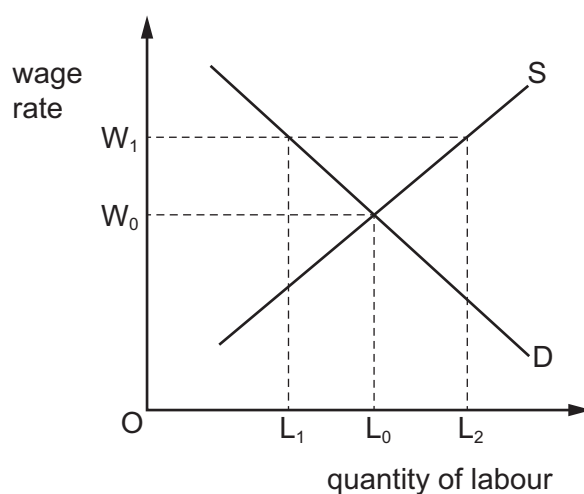
Which combination of price change and price elasticity of demand would have caused this?

	price	price elasticity of demand
A	falls	between 0 and 1
B	falls	equal to 1
C	rises	between 0 and 1
D	rises	greater than 1

- 8 What could **not** occur in a market economic system?
- A a monopolist supplying specialist goods to the market
 - B excessive pollution created by power stations
 - C governments setting minimum wages to relieve poverty
 - D private ownership of firms making defence equipment
- 9 What is a correct definition of a demerit good?
- A a good which generates external benefits
 - B a good with higher private costs than social costs
 - C a good which is more harmful to consumers than they realise
 - D a good which provides no costs to third parties
- 10 Within the same firm, one employee is paid a higher wage than another employee.
- Which reason for the difference in their wage could be considered discrimination?
- A They are of different ages.
 - B They have different levels of education.
 - C They have different levels of productivity.
 - D They have different levels of work experience.

- 11 The diagram shows the demand and supply curve of labour for a firm. The initial wage rate is given by W_0 and the equilibrium quantity of labour employed is L_0 .

A trade union that represents all of the workers negotiates a rise in wage rate to W_1 .



What is the amount of unemployment that results from this wage rise?

- A** OL_1 **B** L_0L_2 **C** L_1L_0 **D** L_1L_2
- 12 A farmer introduces machinery to help workers at harvest time. The farmer also reduces the number of workers by 50%. As a result, the total harvest increases by 25%.

What has happened?

- A** Labour productivity has decreased and production has decreased.
B Labour productivity has decreased and production has increased.
C Labour productivity has increased and production has decreased.
D Labour productivity has increased and production has increased.
- 13 A firm has fixed costs of \$20 and the following total variable costs.

output	10	20	30	40
total variable costs (\$)	40	60	80	100

What happens to average total cost over this output range?

- A** It falls continuously.
B It falls then rises.
C It rises continuously.
D It rises then falls.

- 14 The table shows the costs and output of a firm.

total cost	\$10 000
total variable cost	\$8000
quantity	10

What is the average fixed cost of the firm?

- A** \$200 **B** \$800 **C** \$1000 **D** \$2000

- 15 A clothing manufacturer expands by taking over a clothing retailer.

Which type of merger is this?

- A** backward vertical
B conglomerate
C forward vertical
D horizontal

- 16 What is likely to happen if a previously competitive market becomes a monopoly?

	barriers to entry	economies of scale	the size of the firm
A	decrease	decrease	increases
B	decrease	increase	decreases
C	increase	decrease	decreases
D	increase	increase	increases

- 17 Which macroeconomic aim, if achieved, is most likely to increase a government budget surplus?

- A** full employment
B income redistribution
C low inflation
D balance of payments stability

- 18** The table shows the income tax rate paid by workers at different levels of income in selected years for a developed economy.

income band (\$)	tax rate year 1 (%)	tax rate year 2 (%)
0 to 4999	0	0
5000 to 9999	10	0
10 000 to 19 999	20	10
20 000 to 29 999	30	30
30 000 to 49 999	40	50
50 000+	40	60

What is most likely to have been the economic objective of the government in changing the tax rates between year 1 and year 2?

- A** to reduce a current account deficit
 - B** to reduce income inequality
 - C** to reduce inflation
 - D** to reduce structural unemployment
- 19** A government attempts to raise economic growth with a policy of reduced interest rates.

Which other government objective is most likely to be helped in the short run?

- A** lower unemployment
 - B** price stability
 - C** reduced income inequality
 - D** reduced trade deficit
- 20** What is the definition of a supply-side policy?
- A** any policy designed to decrease inflation
 - B** any policy designed to decrease unemployment
 - C** any policy designed to increase imports
 - D** any policy designed to increase productivity

- 21** Subsistence farming is the practice of growing crops and raising livestock sufficient only for one's own use without any surplus for trade.

Why is it difficult for a government to measure economic growth in an economy based on subsistence farming?

- A** Farmers' families consume most of their own produce.
- B** Farmers have low rates of saving.
- C** The size of harvest is dependent on the weather.
- D** The surplus produce is sold to the government.

- 22** What is necessary for a worker to be classified as unemployed?

	the worker does not have a paid job	the worker is prepared to work	the worker will accept the current wage rate
A	yes	no	no
B	yes	no	yes
C	yes	yes	no
D	yes	yes	yes

- 23** What is most likely to increase when the rate of inflation gradually changes from 2% to 8% in one year?

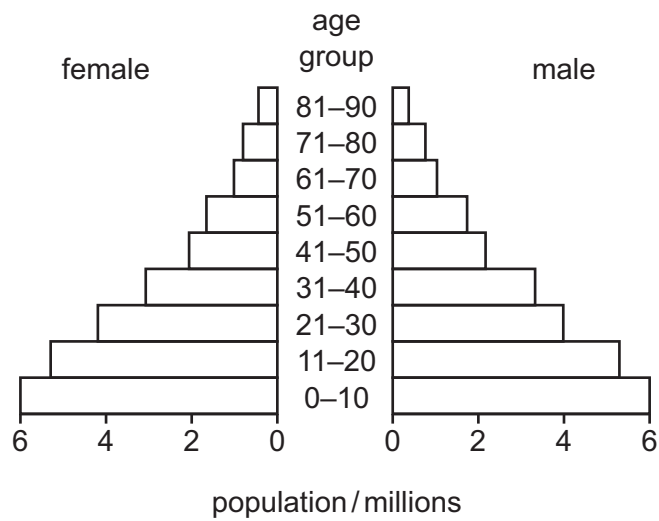
- A** the cost of updating existing price lists
- B** the level of business confidence
- C** the real income of fixed-income earners
- D** the real value of consumer debt

- 24** The introduction of a minimum hourly wage in an industry aims to reduce poverty among low-paid workers.

What is an advantage to workers of an effective national minimum wage?

- A** All workers get paid according to their level of productivity.
- B** Firms may look to increase capital equipment rather than labour.
- C** Levels of employment become more dependent on wage differences.
- D** Redistribution of a firm's income rewards labour rather than owners.

25 The chart shows the population pyramid for a country.



What is most likely to cause the population pyramid to be shaped in this way?

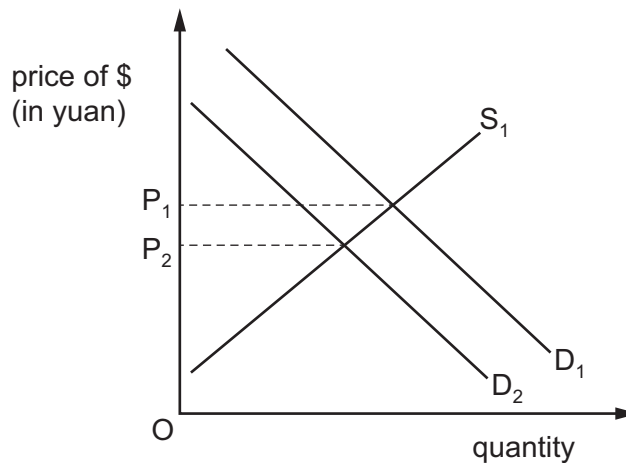
	birth rate	death rate
A	low	low
B	low	high
C	high	low
D	high	high

26 The table shows information on four countries.

Which country is likely to be the most developed?

	population (million)	Gross Domestic Product (GDP) (\$ billion)	life expectancy (years)
A	100	800	51
B	200	6000	62
C	300	600	48
D	1000	1600	63

- 27 What is an advantage to a firm of specialisation at a national level?
- A dependency on supplies from other countries
 - B greater competition from overseas firms
 - C greater depletion of the country's natural resources
 - D lower average costs due to economies of scale
- 28 What is an intended outcome of protecting infant industries from free trade?
- A to decrease the competitiveness of domestic firms
 - B to decrease the demand for exported goods
 - C to increase employment in domestic firms
 - D to increase the supply of imported goods
- 29 In the diagram, curves D_1 and S_1 relate to the demand and supply of the US dollar (\$) against the Chinese yuan.



What is most likely to cause the demand curve for US dollars to shift from D_1 to D_2 ?

- A a fall in Chinese interest rates
- B a fall in US interest rates
- C a faster growth rate in the US economy
- D a reduction in the US government budget deficit

30 Brazil had a balance of payments current account deficit of US\$23.5 billion.

Which policy is most likely to reduce the current account deficit in Brazil?

- A** depreciate Brazil's currency
- B** reduce rates of income tax in Brazil
- C** reduce subsidies to Brazil's exporting firms
- D** reduce tariffs on Brazil's imports

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ECONOMICS

0455/11

Paper 1 Multiple Choice

October/November 2024

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

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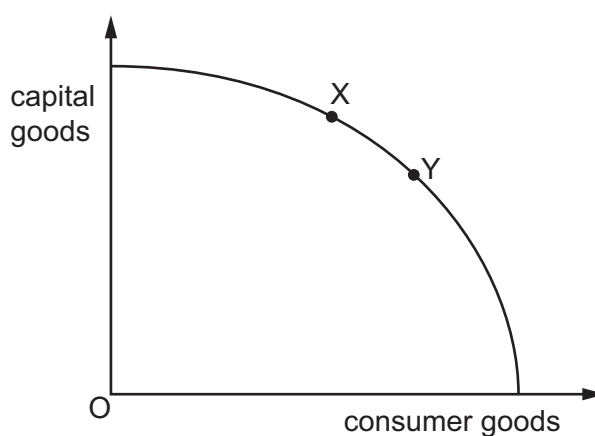
1 What has an opportunity cost in consumption?

- A air
- B food
- C sea water
- D sunlight

2 In which case is it possible to set the level of reward before production takes place for the first factor of production but **not** for the second factor?

	first factor	second factor
A	capital	land
B	enterprise	labour
C	labour	capital
D	land	enterprise

3 The diagram shows the production possibility curve (PPC) for an economy.



Which cost can be determined as the economy moves along its PPC from point X to point Y?

- A the opportunity cost of producing more capital goods
- B the opportunity cost of producing more consumer goods
- C the social cost of producing more capital goods
- D the social cost of producing more consumer goods

4 Which person is most likely to make a microeconomic decision as part of their job?

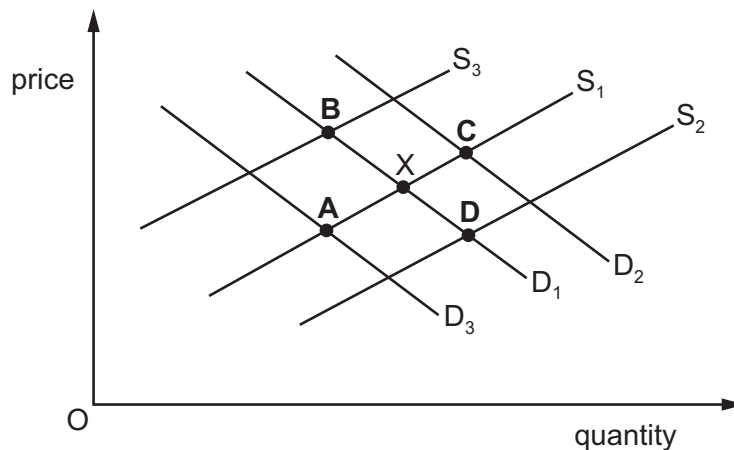
- A a government finance minister
- B the global administrator of the Human Development Index
- C the governor of the central bank
- D the manager of a private sector firm

5 What necessarily describes the market system?

- A all resources used to produce consumer goods
- B an economy with both a private and a public sector
- C limited resources but unlimited wants
- D resources allocated through demand and supply

6 The diagram shows the demand for and supply of a product. The original equilibrium is at X.

Which point indicates the new equilibrium position if there is an increase in the price of a close substitute for the product while other things remain the same?



7 A firm has the following supply schedule.

price (\$)	quantity supplied
5	10
10	20

What is the price elasticity of supply of the good as the price increases from \$5 to \$10?

- A -0.5
- B +0.5
- C +1.0
- D +2.0

8 Why does a government provide certain goods and services in a mixed economic system?

- A The government always provides goods more cheaply than private firms.
- B The government considers only private costs and private benefits.
- C The government provides goods to prevent the development of monopolies.
- D The government provides public goods because private firms cannot charge for them.

9 A government intends to subsidise bus fares and increase taxes on private motoring.

How would this affect the private cost of transport?

	for motorists	for bus passengers
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

10 What is **not** a function of money?

- A medium of exchange
- B portability
- C store of value
- D unit of account

11 Bus drivers receive a wage of \$15 000 a year. The government introduces a national minimum wage.

Under which circumstances will the largest number of bus drivers become unemployed as a result of the minimum wage?

	national minimum wage (per year) \$	demand for bus travel
A	15 000	increasing
B	15 000	unchanged
C	18 000	increasing
D	18 000	unchanged

- 12 A clothes retailer borrows money to finance the opening of another clothes shop.

Which type of growth is this?

- A internal and horizontal
- B internal and vertical
- C external and horizontal
- D external and vertical

- 13 What is meant by internal diseconomies of scale?

- A average cost for the firm decreases when the output of the firm increases
- B average cost for the firm decreases when the output of the industry increases
- C average cost for the firm increases when the output of the firm increases
- D average cost for the firm increases when the output of the industry increases

- 14 A food-processing firm decides to change from a labour-intensive production method to a capital-intensive production method.

What is likely to decrease as a result of the change?

- A fixed costs as a percentage of total cost
- B output per worker per hour
- C the level of total output
- D variable costs as a percentage of total cost

- 15 What is an example of a fixed cost?

- A electricity
- B insurance
- C raw materials
- D wages

- 16 What is the definition of profit maximisation?

- A The firm is allocating a proportion of profit to other business objectives.
- B The firm is making as much profit as possible.
- C The firm is making higher levels of profit this year than last year.
- D The firm is making the same amount of profit this year as last year.

- 17 The central bank of Mexico set its rate of interest to try to keep the rise in the price level to only 3%.

Which government aim was it directly trying to achieve?

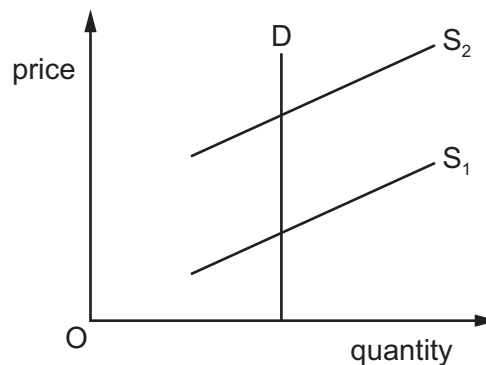
- A balance of payments equilibrium
- B economic growth
- C full employment
- D low inflation

- 18 The table shows a forecast for a government budget for year 1 and for year 2.

	year 1 \$bn	year 2 \$bn
revenue	50	55
spending	60	60

What does the forecast government budget for year 2 show?

- A The budget deficit decreased when compared with year 1.
 - B The budget deficit increased when compared with year 1.
 - C The budget surplus decreased when compared with year 1.
 - D The budget surplus increased when compared with year 1.
- 19 The graph shows the impact of a tax on the supply of petrol (gas).



What can be concluded from this graph?

- A The government will receive no tax revenue.
- B The impact of the tax will be shared between the consumer and the producer.
- C The impact of the tax will fall entirely upon the consumer.
- D The impact of the tax will fall entirely on the producer.

20 What is most likely to result from a successful supply-side policy?

- A** a deterioration in the current account of the balance of payments
- B** economic growth
- C** increased inflation
- D** increased structural unemployment

21 The table shows the rates of unemployment and real GDP growth for an economy in year 1 and year 2.

	year 1	year 2
rate of unemployment (%)	3	7
rate of real GDP growth (%)	3	-1

Which combination of policy measures would be most effective in returning the economy to the year 1 level of activity?

- A** a decrease in direct taxes and an increase in the rate of interest
- B** a decrease in government expenditure and an increase in the rate of interest
- C** an increase in direct taxes and a decrease in the rate of interest
- D** an increase in government expenditure and a decrease in the rate of interest

- 22** The table shows selected indicators for the labour market of an economy in year 1 and year 2.

	year 1 (millions)	year 2 (millions)
total labour force	30	30
employed workers	25	28
long-term unemployed	1	2
employment in manufacturing	4	2
employment in services	13	16

According to the table, what is the most likely type of unemployment in year 2?

- A** cyclical
 - B** frictional
 - C** seasonal
 - D** structural
- 23** The table shows the percentage changes in earnings and consumer prices for four countries in one year.

Which country has experienced the greatest increase in real income during the year?

	earnings (% change)	consumer prices (% change)
A	+12.5	+9.5
B	+4.0	+2.0
C	+8.5	+5.0
D	+4.0	+4.0

- 24** The table shows the distribution of income as measured by GDP for three countries in a year.

	percentage of GDP received by each 20% of households				
	highest 20%	second highest 20%	middle 20%	second lowest 20%	lowest 20%
Belgium	36.4	22.4	18.0	14.3	8.9
Mexico	51.7	20.0	13.5	9.4	5.4
US	46.9	22.4	15.3	10.3	5.1

What can be concluded from the table?

- A** The lowest 20% of households in the US have lower incomes than the lowest 20% of households in Mexico.
 - B** The lowest 40% of households in Belgium receive a larger share of the country's income than the highest 20% of households.
 - C** The distribution of income is most equal in Belgium.
 - D** The highest 20% of households in the US receive half of the country's income.
- 25** The number of people in relative poverty in a country is decreasing.

What is the most likely cause of this?

- A** a contractionary fiscal policy
 - B** a decrease in the national minimum wage
 - C** an expansion of investment in education
 - D** an increase in barriers to entry for multinational companies
- 26** African economies may have rapid economic growth because of a large increase in their working age population.

Based on this idea, which factor of production is most likely to grow significantly?

- A** labour
- B** enterprise
- C** capital
- D** land

27 Which statement shows two benefits for consumers from specialisation at a national level?

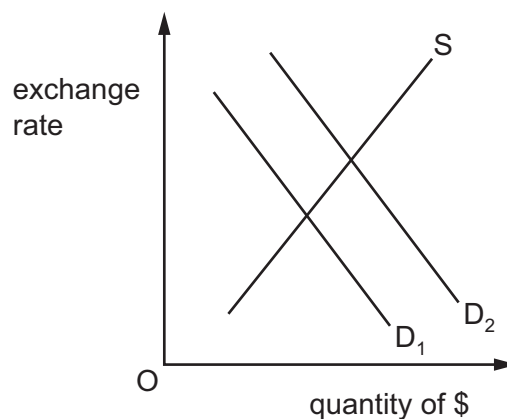
- A decreased prices and better quality
- B decreased profits and high-quality raw materials
- C increased choice and high transport costs
- D increased productivity and increased economies of scale

28 A multinational company (MNC) opens up a new factory in a host country.

What is a possible cost of this new factory to the host country?

- A increased access to modern technology
- B increased competition for host-country industries
- C increased employment for workers
- D increased tax revenue for the government

29 The diagram shows the change in the exchange rate market for country X's \$.



Which change in country X would have caused this?

- A a fall in its international competitiveness
- B a fall in its level of interest rates
- C a rise in its exports of services
- D a rise in its imports of goods

- 30** What is the most likely cause of an increased current account surplus in a country?
- A** lower prices for the country's exports
 - B** higher exchange rate for the country
 - C** economic growth in the country
 - D** recession in trade-partner countries

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October/November 2025

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- 1 Consumers and producers face the same problem of satisfying wants.

What is the most likely reason wants cannot be satisfied?

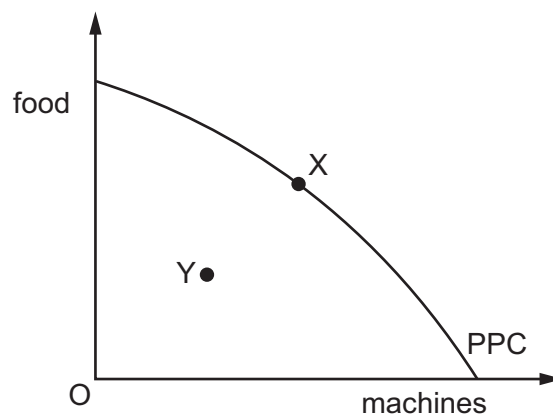
- A consumers and producers cannot establish an equilibrium price
- B consumers have excess choice when producers oversupply
- C consumers have limited income and producers have finite resources
- D consumers lack information to buy and producers lack motivation to supply

- 2 A worker decides to leave their job as a bus driver and take a job as a lorry driver.

What will increase the opportunity cost of this decision?

- A an increase in the holidays for lorry drivers
- B an increase in the income tax paid by bus drivers
- C an increase in the wages of bus drivers
- D an increase in the wages of lorry drivers

- 3 The diagram shows a country's production possibility curve (PPC).



What would cause a movement from point X to point Y?

- A decrease in productivity
- B decrease in unemployment
- C increase in capital investment
- D increase in economic growth

- 4 The price of petrol increases in a country with a market economic system.

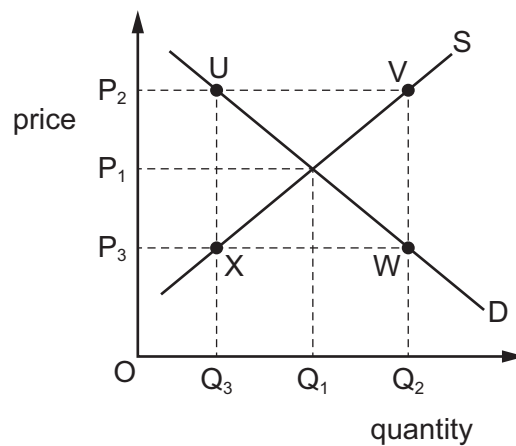
What is a consequence of this?

- A More cars are bought.
- B The costs of road transport increase.
- C The quantity of petrol supplied falls.
- D There is a shortage of petrol.

- 5 What determines a consumer's demand for a product?

	the consumer's income	the consumer's willingness to buy the product	the price of the product	
A	✓	✓	✓	key ✓ = yes ✗ = no
B	✓	✓	✗	
C	✗	✓	✓	
D	✓	✗	✓	

- 6 The diagram shows the market for a product.



Which distance shows a market disequilibrium caused by excess supply?

- A U to V
- B U to X
- C V to W
- D X to W

- 7 The price elasticity of demand (PED) of a good is -1 .

What will happen to both demand and total revenue as price increases?

- A demand will fall and total revenue will not change
 - B demand will fall and total revenue will rise
 - C demand will rise and total revenue will not change
 - D demand will rise and total revenue will rise
- 8 Which pair of economic institutions can be found in a market economy?
- A charities and public sector firms
 - B multinational companies and commercial banks
 - C public sector firms and private sector firms
 - D stock exchanges and government-funded hospitals
- 9 The table shows the weekly demand for, and supply of, good X at three prices.

price (\$)	demand (tonnes)	supply (tonnes)
20	16	10
30	12	12
40	10	14

What will be the effect if the government imposes a minimum price of \$40 per tonne?

- A a fall in the price of X
 - B a shortage of X
 - C a surplus of X
 - D no change in the market equilibrium
- 10 What is the function of money when it is used to value goods and record transactions?
- A a medium of exchange
 - B a standard of deferred payment
 - C a store of wealth
 - D a unit of account

- 11 The table shows how household spending changes with income.

income (\$ per month)	spending (\$ per month)
4000	4150
4300	4375
4600	4650
4900	4900
5200	4975
5500	5275

What is the first level of income shown at which savings are positive?

- A** \$4000 **B** \$4600 **C** \$4900 **D** \$5200

- 12 The wages of school teachers are rising.

What is **least** likely to be the cause of this?

- A** decreased membership of teaching trade unions
B increased awareness among parents about the importance of education
C more restrictions on the immigration of teachers from other countries
D the opening of new schools by the government

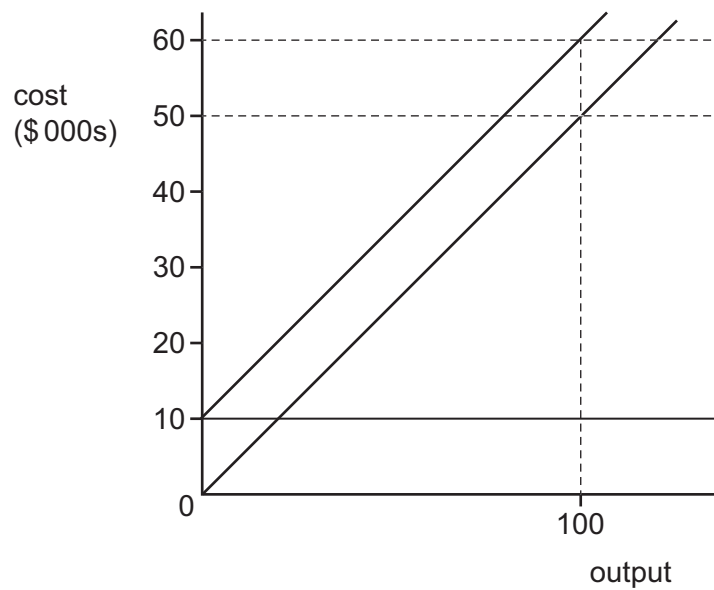
- 13 What is a feature of every trade union?

- A** members are unskilled workers
B members use collective bargaining
C members work for the same employer
D members work in the same industry

- 14 What must occur if a firm experiences economies of scale?

- A** average costs decrease
B profits decrease
C the number of workers increases
D total advertising costs decrease

15 The diagram shows the costs of a firm.



What is the firm's total variable cost at an output of 100 units?

- A** \$100 **B** \$500 **C** \$10 000 **D** \$50 000

16 If the average revenue of a firm increases from \$4 to \$5 and quantity demanded decreases from 20 units to 10 units, what will be the effect on the firm's total revenue?

- A** decreases by \$20
B decreases by \$30
C increases by \$20
D increases by \$30

17 What are two macroeconomic aims of government?

- A** to allocate resources and reduce trade union membership
B to create economic growth and prevent high inflation
C to raise interest rates and reduce pollution
D to reduce exports and increase imports

- 18 A government's spending currently equals its revenue. The government decides to decrease its spending.

What is the most likely effect of this in the short run?

- A a budget deficit
 - B a budget surplus
 - C an increase in output
 - D an increase in tax revenue
- 19 What is **not** a monetary policy measure?
- A changes in income tax rates
 - B changes in interest rates
 - C changes in the exchange rate
 - D changes in the money supply
- 20 Which government action would **not** be included as part of a supply-side policy?
- A increasing the privatisation of industries
 - B lowering national minimum wage rates
 - C raising tariffs on international trade
 - D reducing state benefits
- 21 An economy operating on its production possibility curve (PPC) enters a recession that causes unemployment. As the recession gets worse some unemployed workers emigrate in search of jobs overseas.

How are these effects of the recession shown on a diagram of the economy's PPC in the short-term and the long-term?

	short-term effect on the PPC diagram	long-term effect on the PPC diagram
A	movement to a point inside the PPC	movement to a point inside the PPC
B	movement to a point inside the PPC	shift of PPC to the left
C	shift of PPC to the left	movement to a point inside the PPC
D	shift of PPC to the left	shift of PPC to the left

22 Chile specialises in the production of copper for export.

In what way is the Chilean economy likely to be affected by a large rise in the supply of copper from other countries?

	employment	economic growth
A	fall	fall
B	fall	rise
C	rise	fall
D	rise	rise

23 The table shows the patterns of employment in selected industries in two years.

industry	employment in millions	
	year 1	year 2
agriculture	8	6
fishing	4	4
hospitality	8	10
manufacturing	12	10
retailing	8	10
total	40	40

How did the patterns of employment change between year 1 and year 2?

	secondary sector	tertiary sector
A	fell	rose
B	fell	unchanged
C	rose	fell
D	unchanged	rose

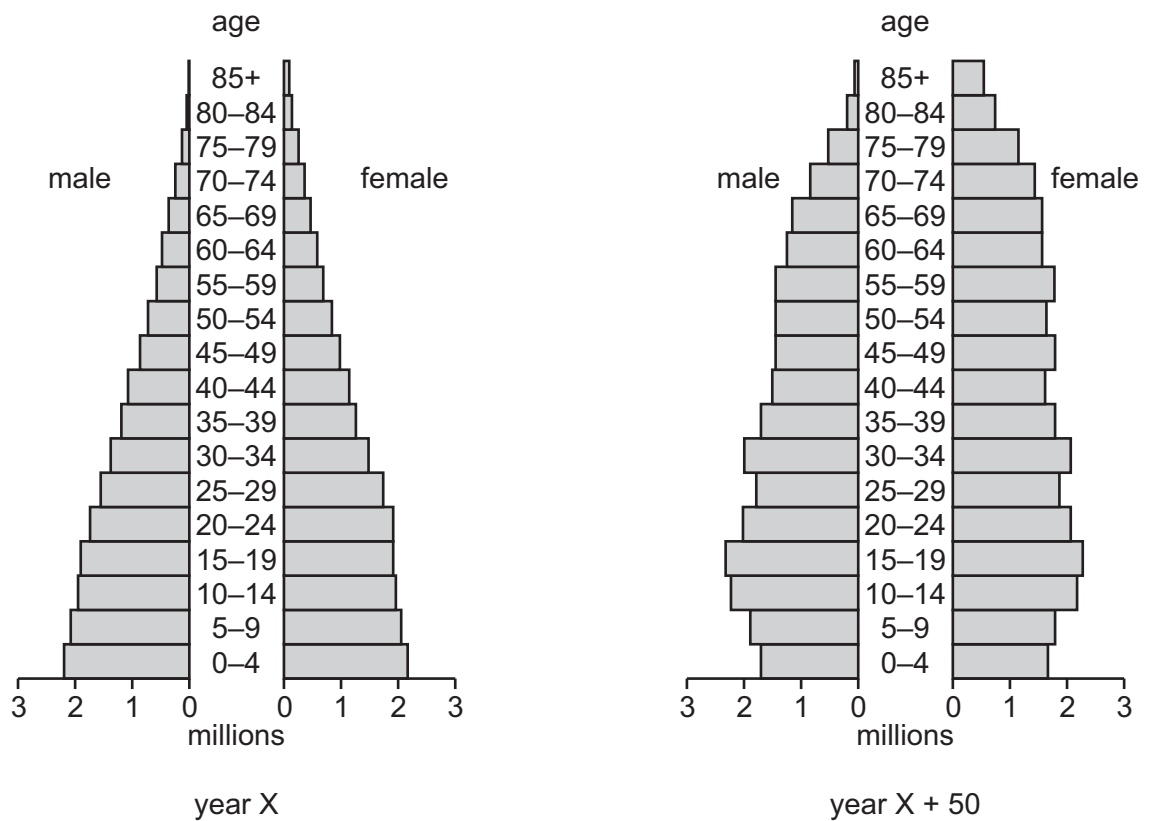
24 What is deflation?

- A** a sustained fall in total demand
- B** a sustained fall in the general price level
- C** a sustained fall in the rate of inflation
- D** a sustained fall in the value of money

25 What is most likely to cause more poverty in a country?

- A a decrease in the general price level
- B a decrease in the rate of income tax
- C a decrease in the level of unemployment
- D a decrease in the level of wages

26 The charts show the population structure of a country in year X and year X + 50.

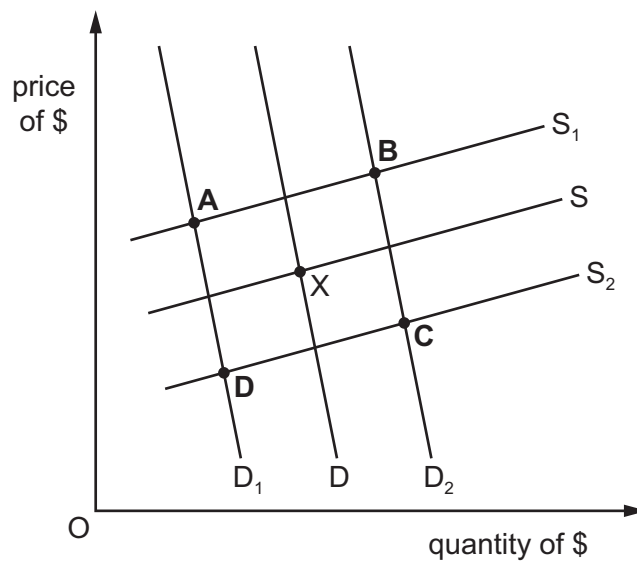


During this period, how did birth and death rates change?

	birth rates	death rates
A	fell	fell
B	fell	no change
C	rose	fell
D	rose	no change

- 27 What is an advantage for consumers from international specialisation?
- A competition between firms results in lower prices
 - B labour can move more freely between countries
 - C less wealth is created throughout the world
 - D multinational companies can increase their profits
- 28 Which government policy would encourage greater international trade?
- A an increase in the level of domestic regulation
 - B an increase in the level of tariffs on imports
 - C the abolition of domestic subsidies for declining industries
 - D the abolition of free trade agreements
- 29 The US currently trades in oil with the UK. The discovery of new oil and gas deposits in the US will mean that its oil imports decrease and its oil exports increase.

From the initial equilibrium point of X, which letter indicates the new equilibrium point for the US exchange rate?



- 30** What is most likely to directly result from a persistent and large current account surplus on the balance of payments of a country?
- A** a lower exchange rate
 - B** a lower standard of living
 - C** an increase in gross domestic product
 - D** an increase in the unemployment rate

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Cambridge IGCSE™

ECONOMICS

0455/11

Paper 1 Multiple Choice

May/June 2025

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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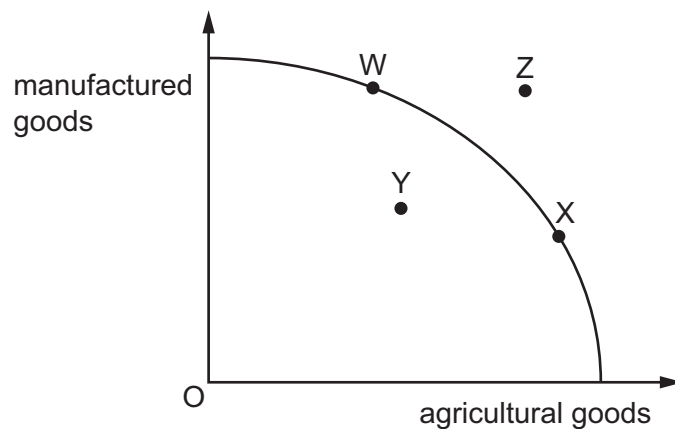
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- 1 What is likely to increase the occupational mobility of labour?
- A increasing entry requirements to professions
 - B increasing retraining of workers
 - C introducing job specialisation
 - D introducing subsidised transport
- 2 Sonia owns a takeaway food delivery service. She decides to expand the firm, buying more vans and hiring additional drivers.

Which factors of production were changed?

- A capital and labour
 - B capital and land
 - C enterprise and capital
 - D labour and land
- 3 The diagram shows a production possibility curve (PPC). The economy is using all of its available resources.



A government decides to encourage more production of manufactured goods instead of agricultural goods.

Which movement shows this policy change?

- A W to X
- B W to Y
- C X to W
- D Z to X

- 4 In 2020, to prevent the spread of a pandemic, many governments temporarily closed restaurants and cafés.

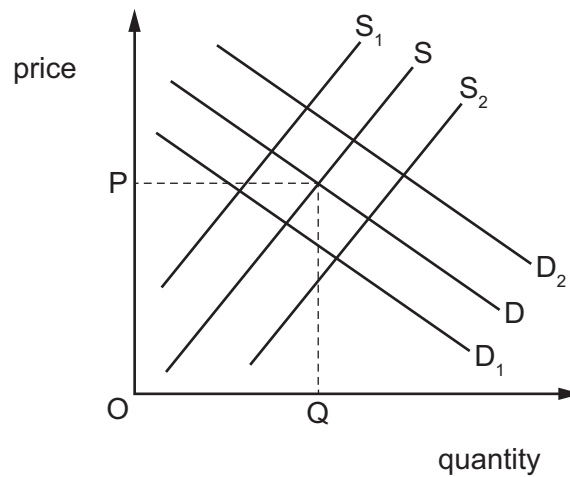
What would be a macroeconomic impact of such a policy?

- A Demand for food to be consumed at home would rise.
 - B Gross Domestic Product (GDP) would fall.
 - C The profits from restaurants and cafés would fall.
 - D Staff working in restaurants and cafés would lose income.
- 5 Good weather results in an increase in the demand for and supply of peaches.

How will this affect the price and quantity traded in the market for peaches?

	price of peaches	quantity of peaches traded
A	fall	fall
B	rise	rise
C	rise	uncertain
D	uncertain	rise

- 6 The diagram shows demand and supply curves for a product at its equilibrium price P .



How would the introduction of a subsidy be shown?

- A Demand would shift to D_1 .
 - B Demand would shift to D_2 .
 - C Supply would shift to S_1 .
 - D Supply would shift to S_2 .
- 7 The table shows the quantity demanded at different prices.

price \$	quantity demanded
6	3
5	4
4	5
3	7
2	9

For which fall in price is the demand price-inelastic?

- A from \$6 to \$5
- B from \$5 to \$4
- C from \$4 to \$3
- D from \$3 to \$2

- 8 The price elasticity of supply (PES) of coffee is calculated as +0.2 for the current year and +2.0 in the long run.

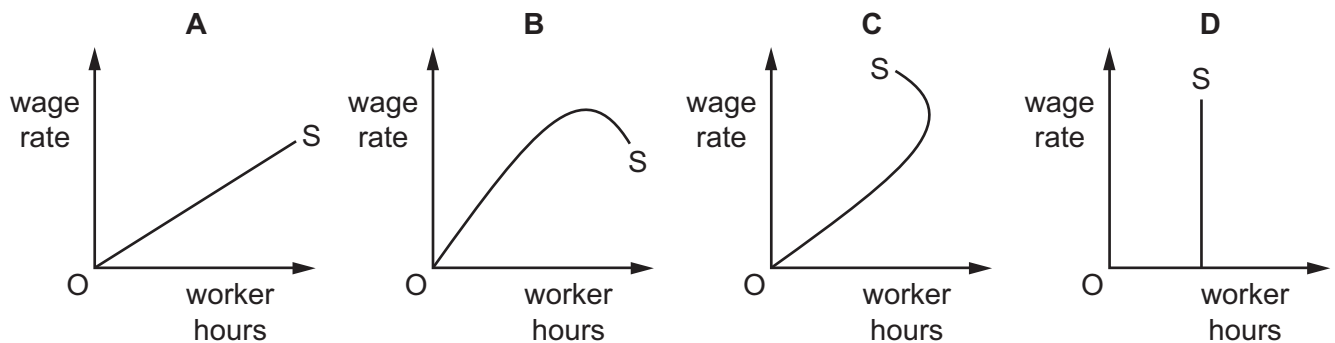
Why is the PES of coffee higher in the long run?

- A Coffee plants take several years to grow.
 - B Consumers will not buy coffee at higher prices.
 - C There are many substitutes for coffee.
 - D There are no stocks of coffee.
- 9 What would a person believe who wished to encourage the use of the market system?
- A people should have equal living standards
 - B people should have freedom of action
 - C profit maximisation is wrong
 - D the government should correct people's bad behaviour
- 10 What is **not** a form of money?
- A a banknote
 - B a cheque
 - C a coin
 - D a credit card
- 11 If interest rates fall, what will be the most likely effect on saving and borrowing?

	saving	borrowing
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 12 A bus driver initially works longer hours if the wage rate increases. As his earnings increase, there reaches a point when he prefers more leisure than extra work.

Which supply curve, S, represents this situation?



- 13 What is a function of a trade union?

- A to negotiate workers' contracts
- B to promote workers to more responsible jobs
- C to recruit workers for the firm
- D to supervise the workers in the firm

- 14 There has been an improvement in the transport infrastructure in India that reduces the costs of farming.

What is this an example of?

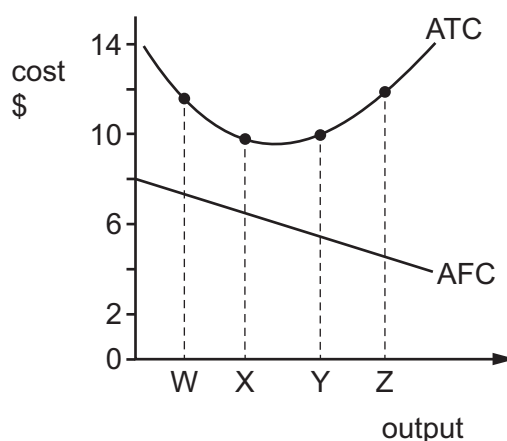
- A external diseconomies of scale
- B external economies of scale
- C internal diseconomies of scale
- D internal economies of scale

- 15 A firm chooses to become more capital-intensive.

What is **least** likely to have increased?

- A interest rates
- B minimum wages
- C the power of trade unions
- D the productivity of capital

- 16 The diagram shows the average total costs (ATC) and average fixed costs (AFC) for a firm.



Which statement is correct?

- A At output X, average variable costs are lower than average fixed costs.
 - B At output Y, total variable costs are greater than total fixed costs.
 - C Between outputs W and Z, total fixed costs are falling.
 - D Between outputs W and Y, average variable costs have not changed.
- 17 What is a macroeconomic aim of a government?
- A high external costs
 - B high sales tax
 - C low unemployment
 - D low wages
- 18 What is a principle of taxation?
- A equality between social cost and social benefit
 - B fairness between taxpayers
 - C profit maximisation by firms
 - D tax revenue maximisation

19 Monetary policy often involves a change in which variables?

- A** government expenditure or taxes
- B** interest rates or the money supply
- C** labour market or trade union laws
- D** tariffs or quotas

20 Which supply-side policy measure is most likely to enable a government to achieve its aim of full employment?

- A** decreasing government spending on school buildings
- B** decreasing the number of teachers in schools
- C** increasing taxation on private school fees
- D** increasing the provision of enterprise skills in schools

21 Which policy decision is most likely to cause economic growth?

- A** an increase in corporation tax rates
- B** an increase in interest rates
- C** an increase in the amount workers can earn before paying income tax
- D** an increase in the government's regulations for starting a new business

22 A government uses the labour force survey method to calculate unemployment.

What is required under this method for a person to be classified as unemployed?

	eligible for unemployment benefits	immediately available for work	actively seeking work
A	no	no	yes
B	no	yes	yes
C	yes	yes	no
D	yes	no	no

23 What is most likely to rise when the level of employment falls in a high-income economy?

- A** consumer confidence
- B** government expenditure on state benefits
- C** government revenue from income tax
- D** the rate of growth of real output

24 A Consumer Prices Index (CPI) consists of four items. The table shows the percentage price change for each item over a period of a year and the weight of each item.

Which price change will affect the level of the CPI most?

	item	% price change over 1 year	weight
A	food	+5	0.30
B	housing	+6	0.20
C	recreation	+3	0.40
D	transport	+4	0.10

25 The table shows the Human Development Index (HDI) value for a country in two years.

year	HDI value
1	0.467
2	0.609

What would **not** explain the change in the HDI value?

- A** an increase in gender equality
- B** an increase in income per head
- C** an increase in life expectancy
- D** an increase in years of schooling

26 Which combination of statistics is used to calculate the natural population growth of a country?

	1 st statistic	2 nd statistic
A	birth rate	net immigration
B	death rate	birth rate
C	emigration	death rate
D	immigration	emigration

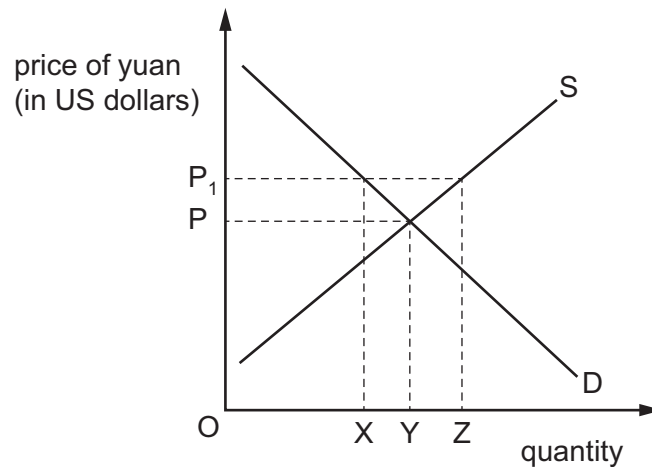
27 What will increase the level of specialisation in an economy?

- A** A computer manufacturer takes over an advertising company.
- B** A retail store issues its own credit card.
- C** A travel agent provides transport to the airport.
- D** A vehicle assembler reduces its range of vehicles.

28 What might an economist consider to be meant by the term *dumping*?

- A** foreign firms exporting waste products
- B** foreign firms producing goods at a lower cost than domestic firms
- C** foreign firms selling goods that are out of fashion
- D** foreign firms exporting products at a price below the cost of production

- 29 In the diagram, D is the demand curve for the Chinese yuan and S is the supply curve of the Chinese yuan.



The Chinese central bank wishes to set the price of the yuan at P_1 .

Which action would it have to take?

- A buy XY yuan
 - B buy XZ yuan
 - C sell XY yuan
 - D sell XZ yuan
- 30 The table shows the values of the items in a country's current account in two years.

item	year 1 (\$m)	year 2 (\$m)
balance of goods and services	-30	0
net primary income	-30	-20
net secondary income	?	?
balance of current account	-50	+10

How did the value of net secondary income change between year 1 and year 2?

- A decreased by \$10m
- B decreased by \$20m
- C increased by \$20m
- D increased by \$30m

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

February/March 2020

45 minutes

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Soft pencil (type B or HB is recommended)

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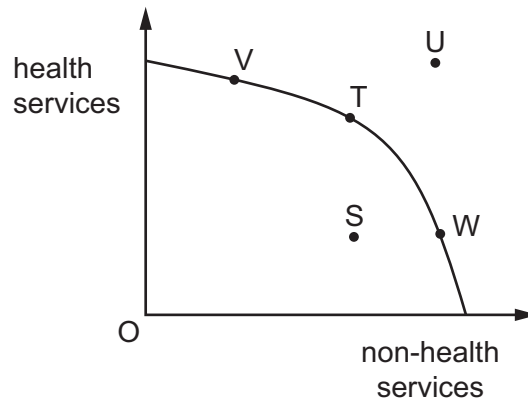
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1 What is **not** a factor of production?

- A a \$20 banknote
- B an office
- C a photocopier
- D a secretary

2 The diagram shows the production possibility curve (PPC) of a country producing at point T.



The country has an ageing population and decides to allocate more resources to the production of health services.

Which movement shows this change in resource allocation?

- A T to S
- B T to U
- C T to V
- D T to W

3 A deposit of shale oil is discovered in an area of farming.

The following estimates are made for a ten-year period.

- If the land is used only for farming it would yield income after tax of \$10 billion.
- If the land is used only for shale oil extraction it would yield income after tax of \$40 billion.
- The government would receive \$5 billion in taxes from farming and \$10 billion in taxes from shale oil extraction.

What is the opportunity cost of using the land only for farming?

- A \$25 billion
- B \$30 billion
- C \$35 billion
- D \$45 billion

- 4 A country experiences a long strike by railway workers.

What would be the macroeconomic impact of such a strike?

- A National output would fall.
- B Railway workers would lose income.
- C The demand for taxi services would rise.
- D The profits of railway operators would fall.

- 5 What necessarily describes the market system?

- A an economy with both a private and public sector
- B limited resources but unlimited wants
- C resources are allocated through demand and supply
- D when all resources are used to produce consumer goods

- 6 In 2018 the UK government introduced a tax on the production of sugary drinks.

How would this affect the market for sugary drinks as shown on a demand and supply diagram?

	demand curve for sugary drinks	supply curve of sugary drinks
A	contraction in demand	shift to the left
B	extension in demand	shift to the right
C	shift to the left	contraction in supply
D	shift to the right	extension in supply

- 7 What is **not** held constant when constructing the supply curve of a firm?

- A indirect taxes and subsidies on the firm's products
- B the level of technology used by the firm in production
- C the price of the factors of production paid for by the firm
- D the market price of the good produced by the firm

- 8 What is a trade union?

- A a business organisation in which all workers share ownership
- B an area where there are no barriers to trade
- C an organisation of employers from an industry
- D an organisation that represents the interests of workers

9 What is the **most** important characteristic of money?

- A It has intrinsic value.
- B It is generally acceptable.
- C It is portable.
- D It is readily available.

10 Which statement explains why the pay of doctors is usually higher than the pay of hospital cleaners?

- A Doctors have a higher opportunity cost in qualifying.
- B Doctors have a more elastic supply than hospital cleaners.
- C Hospital cleaners belong to trade unions with stronger bargaining powers.
- D Hospital cleaners have a more inelastic demand than doctors.

11 Banks decrease interest rates.

What is likely to be the effect of this on borrowing and saving?

	borrowing	saving
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

12 The table shows the costs of a firm.

variable cost per good	fixed cost
\$2	\$40

What is the average total cost if the firm produces 20 goods?

- A** \$1 **B** \$2 **C** \$4 **D** \$80

13 When is profit maximisation achieved?

- A when average fixed cost is at a minimum
- B when average revenue is at a maximum
- C when the firm produces the largest output it can with the resources it has available
- D when there is the greatest possible difference between total revenue and total cost

- 14 In some industries, a monopoly controls output and prices.

What is the **most** likely impact of this on consumers?

- A higher prices
- B higher profits
- C higher taxes
- D more choice

- 15 A mining company bought another mining company.

How may this integration be described?

- A diversification
- B horizontal merger
- C specialisation
- D vertical merger

- 16 What is **most** likely to cause a more even distribution of income?

- A an increase in indirect taxation
- B an increase in inflation
- C an increase in managers' salaries
- D an increase in progressive taxation

- 17 What is a monetary policy measure?

- A increasing interest rates
- B increasing taxation
- C reducing the power of trade unions
- D selling state-owned enterprises

- 18 Why does more emphasis on education and training lead to an increase in national output?

- A It improves the productivity of the labour force.
- B It lowers the inputs of capital investment.
- C It reduces demands for higher pay.
- D It reduces the power of trade unions.

- 19 In the past, governments have adopted policies to try to end a recession in their country and increase economic growth.

Which combination of policies is **most** likely to achieve this?

- A lower taxes and decrease government spending
- B lower taxes and increase government spending
- C raise taxes and decrease government spending
- D raise taxes and increase government spending

- 20 The table provides information about a country's labour market.

population size	2 000 000
labour force size	1 200 000
number of employed	900 000
number of full-time students	100 000

What is the unemployment rate of this country?

- A 15% B 25% C 50% D 75%

- 21 What is defined as 'a reduction in gross domestic product (GDP) for more than two successive quarters'?

- A deflation
- B falling wages
- C recession
- D rising unemployment

- 22 A person receives annual interest of 4% on their savings. Inflation is 5% per annum.

What is the approximate change in the real value of their savings?

- A -5% B -1% C +4% D +9%

- 23 An increase in which of the following is **least** likely to cause inflation?

- A consumer spending
- B government spending
- C income tax
- D wages

- 24 A country has a declining population. It also has a changing population structure in which the size of the 15–64 age group is becoming smaller.

How could it immediately reduce labour supply shortages?

- A Allow immigration of skilled labour.
- B Encourage increases in family size.
- C Invest more in technological research.
- D Lower taxes and increase basic wage rates.

- 25 The Human Development Index (HDI) ranks human development in countries from 0 (lowest) to 1 (highest).

What does the calculation of HDI **not** take into consideration?

- A estimate of life expectancy at birth
- B information on the number of years of schooling
- C regional inequalities of investments in human capital
- D standard of living linked to income per head

- 26 Which combination of changes is **most** likely to result in a fall in living standards in a country?

	GDP	inflation	population
A	fall	fall	rise
B	fall	rise	rise
C	rise	fall	fall
D	rise	rise	fall

- 27 What is the **most** likely effect of a decrease in tariffs?

- A increased inflation rates
- B increased consumer choices
- C increased government revenue from tariffs
- D increased revenues of domestic firms

- 28 What would increase the demand for a country's currency on the foreign exchange market?

- A a decrease in its inward investment
- B a decrease in its rate of interest
- C an increase in its exports
- D an increase in its imports

29 The table shows a selection of economic data for a country.

	\$ m
primary income (net income transfers)	1000
secondary income (net current transfers)	–500
total value of exported goods	1000
total value of imported goods	2000
total value of exported services	800
total value of imported services	200

What is the current account balance of this country?

- A** \$100 m **B** \$600 m **C** \$4500 m **D** \$4725 m

30 A country changes to a policy of self-sufficiency in agriculture, instead of relying on world supplies.

What is likely to happen in the country as a result?

- A** Agricultural prices will rise.
B Farm output will fall.
C More farmers will be unemployed.
D More food will be imported.

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ECONOMICS

0455/12

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May/June 2020

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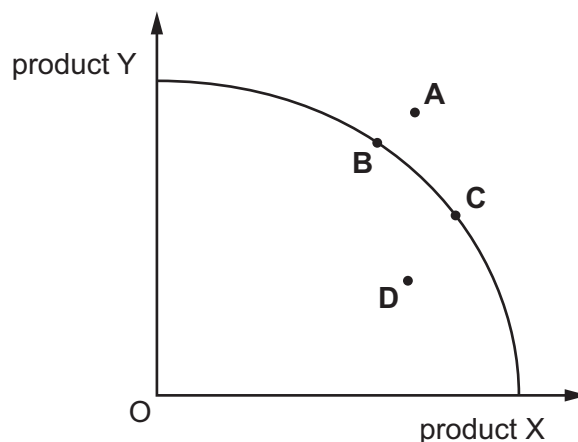
- 1 In 2016, 20 billion barrels of oil and 1.6 billion barrels of natural gas were discovered in Texas, US.

Which factor of production has increased in the US due to this discovery?

- A capital
- B enterprise
- C labour
- D land

- 2 The diagram shows a production possibility curve (PPC).

Which of these points shows the largest possible output of product Y currently achievable?



- 3 A student decides to take up a two year apprenticeship for which she will earn \$10 000 per year. After that she expects to earn \$25 000 per year. She could take an unskilled job which pays \$16 000 per year instead of the apprenticeship.

What is the opportunity cost in the two years of completing the apprenticeship?

- A \$10 000 B \$12 000 C \$25 000 D \$32 000

- 4 Microeconomics analyses choices in various situations.

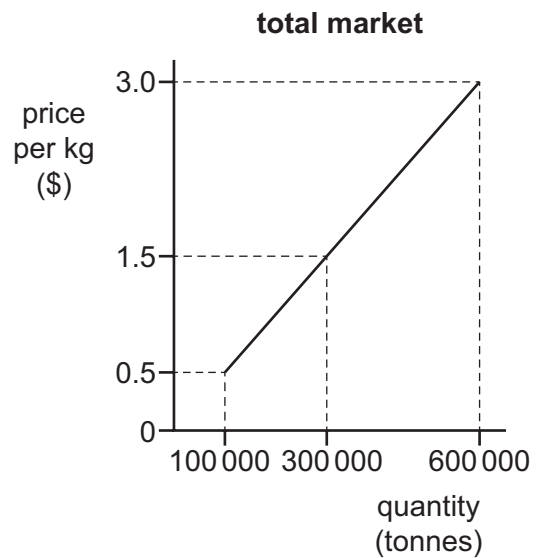
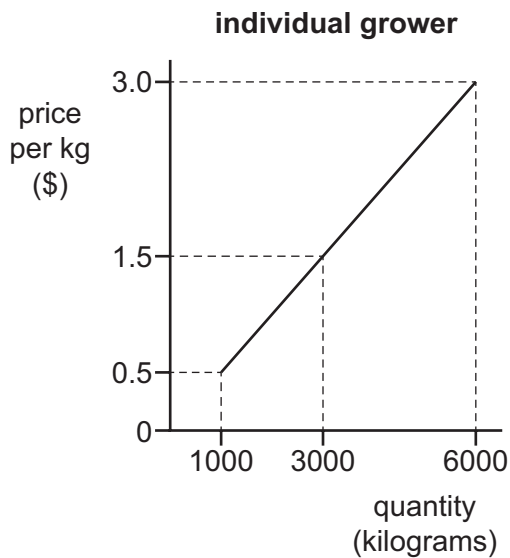
Which area of economic study does it **not** include?

- A costs and revenues of a firm
- B individual consumer behaviour
- C policies for economic growth
- D wages for different occupations

5 What is a cause of market failure?

- A many firms
- B monopoly
- C profit maximisation
- D specialisation

6 The diagrams show the supply curve for an individual grower of tomatoes and for the total market supply of tomatoes.



What explains the similarity of the two curves?

- A As costs rise growers need to get a higher price to increase output.
- B At the lower prices each grower supplies more tomatoes.
- C The profitability per unit is the same for all growers irrespective of output.
- D Supply is not always influenced by price.

7 The price of bread rose by 5% and the quantity demanded fell by 4%.

What was the price elasticity of demand for bread?

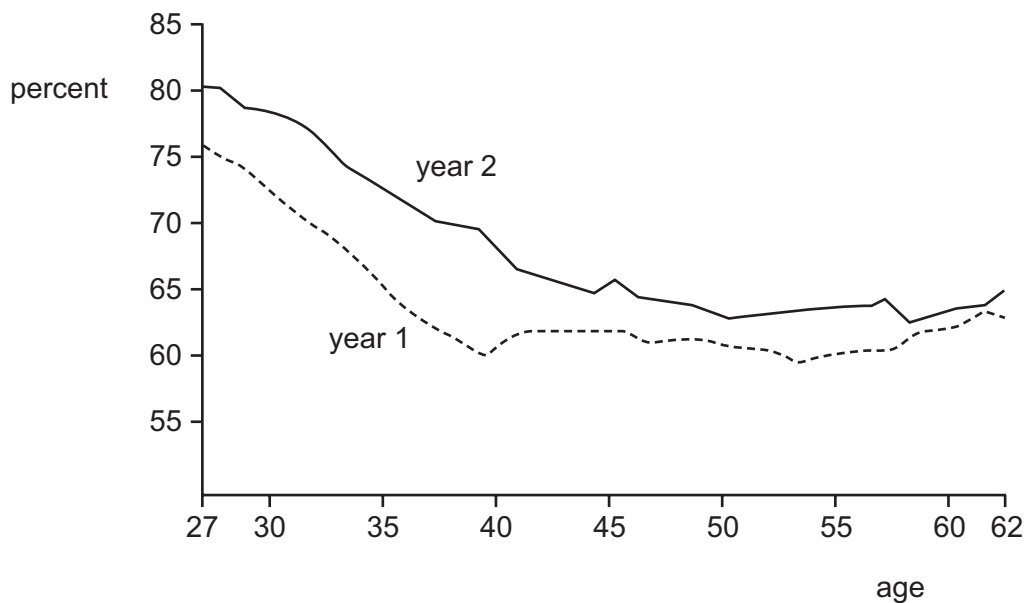
- A -0.4
- B -0.8
- C -1.25
- D -2.0

- 8 Saudi Arabia specialises in oil extraction and refining. This is a capital-intensive industry with highly skilled labour.

What might be a disadvantage of this specialisation?

- A Oil companies have increased training costs as each worker needs many different skills.
 - B Oil companies may find it difficult to achieve economies of scale.
 - C Resource allocation is not efficient because a narrow range of goods is being produced.
 - D Workers may face a restricted range of job opportunities.
- 9 What would **most** likely cause a person to increase their savings?
- A a decision to plan for retirement
 - B a fall in income
 - C a fall in interest rates
 - D a reduction in tax-free saving schemes

- 10 The graph shows women's wages as a percentage of men's wages in year 1 and year 2.



Which statement is shown by the graph to be true?

- A Younger women earn more than older women.
- B Women's wages remain about the same between the ages of 40–50.
- C In year 2, all women were earning more than men.
- D In year 2, women were earning a higher percentage of men's wages than in year 1.

11 People's income decreases.

How is the proportion spent on food and leisure likely to change?

	food	leisure
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

12 The table shows total fixed and total variable costs at different levels of output for a firm.

output	total fixed cost \$	total variable cost \$
100	1000	1000
200	1000	1500
300	1000	2000
400	1000	2500

What happens as output rises?

- A** Average fixed cost falls.
- B** Average fixed cost rises.
- C** Average variable cost remains constant.
- D** Average variable cost rises.

13 The following information refers to a firm producing shoes.

At which level of output does the firm maximise profits?

	total output of pairs of shoes	total cost (\$)	total revenue (\$)
A	100	1000	1300
B	200	1800	2200
C	300	2700	3000
D	400	3200	3400

- 14 Which statement proves there has been an increase in productivity for a factory making tractors?
- A 10% more workers results in a 10% increase in tractors produced each week.
 - B Output per worker increases from 3 tractors to 4 tractors per month.
 - C Production increases as more workers are hired.
 - D Starting a night shift leads to an increase in production of 10 tractors a day.
- 15 When do economies of scale take place?
- A in the short run
 - B if variable factors become fixed
 - C when all factors of production are fixed
 - D when all factors of production are variable
- 16 What is **not** included in public expenditure?
- A capital spending by firms
 - B interest payments on government borrowing
 - C investment in defence by the central government
 - D subsidies to bus companies from local government
- 17 When is the budget described as balanced?
- A when direct taxes and indirect taxes are equal
 - B when exports and imports are equal
 - C when government spending and government revenue are equal
 - D when the demand for money and the supply of money are equal
- 18 A government increased revenue by increasing taxes on firms.
- Which tax did it increase?
- A inheritance tax
 - B profits tax
 - C sales tax
 - D value added tax

19 Why are governments responsible for the defence of the country?

- A It is impossible to charge a price for defence.
- B It prevents individual citizens having access to weapons.
- C Only governments can manufacture weapons.
- D Providing defence is very expensive.

20 Information about job vacancies on a government website has led to a decrease in short-term unemployment.

What is the term for this type of unemployment?

- A cyclical unemployment
- B frictional unemployment
- C structural unemployment
- D technological unemployment

21 The table shows figures for the real GDP of a country.

quarter 1 (\$bn)	quarter 2 (\$bn)	quarter 3 (\$bn)	quarter 4 (\$bn)
100	101	99	98

A quarter is three months.

During which quarters was the country experiencing a recession?

- A quarters 1 and 2
- B quarters 2 and 3
- C quarters 3 and 4
- D the entire period

22 What would **not** be required in the construction of an index of consumer prices?

- A the selection of a base year
- B the selection of a representative range of items
- C the calculation of average wage levels
- D the weighting of each item in the index

23 The table gives information about three economic indicators in four countries.

	rate of inflation %	rate of interest %	rate of unemployment %
country W	1.4	3.4	10.2
country X	3.7	8.7	12.3
country Y	3.6	7.3	14.2
country Z	2.1	6.0	7.7

What may be concluded from this information?

- A Countries with higher inflation have higher interest rates.
- B Countries with higher interest rates have lower unemployment.
- C The country with the lowest inflation had the highest unemployment.
- D The country with the lowest unemployment had the lowest inflation.

24 Due to war, some people are living in absolute poverty.

What is the main indicator of absolute poverty for these people?

- A dependence on aid for medical treatment
- B lack of transport to escape abroad
- C living in tents in temporary camps
- D receiving insufficient food for basic nutrition

25 Which country would be classified as the **most** developed based on the data in the table?

country	gross domestic product per year (\$m)	population (millions)
A	600	3
B	700	2
C	12 000	40
D	15 000	100

- 26** Which changes usually result when a country develops and is able to provide free healthcare and good living conditions?

	birth rate	death rate	labour productivity
A	falls	falls	rises
B	falls	rises	falls
C	rises	falls	falls
D	rises	rises	rises

- 27** Which protectionist measure would be most suitable for a government to use to support the growth in exports of an industry?

- A** embargo
- B** quota
- C** subsidy
- D** tariff

- 28** There has been an appreciation of the value of a country's currency against other currencies.

What effects will this have on prices of imports of raw materials and prices of exports of manufactured goods?

	prices of imports of raw materials	prices of exports of manufactured goods
A	cheaper	cheaper
B	cheaper	more expensive
C	more expensive	cheaper
D	more expensive	more expensive

- 29** What is a disadvantage of increased specialisation by a country?

- A** It becomes more reliant on imports to meet all its needs.
- B** It reduces the potential for international trade.
- C** It results in access to a greater variety of goods for consumers.
- D** It results in lower costs for home produced goods.

- 30** The table shows components of Japan's current account balance in trillion Yen (¥) for 2011 and 2012.

year	balance of goods ¥ trillion	balance of services ¥ trillion	balance of primary income ¥ trillion	balance of secondary income ¥ trillion
2011	−1.61	−1.76	14.04	−1.11
2012	−5.23	−2.33	13.55	−1.02

Which balance improved between 2011 and 2012?

- A** balance of goods
- B** balance of services
- C** balance of primary income
- D** balance of secondary income

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

October/November 2020

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.

This document has **12** pages. Blank pages are indicated.



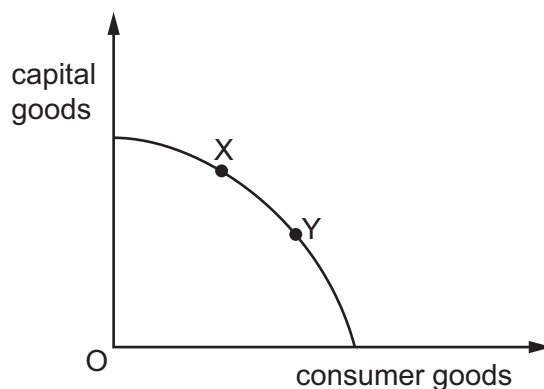
1 What causes economic agents to make choices?

- A limited needs and wants
- B the existence of finite resources
- C the existence of free goods
- D the market mechanism

2 Which combination of a factor of production and its factor income is **not** correct?

	factor of production	factor income
A	capital	interest
B	enterprise	profit
C	labour	dividends
D	land	rent

3 The diagram shows a production possibility curve (PPC) for a country. The country moved from position X to position Y on the PPC.



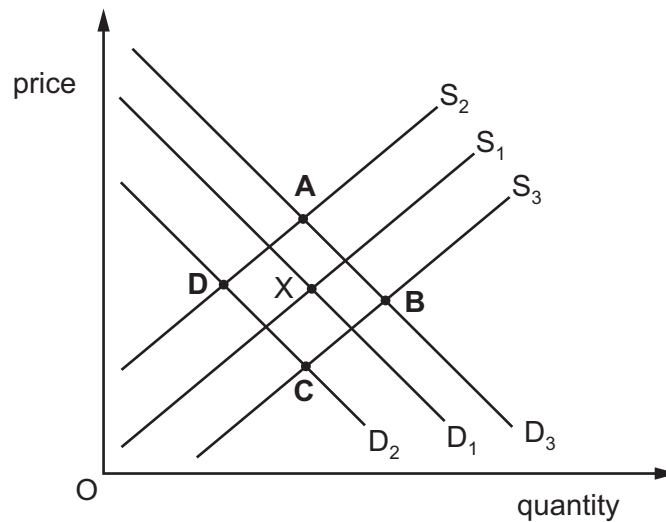
What is the **most** likely reason for this change?

- A Firms have decided to increase investment in technology.
- B New economic resources have been discovered in the country.
- C The government has brought about an increase in living standards.
- D The government has encouraged long-term economic growth.

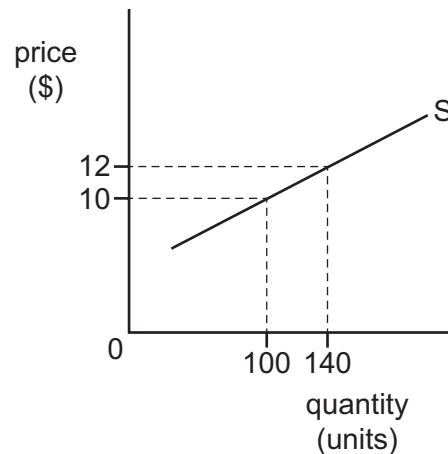
- 4 What is an example of a macroeconomic aim?
- A to create and maintain full employment
 - B to improve efficiency in the manufacturing sector of the economy
 - C to provide consumers with greater information when buying goods and services
 - D to encourage greater occupational mobility of labour
- 5 Why might a market economy fail to achieve the best use of scarce resources?
- A Consumers may lack information about which good to buy.
 - B Demerit goods are underconsumed.
 - C Public goods are overconsumed.
 - D Most resources are owned by the government.

- 6 The diagram shows the global market for copper with an equilibrium point of X.

Which point represents the new equilibrium after the copper producers' costs increase and there is rapid global economic growth?



- 7 The diagram shows the supply curve for a good.



What is the price elasticity of supply when the price rises from \$10 to \$12?

- A** 0.5 **B** 0.75 **C** 1.4 **D** 2.0
- 8 Which task is **not** a function of a trade union?
- A** agreeing the minimum number to be employed on a particular job
- B** deciding on the level of a national minimum wage
- C** negotiating working hours and conditions of work
- D** providing legal advice on unfair dismissal
- 9 What does **not** have an effect on wages in a free market economy?
- A** danger levels in the workplace
- B** government regulations
- C** the number of people willing and able to work
- D** the years of training required

- 10 The table shows how household spending changes with income.

income (\$ per month)	spending (\$ per month)
3000	3150
3300	3375
3600	3500
3900	3825
4200	4050
4500	4275

What is the lowest level of income at which savings are positive?

- A** \$3000 **B** \$3600 **C** \$3900 **D** \$4200
- 11 What can a central bank increase in order to reduce consumer borrowing?
- A** commercial bank deposits
B government spending
C the exchange rate
D the rate of interest

- 12 The table shows the output and total costs of a small firm.

output (units)	total costs (\$)
0	50 000
1 000	100 000
5 000	400 000
10 000	600 000

What is the average fixed cost of producing 10 000 units?

- A** \$5 **B** \$6 **C** \$55 **D** \$60

- 13 A firm has fixed costs of \$1000. The table shows the variable cost at different levels of output.

output (units)	1	2	3	4
variable cost (\$)	100	190	270	350

If the goods are sold for \$500 each, how much profit will be made from the sale of 4 units?

- A \$650 B \$1000 C \$1650 D \$2000
- 14 Firm X supplies bricks and decides to merge with firm Y that also supplies bricks.
- Which form of merger has taken place?
- A backward vertical
B conglomerate
C forward vertical
D horizontal
- 15 Who owns a public sector organisation?
- A individuals
B shareholders
C specialist managers
D the government
- 16 What are two aims that a government normally pursues when managing the performance of the whole economy?
- A to encourage an increase in production and to prevent high inflation
B to ensure no one is unemployed and to reduce exports
C to give everyone equal incomes and to increase government revenue
D to protect the environment and to reduce interest rates
- 17 What is **most** likely to be the responsibility of a central government?
- A the provision of immigration officials at an airport
B the provision of security cameras in a shopping centre
C the provision of security staff at a bank
D the provision of ticket inspectors on a train

- 18 The table shows the tax that an individual would pay at different levels of disposable income.

disposable income (\$)	10 000	20 000	30 000	40 000
tax (\$)	0	2000	4000	6000

Which type of tax is shown in the table?

- A corporation tax
 - B indirect tax
 - C progressive tax
 - D regressive tax
- 19 The government wants to reduce the consumption of cigarettes.

Which policy would be **most** likely to do this?

- A increasing a subsidy on cigarettes
 - B increasing income tax
 - C increasing interest rates
 - D increasing the indirect tax on cigarettes
- 20 Which group should **not** be included in the measurement of unemployment?
- A redundant unskilled workers seeking alternative work
 - B seasonal agricultural workers in out-of-season periods
 - C students over 18 years continuing with full-time education
 - D those who have left school and cannot get a job

- 21 The table shows the rates of unemployment and real GDP growth for an economy in 2014 and 2018.

	2014	2018
rate of unemployment (%)	3	10
rate of real GDP growth (%)	4	-2

Which combination of policy measures would be **most** effective in returning the economy to the 2014 level of economic activity?

- A a decrease in direct taxes and an increase in the rate of interest
 - B a decrease in government expenditure and an increase in the rate of interest
 - C an increase in direct taxes and a decrease in the rate of interest
 - D an increase in government expenditure and a decrease in the rate of interest
- 22 An economy is experiencing rising prices.
- Which government policy will help reduce consumer expenditure?
- A introducing compulsory saving for income earners
 - B investing more in building infrastructure
 - C issuing more banknotes and coins
 - D reducing indirect taxes
- 23 Some goods take a greater percentage of a typical household's total spending than others.
- How is this accounted for in the construction of a consumer prices index?
- A by deducting the goods
 - B by giving a weight to the goods
 - C by taking an average of price fluctuations during a year
 - D by using the price elasticity of demand for the goods

- 24 In countries with absolute poverty, low incomes can start a process that keeps incomes low.

What are the stages of this process?

- A low incomes → low consumption → low prices → low output → low incomes
 - B low incomes → low government spending → high taxation → low employment → low incomes
 - C low incomes → low investment → high profits → low dividends → low incomes
 - D low incomes → low saving → low investment → low productivity → low incomes
- 25 Which factor in the world's low-income countries limits their economic development?
- A balance of payments surpluses
 - B high saving ratios
 - C large inflows of foreign investment
 - D rapid population growth
- 26 The table shows the percentage employment in the primary, secondary and service sectors in four countries.

Which country is likely to be the **most** developed?

country	percentage employment		
	primary sector	secondary sector	service sector
A	10	35	55
B	20	60	20
C	35	35	30
D	40	40	20

- 27 What causes the birth rate to fall in a country?

- A Fewer women work.
- B Infant mortality rates rise.
- C Medical supplies and healthcare improve.
- D The optimum population increases.

- 28** A country wishes to increase a current account surplus on the balance of payments.

Which action would it take?

- A** abolish an import quota
- B** increase import tariffs
- C** remove export subsidies
- D** tax export producers

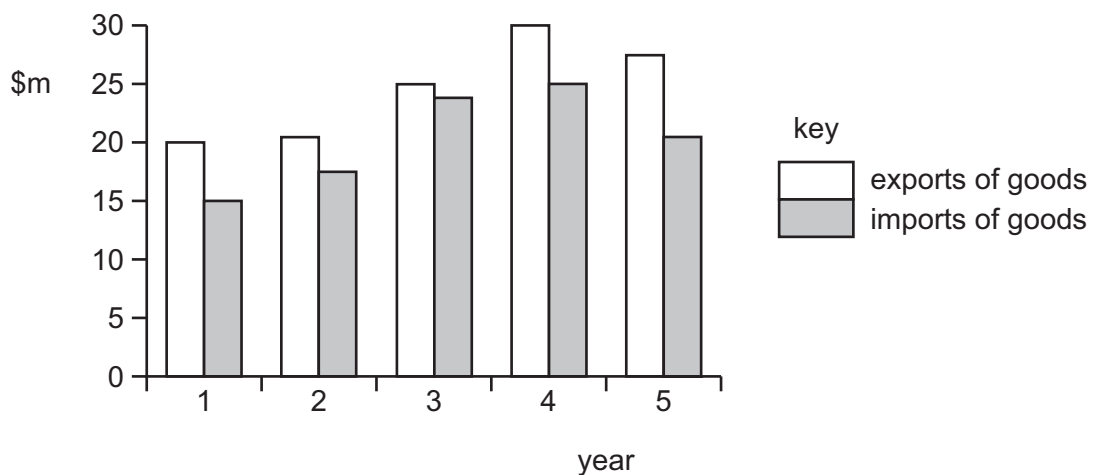
- 29** The table shows a country's exports and imports.

	\$m
exports of goods	200
imports of goods	190
exports of services	35
imports of services	38

What was the country's balance of trade in goods and services?

- A** a deficit of \$7 million
- B** a deficit of \$13 million
- C** a surplus of \$7 million
- D** a surplus of \$13 million

- 30** The diagram shows the value of a country's exports and imports of goods over five years.



Between which two years did the country have an increase in the value of imports and an improvement in its balance of trade in goods?

- A** 1 and 2
- B** 2 and 3
- C** 3 and 4
- D** 4 and 5

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

February/March 2021

45 minutes

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- 1 Sanjay is a risk taker and sets up a restaurant in Chennai. Sanjay works for the business as a chef. He leases the restaurant building from Raghav and employs him to serve the customers.

Which income is earned by Sanjay and Raghav?

	Sanjay	Raghav
A	interest and profit	wages only
B	interest and wages	profits and rent
C	profits and wages	rent and wages
D	profits only	interest and wages

- 2 A government reduces social security spending by \$10 bn in order to increase defence spending by \$10 bn.

What is this an example of?

- A** expansionary fiscal policy
B market forces
C price stability
D reallocation of resources
- 3 The table shows the maximum production possibilities for goods and services for a country.

goods (millions of units)	services (millions of units)
100	0
80	20
60	40
40	60
20	80
0	100

The country originally produced only goods but now produces 20 million units of services. The country continues to operate at maximum production possibility.

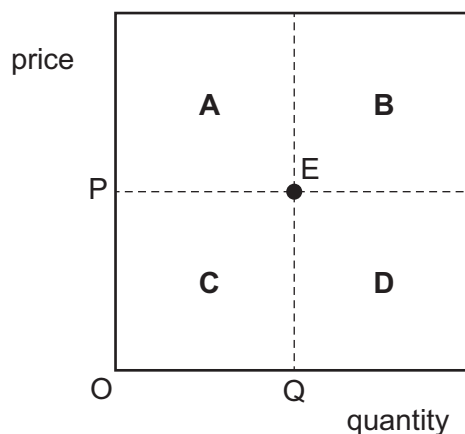
What is the opportunity cost for this country?

- A** 20 million units of goods
B 100 million units of goods
C 20 million units of services
D zero

- 4 What is included in macroeconomics?
- A the causes of a change in the price of one product
 - B the causes of a market failure
 - C the causes of determinants of price elasticities of supply
 - D the causes of economic growth
- 5 What is an advantage of a market economy in the allocation of resources?
- A It ensures that all consumers are willing to pay the same price.
 - B It fixes prices based on costs of production.
 - C It guarantees suppliers will make a profit.
 - D It indicates the relative demand for goods and services.
- 6 Which characteristics of a product will cause market failure?
- A Information about the product is known equally by consumers and producers.
 - B The consumption of the product has no external benefits.
 - C The product is non-rival and non-excludable.
 - D The production of the product has no external costs.
- 7 The diagram shows the market equilibrium E for product X. Product X has a downward sloping demand curve and an upward sloping supply curve.

The price of a substitute good falls.

Into which area of the diagram would the market equilibrium for product X move?



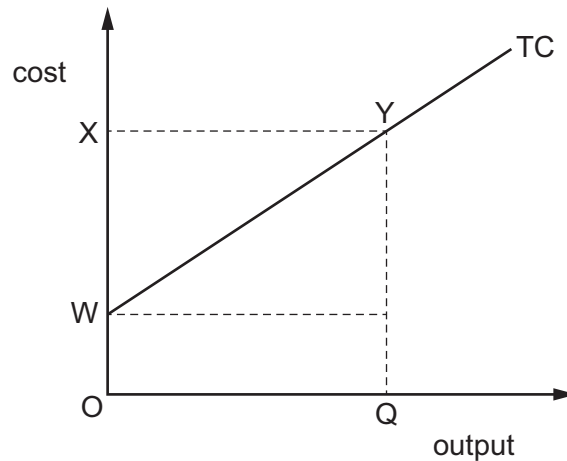
- 8 The table shows the supply schedule for a good.

price (\$)	quantity (000)
1	3
2	5
3	7

What is the price elasticity of supply when price increases from \$1 to \$3?

- A** 0.5 **B** 0.66 **C** 1.5 **D** 2.0
- 9 Which function does a central bank provide for the general public?
- A** accepting deposits
B issuing banknotes
C making loans
D providing overdrafts
- 10 What might cause a rise in wages?
- A** a more elastic supply of labour
B an increase in the size of the labour force
C improved fringe benefits for workers
D the introduction of a national minimum wage
- 11 A national trade union wishes to increase the wages of its members without reducing the numbers employed.
- Which factor would help the union to do this?
- A** The demand for the industry's product is increasing.
B The industry consists of a small number of well-organised employers.
C The union workers have low-level skills.
D The workers' wages are the largest cost of the industry.

12 The diagram shows a firm's total cost (TC) curve.



What is the average variable cost if the firm produces an output of OQ?

- A** $\frac{OX}{OQ}$ **B** $\frac{OW}{OQ}$ **C** $\frac{WX}{OQ}$ **D** $\frac{WY}{OQ}$

13 What will occur when there is a conglomerate merger?

- A** increased control over supply of raw materials
B increased risk-bearing economies of scale
C reduced marketing economies of scale
D reduced technical economies of scale

14 What is total revenue?

- A** the money received by the firm for each additional unit of output sold
B the price of the good multiplied by the total quantity sold
C the revenue per unit sold divided by the quantity sold
D the revenue per unit sold minus the cost per unit sold

15 How would a state-owned oil refining firm be classified?

- A** as a multi-national company (MNC) in the private sector
B as a private sector firm in the tertiary sector
C as a public sector firm in the primary sector
D as a public sector firm in the secondary sector

16 What is included in a government's budget?

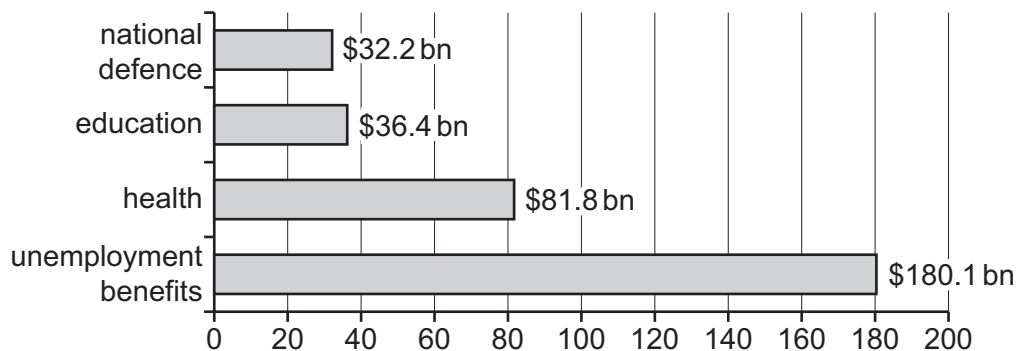
- A** the balance of government revenue and government expenditure
- B** the balance of export revenue and import expenditure
- C** the difference between investment and saving
- D** the difference between social benefits and social costs of production

17 A country has rapidly increasing inflation.

What is an example of a monetary policy measure to reduce this problem?

- A** increasing income tax
- B** increasing interest rates
- C** introducing maximum prices for some products
- D** subsidising key industries

18 The diagram shows selected areas of government spending for a country.



What was the total government spending on merit goods?

- A** \$32.2 billion
- B** \$81.8 billion
- C** \$118.2 billion
- D** \$261.9 billion

- 19** The table shows the Consumer Prices Index (CPI) of an economy.

year	
1	100
2	101
3	104
4	108
5	106

What can be concluded from the data?

- A** Prices fell between years 4 and 5.
 - B** Prices rose in every year.
 - C** The rate of inflation rose 5% in year 4.
 - D** There was a fall in living standards by year 5.
- 20** Deflation is a sustained fall in the general price level.

What might cause deflation?

- A** insufficient private capital investment
 - B** loss of confidence in the government's economic policies
 - C** rising oil prices
 - D** shortages of skilled labour in relation to demand
- 21** Tax is charged at 1.45% on all wages earned to pay for basic medical provision.

How would this tax be described?

- A** direct and proportional
- B** direct and regressive
- C** indirect and proportional
- D** indirect and regressive

22 The table shows some data about an economy.

	year 1
rate of inflation (%)	3.5
change in personal incomes (%)	2.5

What happened in year 1?

- A Both prices and real incomes fell.
- B Both prices and real incomes rose.
- C Prices fell but real incomes rose.
- D Prices rose but real incomes fell.

23 What is included in the construction of the Consumer Prices Index (CPI)?

- A a base year
- B incomes
- C price elasticity of demand
- D quantity supplied

24 Which country is likely to have the highest standard of living?

	birth rate	death rate	infant mortality rate	life expectancy
A	41	20	31	49
B	32	14	29	59
C	25	6	25	79
D	25	5	22	79

25 Which statement about poverty is correct?

- A Absolute poverty occurs when income falls below what is needed for survival.
- B An advanced economy is likely to have a higher level of absolute poverty than relative poverty.
- C It is impossible for relative poverty to rise as absolute poverty falls.
- D Relative poverty is measured by the same goods and services in all countries.

- 26 The United Nations (UN) predicts that the population in low-income countries will increase.

What is likely to be a cause of this?

- A Climate change will lead to lower food output and starvation.
 - B Improved education for girls will lead to a small decline in birth rates.
 - C Increasing numbers of people will migrate to higher income countries.
 - D Modern medicine and sanitation will lead to a rapid decline in death rates.
- 27 Which method of trade protection would enable domestic firms to lower their prices and undercut the price of imported goods?
- A a subsidy
 - B a tariff
 - C an embargo
 - D an import quota
- 28 How might a multinational company (MNC) directly benefit a host country?
- A It creates local employment.
 - B It depletes local natural resources.
 - C It imports raw materials.
 - D It receives tax concessions.
- 29 A country has a current account deficit on its balance of payments.
- Which measure is **most** likely to reduce the deficit?
- A a cut in interest rates
 - B a cut in the rate of income tax
 - C a depreciation of the exchange rate
 - D an increase in government expenditure
- 30 A country experienced a deficit on each of its trade in goods, primary income and secondary income. Overall, it had a surplus on the current account of its balance of payments.
- What must this mean?
- A It had a floating exchange rate.
 - B It had a surplus on its trade in services.
 - C It had a surplus on the government's budget.
 - D It was a low-income country.

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Cambridge IGCSE™

ECONOMICS

Paper 1 Multiple Choice

0455/12

May/June 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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INFORMATION

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This document has **12** pages. Any blank pages are indicated.



- 1 What is an advantage of competitive markets?
- A Competition causes inequalities of wealth.
 - B Competition encourages the efficient use of resources.
 - C The economic problem of scarcity is eliminated.
 - D The right quantity of merit goods is guaranteed.
- 2 A multinational company (MNC) wishes to invest in a low-income country to expand its palm oil production.

What is **most** likely to make this investment possible?

- A high cost of clearing forests to increase land for plantations
 - B increased demand for palm oil
 - C shortages of labour in the rural economy
 - D the removal of subsidies for palm oil production
- 3 A farmer sells land used for crops to a firm that will use the land for wind turbines to produce electric power.

What is the opportunity cost of this decision by the farmer?

- A the cost of installing wind turbines
 - B the loss of revenue from crops that grow on the land
 - C the profit made from selling the land
 - D the reduced cost of producing renewable energy
- 4 What is **not** included in microeconomics?
- A economies of scale
 - B forms of competition
 - C individual demand
 - D the inflation rate

5 What determines a consumer's demand for a product?

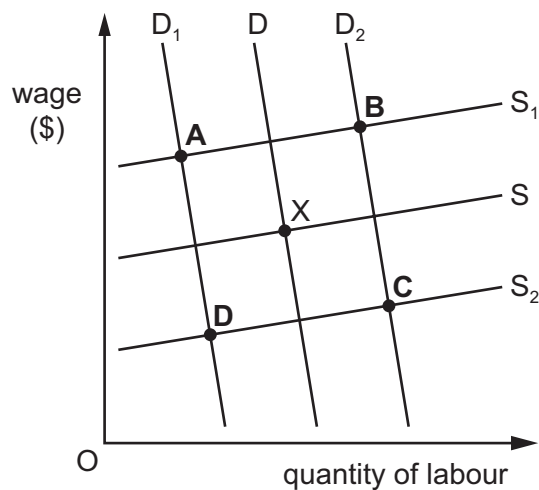
	the consumer's income	the consumer's willingness to buy the product	the price of the product
A	✓	✓	✓
B	✓	✓	✗
C	✗	✓	✓
D	✓	✗	✓

6 Which problem will be reduced by a government subsidy to a firm?

- A** absence of a public good
- B** abuse of monopoly power
- C** overconsumption of a demerit good
- D** underconsumption of a merit good

7 The diagram shows the market for information technology (IT) graduates. The original equilibrium was X. Later, more IT students graduated from university and greater use of artificial intelligence (AI) increased the demand for IT staff.

What is the new equilibrium?



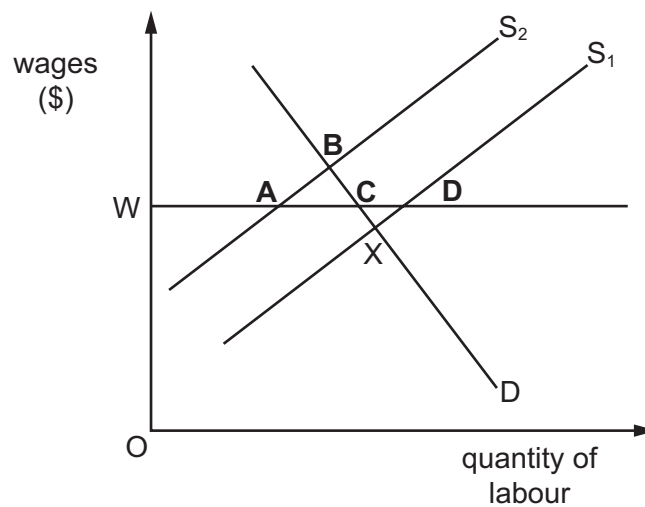
8 In response to an increase in price from \$5 per kilo to \$6 per kilo, a farmer increased supply from 400 kilos to 500 kilos per week.

What is the price elasticity of supply?

- A** 0.8
- B** 0.9
- C** 1.2
- D** 1.25

- 9 What might cause consumers in a high-income economy to both save more and spend more?
- A an increase in the rate of interest
 - B an increase in wealth
 - C expectation that prices will fall in the future
 - D inflation rising at a faster rate than wages
- 10 What would be a disadvantage of specialisation for a worker?
- A a low price of the product that they make
 - B boredom due to repetition of the same task
 - C higher quality of the good
 - D the opportunity to undertake training
- 11 The diagram shows a market for labour. X is the original equilibrium. A trade union negotiates a minimum wage at W, and the government restricts the supply of immigrant labour.

What is the new equilibrium?



- 12 Which cost of production falls continuously as output increases?
- A average fixed cost
 - B average total cost
 - C average variable cost
 - D total variable cost

- 13 A Swedish furniture maker bought a Romanian firm that owned 83 000 hectares of trees.
Which type of merger is this **most** likely to be?
- A diversification
 - B horizontal
 - C vertical backward
 - D vertical forward
- 14 What is calculated when price is multiplied by the quantity demanded of a product?
- A average revenue
 - B profit
 - C total cost
 - D total revenue
- 15 A private sector firm is the only supplier of rail services between two cities.
What will stop the firm charging very high ticket prices?
- A barriers to entry into rail services
 - B competition from public road transport
 - C government policy encouraging monopoly power
 - D high costs of maintaining rail tracks
- 16 What is a fiscal policy measure?
- A direct tax
 - B exchange rates
 - C interest rates
 - D regulation
- 17 A government uses expansionary monetary policy.
What does the government decrease?
- A bank lending
 - B interest rates
 - C the budget deficit
 - D the money supply

- 18** A country is experiencing unemployment. It has a progressive income tax policy and benefits for the poor. The government aims to increase employment and reduce income inequality.

Which fiscal policy measures are **most** likely to achieve these aims?

	income tax	benefits for the poor
A	decrease the highest tax rate	decrease
B	increase the highest tax rate	decrease
C	decrease the lowest tax rate	increase
D	increase the lowest tax rate	increase

- 19** The table shows changes in the Consumer Prices Index (CPI) from the base year, 1, and for the next three years.

year	1	2	3	4
CPI	100	101.1	101.8	102.1

Which statement is correct?

- A** Consumer prices were highest in year 3.
 - B** The rate of inflation was 2.1% in year 4.
 - C** The rate of inflation was highest in year 2.
 - D** The rate of inflation was lowest in year 1.
- 20** What is likely to happen when a country is experiencing deflation?
- A** Consumers delay spending.
 - B** Governments raise interest rates.
 - C** The level of imports increases.
 - D** The real value of money falls.
- 21** Economic growth can be defined as
- A** a reduction in a country's rate of inflation.
 - B** an increase in a country's exports.
 - C** an increase in a country's population.
 - D** an increase in a country's productive capacity.

- 22** The table compares the distribution of employment in selected industries in two years.

industry	employment in millions	
	year 1	year 2
agriculture	4	3
mining	2	2
manufacturing	6	6
retailing	4	4
transport	4	5
total	20	20

How did the distribution of employment change between year 1 and year 2?

	primary sector	secondary sector
A	fell	rose
B	fell	unchanged
C	rose	fell
D	rose	unchanged

- 23** In a year, two changes occurred in a company.

Company directors' salaries increased by 15%.

Office workers' wages increased by 5%.

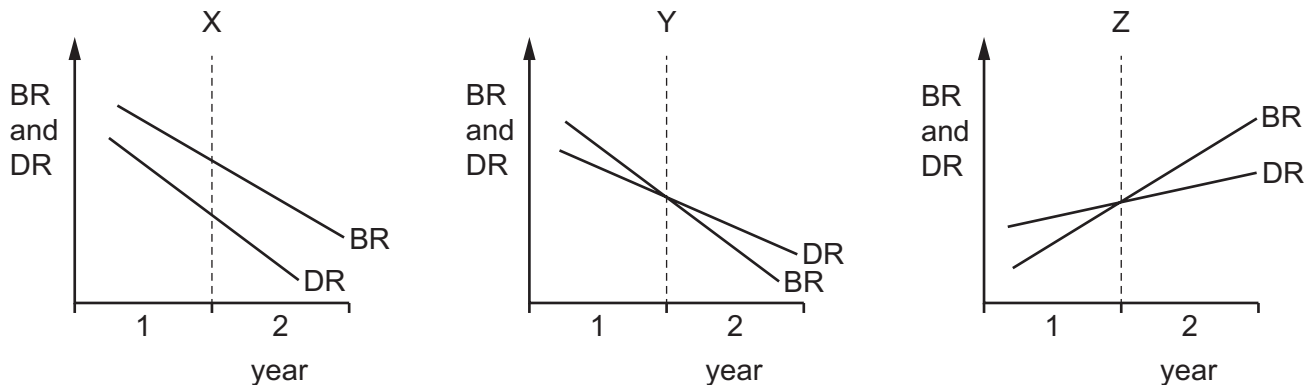
The rate of inflation was 3.4%.

What happened to real income?

	company directors' real income	office workers' real income
A	fell	fell
B	fell	rose
C	rose	fell
D	rose	rose

- 24** The diagrams show birth rate (BR) and death rate (DR) in three countries, X, Y and Z, in two years, 1 and 2.

There was no migration.



Where was there a rise in population in year 1 and a fall in population in year 2?

- A** X and Z **B** X only **C** Y and Z **D** Y only
- 25** The richest 60% of the population of a high-income economy received an increase in income. The income of the rest of the population did not change.

What happened to absolute and relative poverty?

	absolute poverty	relative poverty
A	increased	increased
B	increased	remained constant
C	remained constant	increased
D	remained constant	remained constant

- 26** Gross Domestic Product (GDP) is a better measure of comparative living standards when it is adjusted for the effects of
- A** exports and inflation.
B imports and exports.
C population change and exports.
D population change and inflation.

27 What is the **most** likely benefit for a low-income economy if it removes tariffs on imported goods and services?

- A** more choice for domestic consumers
- B** more employment in declining industries
- C** more exports by domestic firms
- D** more tax revenue from imports

28 Economies have become increasingly linked through globalisation.

What would discourage this?

- A** creation of a single world market
- B** direct foreign investment by multinational companies
- C** expansion of trade in financial services
- D** protectionist policies by trading groups

29 What may result from a balance of payments trade surplus?

- A** The exchange rate appreciates and causes export prices to fall.
- B** The exchange rate appreciates and causes export prices to rise.
- C** The exchange rate depreciates and causes export prices to fall.
- D** The exchange rate depreciates and causes export prices to rise.

30 A country has a deficit on its current account of its balance of payments.

What could increase the size of its deficit?

- A** increased exports of its services
- B** increased international competitiveness of its goods
- C** increased numbers of visitors from abroad
- D** increased spending on its military bases abroad

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

October/November 2021

45 minutes

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- 1 To help reduce the price of oil, new supplies are needed. However, objectors oppose exploration of new sites because of the environmental damage it may cause.

Why is this statement an example of the basic economic problem?

- A Oil is a limited resource.
 - B Oil is expensive.
 - C The exploration involves demand and supply.
 - D There are external costs involved in production.
- 2 What is an opportunity cost for a consumer spending money on a holiday?
- A the potential interest earned if the holiday money had been saved
 - B the price paid for an air ticket to the holiday destination
 - C the rubbish created during the holiday which affects the local community
 - D the satisfaction that the consumer gains from the holiday
- 3 Helium is a gas that is limited in supply because it takes thousands of years to form. The US government holds 35% of the world's supply of helium and has been selling its stocks. Helium is essential in medical scanners. It is also used for party balloons, which is a wasteful alternative use of a valuable good.

Which two concepts apply to this statement?

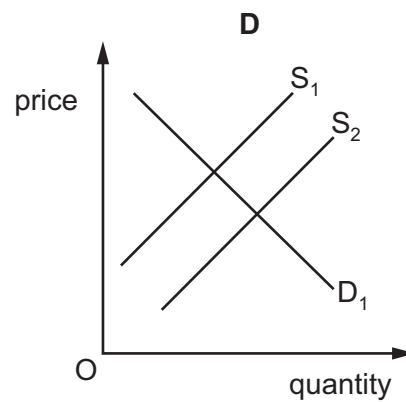
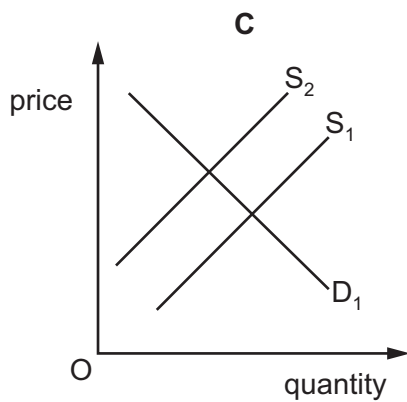
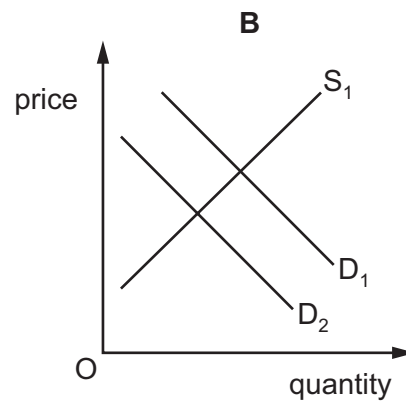
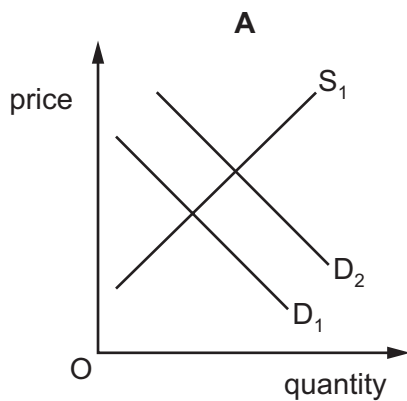
- A demand and supply, government subsidy
 - B excess demand, resource allocation
 - C opportunity cost, private monopoly
 - D public sector, factors of production
- 4 Which combination of characteristics describes a public good?
- A excludable and non-rival in consumption
 - B excludable and rival in consumption
 - C non-excludable and non-rival in consumption
 - D non-excludable and rival in consumption
- 5 What is an advantage of a market economy?
- A Equilibrium market price clears the market.
 - B Producers and consumers have the same aims.
 - C The government has no need to intervene in markets.
 - D The lowest price possible is always charged.

6 What is a macroeconomic aim of a government?

- A balance of payments stability
- B deflation
- C income inequality
- D unemployment

7 An economy relies on potash to make fertiliser. A new deposit of potash is discovered.

Which diagram shows this change in the market for potash?



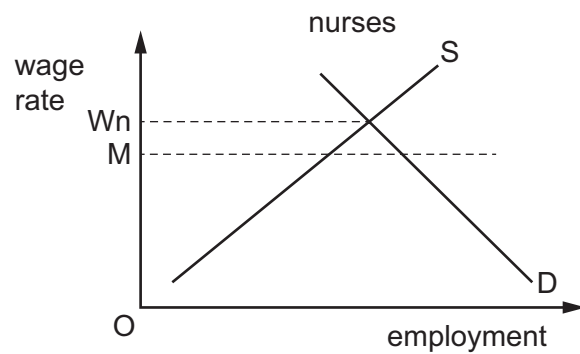
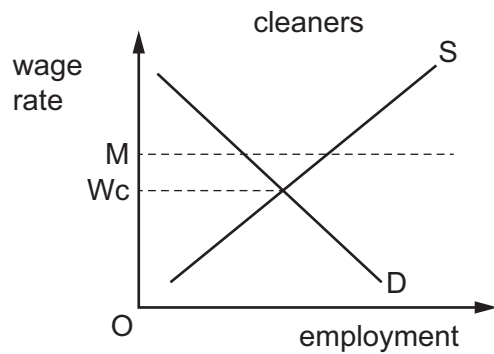
- 8 The table shows the quantity demanded at different prices.

price \$	quantity demanded
6	3
5	4
4	5
3	7
2	9

For which fall in price is the demand price-inelastic?

- A from \$6 to \$5
 - B from \$5 to \$4
 - C from \$4 to \$3
 - D from \$3 to \$2
- 9 Which government policy will increase productivity?
- A decreasing the number of training programmes
 - B encouraging labour-intensive production
 - C promoting good industrial relations
 - D reducing private sector investment

10 The diagrams show the wage rates of cleaners (OW_c) and nurses (OW_n).



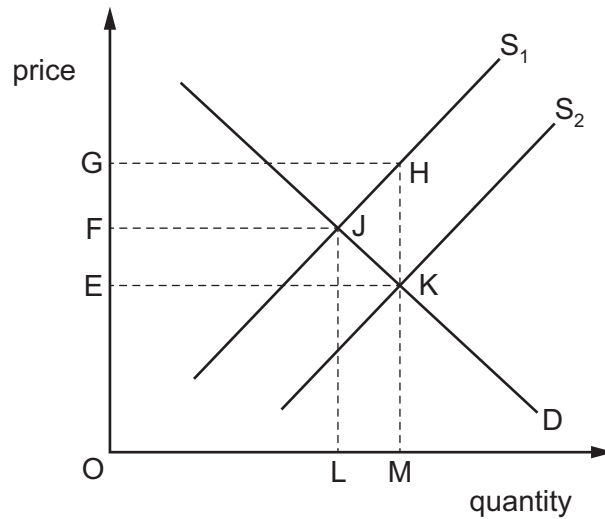
What is the result if a national minimum wage of OM is introduced?

	wage rate of cleaners	wage rate of nurses
A	fall	rise
B	no change	fall
C	rise	fall
D	rise	no change

11 Which result of increased specialisation in a firm is an advantage for the firm, but a disadvantage for some of the workers in the firm?

- A** greater mechanisation
- B** higher labour productivity
- C** higher skill levels
- D** longer training times

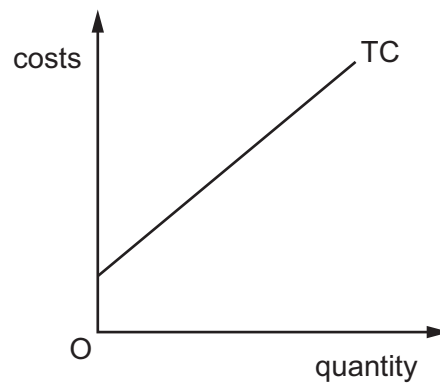
12 The diagram shows the imposition of a subsidy on a product supplied by a firm.



Which area represents the total revenue of the firm including the subsidy?

- A** EGHK **B** OEKM **C** OFJL **D** OGHM

13 The diagram shows the total cost curve for a firm.



What can be concluded about the firm?

- A** It has no fixed costs.
B It has no variable costs.
C Its average fixed cost increases.
D Its average variable cost is constant.

- 14** The table shows the average total cost of a firm over a range of output.

output (units)	average total cost (\$)
1	10
2	8
3	6
4	5
5	7
6	9

What happens after 4 units are produced?

- A** The firm experiences management problems.
- B** The firm gains the benefits of merging with another firm.
- C** The firm pays lower interest rates to banks.
- D** The firm receives significant discounts from bulk buying.

- 15** Two car manufacturers agree to merge.

Which outcome would be a disadvantage for customers?

- A** increased capital for research and development
- B** lower average costs through economies of scale
- C** reduced range of vehicles produced
- D** use of a wider range of marketing information

- 16** An economy recorded a second month of deflation.

What does this mean?

- A** It was facing a recession.
- B** Price levels were falling.
- C** Total demand was rising.
- D** Unemployment was falling.

17 What is a cause of demand-pull inflation?

- A a surplus of skilled labour
- B higher government expenditure
- C higher tax rates
- D lower net exports

18 What is the consequence of economic growth for individuals and for the economy?

	individuals	the economy
A	increase in absolute poverty	increase in inflation
B	increase in average incomes	increase in government tax revenue
C	increase in the variety of goods and services	reduction in exports
D	increase in unemployment	reduction in the standard of living

19 The table shows a government's receipts from taxation.

	\$m
air passenger duty	10
tax on firms' profits	100
import duty	75
income tax	200
inheritance tax	50
sales tax (VAT)	300

What is the total amount of revenue raised by indirect taxes?

- A \$300 m B \$350 m C \$385 m D \$435 m

20 Which supply-side policy measure would help to match the skills of workers to job vacancies?

- A encouraging the modernisation of factories
- B offering retraining to unemployed workers
- C reducing taxes to provide incentives to work
- D replacing government enterprises with private enterprises

21 How is the rate of inflation measured?

- A by calculating the change in the price of goods and services from one year to the next
- B by calculating the real value of all output of goods and services in an economy
- C by calculating the total number of people willing and able to work but cannot find work
- D by calculating the total value of exports minus the total value of imports

Due to an issue with Question 22, the question has been removed from the question paper.

23 Which combination of policy measures is **most** likely to increase the level of employment?

- A decrease general taxation and decrease the rate of interest
- B decrease general taxation and increase the rate of interest
- C increase general taxation and decrease the rate of interest
- D increase general taxation and increase the rate of interest

24 Poverty in households may be defined in relative terms.

What indicates relative poverty?

- A falling below society's expected standard of living
- B income level required to meet basic needs
- C lack of access to clean water
- D living on less than \$2 a day

25 What is the effect on an economy of net emigration of people aged 20–40?

- A a more mobile labour force
- B an ageing population
- C higher government tax revenue
- D rising house prices

26 The table shows statistics for four countries, **A–D**.

Which country has the lowest standard of living?

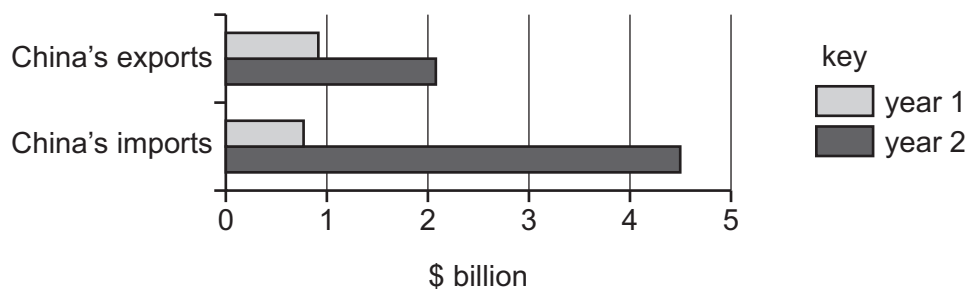
	average annual growth rate of population (%)	population density (per square kilometre)	life expectancy (years)	real GDP per head (\$)
A	1.9	19	46	190
B	2.7	2	58	1700
C	3.7	45	59	210
D	4.2	89	44	190

27 A country specialises in the production of steel, toys and textiles.

What is a disadvantage of specialisation for the country's workers?

- A** They cannot afford to buy products from other countries.
- B** They could become structurally unemployed if global demand changes.
- C** They have to learn a variety of skills.
- D** They have too much choice which wastes their time.

28 The diagram shows China's trade with Brazil for two years.



What happened to China's trade balance with Brazil between year 1 and year 2?

- A** It experienced a falling surplus.
- B** It experienced a rising deficit.
- C** It moved from deficit to surplus.
- D** It moved from surplus to deficit.

29 The US imposed tariffs on cars and motorcycles from Germany.

What is the effect of these tariffs?

- A** decrease in inflation in the US
- B** decrease in trade between the US and Germany
- C** increase in profits of car and motorcycle producers from Germany
- D** increase in standards of living in the US and in Germany

30 What is an immediate effect for a country of a fall in its foreign exchange rate?

- A** a fall in the money supply
- B** an increase in purchasing power
- C** cheaper imports
- D** more competitive exports

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ECONOMICS

0455/12

Paper 1 Multiple Choice

February/March 2022

45 minutes

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- 1 A business person employs two people to make sandwiches to sell in a café.

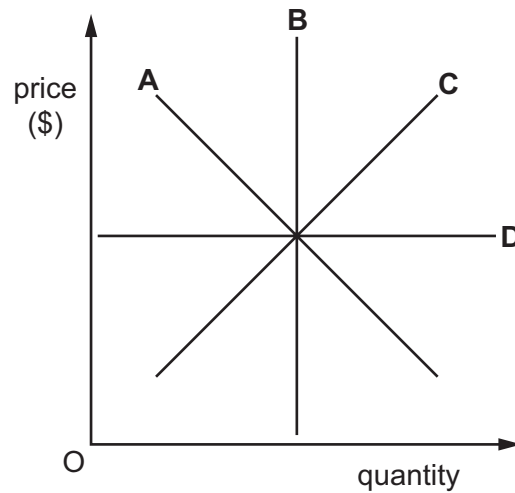
As well as labour, which factors of production are involved in this activity?

- A capital, enterprise and land
 - B capital and enterprise only
 - C capital and land only
 - D enterprise and land only
- 2 Why might a government choose to increase spending on healthcare instead of spending on building new roads?
- A The financial cost of building new roads is lower.
 - B The opportunity cost of building new roads is lower.
 - C The opportunity cost of spending on healthcare is lower.
 - D The social costs of healthcare are higher.
- 3 In 2020, many economies were operating under their production possibility curve (PPC).
What does this statement mean?
- A There was a rise in the price of goods and services in many economies.
 - B There was a significant level of unemployment of resources.
 - C These economies lacked resources to produce more output.
 - D These economies were producing at the most efficient point.

- 4 Which combination of terms describes a public good?

	excludable	rival
A	no	no
B	no	yes
C	yes	no
D	yes	yes

- 5 In the diagram, which line represents perfectly price-elastic demand?



- 6 The formula for a good's price elasticity of supply needs to be completed.

$$\text{price elasticity of supply} = \frac{X}{Y}$$

What needs to replace X and Y to complete the formula?

	X	Y
A	change in price	change in quantity supplied
B	change in quantity supplied	change in price
C	% change in price	% change in quantity supplied
D	% change in quantity supplied	% change in price

- 7 In a country, the total demand for vehicle fuel is price-inelastic. However, the demand for any given brand of vehicle fuel is price-elastic.

If brand X increased its price by 10%, what would be the **most** likely effect?

- A** Consumer spending on vehicle fuel would decrease.
- B** The prices of other brands would fall.
- C** The revenue from brand X would increase.
- D** The revenue from other brands would increase.

- 8 A medical report that outlined the disadvantages of eating sugar caused the demand for sugar to decrease. However, producers of sugar were not able to adjust their supply quickly and continued producing sugar at previous levels.

What was likely to have happened in the market for sugar?

- A a government subsidy
- B excess demand
- C excess supply
- D rising prices

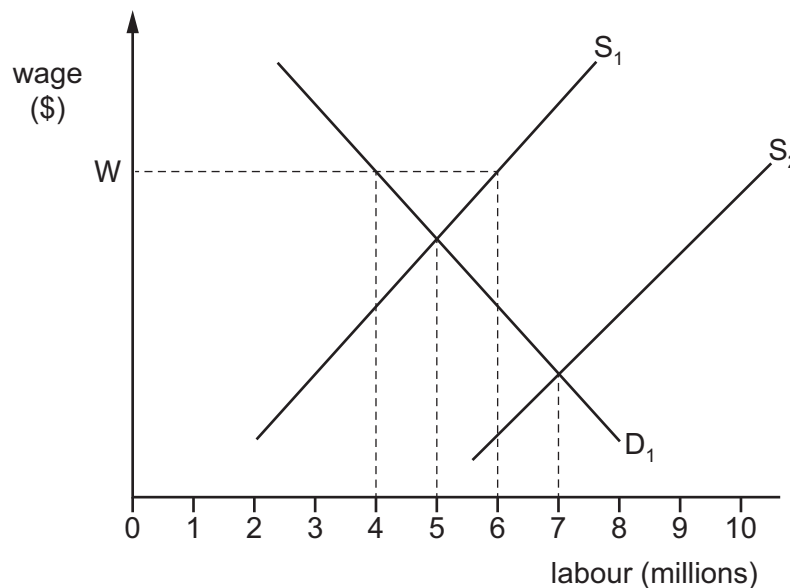
- 9 Interest rates fall.

How might this affect consumers' saving and spending?

	saving	spending
A	fall	fall
B	fall	rise
C	rise	fall
D	rise	rise

- 10 In the diagram, D_1 and S_1 represent the demand for and the supply of labour. W indicates a legal minimum wage.

An influx of immigrant labour causes the supply curve for labour to shift from S_1 to S_2 .



How many people will be employed if the minimum wage legislation is then abolished?

- A** 4 million
- B** 5 million
- C** 6 million
- D** 7 million

- 11** Labour-intensive sectors are the main contributors to Vietnam's economic growth.

What does this reveal about Vietnam's economy?

- A** Availability of labour in Vietnam is low.
- B** Demand for products from labour-intensive sectors is low.
- C** Price of labour in Vietnam is high.
- D** Production of goods and services in Vietnam is mainly dependent on labour.

- 12** An information technology (IT) specialist sets up a firm that repairs computers.

Which sector and ownership are involved in this action?

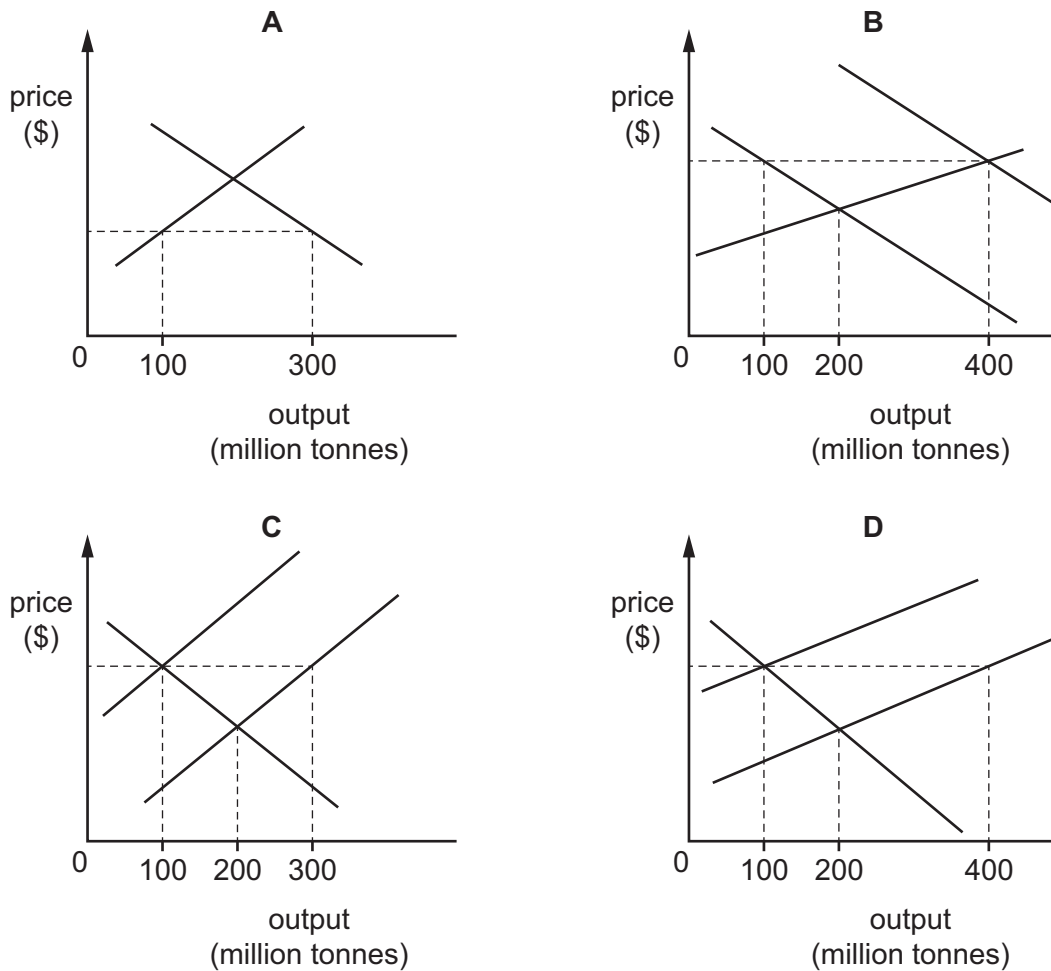
	sector	ownership
A	primary	private
B	secondary	public
C	tertiary	private
D	tertiary	public

- 13** Which term describes the situation where the owner of a coffee plantation plans a merger with a chain of coffee shops?

- A** a conglomerate merger
- B** horizontal merger
- C** vertical merger backwards
- D** vertical merger forwards

- 14** The diagrams show the demand for and supply of Chinese steel. Government subsidies for the Chinese steel industry led to 200 million tonnes of excess output.

Which diagram would represent the position after the subsidy but before the market adjusted?



- 15** The table shows a firm's costs for producing bicycles.

number of bicycles	0	1	2	3	4	5
total cost (\$)	20	30	40	50	60	70

Which statement is correct?

- A** The average cost of producing 4 bicycles is \$15.
B The average fixed cost of producing 2 bicycles is \$20.
C The total fixed cost is \$10.
D The total variable cost of producing 3 bicycles is \$50.

16 What is **not** likely to be a conflict between government macroeconomic aims?

- A economic growth and balance of payments stability
- B full employment and low inflation
- C redistribution of income and full employment
- D stable prices and low unemployment

17 What will reduce income inequality?

- A increased indirect taxation
- B increased progressive taxation
- C increased regressive taxation
- D increased tax-free allowances

18 A government decides to increase the rate of growth of domestic production through expansionary fiscal policy.

Which combination of measures will it use?

- A decrease the money supply and increase the rate of interest
- B increase the money supply and decrease the rate of interest
- C decrease taxes and increase government expenditure
- D increase taxes and decrease government expenditure

19 The table shows economic indicators for an economy over a one-year period.

Which indicator **most** likely caused economic growth?

A	B	C	D
investment +3%	unemployment +2%	inflation +1%	saving +4%

20 What is the link between a change in the interest rate and investment?

	interest rate	investment
A	decrease	increase
B	decrease	decrease
C	increase	increase
D	increase	constant

21 Which two types of citizens are counted in the calculation of the unemployment rate?

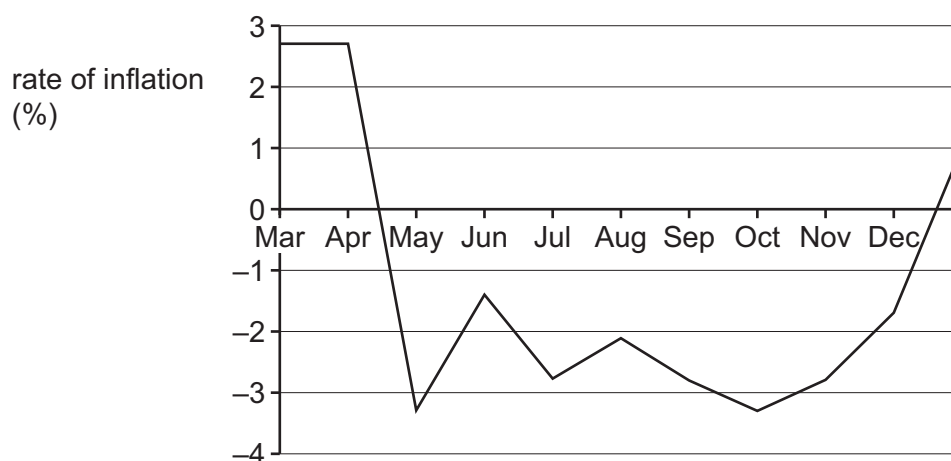
	type 1	type 2
A	full-time student	unemployed and not willing to work
B	prisoner	stay-at-home parent
C	retired	voluntarily unemployed
D	unemployed and willing to work	employed

22 An economy has a budget deficit and a high rate of inflation.

What is likely to be the consequence of a rise in unemployment?

	budget deficit	inflation rate
A	larger	higher
B	larger	lower
C	smaller	higher
D	smaller	lower

23 The graph shows what happened to the rate of inflation in Chad for the period from March to December.



Which statement about the general price level in Chad over this period is correct?

- A** It was at its highest in March.
- B** It was at its lowest in October.
- C** It was at its lowest in December.
- D** It was unchanged between March and April.

24 The Human Development Index (HDI) is one indicator of a country's living standards.

What is included in the HDI?

- A** birth rate, unemployment rate, number of schools
- B** death rate, inflation rate, mean years of education
- C** life expectancy, income per head, mean years of education
- D** life expectancy, total GDP, number of schools

25 A newspaper article on 'Poverty in Country X' included the following statements.

- 1 The poverty line is living on less than \$2 a day.
- 2 Those on average income consume five times more calories per day than those on the lowest incomes.

Which type of poverty is described in each of these statements?

	statement 1	statement 2
A	absolute	absolute
B	absolute	relative
C	relative	absolute
D	relative	relative

26 What is usually found in a low-income country when comparing it with a high-income country?

- A** a larger agricultural sector and less subsistence farming
- B** lower levels of productivity of capital and higher levels of productivity of labour
- C** relatively faster growth of population and an older average age
- D** relatively lower levels of saving and a less skilled workforce

27 A country removes all tariffs on imported goods.

What is a benefit of this change to consumers?

- A** Export prices will fall.
- B** Import prices will fall.
- C** Tariff revenue will fall.
- D** The exchange rate will fall.

- 28 A person in country X receives a dividend payment on shares that they hold in a firm in country Y.

In which section of the current account of the balance of payments for country X will this dividend appear?

- A primary income
- B secondary income
- C trade in goods
- D trade in services

- 29 'International companies have made substantial investments in computer production in India. India is now a major centre of the world computer industry. Profit margins are high since labour costs are a tenth of those in the US.'

What does this suggest is the reason for companies locating in India rather than in the US?

- A access to cheap land
- B availability of capital investment
- C availability of investment funds
- D competitive wage rates

- 30 The UK wants to increase exports to the US.

Which action will **most** likely achieve this?

- A borrowing US dollars from international banks
- B devaluing UK pounds against the US dollar
- C placing a quota on imports from the US
- D selling US dollars to buy UK pounds

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Cambridge IGCSE™

ECONOMICS

Paper 1 Multiple Choice

0455/12

May/June 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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INFORMATION

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1 What is an example of a free good?

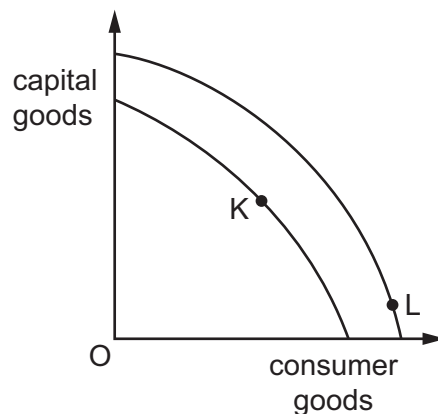
- A defence
- B education
- C health services
- D sunshine

2 A student has nothing to do on a Friday evening. She withdraws \$5 from the \$100 she has in a savings account and buys a present to take to a party, to which admission is free.

What does this involve?

- A an opportunity cost equal to \$95
- B an opportunity cost equal to other goods she could have bought for \$5
- C no opportunity cost, as entrance to the party is free
- D no opportunity cost, as she had no better way of using the time

3 The diagram shows two production possibility curves for a country.



What might cause a shift from point K to point L in the country's production?

- A a change in what consumers want to buy
- B a recession
- C more investment
- D the use of previously unemployed resources

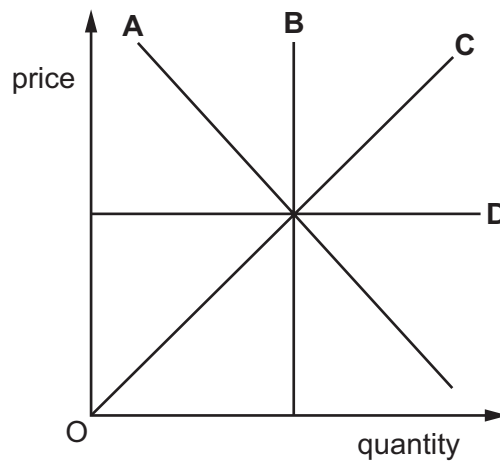
4 Which relationship would be studied by an economist specialising in macroeconomics?

- A the relationship between the inflation rate and the unemployment rate
- B the relationship between the output of a firm and its costs of production
- C the relationship between the price of a product and the quantity demanded by a consumer
- D the relationship between the wage rate of workers and demand for labour in an occupation

- 5 In recent years, a government has started to make more use of the free market system. However, they are doing it very slowly to avoid the disadvantages that a free market system might bring.

What is a possible disadvantage of the free market system?

- A decreased incentive to work
 - B decreased levels of pollution
 - C increased efficiency
 - D increased inequality of income
- 6 What will cause the demand curve for a good to shift to the right?
- A a decrease in the disposable income of consumers
 - B a decrease in the price of a complement good
 - C a decrease in the price of a substitute good
 - D a decrease in the price of the good
- 7 In the diagram, which demand curve has perfectly elastic demand?

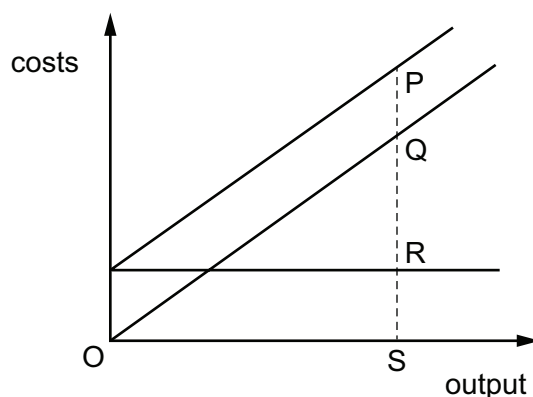


- 8 The table shows the demand and supply schedules for rice. The current price is \$2.00 per kilo.

price per kilo \$	quantity demanded (million tonnes)	quantity supplied (million tonnes)
2.50	5	30
2.00	10	25
1.50	20	20
1.00	30	15
0.50	40	10

What will happen if the price is reduced to \$1.00 per kilo?

- A** The demand schedule will shift to the left.
B The market will move from shortage to surplus.
C The market will move from surplus to shortage.
D The supply schedule will shift to the right.
- 9 The diagram shows the fixed costs, variable costs and total costs of a firm at output S.



Which distance represents the firm's variable costs?

- A** PQ **B** PS **C** QR **D** QS
- 10 What could cause profits to be high in a monopoly market?
- A** barriers to entry
B diseconomies of scale
C elastic demand for the product
D high number of substitutes for the product

11 Which firm is **most** likely to be classified as a small firm in the tertiary sector?

- A a farm
- B a hairdresser
- C a steelworks
- D a supermarket

12 Germany is considered a capital-intensive economy while Indonesia is considered a labour-intensive economy.

What does this mean about the economies of Germany and Indonesia?

- A Capital is relatively cheaper than labour in Germany while labour is relatively cheaper than capital in Indonesia.
- B Germany has many primary sector workers while Indonesia has many tertiary sector workers.
- C Indonesia has a higher growth in its population size than Germany.
- D Relatively more low-cost labour is available in Germany while capital is more efficient than labour in Indonesia.

13 A bank continues to operate loss-making branches.

Which objective is the bank trying to achieve?

- A growth
- B efficiency
- C profit maximisation
- D social welfare

14 The table shows how three people, X, Y and Z, spend their income.

	person X	person Y	person Z
food, clothing and housing	30%	25%	50%
entertainment and leisure	35%	35%	25%
luxury goods	35%	40%	25%

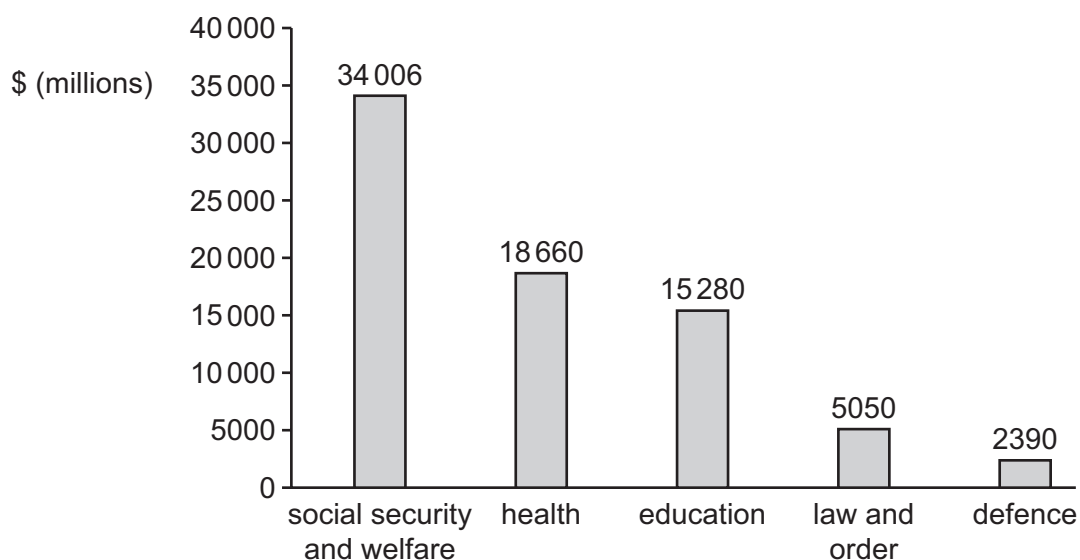
What is the likely order of income, from lowest income to highest income, for these three people?

- A $Y \rightarrow X \rightarrow Z$
- B $Y \rightarrow Z \rightarrow X$
- C $Z \rightarrow X \rightarrow Y$
- D $Z \rightarrow Y \rightarrow X$

15 Which activity is correctly linked to the organisation that provides it?

	organisation	activity
A	central bank	regulate the rate of inflation
B	central bank	set direct tax rates
C	commercial bank	manage the government's financial accounts
D	commercial bank	safeguard the country's foreign reserves

16 The chart shows a government's spending in a year.

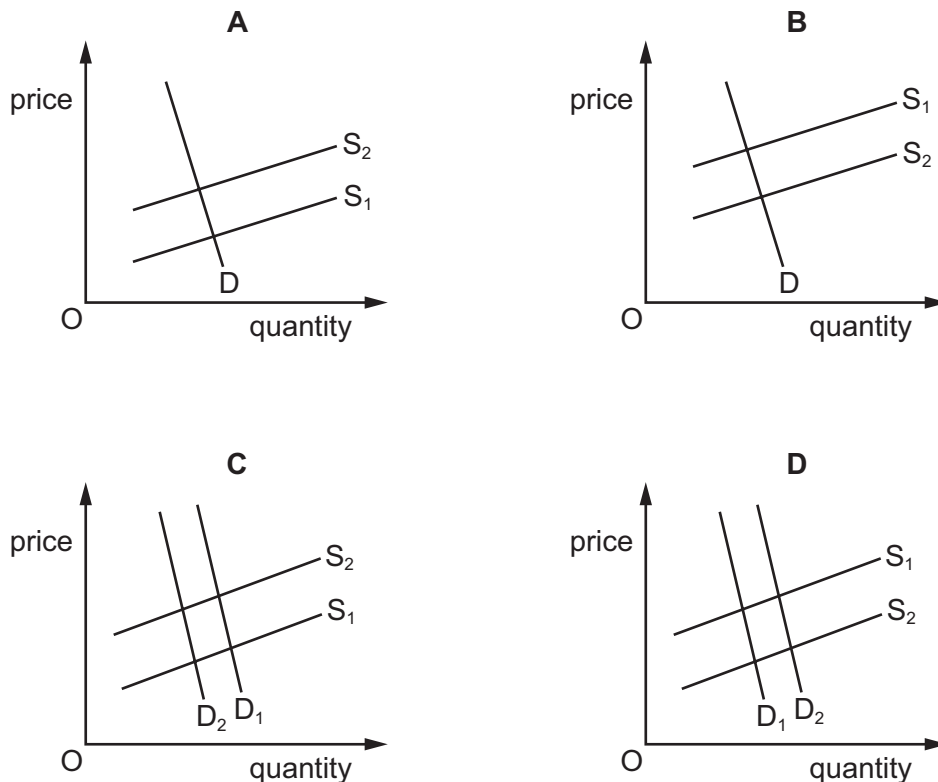


What was the total government spending on public goods?

- A** \$2390 million
- B** \$5050 million
- C** \$7440 million
- D** \$33940 million

- 17** A government levies a specific tax on the supply of cigarettes. At the same time it starts a campaign to explain the health risks of smoking cigarettes.

Which diagram illustrates the effects on the demand and supply of cigarettes?



- 18** A government wishes to pursue an expansionary monetary policy.

What should it do?

- A** discourage bank lending
 - B** give subsidies to firms
 - C** lower income tax thresholds
 - D** lower interest rates
- 19** A government introduces a series of economic measures.
- What is a supply-side policy measure?
- A** building more affordable homes to improve labour mobility
 - B** controlling consumer spending to reduce inflation
 - C** lowering interest rates to encourage purchase of expensive goods
 - D** raising pensions to help retired people pay their fuel bills

20 What is identified as economic growth?

- A a fall in labour productivity
- B an increase in the productive capacity of the economy
- C an increase in the Consumer Prices Index (CPI)
- D the economy enters a period of recession

21 The retail trade in a country has unemployed workers in one region and job vacancies in another region.

What could explain this?

- A Costs of employing workers are lower when there is unemployment.
- B It is more expensive to live in the area where the retail jobs are available.
- C Retailing demands the same skills everywhere.
- D The geographical mobility of labour has increased.

22 A country wishes to reduce the level of inflation.

Which combination of policy measures will be **most** successful?

	policy measure 1	policy measure 2
A	decrease exchange rates	increase interest rates
B	decrease interest rates	increase exchange rates
C	increase government spending	decrease interest rates
D	increase interest rates	decrease government spending

23 A government wants to reduce both its budget deficit and the amount of poverty in its country.

Which fiscal policy measure is **most** likely to achieve both of these aims?

- A decreasing the rate of progressive income tax
- B decreasing government spending on welfare benefits
- C increasing the rate of progressive income tax
- D increasing government spending on welfare benefits

24 Which components, in addition to Gross Domestic Product (GDP) per head, are included in the Human Development Index (HDI)?

- A** average earnings and inequalities of incomes
- B** balance of trade and balance of payments
- C** life expectancy at birth and expected years of schooling
- D** size of population and age structure of population

25 What is likely to cause an immediate decrease in the size of the labour force?

- A** a fall in the average size of families
- B** a fall in the birth rate
- C** a reduction in the age of retirement
- D** an increase in net immigration

26 The table shows some economic indicators.

Which increase in the first indicator is **most** likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
D	productivity	living standards

27 The price of a currency in a fixed exchange rate system is reduced.

What is this called?

- A** appreciation
- B** depreciation
- C** devaluation
- D** revaluation

- 28 A government removed the quota on goods imported into the country.

What is the **most** likely result of this?

- A a decrease in demand for domestic production
 - B a decrease in domestic unemployment
 - C a decrease in exports
 - D a decrease in the balance of trade deficit
- 29 What is **most** likely to result from a reduction in the value of a country's currency if there are no other changes in the economy?
- A A trade in goods surplus will fall.
 - B Export prices will rise.
 - C Import prices will rise.
 - D The inflation rate will fall.
- 30 The governments of low-income countries often allow foreign multinational companies (MNCs) to mine minerals in their country.

Which conflict between benefit and cost might this cause the low-income countries?

	benefit	cost
A	improved balance of trade	training by the MNCs
B	higher employment	loss of a finite resource
C	increased profits for the MNCs	efficient production
D	more sustainable development	economic growth

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

October/November 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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- 1 The Chinese government is concerned about the level of poverty and the need for more resources in low-income regions of the country. As a result, it is increasing its expenditure in those regions and reducing it in high-income regions.

Which economic concept does this government policy illustrate?

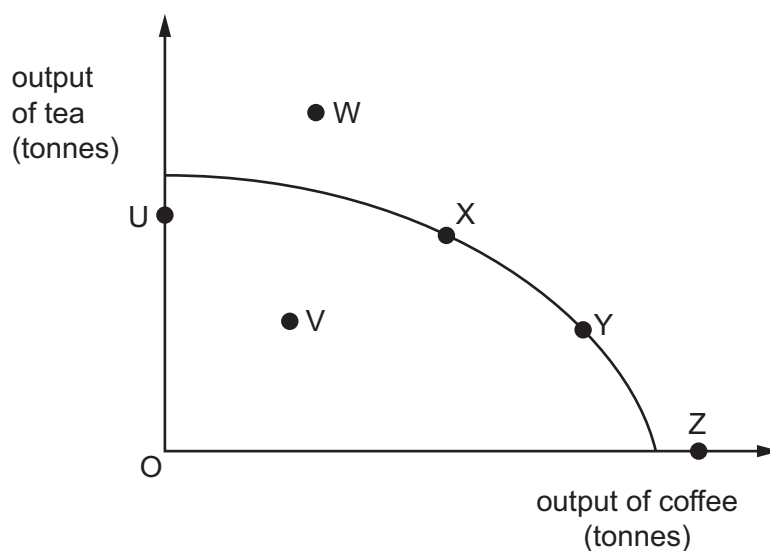
- A diseconomies of scale
- B market forces
- C opportunity cost
- D specialisation

- 2 An airline needs people and equipment. These can be divided into factors of production.

What is allocated to its correct factor of production?

	people or equipment	factor of production
A	aircraft	capital
B	airline owners	labour
C	computer network	land
D	pilots	enterprise

- 3 The diagram shows a production possibility curve (PPC) and a number of output combinations for tea and coffee.



Which combinations of tea and coffee could the economy currently produce?

- A U, V, W, X
- B U, V, X, Y
- C U, V, X, Z
- D V, X, Y, Z

4 What is a disadvantage of a market economy?

- A Consumer choice is ignored.
- B Consumers may lack information.
- C Government subsidies encourage efficiency.
- D There is no incentive to work.

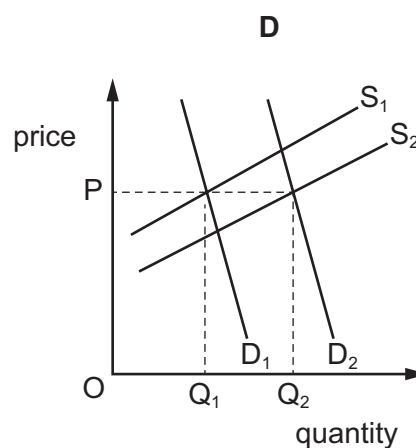
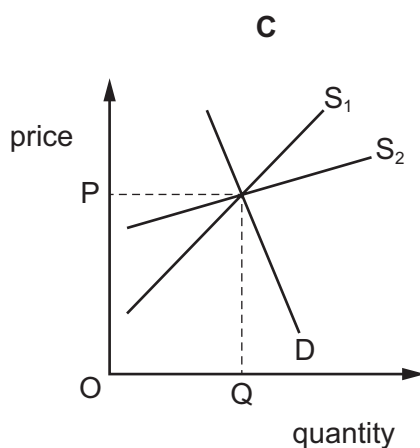
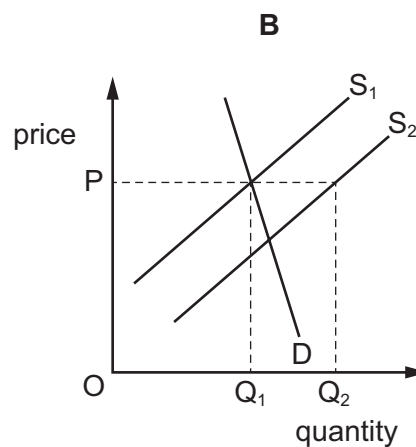
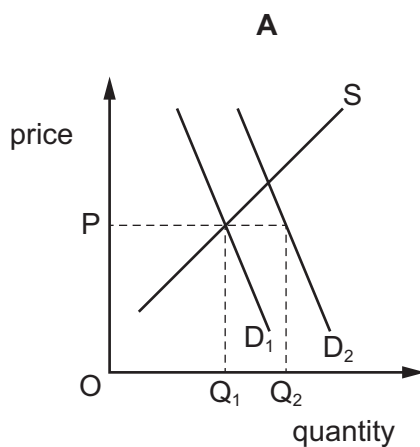
5 Workers are awarded a pay rise but do **not** increase their productivity. Workers do **not** buy the product that they produce.

How would this change be shown on a demand and supply diagram for the product?

- A The demand curve will shift to the left.
- B The demand curve will shift to the right.
- C The supply curve will shift to the left.
- D The supply curve will shift to the right.

6 The diagrams show changes in market conditions.

Which diagram shows a shortage at price P?



7 What is the definition of price elasticity of demand?

- A the responsiveness of quantity demanded of a product to a change in income of consumers
- B the responsiveness of quantity demanded of a product to a change in the price of a complementary product
- C the responsiveness of quantity demanded of a product to a change in the price of that product
- D the responsiveness of quantity demanded of a product to a change in the price of a substitute product

8 To reduce traffic congestion, a government decides to build a new road. There is a toll charge on the new road.

What is the main purpose of this government intervention?

- A to address the problem of market failure
- B to discourage people from using public transport
- C to ensure the supply of transport through the free market
- D to obtain revenue from the levy of a toll

9 Which organisations can directly fund the growth of firms?

	central banks	commercial banks	governments
A	no	yes	no
B	no	yes	yes
C	yes	no	no
D	yes	no	yes

10 Which advantage do coins have that makes them more suitable than paper banknotes to act as money?

- A They are more divisible.
- B They are more durable.
- C They are more portable.
- D They are more recognisable.

11 Which statement about different income groups is correct?

- A High-income groups do not need to borrow money.
- B High-income groups save less money than low-income groups.
- C Low-income groups find it easier to borrow than high-income groups.
- D Low-income groups save a smaller percentage of their income than high-income groups.

12 A musician has a choice of playing for an orchestra in either Germany or England.

Which combination of incomes and cost of living is **most** likely to cause her to choose the German orchestra?

	incomes and cost of living in Germany compared with those in England		
	pre-tax (gross) income	after-tax (net) income	cost of living
A	higher	higher	higher
B	higher	lower	lower
C	lower	higher	higher
D	lower	higher	lower

13 The central bank of a country decreases interest rates to help the economy out of a recession.

How is this decrease in interest rates **most** likely to affect the levels of saving in and borrowing from the country's commercial banks?

	saving	borrowing
A	decreases	decreases
B	decreases	increases
C	increases	increases
D	increases	decreases

14 Which effect of increased specialisation by firms and workers is **most** likely to cause problems for an economy?

- A better product quality
- B greater interdependence
- C higher productivity
- D improved resource allocation

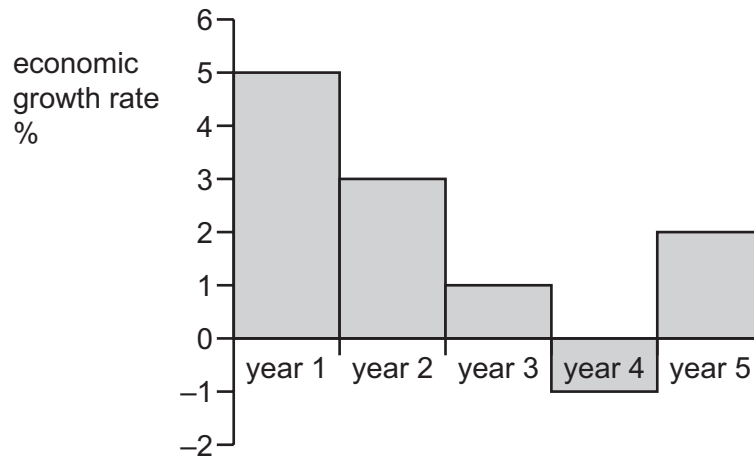
- 15 Which statement is correct when comparing small firms with large firms?
- A Small firms are more able to adapt to changes in market conditions.
 - B Small firms are more able to reduce competition through barriers to entry.
 - C Small firms benefit from lower cost per unit from economies of scale.
 - D Small firms have higher total fixed costs and lower average fixed costs.
- 16 Which pair is included in a government's budget?
- A consumption and factor income
 - B exports and imports
 - C investments and savings
 - D public expenditure and tax revenue
- 17 The table shows the rate of income tax paid at different income levels.

level of income \$	rate of income tax %
30 000	20
40 000	30
50 000	40

What describes this type of tax?

- A indirect
 - B progressive
 - C proportional
 - D regressive
- 18 A central bank reduces interest rates.
- What would **not** be a consequence of this action?
- A a benefit for borrowers receiving loans
 - B a fall in the international value of the currency
 - C a reduction in inflation
 - D an increase in GDP

- 19 The diagram shows a country's economic growth rate over a 5-year period.



What can be concluded from the diagram?

- A Output fell throughout the period.
 - B Output was at its highest in year 1.
 - C Output was at its highest in year 5.
 - D Output was at its lowest in year 4.
- 20 An individual decides to employ a professional decorator rather than buying the materials and decorating her house herself.

Why would this decision cause GDP to rise?

- A The activity would be recorded as income for the decorator.
 - B The individual would have more leisure time.
 - C The professional decorator can purchase materials at a discount.
 - D The professional decorator would work less efficiently than the individual.
- 21 What is the definition of the unemployment rate?
- A the benefits and allowances paid by the government to people without a job
 - B the number of people without a job but seeking a job as a percentage of the labour force
 - C the rate of change in the number of people who have not worked over the last year
 - D the total number of people not working when the data was calculated

22 What is **most** likely to cause inflation?

- A** a reduction in exports
- B** a reduction in government spending
- C** an increase in the rate of interest
- D** an increase in trade union power

23 The table shows changes in economic growth and inflation.

Which changes are likely to be the result of rising unemployment?

	economic growth	inflation
A	falling	falling
B	falling	rising
C	rising	falling
D	rising	rising

24 The table shows the percentage changes in earnings and consumer prices for four countries in one year.

Which country is likely to have experienced the greatest increase in real income during the year?

	country	earnings	consumer prices
A	France	+6.5	+3.5
B	Germany	+4.0	+4.0
C	Japan	+4.0	−1.0
D	UK	+6.5	−2.0

25 What is included in the Human Development Index (HDI)?

	environmental sustainability	life expectancy	years of schooling
A	no	no	yes
B	no	yes	no
C	no	yes	yes
D	yes	yes	yes

26 A fall in the level of absolute poverty can be best achieved by reducing

- A government unemployment benefits.
- B income tax.
- C the number of homeless people.
- D the rate of inflation.

27 The table shows some details from a country's balance of payments. The country has no secondary income (current transfers).

item	\$ million
exports of goods	280
imports of goods	350
exports of services	110
imports of services	60
net primary income	–40

What is the country's balance on its current account?

- A a deficit of \$60 million
- B a deficit of \$160 million
- C a surplus of \$20 million
- D a surplus of \$760 million

28 Vietnamese companies buy insurance from companies in the US.

How will this transaction be recorded in the Vietnamese balance of payments?

	section	credit / debit
A	trade in goods	credit
B	trade in services	credit
C	trade in services	debit
D	current transfers	debit

29 What is a restriction on the quantity of imports called?

- A dumping
- B quota
- C subsidy
- D tariff

- 30** Which combination of factors would attract a multinational company (MNC) producing smartphones to operate in a low-income country?
- A** high economic growth rate and supply of cheap labour
 - B** low corporation tax and competitive local market
 - C** limited supply of skilled workers and cheap land
 - D** strict employment laws and high import duties

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ECONOMICS

0455/12

Paper 1 Multiple Choice

February/March 2023

45 minutes

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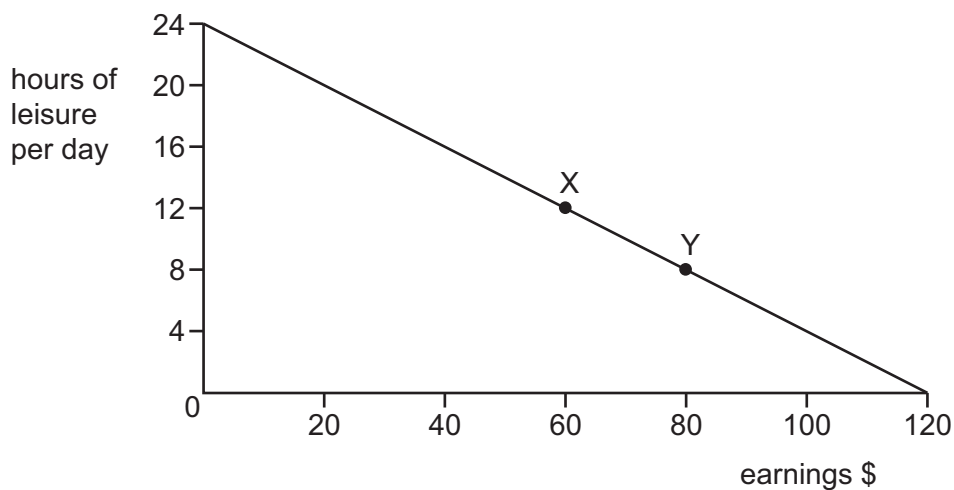
This document has **12** pages.



- 1 In country Z there has been a decrease in the birth rate.

In the short run, which variable will be affected?

- A inflation
 - B population
 - C supply
 - D unemployment
- 2 The diagram shows the choices for an individual between leisure and earnings.



The person decides to take a job that gives more leisure time.

What is the opportunity cost to the individual of moving from position Y to position X?

- A \$20
 - B \$80
 - C 4 hours of leisure per day
 - D 12 hours of leisure per day
- 3 A student defined opportunity cost as ‘the alternative given up when a course of action is followed’.
- Why is this definition inadequate?
- A The ‘next best’ alternative is not stressed.
 - B The type of economic system is not identified.
 - C There is no mention of money values.
 - D There is no reference to finite resources and unlimited wants.

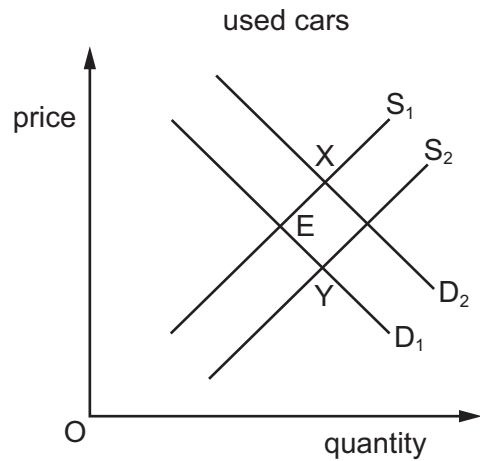
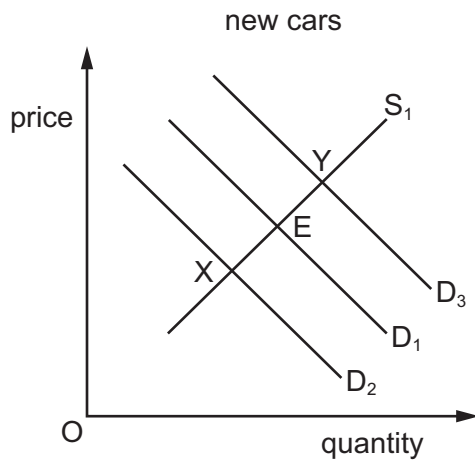
- 4 The market for a good was in equilibrium. A change occurred which resulted in a new equilibrium with a higher price for the good and a lower quantity traded.

Which change would have caused this?

- A The demand curve moved to the left.
 - B The demand curve moved to the right.
 - C The supply curve moved to the left.
 - D The supply curve moved to the right.
- 5 What will result in a movement along the demand curve for a product?
- A a change in tastes
 - B an increase in income
 - C a rise in the price of the product
 - D a successful advertising campaign for the product

- 6 In a year when there were big increases in demand for new cars, many used cars also came onto the market.

The diagrams show the demand for and the supply of new and used cars. The original equilibrium position was at E in each case.



What will be the new equilibrium position in each market?

	new cars	used cars
A	X	X
B	X	Y
C	Y	X
D	Y	Y

- 7 A government places an indirect tax on a good which has price-elastic demand.

What is the result?

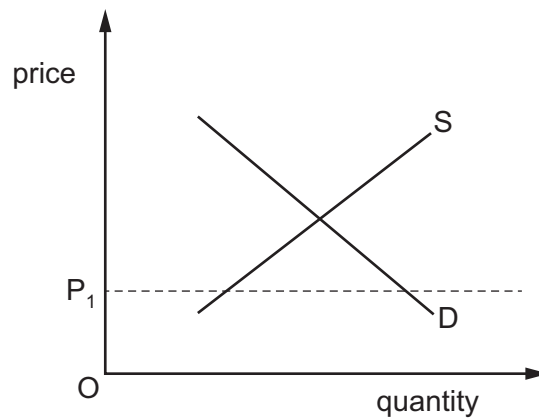
	total expenditure on the good	quantity demanded of the good
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 8 The price elasticity of demand for cigarettes is estimated to be 0.5. The government introduces a tax on cigarettes to reduce consumption.

By how much must the price of cigarettes rise to reduce consumption by 10%?

- A 5% B 10% C 15% D 20%

- 9 The diagram shows the demand for and the supply of bread.



A maximum price P_1 is fixed by the government.

What is likely to be the immediate result of this?

- A a movement of the demand curve to the right
 B a movement of the supply curve to the right
 C a shortage of bread
 D a surplus of bread
- 10 What is a function of commercial banks?
- A accept deposits and savings
 B lender of last resort to government
 C manage the national debt
 D operate monetary policy

11 The table shows spending in the leisure sector of a country in 1995, 1999 and 2005.

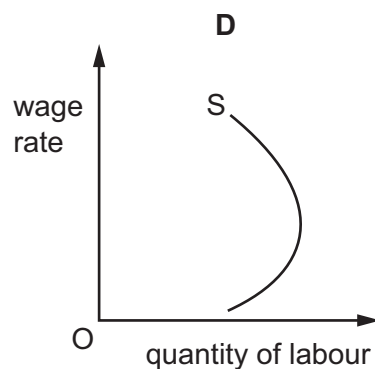
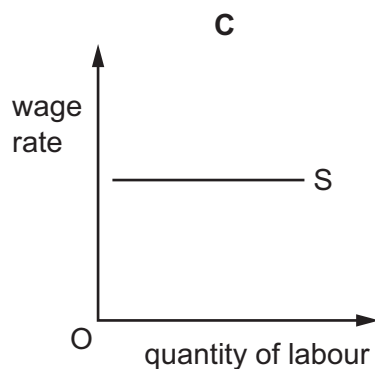
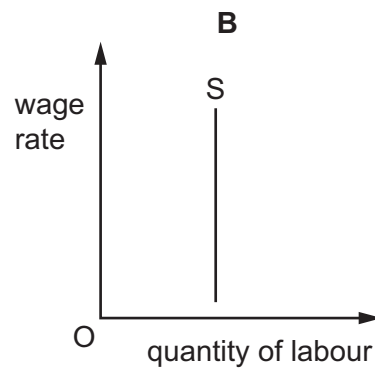
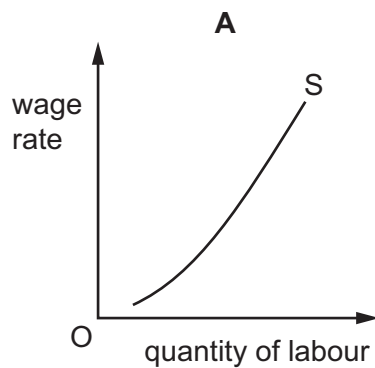
year	1995	1999	2005
leisure spending (\$ billion)	118	154	198
as a % of total consumption	27.0	27.5	28.0

What can be concluded from the table?

- A** Leisure spending, in billions of dollars, increased more between 1995 and 1999 than between 1999 and 2005.
- B** Leisure spending is growing in line with income growth.
- C** Leisure spending increased by an average of \$10 billion a year between 1995 and 2005.
- D** Leisure spending is taking an increasing share of total consumption.

12 The graphs show the supply of labour in four occupations.

Which graph shows that people prefer leisure to work above a certain income?



- 13 What would be likely to happen within a country if its government granted more work permits to doctors coming from other countries?
- A increased demand for doctors
 - B increased productivity of doctors
 - C increased salaries for doctors
 - D increased supply of doctors
- 14 What is **not** a benefit of trade union membership for a worker?
- A achieving higher wages for workers
 - B negotiating a higher rate of interest on a bank loan for workers
 - C providing support to workers when being made unemployed
 - D an improvement in health and safety standards at work
- 15 What will happen to a firm that expands to take advantage of economies of scale?
- A Average costs of production will decrease.
 - B Average costs of production will increase.
 - C Profits will decrease.
 - D The price of the firm's products will increase.
- 16 The table shows total fixed and total variable costs at different levels of output for a firm.

output	total fixed cost \$	total variable cost \$
100	1000	1000
200	1000	1500
300	1000	2000
400	1000	2500

What happens as output rises?

- A Average fixed cost falls.
- B Average fixed cost rises.
- C Average variable cost remains constant.
- D Average variable cost rises.

- 17 Which characteristics are found in a monopoly?
- A freedom of entry to the market and a single seller
 - B freedom of entry to the market and many sellers
 - C many buyers and a single seller
 - D many buyers and many sellers
- 18 What is deflation?
- A a decrease in the claimant count
 - B a decrease in the Consumer Prices Index
 - C a decrease in the Human Development Index
 - D a decrease in the real Gross Domestic Product
- 19 What is the likely outcome of an expansionary monetary policy?
- A Borrowing by consumers falls as the money supply increases.
 - B Firms expand to meet higher consumer demand.
 - C Prices fall as total supply exceeds total demand.
 - D Wages rise due to a lower rate of inflation.
- 20 In the past, governments have adopted policies to try to end a recession in their country and increase economic growth.
- Which combination of policies is **most** likely to achieve this?
- A lower taxes and decrease government spending
 - B lower taxes and increase government spending
 - C raise taxes and decrease government spending
 - D raise taxes and increase government spending

21 The table shows taxes as a percentage of Gross Domestic Product (GDP) for four countries.

From this information, which country had the highest percentage of direct taxation as a percentage of GDP?

	income tax %	tax on business profits %	tax on dividends %	tax on goods and services %
A	12	14	2	5
B	14	15	2	14
C	17	13	5	10
D	18	10	1	10

22 As a country develops economically, what is **most** likely to happen?

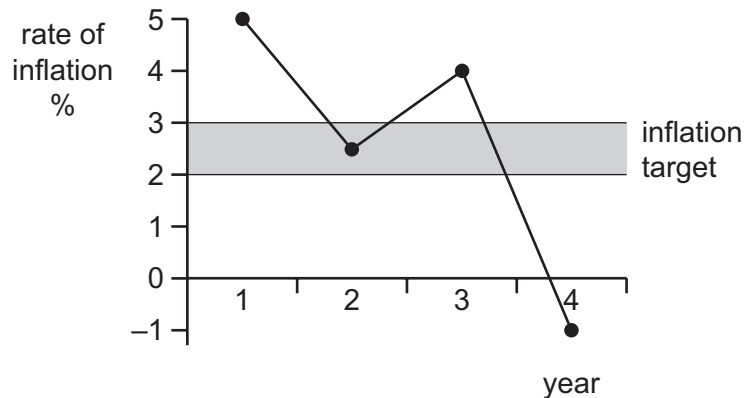
- A** There will be an increase in productivity.
- B** There will be an increase in the birth rate.
- C** There will be an increase in the death rate.
- D** There will be reduced occupational mobility.

23 Which government policy would be **most** likely to reduce structural unemployment?

- A** a decrease in the rate of interest
- B** a decrease in the tax on goods and services
- C** an increase in spending on education and training
- D** an increase in tariffs on imported goods and services

- 24 A government has a target of keeping inflation between 2% and 3%.

The diagram shows the rate of inflation over a four-year period.



What can be deduced from the diagram?

- A The government target was missed in two years.
 B The price level fell in two years.
 C The price level was at its highest in the first year.
 D The real value of money fell in three years.
- 25 A town has a population of 20 000. The birth rate is 25 per thousand and the death rate is 15 per thousand. The number of people moving in and out of the town exactly balances.

What will the population be at the end of one year?

- A 19 800 B 20 010 C 20 200 D 22 000
- 26 What is **most** likely to be found in a high-income economy?

	low	high
A	access to safe water	infant mortality rate
B	birth rate	adult literacy rate
C	gross domestic product per head	access to safe water
D	infant mortality rate	death rate

27 The table shows figures for the real GDP of a country in a particular year.

quarter 1 (\$bn)	quarter 2 (\$bn)	quarter 3 (\$bn)	quarter 4 (\$bn)
100	101	99	98

A quarter is three months.

At the end of which quarter had the economy experienced a recession?

- A quarter 1
- B quarter 2
- C quarter 3
- D quarter 4

28 What is a quota in international trade?

- A a government grant to encourage production
- B a limit on the quantity of imports
- C a tax on imports
- D an administrative and technical barrier

29 What is an advantage of a floating exchange rate for an economy?

- A It can correct a current account deficit or surplus.
- B It creates certainty for firms importing goods.
- C It increases government control of the economy.
- D It stops money flows into and out of the economy.

30 The table shows information from a country's current account of its balance of payments.

	\$ billion
exports of goods	20
imports of goods	24
net services	+5
net primary income	−8
net secondary income	−8

What is the country's current account balance?

- A** +\$1 billion **B** −\$4 billion **C** −\$7 billion **D** −\$15 billion

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Cambridge IGCSE™

ECONOMICS

Paper 1 Multiple Choice

0455/12

May/June 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
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- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

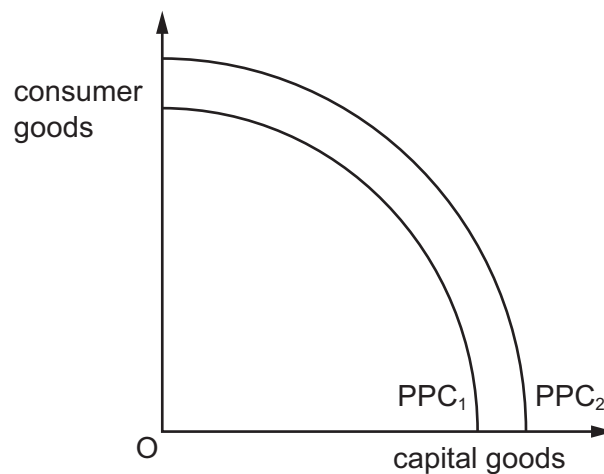
- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

1 What is part of the economic definition of scarcity?

- A high levels of taxation
- B low levels of investment
- C unequal distribution of income
- D unlimited consumer wants

2 A country's production possibility curve (PPC) moves from PPC_1 to PPC_2 .



What could cause this movement in the PPC?

	better education	higher investment	lower unemployment
A	false	false	true
B	false	true	false
C	true	false	true
D	true	true	false

3 A government spends \$100m on subsidising wind farm construction instead of spending it on an increase in healthcare.

Which economic concept does this spending decision illustrate?

- A external cost
- B free goods
- C market disequilibrium
- D opportunity cost

4 What is an example of a macroeconomic indicator?

- A agricultural prices
- B average earnings in the secondary sector
- C real Gross Domestic Product (real GDP)
- D total costs of German pharmaceutical firms

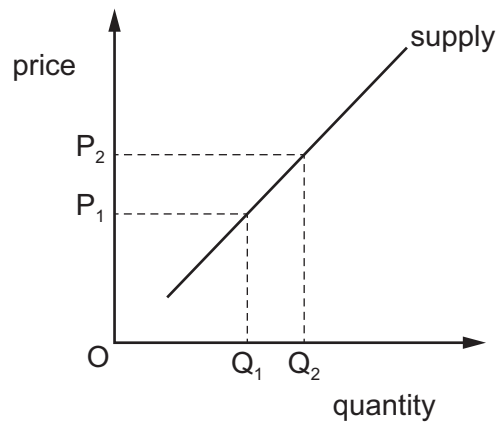
5 Good X is demanded in two areas, Y and Z. The table shows the amount of X demanded in these areas at different prices.

price of good X (US\$)	quantity demanded per month	
	area Y	area Z
5	1000	200
10	800	150
15	600	100
20	400	50
25	200	0

What can be concluded from the table?

- A Consumers in area Y are more willing and able than consumers in area Z to buy good X.
 - B Consumers in area Y are richer than consumers in area Z.
 - C Consumers in area Y want the good more than consumers in area Z.
 - D There are more consumers living in area Y than in area Z.
- 6 Which price elasticity of demand (PED) would cause an increase in total revenue if the price of the good increased?
- A perfectly elastic
 - B relatively elastic
 - C relatively inelastic
 - D unitary elastic

- 7 The diagram shows the supply curve for coffee.



The price of coffee increases from P_1 to P_2 .

How would this benefit firms in the coffee industry?

- A** A higher price gives firms the ability to increase profits.
 - B** A higher price gives firms the incentive to reduce total fixed costs.
 - C** A higher price will encourage consumers to buy more coffee increasing total revenue.
 - D** A higher price will encourage less firms to enter the market to supply coffee.
- 8 What might be an external benefit of an increase in the number of university graduates in an economy?
- A** an increase in revenue for the universities from fee-paying students
 - B** an increase in tax revenue from a more productive labour force
 - C** an increase in graduate employment as a percentage of the working population
 - D** an increase in wages for graduates
- 9 The price of a good increases.
- What could cause this?
- A** The cost of raw materials falls.
 - B** The incomes of consumers rise.
 - C** The price of a complement rises.
 - D** The price of a substitute falls.

- 10 Imposing a maximum price for a good is an example of which type of government policy?
- A fiscal
 - B monetary
 - C regulation
 - D supply-side
- 11 Savers suffer as inflation rises to 4.4%.
- Which function of money is most involved in this statement?
- A means of deferred payments
 - B medium of exchange
 - C store of value
 - D unit of account
- 12 One of the functions of money is to act as a measure of value.
- What does this mean?
- A Money allows people to borrow and lend.
 - B Money allows people to save their surplus income.
 - C Money is used to buy goods and services.
 - D Money is used to compare the worth of different goods and services.
- 13 Which trade union activity will be beneficial for firms?
- A balloting for industrial action to prevent redundancies
 - B campaigning to raise wages of trade union members
 - C instructing workers to strike over a safety dispute
 - D providing training which raises productivity of workers
- 14 What is **not** a variable cost of production?
- A cost of fuel
 - B cost of raw materials
 - C extra pay for working additional hours
 - D rent of offices

15 What is a definition of a firm's revenue?

- A money received from sales
- B sales volume
- C surplus over costs
- D tax payments

16 What could cause internal diseconomies of scale for a firm?

- A a fall in demand for the products produced by the firm
- B a merger with another firm that results in slower decision-making
- C spending more on research and development to create new products
- D the lack of skilled labour in the geographical area where the firm is based

17 A government decides to leave direct taxes unchanged but to increase indirect taxes.

What is this policy intended to achieve?

- A to increase the value of the exchange rate
- B to redistribute income from higher to lower income groups
- C to reduce a budget deficit
- D to reduce the rate of inflation

18 What is the **most** likely reason to increase government subsidies?

- A to decrease consumption of a merit good
- B to increase consumption of a merit good
- C to decrease consumption of a demerit good
- D to increase consumption of a demerit good

19 Which people are **most** likely to gain at a time of inflation?

- A companies who sell abroad
- B foreign tourists visiting the country
- C those living on their savings
- D those who are repaying borrowed money

- 20** The government of country Z announces an increase in spending on work-place training.

What is the effect of this supply-side policy likely to be?

- A** a decrease in country Z's employment rate
- B** a decrease in country Z's exchange rate
- C** an increase in country Z's economic growth rate
- D** an increase in country Z's interest rate

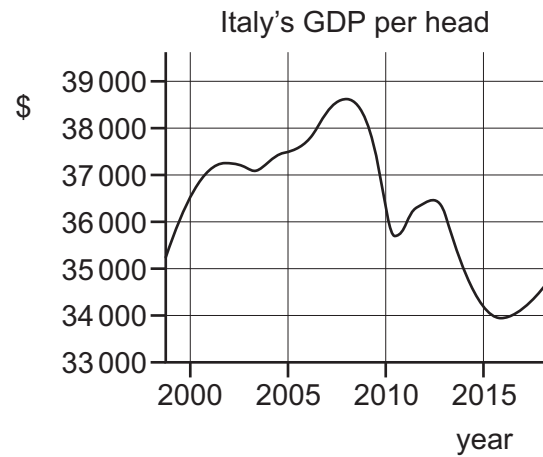
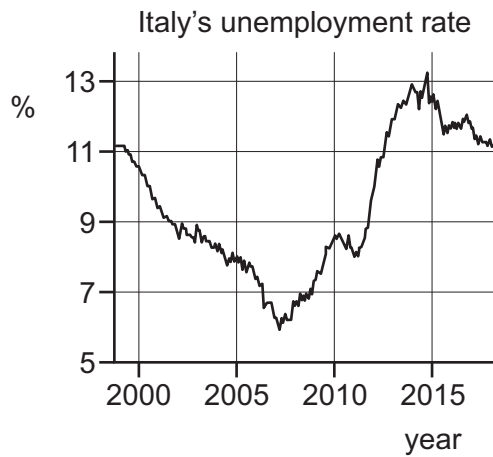
- 21** The table shows real GDP in US\$ billion for a country over a three-year period.

year	real GDP US\$ billion
1	205
2	215
3	219

What does the GDP data indicate for the country between year 1 and year 3?

- A** a reduction in the rate of inflation
 - B** an increase in the rate of economic growth
 - C** the existence of economic growth
 - D** the existence of economic growth per capita
- 22** What is a likely consequence of a falling level of unemployment?
- A** downward pressure on wage rates
 - B** increase in welfare benefit payments
 - C** rise in absolute poverty
 - D** rise in income tax revenue

23 The diagrams show Italy's unemployment rate and GDP per head.



When do Italy's unemployment rate and GDP per head rise at the same time?

- A** 2000–2001
- B** 2007–2008
- C** 2009–2010
- D** 2014–2015

24 During a recession, many people in a city become unemployed and their incomes fall. Some people can no longer pay the rent on their houses or buy the food they need.

What is the effect of the recession in the city?

	absolute poverty	relative poverty
A	increases	increases
B	increases	unchanged
C	unchanged	increases
D	unchanged	unchanged

- 25** The Peruvian government set itself the target of reducing the number of its population in poverty.

What change does **not** indicate that the Peruvian government had made progress towards this target?

- A** a rise in employment
 - B** a rise in infant mortality
 - C** a rise in life expectancy
 - D** a rise in the level of adult literacy
- 26** What is **not** a reason for the decline in manufacturing industries in developed economies in recent years?
- A** growth of newly industrialised competitor countries
 - B** invention of automated production methods
 - C** rising costs of factor inputs in the steel industry
 - D** considerable skill shortages as school-leavers prefer to work in the service sector
- 27** The table shows a country's exports and imports.

	\$m
exports of goods	200
imports of goods	190
exports of services	35
imports of services	38

What was the country's balance of trade in goods and services?

- A** a deficit of \$7 million
- B** a deficit of \$13 million
- C** a surplus of \$7 million
- D** a surplus of \$13 million

- 28 Country X exports steel to country Y at a price below its cost of production. This has led to a fall in demand for steel produced in country Y.

What is a method of trade protection that country Y could use to reduce the imports of steel from country X?

- A apply anti-dumping tariffs
- B increase interest rates
- C revalue the currency
- D subsidise the export of steel

- 29 What would increase the demand for a country's currency on the foreign exchange market?

- A a decrease in its inward investment
- B a decrease in its rate of interest
- C an increase in its exports
- D an increase in its imports

- 30 Country X has a persistent deficit on the current account of the balance payments.

Which policy measure is **most** likely to improve this situation?

- A lowering import quotas
- B lowering income tax
- C lowering import tariffs
- D lowering export subsidies

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Cambridge IGCSE™

ECONOMICS

Paper 1 Multiple Choice

0455/12

October/November 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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INFORMATION

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- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

1 Which statement is correct?

- A Economic goods are **not** scarce.
- B Economic goods have no opportunity cost.
- C Free goods are scarce.
- D Free goods have no opportunity cost.

2 The economy of country X is always on its production possibility curve (PPC).

When will the goods and services produced by country X become more scarce?

	PPC	population size
A	shifts left	increases
B	shifts right	unchanged
C	unchanged	decreases
D	unchanged	unchanged

3 What is capital?

- A the ability to organise the factors of production
- B the energy used in production
- C the factory used in production
- D the money invested in a firm

4 What are features of a market economy?

	private ownership of factors of production	public ownership of factors of production	government allocation of production
A	no	no	yes
B	no	yes	yes
C	yes	no	no
D	yes	yes	yes

- 5 Public transport and cars are substitute goods. The price of public transport rises.

What will happen to the demand for cars?

- A It will contract.
- B It will extend.
- C It will decrease.
- D It will increase.

- 6 The markets of four products are all in equilibrium. The table gives the value of the price elasticity of supply (PES) for each product.

The demand for each product shifts to the right by 5000 units at all prices.

Which product will have the largest price increase?

	price elasticity of supply
A	0
B	0.6
C	1.0
D	2.5

- 7 What is the value of the price elasticity of demand (PED) for a product if total revenue remains the same when the price is reduced?

- A zero
- B between 0 and 1
- C greater than 1
- D 1

- 8 The owner of a hotel in Malaysia finds that the price elasticity of demand (PED) for accommodation in the area is -1.7 .

If the hotel owner decreases the price of a room by 5%, how would the demand for a room change?

- A It would decrease by 2.9%.
- B It would decrease by 8.5%.
- C It would increase by 2.9%.
- D It would increase by 8.5%.

- 9 Good weather results in an increase in the demand for tomatoes. It also increases the supply of tomatoes.

What **must** be a result of this?

- A The price of tomatoes will fall.
- B The price of tomatoes will rise.
- C The quantity of tomatoes traded will fall.
- D The quantity of tomatoes traded will rise.

- 10 What causes a change in the price of a product in a free market economy?

- A changes in demand and supply conditions
- B changes in external costs and external benefits
- C changes in government decisions
- D changes in the quantity of public goods

- 11 The ways of making and receiving payments continue to develop. Payments can now be made using smartphones, as well as cash, debit cards and credit cards.

Which method of paying for products provides no information to sellers about their customers?

- A cash
- B debit cards
- C credit cards
- D smartphones

12 In most countries, which organisation controls the banking system?

- A central bank
- B commercial bank
- C investment bank
- D World Bank

13 What is **not** a reason for differences in the earnings of airline pilots in a particular country?

- A bargaining power of employees
- B discrimination
- C government policies
- D inflation

14 An airline takes over an online clothing company.

What is an advantage of such a move by the airline?

- A to diversify their operations
- B to generate economies of scale
- C to improve lines of communication
- D to increase market share

15 In which type of industry is a firm **most** likely to make a large profit in the short run and in the long run?

	number of firms in the industry	barriers to entry into the industry
A	many	high
B	many	low
C	one	high
D	one	low

- 16 A firm produces five units of output at an average cost of \$20 per unit. The cost of the sixth unit is \$26.

What is the average cost of six units?

- A \$4.33 B \$6 C \$8.33 D \$21

- 17 What is an example of government macroeconomic policy?

- A increasing the money supply
- B preventing price rises in the food industry
- C removing a monopoly's barriers to entry
- D setting a maximum price for wheat

- 18 Why would devaluing the international value of an economy's currency help reduce unemployment?

- A Devaluing the currency would increase the cost of production.
- B Devaluing the currency would increase the confidence of investors.
- C Devaluing the currency would increase the foreign demand for domestic products.
- D Devaluing the currency would increase the demand for imports.

- 19 What is likely to happen when the rate of interest increases?

- A consumer spending increases
- B firms buy fewer machines
- C people hold more cash
- D savers earn lower rewards

- 20 What is **not** a supply-side policy measure?

- A control of trade union power
- B higher indirect taxation
- C privatisation
- D skills training for workers

- 21 The table shows the real GDP per head for a country in 2021 and 2022.

2021	2022
\$20 000	\$21 000

What is **most** likely to have changed between 2021 and 2022?

- A Incomes were distributed more evenly.
 - B There was more activity in the informal economy.
 - C The living standards of some people improved.
 - D The rate of inflation increased.
- 22 Which change to fiscal policy is **most** likely to reduce cyclical unemployment in an economy?
- A increasing direct taxation
 - B increasing the budget deficit
 - C increasing the budget surplus
 - D increasing the money supply
- 23 What must have happened in a country when it experienced an annual rate of inflation of 100%?
- A The money supply doubled.
 - B The price level halved.
 - C The purchasing power of money halved.
 - D The real value of money doubled.
- 24 The Human Development Index (HDI) can be used to measure human development in countries.
- Which measure would **not** be part of its calculation?
- A inequality of incomes
 - B life expectancy
 - C gross national income per head
 - D years of schooling

25 What is the **most** likely consequence of an ageing population for a high-income economy?

- A There will be a fall in the dependency ratio.
- B There will be a fall in the level of immigration.
- C There will be an increase in geographic mobility.
- D There will be an increase in spending on healthcare.

26 In some developing countries a large percentage of the population is involved in subsistence farming.

What can be concluded from this?

- A Each family will be able to produce enough to live on.
- B Production is unlikely to be capital intensive.
- C Production will be efficient.
- D There will be a high level of trade.

27 A small country whose only export is oil decides to reduce substantially the rate at which it extracts its limited oil reserves.

What is the **most** likely reason for this decision?

- A to improve the balance of payments in the following year
- B to increase current government income
- C to maintain future living standards
- D to raise the level of employment in the oil industry

28 Country X believes that country Y is selling steel at prices below the average cost of production. So, country X imposes a higher tariff on steel imports from country Y.

What does country X hope to achieve by imposing this higher tariff?

- A avoid country X dumping steel in country Y
- B avoid country Y dumping steel in country X
- C reduce inflation in country X
- D reduce inflation in country Y

29 Which factor would cause a country's exchange rate to fall?

- A** Demand for imports increases.
- B** Domestic interest rates rise.
- C** Domestic savings increase.
- D** More tourists visit the country.

30 Many European firms employ workers from the Philippines. These workers send part of their income to relatives in the Philippines.

In which part of the balance of payments current account for the Philippines would these transactions be recorded?

- A** primary income
- B** secondary income
- C** trade in goods
- D** trade in services

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

February/March 2024

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark.
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This document has **12** pages. Any blank pages are indicated.



1 What causes economic agents to make choices?

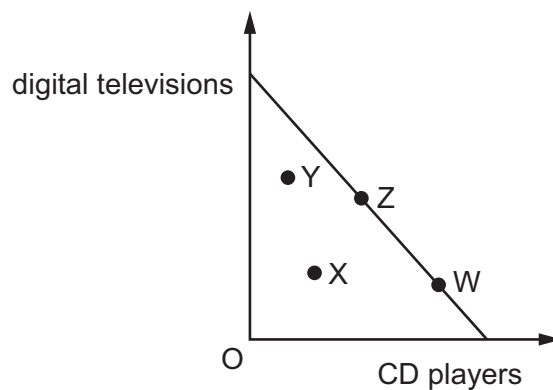
- A limited needs and wants
- B the existence of finite resources
- C the existence of free goods
- D the market mechanism

2 A government announces that it will spend an extra \$10bn on healthcare, financed by reducing expenditure on defence.

What is the economic concept represented by this decision?

- A expansionary monetary policy
- B increased spending on a public good
- C opportunity cost
- D the operation of the market mechanism

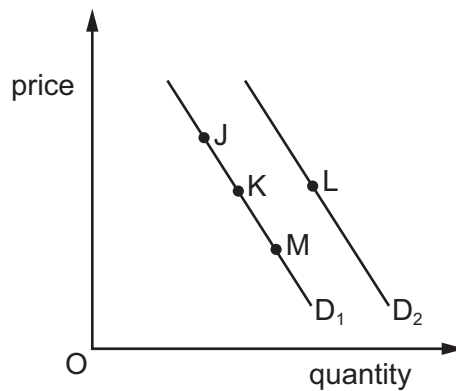
3 The diagram shows a production possibility curve (PPC) for digital televisions and CD players.



Which movement shows an increase in the use of existing resources to increase production for both digital televisions and CD players?

- A X to W
- B X to Z
- C Z to W
- D Z to Y

- 4 The diagram shows points on two demand curves.



Which movement between points shows a contraction in demand?

- A** K to J **B** K to M **C** L to K **D** M to L
- 5 What would **not** cause a shift in the supply curve?
- A** changes in costs of production
- B** changes in direct taxes
- C** changes in indirect taxes
- D** changes in a subsidy from the government
- 6 For health reasons, consumers decide that they want to eat more vegetables and less meat.

What price signals would the market system send to reallocate resources so that consumers get what they want?

	price of vegetables	price of meat
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

7 What is a likely benefit of a country moving from a mixed economy to a market economy?

- A less inequality
- B more nationalisation
- C more public goods
- D reduced costs of production

8 What is an external cost of smoking cigarettes?

- A the cost of the cigarette packaging
- B the cost to non-smokers' health
- C the cost to smokers
- D the tax on cigarettes

9 A firm is considering doubling the price of its product.

Which price elasticity of demand (PED) for its product would give it the greatest increase in revenue?

- A 0.0 B -0.5 C -1.0 D -2.0

10 The table shows information about four financial institutions.

Which institution is most likely to be a commercial bank?

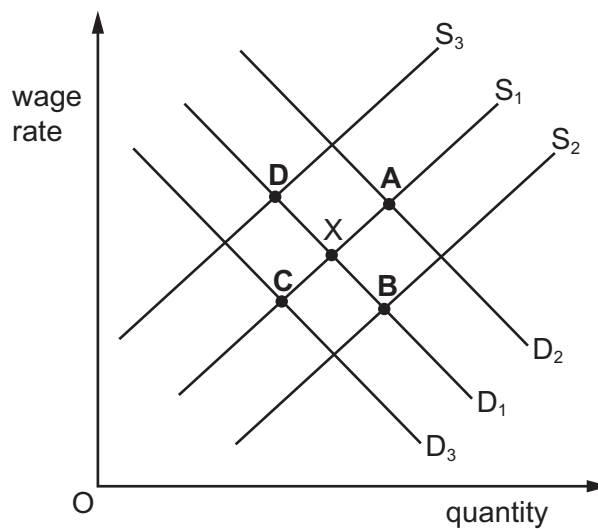
	it is the government's bank	it is owned by shareholders
A	no	no
B	no	yes
C	yes	no
D	yes	yes

11 What shows a forwards vertical merger?

- A A smartphone producer buys a computer chip producer.
- B A steel producer buys a car producer.
- C A tractor producer buys a wheat producer.
- D An oven producer buys a washing machine producer.

12 The diagram shows the demand for and the supply of labour for farm workers. The initial equilibrium is X.

What will be the new equilibrium if there is an increase in labour productivity?



13 Which service is most likely to be supplied by a small business?

- A banking
- B dental treatment
- C energy distribution
- D rail travel

14 When a firm produces 100 units, its total variable cost is \$1000 and its total fixed cost is \$4000.

What is the firm's average total cost?

- A \$10
- B \$30
- C \$40
- D \$50

- 15** At a price of \$5, the demand for a firm's product is 1000 units per week. When its price rises to \$10, the demand for its product falls to 600 units per week.

What are the changes in the firm's average revenue (AR) and total revenue (TR) per week when the price of its product rises?

	change in AR \$	change in TR per week \$
A	+5	+1000
B	+5	+6000
C	+10	+1000
D	+10	+6000

- 16** A monopoly firm can often earn greater profits than a firm in a competitive market.

Which characteristic of monopoly is most likely to cause this?

- A** It can restrict the entry of new firms.
- B** It is a price-taker.
- C** It is protected by the government.
- D** Its total costs are usually low.

- 17** An economy is experiencing a period of deflation with lower output and rising unemployment.

Which policy measure would the government be most likely to use to correct this?

- A** improve education and training
- B** increase interest rates
- C** reduce income tax
- D** reduce unemployment benefits

- 18** What is likely to increase with economic growth?

- A** cyclical unemployment
- B** income per head
- C** the budget deficit
- D** the stock of natural resources

- 19** An economy has a high rate of inflation.

Which monetary policy measure is required to reduce inflation?

- A** a depreciation of its currency against the US dollar
- B** an increase in the money supply
- C** an increase in the rate of interest
- D** an increase in the basic rate of income tax

- 20** Three statements about policy measures are listed.

- 1 improved education and training
- 2 deregulation
- 3 reduction in the basic rate of income tax

What are the supply-side policy measures that would enable the government to make the income distribution more equal?

- A** 1, 2 and 3 **B** 1 and 2 only **C** 1 and 3 only **D** 2 only

- 21** In a mixed economy, a government provides some goods that markets cannot.

What is the name of these goods?

- A** free goods
- B** economic goods
- C** merit goods
- D** public goods

- 22** Which of these people would be classed as unemployed?

- A** a student who does not work
- B** a person who does not have a job and is actively looking for one
- C** a retired person who does not work
- D** an adult who does not have a job and stays at home to provide childcare

- 23** The table shows the weights attached to four items in the Consumer Prices Index of a country in year 1 and in year 2.

item	year 1	year 2
food	33	33.5
transport	18	17.5
rent	11	10.5
clothing	9	10

Which conclusion can be drawn?

- A** food prices were higher in year 2 than in year 1
 - B** people spent less on transport in year 2 than in year 1
 - C** people spent more on food in year 2 than in year 1
 - D** a greater proportion of income was spent on clothing in year 2 than in year 1
- 24** The table shows the percentage (%) shares of income going to different household income groups in a country in two years.

household income group	year 1 % share of income	year 2 % share of income
highest 20%	50	53
next highest 20%	20	22
next highest 20%	15	18
next highest 20%	10	5
lowest 20%	5	2

What can be concluded about the change over the period?

- A** The distribution of income has become more unequal.
- B** The number of households in the highest 20% has increased.
- C** The proportion of households in absolute poverty has increased.
- D** The proportion of households in relative poverty has fallen.

25 An economy has a high rate of population growth.

What is most likely to have caused this?

- A** The average years of schooling is relatively high.
- B** The birth rate is lower than the death rate.
- C** The retirement age has increased.
- D** There are more immigrants than emigrants.

26 What is the most likely cause of an increase in poverty in developing economies?

- A** an increase in poor nutrition and ill-health
- B** an increase in education provision
- C** an increase in international tourism
- D** an increase in trade union bargaining power

27 Two countries wish to use their scarce resources to specialise in production and trade with each other.

Under which conditions is this most likely to happen?

	the resource allocations of the two countries	the ability of each country to reallocate their resources
A	different	difficult
B	different	easy
C	similar	difficult
D	similar	easy

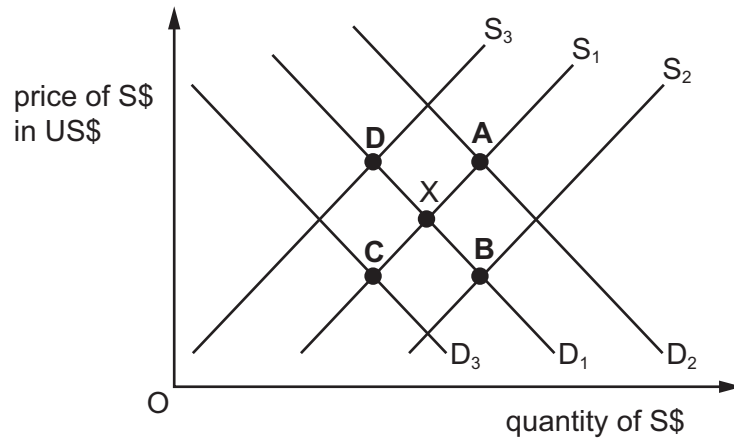
28 What is a likely effect of imposing a tariff?

- A** It encourages home industries to be more efficient.
- B** It increases the demand for home-produced goods.
- C** It reduces the price of home-produced goods.
- D** It reduces the price of imports.

- 29** The diagram shows the foreign exchange market for the Singapore dollar (S\$) in exchange for the United States dollar (US\$). The initial equilibrium point is at X.

The following month, Singapore imports more goods from the US but there is no change in Singapore exports to the US.

What is the new equilibrium point?



- 30** What is included in the primary income component on the current account of the balance of payments?
- A** dividends and interest from investment in other countries
 - B** expenditure on accommodation by international tourists visiting a country
 - C** expenditure on imported raw materials
 - D** social security payments paid to residents living abroad

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

May/June 2024

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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1 Why will scarcity always exist?

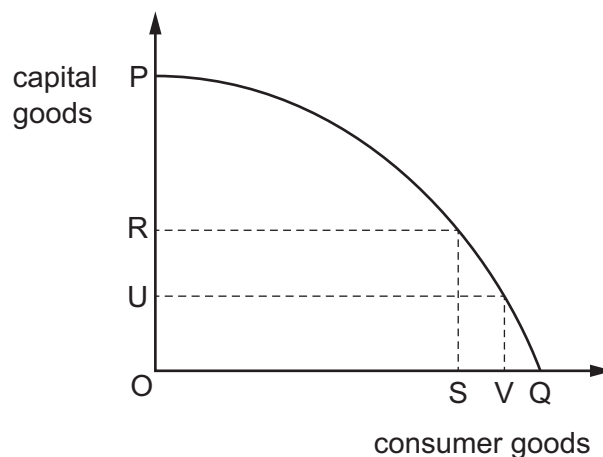
- A There are high costs of production.
- B There are low levels of education.
- C There are unlimited resources.
- D There are unlimited wants.

2 A student decides to take up a two-year apprenticeship for which she will earn \$10 000 per year. After that, she expects to earn \$25 000 per year. She could take an unskilled job which pays \$16 000 per year instead of the apprenticeship.

What is the opportunity cost in the two years of completing the apprenticeship?

- A \$10 000 B \$12 000 C \$25 000 D \$32 000

3 The diagram shows a country's production possibility curve (PPC).



Which current combination of capital and consumer goods would produce the greatest number of consumer goods in the future?

- A O and Q B P and O C R and S D U and V

4 What is **not** a macroeconomic topic?

- A the growth in Chinese Gross Domestic Product
- B the level of Consumer Prices Index inflation in the UK
- C the level of unemployment in Spain
- D the total output of the German car industry

5 What is likely to cause an extension in demand for a firm's fruit drink?

- A a period of hot weather
- B a reduction in the cost of producing the drink
- C a rival firm leaving the market
- D a successful advertising campaign by the firm

6 Supermarkets sell petrol (gas) outside their stores. They reduce the price of petrol below other suppliers to attract more customers to buy goods in the store when they buy more petrol.

If this were successful, how might it be shown on demand and supply diagrams?

	demand and supply diagram for petrol	demand and supply diagram for the store's goods
A	shift of the demand curve to the left	shift of the supply curve to the left
B	shift of the demand curve to the right	shift of the demand curve to the left
C	shift of the supply curve to the left	shift of the supply curve to the right
D	shift of the supply curve to the right	shift of the demand curve to the right

7 Which statement describes a market in disequilibrium?

- A Excess demand results from a government maximum price below the equilibrium price.
- B The point where the demand and supply curves cross.
- C Price changes cause further changes in both demand and supply.
- D The quantity demanded by consumers equals the quantity supplied by producers.

8 In response to an increase in price from \$5 per kg to \$6 per kg, a farmer increased supply from 400 kg to 500 kg per week.

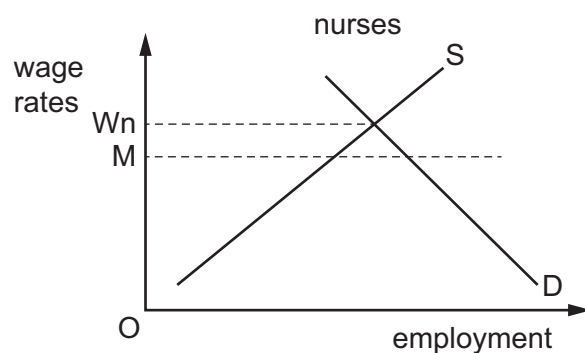
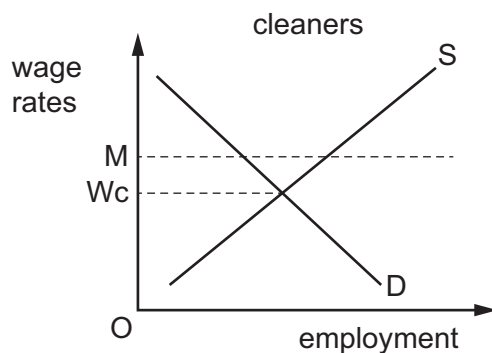
What is the price elasticity of supply?

- A 0.8
- B 0.9
- C 1.2
- D 1.25

9 Which government measure is most likely to cause a fall both in price and in quantity traded?

- A indirect tax
- B maximum price
- C minimum price
- D subsidy

10 The diagrams show the wage rates of cleaners (OWc) and nurses (OWn).



What is the result if a national minimum wage of OM is introduced?

	wage rates of cleaners	wage rates of nurses
A	fall	rise
B	no change	fall
C	rise	fall
D	rise	no change

11 What would cause a decrease in spending by households in a country?

- A a reduction in disposable income
- B a reduction in the rate of sales tax
- C lower interest rates
- D lower savings

12 Which combination shows the advantages of a small firm over a larger firm?

	better communication	greater independence	lower average cost
A	no	no	yes
B	no	yes	no
C	yes	yes	no
D	yes	yes	yes

13 What is a variable cost for a firm?

- A** the cost of raw materials
- B** the interest payment on existing loans
- C** the rent on the factory
- D** the insurance on the factory buildings

14 The table shows the daily average revenue and units of output sold for a firm producing bicycles over a five day period.

day	average revenue (\$)	units of output sold
1	200	2
2	160	4
3	120	8
4	80	14
5	40	16

What can be concluded from the table?

- A** The firm's highest total revenue occurs at 2 units of output sold.
- B** The firm's highest total revenue occurs at 14 units of output sold.
- C** The firm's prices are always greater than total revenue.
- D** The firm's total revenue always increases as output rises.

15 Which function of money acts as a measure of value?

- A a medium of exchange
- B a standard of deferred payment
- C a store of wealth
- D a unit of account

16 What are the features of a highly competitive market when compared with a monopoly market?

	price	profit
A	higher	higher
B	higher	lower
C	lower	higher
D	lower	lower

17 What is **not** a role of central government in a mixed economy?

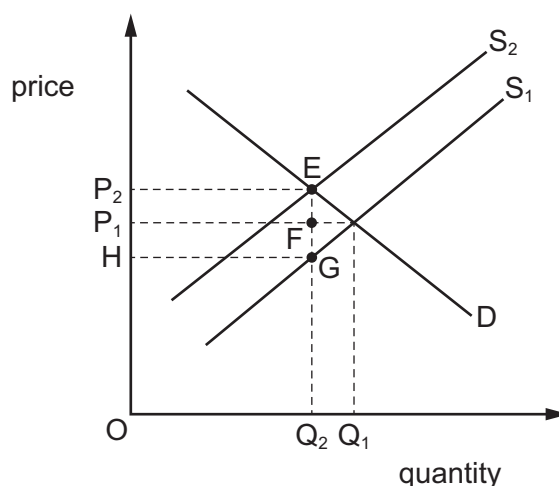
- A providing demerit goods
- B providing merit goods
- C providing public goods
- D stabilising the economy

18 A government wishes to prevent deflation.

Which combination of policies would be the most effective in achieving this aim?

	interest rate	government spending
A	increase	increase
B	increase	reduce
C	reduce	increase
D	reduce	reduce

19 The diagram shows the impact of a tax introduced on a product.



Which area represents the amount of tax paid by the consumer?

- A** HP_1FG **B** HP_2EG **C** OP_2EQ_2 **D** P_1P_2EF

20 Which statement about supply-side policy is correct?

- A** It aims to increase the productive potential of the economy.
B It aims to increase total demand in the economy.
C It involves changes in the equilibrium foreign exchange rate.
D It involves changes in the rate of interest.

21 Which change is most likely to cause faster economic growth in the short run?

- A** an increase in net emigration
B an increase in the birth rate
C an increase in the death rate
D an increase in the retirement age

22 How is the pattern of employment likely to change when a country becomes more developed?

- A** from rural employment to urban employment
B from skilled employment to primary employment
C from technical employment to manual employment
D from tertiary employment to secondary employment

23 Which item is **least** likely to be included in the Consumer Prices Index (CPI)?

- A** domestic cooking oil
- B** homemade clothes
- C** milk
- D** personal mobile phones

24 The table shows statistics for four countries **A**, **B**, **C** and **D**.

According to the data provided, which country has the lowest standard of living?

	average years of schooling	life expectancy (years)	GDP per head (\$)
A	6	45	200
B	7	47	200
C	9	60	220
D	12	59	1500

25 Economic development in country X has progressed at a greater rate than in country Y.

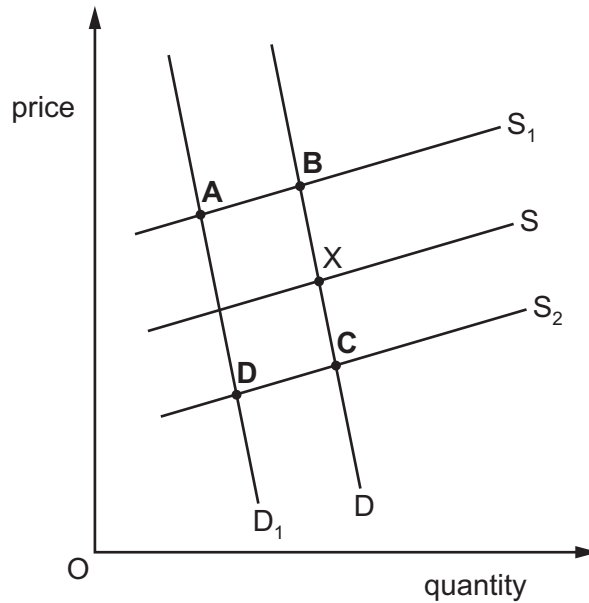
What is the most likely explanation of this difference in economic development between country X and country Y?

- A** Country X has a higher level of spending on education than country Y.
- B** Country X has a higher level of unemployment than country Y.
- C** Country Y has a higher level of investment spending than country X.
- D** Country Y has a higher level of spending on healthcare than country X.

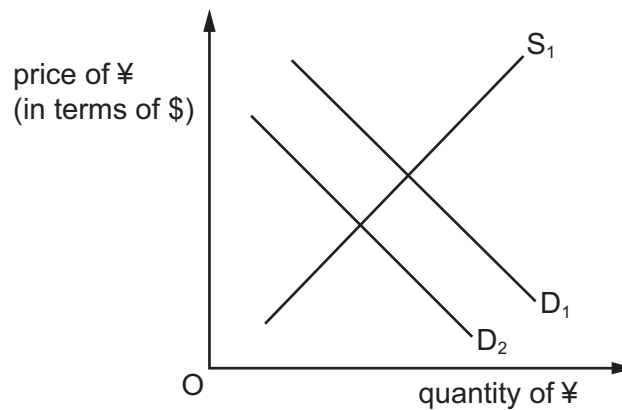
26 A rise in which factor would cause an increase in the population growth rate of a country?

- A** birth rate
- B** death rate
- C** infant mortality rate
- D** net emigration

- 27** The diagram shows the market for an imported good with equilibrium at point X.
- The country imposes a tariff on this good.
- Is the new equilibrium at point **A**, **B**, **C** or **D**?



- 28** The diagram shows the market for the Chinese yuan (¥) priced in US dollars (\$).



What could have caused the change in demand for the yuan from D_1 to D_2 ?

- A** a decrease in foreign direct investment in China
- B** a decrease in the level of tariffs levied by China on imports
- C** an increase in the buying of yuan by central banks
- D** an increase in the Chinese rate of interest

- 29** The table shows the average exchange rate of the UK pound (£) to the US dollar (\$), that is the amount of \$ that can be bought with £1.

year	exchange rate UK£/US\$
1	1.64
2	1.52
3	1.35
4	1.25

What is a likely effect of this change on the UK economy?

- A** decreased cost-push inflation
 - B** decreased current account deficit
 - C** increased quantity of imports
 - D** increased trade deficit
- 30** The table shows components of Japan's current account balance in trillion yen (¥) for 2 years.

year	balance of goods ¥ trillion	balance of services ¥ trillion	balance of primary income ¥ trillion	balance of secondary income ¥ trillion
1	-1.61	-1.76	14.04	-1.11
2	-5.23	-2.33	13.55	-1.02

Which balance improved between year 1 and year 2?

- A** balance of goods
- B** balance of primary income
- C** balance of secondary income
- D** balance of services

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

October/November 2024

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
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Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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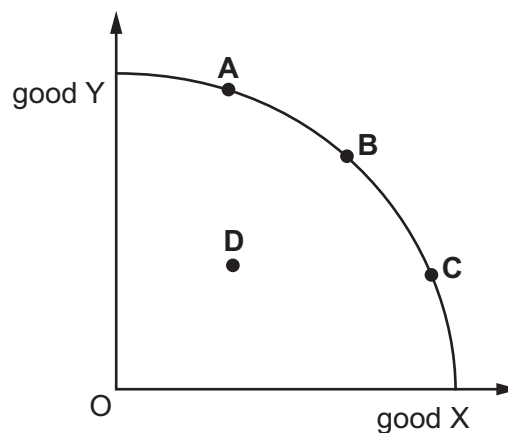
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- 1 Which economic question is **least** likely to arise as a result of scarcity?
- A For whom will we produce?
 - B How will we produce?
 - C What will we produce?
 - D When will we produce?
- 2 What is opportunity cost?
- A the allocation of resources in an economy
 - B the cost to the individual when they consume a good
 - C the lack of goods and services available to satisfy unlimited wants
 - D the next best alternative forgone when making an economic decision
- 3 The diagram shows a production possibility curve (PPC) for an economy that produces two goods, X and Y.

Which point shows the greatest opportunity cost of producing one more unit of good X?

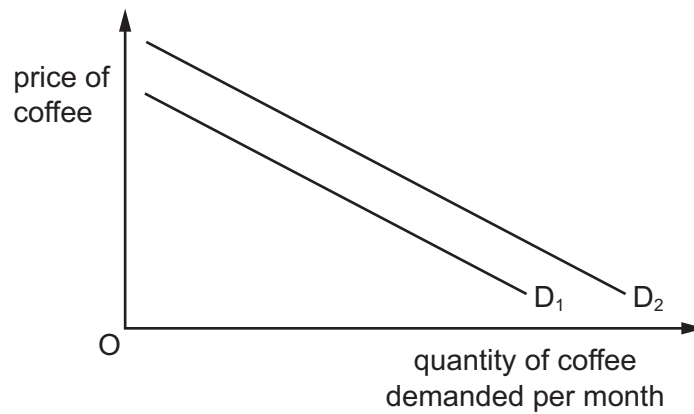


- 4 A period of bad weather leads to a failure of the rice crop.

What is the effect on the market for rice?

- A a shortage of rice and a fall in its price
- B a shortage of rice and a rise in its price
- C a surplus of rice and a fall in its price
- D a surplus of rice and a rise in its price

- 5 The diagram shows a change in demand for coffee.



What would cause the demand for coffee to change from D_1 to D_2 ?

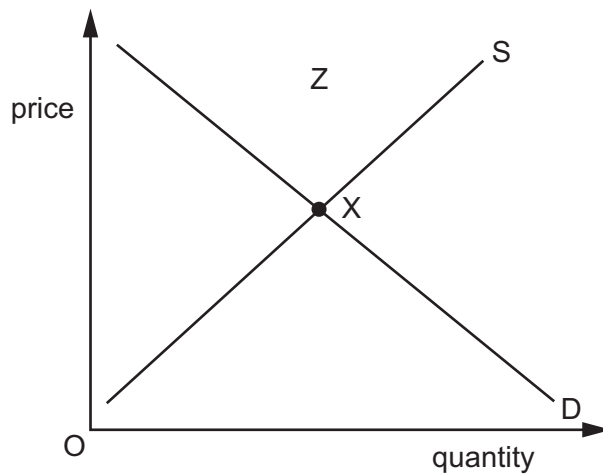
- A a good coffee harvest
 - B a rise in the price of substitute drinks
 - C a rise in the wages of coffee workers
 - D a successful advertising campaign for tea
- 6 The table shows the supply for a product at different prices.

price (\$)	supply (units)
10	120
12	160
14	200
16	240
18	280

If the price changes from \$12 to \$14, what will be the change in supply?

- A Supply will contract by 40 units and there will be a movement down along the supply curve.
- B Supply will contract by 200 units and there will be an inward shift of the supply curve.
- C Supply will extend by 40 units and there will be a movement up along the supply curve.
- D Supply will extend by 200 units and there will be an outward shift of the supply curve.

- 7 Which changes would move the equilibrium in the diagram from point X to point Z?



- A** a decrease in demand with a decrease in supply
B a decrease in demand with an increase in supply
C an increase in demand with a decrease in supply
D an increase in demand with an increase in supply
- 8 When the price of shirts rises from \$8 to \$10, the demand for shirts falls from 1000 to 500.
 What is the value of the price elasticity of demand for shirts?
- A** greater than 1
B unitary
C less than 1
D zero
- 9 A government intends to build a new international airport in an area of outstanding natural beauty.
 What would be an external cost of this decision?
- A** the cost of importing construction materials
B the enjoyment lost by those unable to use the countryside
C the increase in profits for local businesses
D the wages paid to the construction workers

10 What is an important role of a central bank?

- A** attempts to achieve price stability
- B** issues credit cards
- C** provides loans to producers
- D** provides savings accounts for consumers

11 How would a change in the demand for labour affect the labour market in an occupation?

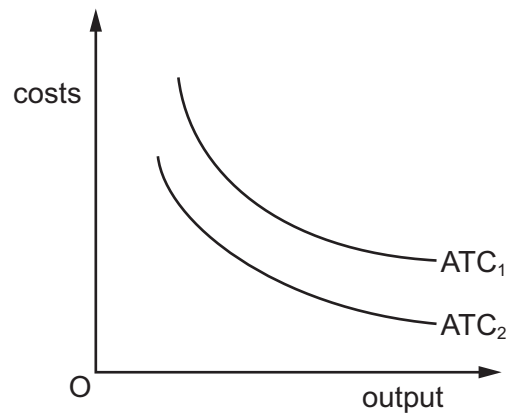
	change in demand for labour	change in the equilibrium wage	change in quantity of labour supplied
A	decrease	decrease	extend
B	decrease	increase	contract
C	increase	decrease	contract
D	increase	increase	extend

12 A fast-food multinational bought a food-ordering website, in order to allow the multinational's customers to download menus and make advance payments.

Which term best describes this merger?

- A** backward vertical
- B** conglomerate
- C** forward vertical
- D** horizontal

- 13 The diagram shows the average total cost (ATC) for a firm, in the long run.



What would cause the shift from ATC_1 to ATC_2 ?

- A difficulties in controlling the firm
 - B external economies of scale
 - C managerial economies of scale
 - D technical economies of scale
- 14 What is most likely to encourage capital-intensive production methods in a low-income economy?
- A expensive capital equipment costs
 - B grants from foreign aid programmes
 - C supplies of local low-cost labour
 - D a shortage of highly trained supervisors
- 15 A firm's average revenue is \$20. It sells 1000 units.

What are the firm's total revenue and the price of the product?

	total revenue (\$)	price (\$)
A	20	20
B	1 000	50
C	20 000	20
D	20 000	50

16 A competitive industry becomes a monopoly.

What is the most likely advantage for consumers?

- A** consumer choice may increase
- B** economies of scale may reduce prices
- C** more goods may be produced
- D** prices may be set by market forces

17 What will cause real GDP to rise in a country?

- A** nominal GDP rising at a faster rate than employment
- B** nominal GDP rising faster than inflation
- C** nominal GDP rising faster than the population
- D** nominal GDP rising

18 What is the money supply?

- A** the total quantity of foreign currency available within the economy
- B** the total quantity of money available within the economy
- C** the total quantity of money issued by the central bank
- D** the total quantity of money within commercial banks

19 Which macroeconomic policy is most likely to achieve economic growth and price stability at the same time?

- A** fiscal policy
- B** import barriers
- C** monetary policy
- D** supply-side policy

20 What is the definition of economic growth?

- A** It is an increase in the general level of prices over time.
- B** It is an increase in the level of a nation's output over time.
- C** It is an increase in the level of total demand over time.
- D** It is an increase in wages, interest, profits and rent over time.

21 What causes cyclical unemployment in a recession?

- A** a permanent decrease in the demand for labour
- B** a permanent decrease in the supply of labour
- C** a temporary decrease in the demand for labour
- D** a temporary decrease in the supply of labour

22 The table shows government expenditure and revenue in selected years.

year	government expenditure \$bn	tax revenue \$bn
1	500	500
2	600	400
3	700	300

What might explain the changes in the government's budget over the period?

- A** a fall in the dependency ratio
- B** a fall in the exchange rate
- C** an increase in cyclical unemployment
- D** an increase in real GDP

23 The table shows changes in economic policies for four countries, **A**, **B**, **C** and **D**.

Which country is most likely to be following a policy of preventing deflation?

	money supply	government spending	taxation
A	decreasing	decreasing	decreasing
B	decreasing	decreasing	increasing
C	increasing	increasing	decreasing
D	increasing	increasing	increasing

24 Workers in Switzerland earn more on average than workers in Mexico.

What is a likely cause of this?

- A** A greater percentage of workers in Switzerland work part-time than in Mexico.
- B** The average worker in Switzerland is more productive than the average worker in Mexico.
- C** The average worker in Switzerland pays more income tax than the average worker in Mexico.
- D** The unemployment rate is higher in Switzerland than in Mexico.

25 The table contains details on birth rate, death rate and net migration for several countries in a year.

	birth rate	death rate	net migration
Australia	13	7	850 000
Brazil	14	6	30 000
Nigeria	39	12	–300 000
US	12	8	4 500 000

What can be concluded from the table?

- A** Only one country, Nigeria, had a decreasing population.
- B** The country with the lowest birth rate had the lowest death rate.
- C** The country with the lowest death rate had the highest birth rate.
- D** The country with the lowest natural rate of increase in population was the US.

26 Which combination best describes the characteristics of a high-income economy?

	GDP per head (US\$)	Human Development Index value	percentage of the labour force in the tertiary sector
A	high	high	high
B	high	high	low
C	low	low	high
D	low	low	low

27 What might encourage international specialisation between countries?

- A** free trade
- B** inefficiencies in production
- C** labour immobility
- D** tariffs

28 A government wishes to stop the dumping of a specific imported good at a very low price.

Which method of protection would be most effective?

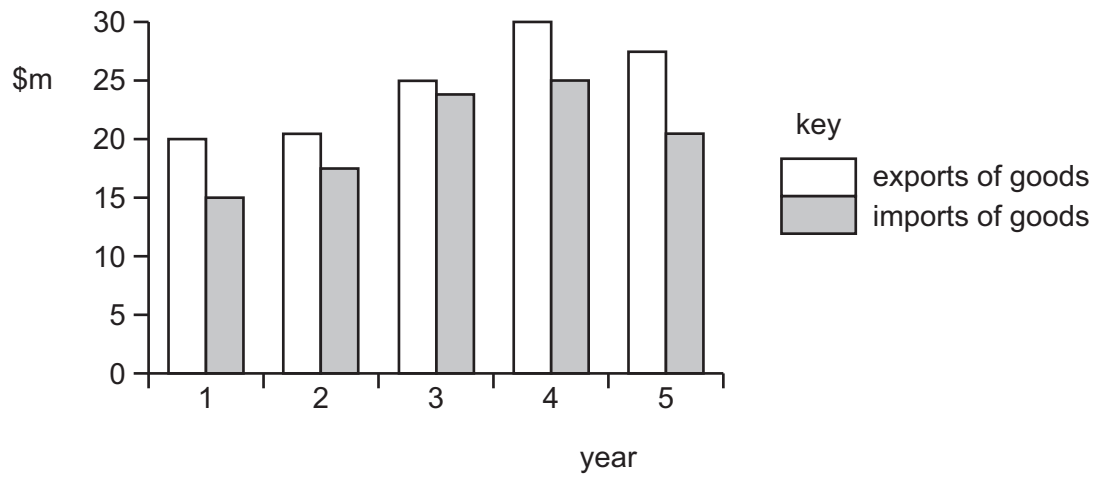
- A** apply an embargo to this good
- B** devalue the currency
- C** increase interest rates
- D** provide subsidies to home producers of this good

29 The price of the US dollar in terms of other currencies is set by the forces of demand and supply.

To what does this statement refer?

- A** an alternative method of trade protection
- B** the determination of the exchange rate in a fixed exchange rate system
- C** the determination of the exchange rate in a floating exchange rate system
- D** the increasing globalisation of international trade

30 The diagram shows the value of a country's exports and imports of goods over five years.



Between which two years did the country have an increase in the value of imports and an improvement in its balance of trade in goods?

- A** 1 and 2 **B** 2 and 3 **C** 3 and 4 **D** 4 and 5

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

October/November 2025

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



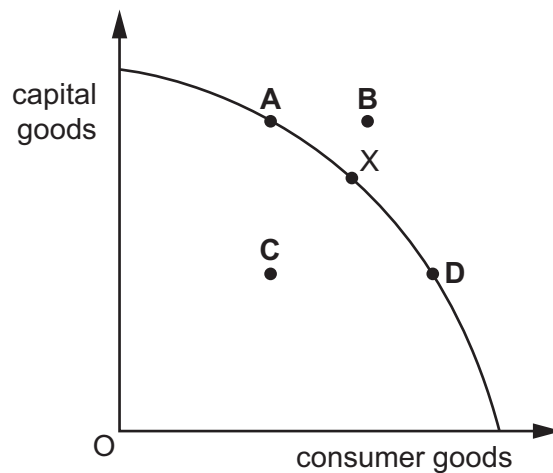
- 1 A government wants to build a new hospital.

What is most likely to prevent the government from doing this?

- A People in the country cannot afford healthcare.
 - B People in the country would go abroad for healthcare.
 - C The government cannot agree how big the hospital should be.
 - D The government does not have enough money.
- 2 Which term describes the loss of potential benefit to a consumer when making a choice between alternatives?
- A opportunity cost
 - B scarcity
 - C shortage
 - D the economic problem
- 3 A country is producing at point X on its production possibility curve (PPC) which shows how it can allocate its production between capital goods and consumer goods.

A period of recession then causes some of its factories to close.

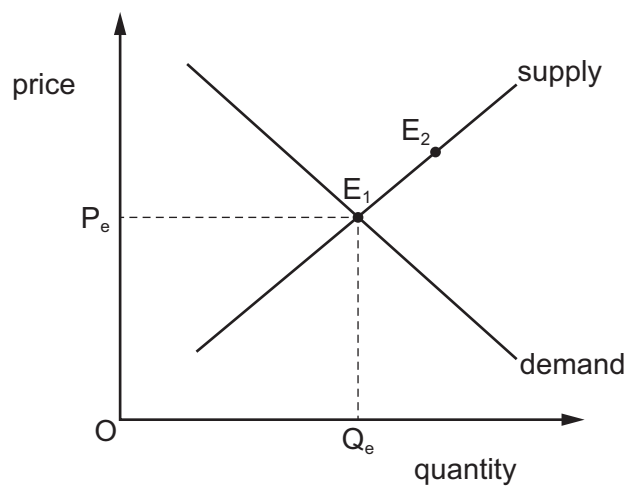
Which point could represent the country's new position?



- 4 Which combination gives correct examples of macroeconomics and microeconomics?

	macroeconomics	microeconomics
A	study of demand for a product	study of price of a product
B	study of behaviour of firms	study of individual behaviour
C	study of the economy as a whole	study of specific markets
D	study of the international economy	study of the national economy

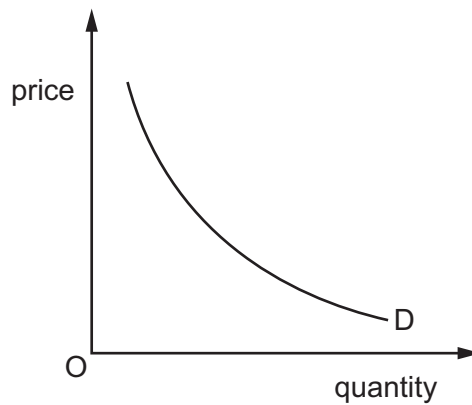
- 5 The diagram shows the supply and demand curves for a good. The initial market equilibrium is given at point E_1 . There is a change in the market that leads to a new equilibrium at E_2 .



What is the cause of the change in the market equilibrium?

- A** a decrease in the price of a substitute good
- B** a decrease in raw material prices
- C** an increase in the price of a substitute good
- D** an increase in raw material prices

- 6 The diagram shows the demand curve for a good.



What can be concluded about a single downward-sloping demand curve?

- A** consumers increase demand when their incomes rise
 - B** consumers plan to buy less when prices rise
 - C** firms produce less as prices rise
 - D** firms sell more when prices rise
- 7 When the price of butter increased by 10%, the quantity supplied of butter increased by 20%.

What is the price elasticity of supply (PES) of butter?

- A** -2.0 **B** -0.5 **C** +0.5 **D** +2.0
- 8 How are economic decisions determined in a market economic system?
- A** by a mixture of market forces and government intervention
 - B** by central planners of production and consumption
 - C** by government regulation of the price mechanism
 - D** by the forces of demand and supply

- 9 A bridge is built over a river which enables journey times to be reduced.

The table shows costs and benefits of building the bridge.

	\$000
private benefit	12
private cost	10
external benefit	8
external cost	5

Which calculation represents social benefit?

- A $\$12\,000 - \$10\,000 = \$2\,000$
- B $\$8\,000 - \$5\,000 = \$3\,000$
- C $\$12\,000 + \$5\,000 = \$17\,000$
- D $\$8\,000 + \$12\,000 = \$20\,000$
- 10 What is **not** a role of the central bank?
- A to act as the lender of last resort
- B to hold deposits from the general public
- C to issue notes and coins
- D to manage the gold reserves of the country
- 11 The table shows the proportion of disposable income spent on three different goods by four different households.

Which household is likely to have the lowest income?

	food %	transport %	holidays %
A	50	15	5
B	35	18	10
C	30	20	15
D	20	25	20

12 In which occupations do wages tend to be lowest?

- A** in those where the work is dangerous
- B** in those where there is an excess supply of labour
- C** in those where workers belong to trade unions
- D** in those where workers need long training

13 How might a trade union increase its bargaining power?

- A** by expanding the market for the product
- B** by increasing the cost of union membership for workers
- C** by restricting the entry of workers to the industry
- D** by supporting wage claims in other industries

14 To be able to produce a car tyre, rubber is required.

If a car tyre manufacturer merges with a supplier of rubber, which type of merger is this?

- A** conglomerate
- B** horizontal
- C** internal
- D** vertical

15 When it produces 100 units, a firm's total variable cost is \$300 and its total fixed cost is \$2700.

What is the average total cost?

- A** \$3 **B** \$24 **C** \$27 **D** \$30

16 What is likely to be found when there are many small firms in an industry?

- A** There are few barriers to entry.
- B** There is high expenditure on research and development.
- C** There is little competition.
- D** Very large capital costs are needed to establish a firm.

- 17 A government imposes tariffs on imported goods.

What is **not** a likely reason for this?

- A to boost domestic output
- B to influence the country's balance of payments
- C to protect domestic employment
- D to reduce the exports from the country

- 18 A government collects the following revenue in a year.

	\$m
taxes on goods	30
taxes on income	500
taxes on services	20
customs and excise duties	50

What is the amount of indirect tax revenue?

- A \$30m B \$70m C \$100m D \$500m

- 19 Which policy measures would be classified as fiscal policy?

- A changes in interest rates and money supply
- B changes in labour market policies to encourage more training
- C changes in tax rates and government spending
- D changes in the exchange rate

- 20 What is the most likely result of a fall in interest rates?

- A a fall in inflation
- B a fall in investment
- C a rise in consumer spending
- D a rise in saving

21 What does a successful supply-side policy increase in an economy?

- A** the level of unemployment
- B** the production possibilities
- C** the rate of inflation
- D** the rate of interest

22 In one particular year, South Sudan's population growth was 1.3% while its GDP growth was 2%.

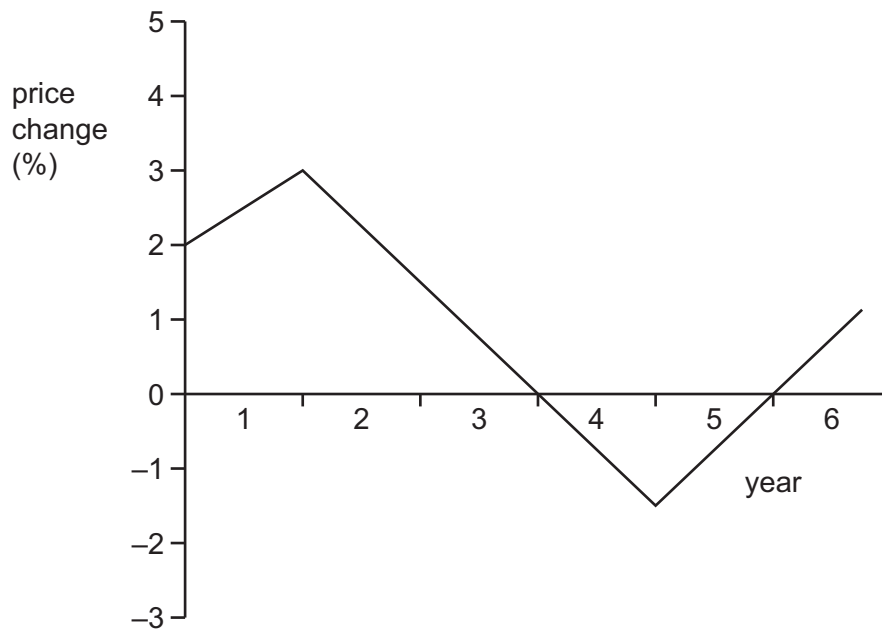
What is the most likely consequence of this?

- A** GDP per capita will decrease
- B** the rate of inflation will decrease
- C** the standard of living will increase
- D** unemployment will increase

23 What are the correct definitions of unemployment and employment relative to the number of people of working age?

	unemployment	employment
A	those who want a job but cannot get one at the current wage rate	those who are not in full-time education
B	those who want a job but cannot get one at the current wage rate	those who have a job at the current wage rate
C	those without a job	those who are not in full-time education
D	those without a job	those who have a job at the current wage rate

24 The graph shows changes in the average price level.



When did the country experience deflation?

- A** year 2 to year 5
- B** year 2 to year 3
- C** year 2 to year 4
- D** year 4 to year 5

25 In many high-income economies, increasing income inequality has led to greater levels of poverty.

Which combination of policies would aim to reduce income inequality?

	fiscal policy	supply-side policy
A	decrease corporation tax	create more competition
B	increase income tax	reduce the power of trade unions
C	increase inheritance tax	increase the national minimum wage
D	increase sales tax	privatise more public sector firms

- 26** A country has a falling birth rate and a rising death rate, while an increasing number of its working age adults (16–60 years) are seeking employment abroad.

How is this likely to affect the numbers in the different age groups in the country?

	under 16 years	16–60 years	over 60 years
A	fall	fall	fall
B	fall	rise	rise
C	rise	fall	rise
D	rise	rise	fall

- 27** What is an advantage of international specialisation?

- A** Choice is limited.
- B** Countries become over-dependent on each other.
- C** Resources are used more efficiently.
- D** Transport costs are decreased.

- 28** An economy raises its tariffs on imported goods.

What is the most likely result?

- A** a fall in the rate of inflation
- B** an increase in consumer choice
- C** an increase in domestic production
- D** the current account of the balance of payments moves into a deficit

- 29** Which combination of changes in export revenue and import expenditure is most likely to cause a country's exchange rate to depreciate?

	export revenue	import expenditure
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

30 A government wishes to reduce the deficit on the current account of its balance of payments.

Which policy should it adopt?

- A** increase subsidies on exports
- B** increase taxes on its exports
- C** remove an embargo on imports
- D** remove tariffs on its imports

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

February/March 2025

45 minutes

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You will need: Multiple choice answer sheet
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Soft pencil (type B or HB is recommended)

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1 What is classed as the factor of production land?

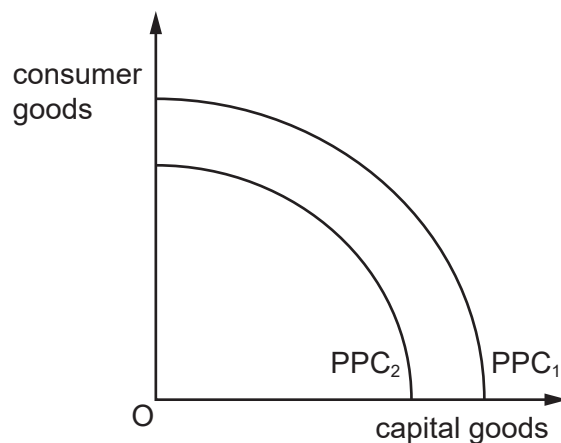
- A an airport
- B a car park
- C a doctor's office
- D a forest

2 An economics graduate chooses to work in a bank rather than teach economics which was the next best alternative.

Which cost is incurred as a result of this decision?

- A external cost
- B internal cost
- C opportunity cost
- D private cost

3 The diagram shows an initial production possibility curve of PPC_1 .



What is likely to have caused the movement of the production possibility curve PPC_1 to PPC_2 ?

- A a decline in non-renewable resources
- B a decline in the opportunity cost of consumer goods
- C an increase in investment
- D an increase in unemployment

4 What is an example of microeconomics?

- A a fall in the cost of growing wheat
- B a fall in the unemployment rate
- C an increase in the rate of inflation
- D an increase in government spending

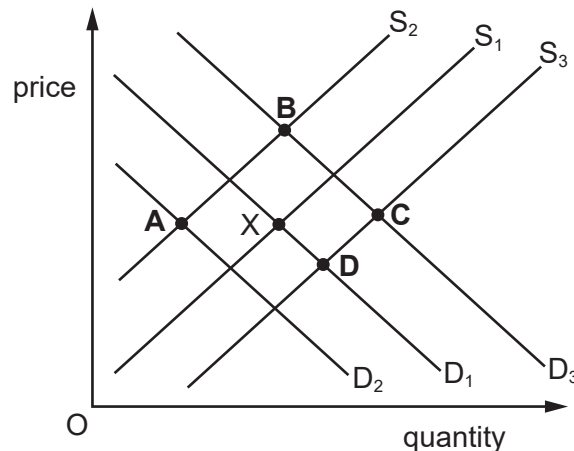
5 There are three key questions to be decided in determining resource allocation within an economy.

What does **not** relate to one of the choices in the three key questions?

- A whether all income groups receive the output
- B whether consumer or industrial goods are produced
- C whether economic goods or free goods are supplied
- D whether labour or capital is used in production

6 The diagram shows demand and supply curves for a good. The market is in equilibrium at point X.

What would be the new equilibrium position if there were a successful advertising campaign for the good and an increase in the cost of raw materials?



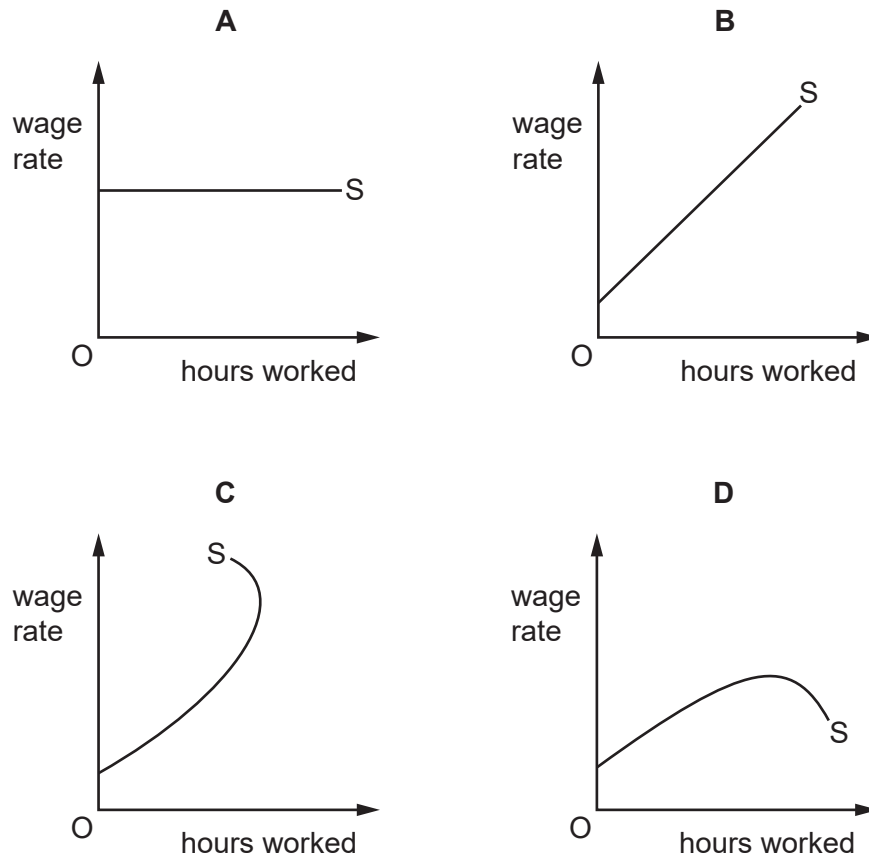
- 7 The price elasticity of demand for smartphones is believed to be -2.0 . A manufacturer decides to cut prices by 10%.

What will be the effect of this change in price?

- A demand will fall by 20%
 - B demand will rise by 5%
 - C quantity supplied will remain unchanged
 - D revenue will increase
- 8 What is a characteristic of a market economic system?
- A consumers decide whether production is labour-intensive or capital-intensive
 - B factors of production are government-owned
 - C high levels of government intervention
 - D land and capital are privately owned
- 9 A government intends to build a new road through a forest.
- What will be an external cost of this?
- A the cost of building the road
 - B the loss suffered by those who would have used the forest
 - C the cost of maintaining the road
 - D the new jobs created from the construction of the road
- 10 Which function does a central bank provide for the general public?
- A accepting deposits
 - B issuing banknotes
 - C making loans
 - D providing overdrafts

- 11** At higher wage rates an individual prefers to work shorter hours than receive extra income.

Which curve shows this?



- 12** In some countries, there has been a significant reduction in the number of trade union members.

Who are the members of trade unions?

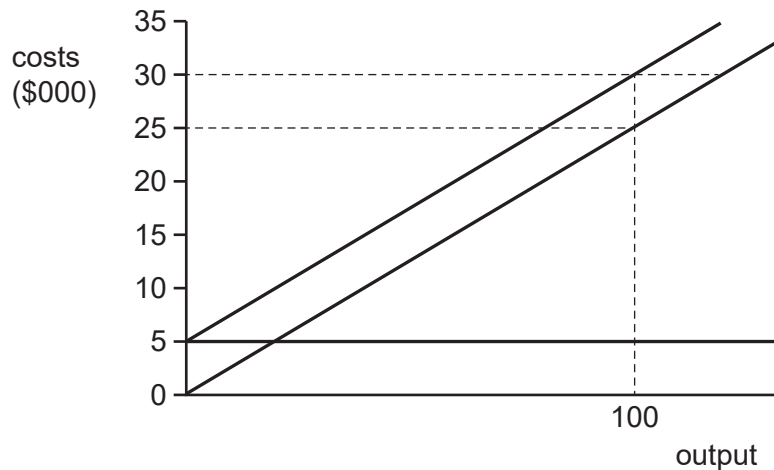
- A** employers
 - B** exporters
 - C** importers
 - D** workers
- 13** What would be most likely to encourage a firm to grow internally?
- A** when diseconomies of scale occur at low levels of output
 - B** when economies of scale occur at high levels of output
 - C** when new firms enter the market and increase competition
 - D** when the firm only supplies the local market

- 14** A car-wash firm has 3 workers. Before specialisation, each worker washed 5 cars per day. After specialisation, 30 cars per day are washed.

What is the percentage increase in productivity?

- A** 50% **B** 100% **C** 200% **D** 600%

- 15** The diagram shows the fixed costs, variable costs and total costs of a firm.



What is the firm's total variable cost at an output of 100 units?

- A** \$25 **B** \$5000 **C** \$25 000 **D** \$30 000

- 16** The table shows the average revenue of a firm at various levels of output.

output	average revenue (\$)
1	10
2	8
3	6
4	4

What happens to total revenue as output rises?

- A** Total revenue falls and then rises.
B Total revenue falls continuously.
C Total revenue rises and then falls.
D Total revenue rises continuously.

17 What is the definition of a government budget?

- A** a forecast of government spending and revenue for the following financial year
- B** an account of government taxation revenues for the current financial year
- C** an estimate of government capital spending for the current financial year
- D** an explanation of government spending for the following financial year

18 A government decides to increase defence expenditure and reduce direct taxes.

Which type of policy is this?

- A** exchange rate policy
- B** fiscal policy
- C** monetary policy
- D** trade protection policy

19 Governments use monetary policy such as increasing the rate of interest.

What is a result of increasing the rate of interest?

- A** It creates disincentives for wage earners.
- B** It discourages investment by entrepreneurs.
- C** It reduces the disposable income of consumers.
- D** It reduces government transfer payments.

- 20** The table shows the distribution of the working population in millions (m) in various sectors of an economy over two years.

economic sector	year 1 employment (m)	year 2 employment (m)
education	4	3
engineering	6	8
farming	2	1
finance	8	6
healthcare	4	5
motor vehicle production	5	5
oil extraction	2	2

What can be concluded from the information?

- A** Less output was produced in the economy in year 2 than year 1.
 - B** Fewer people were employed in the secondary sector in year 1 than year 2.
 - C** More people were employed in the primary sector in year 2 than year 1.
 - D** More people were employed in the tertiary sector in year 2 than year 1.
- 21** Which government intervention would increase the geographic mobility of labour?
- A** controlling firms locating in areas of low employment
 - B** giving grants to firms moving into areas of high unemployment
 - C** providing relocation expenses for workers
 - D** subsidising declining industries
- 22** Which action by employers is most likely to reduce long-term economic growth?
- A** allowing workers time off to attend retraining courses
 - B** encouraging workers to work flexibly in different roles
 - C** granting workers regular short breaks during the working day
 - D** replacing skilled workers with semi-skilled workers

- 23** The table shows the weights attached to various categories of goods in a Consumer Prices Index (CPI) in two years.

CPI category	year 1	year 2
clothing	100	200
food	400	300
energy	100	100
household goods	200	100
motoring	200	300
total	1000	1000

What can be concluded from the table when comparing year 1 and year 2?

- A** Real income spent by the average consumer on motoring increased.
 - B** The cost of producing food has fallen.
 - C** The CPI has not changed over the two years.
 - D** The proportion of income spent on clothing has increased.
- 24** The table shows the Human Development Index (HDI) values for two countries.

country	HDI value
X	0.90
Y	0.45

What might explain the difference in the HDI values?

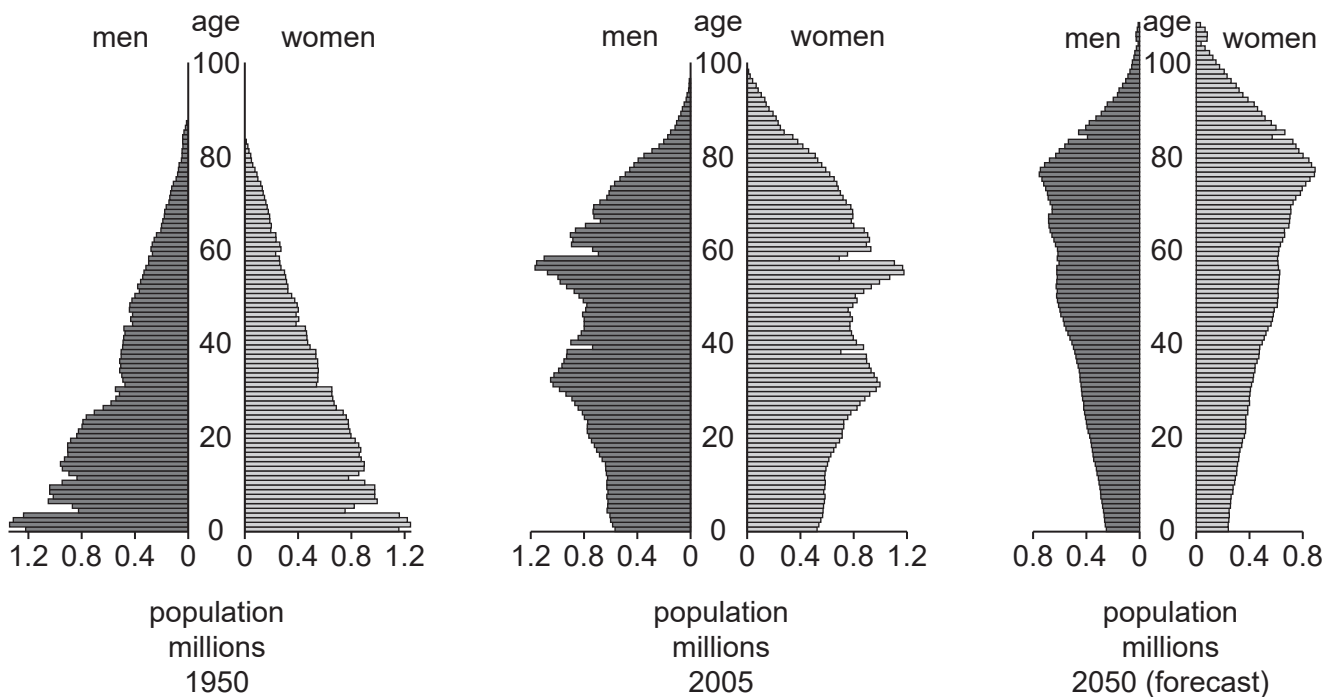
- A** Country X has double the inflation rate of country Y.
- B** Country X has half the population of country Y.
- C** Country X spends more of its real GDP on foreign aid than country Y.
- D** Country X spends more of its real GDP on schooling than country Y.

25 Wealthy countries have people who live in relative poverty.

What is the most likely cause of this?

- A** generous state pensions
- B** low national minimum wage
- C** progressive taxation
- D** subsidised healthcare

26 The diagram shows population data for a country for 1950, 2005 and 2050.



What can be concluded from the diagram?

- A** Men outnumber women in each year.
- B** People are living longer over the period.
- C** The population has grown continuously.
- D** The workforce has grown continuously.

- 27** A country has large reserves of oil. It decides to produce a wide range of goods rather than specialise in oil production.

What is **not** an acceptable reason in support of this decision?

- A** Oil is a non-renewable resource that could be exhausted quickly.
- B** Producing a wide range of goods increases the benefits from free trade.
- C** Relying on other countries for vital goods and services makes a country vulnerable.
- D** The price of oil is volatile, making export revenue unstable.

- 28** The US puts a 25% tariff on Chinese steel to protect jobs in the US steel industry.

Under which condition would this policy be most effective?

- A** The price elasticity of demand for Chinese steel is -2.5 .
- B** The price elasticity of demand for Chinese steel is -0.5 .
- C** The price elasticity of supply for Chinese steel is 2.5 .
- D** The price elasticity of supply for Chinese steel is zero.

- 29** What might a central bank do to stop a fall in the value of its country's currency?

- A** raise interest rates
- B** reduce taxes on imports
- C** remove controls on currency outflows
- D** sell their currency on the foreign exchange market

- 30** A government wishes to reduce the surplus on the current account of its balance of payments.

Which policy is likely to achieve this?

- A** cutting government spending
- B** devaluing its currency
- C** increasing existing import quotas
- D** increasing import duties

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Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

May/June 2025

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- You may use a calculator.

INFORMATION

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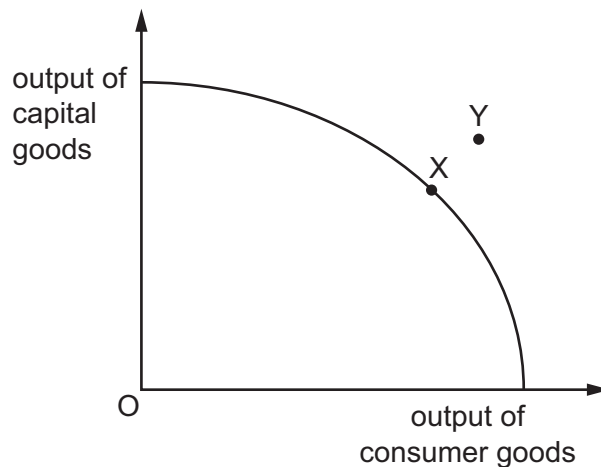
- 1 A university rejects 2000 qualified applicants who wish to study there.

Which factor of production could have caused the university to make this decision?

- A infinite quantity of capital
 - B scarcity of labour
 - C surplus of land
 - D unlimited supply of enterprise
- 2 Sanjay, a coal miner, became unemployed when the only local mine closed. He lives in a village near family and friends and would like to stay in the same village.

What is the cause of Sanjay's occupational immobility?

- A a desire to live near family and friends
 - B no relevant skills
 - C the cost of travelling for work
 - D unaffordable housing
- 3 The diagram shows the production possibility curve (PPC) for an economy that is at point X.



Which change in the economy's labour market will allow it to reach point Y?

- A employed workers become more productive
- B unemployed workers find new jobs
- C workers emigrate for higher wages
- D workers retire at younger ages

4 What are both macroeconomic decisions?

	decision 1	decision 2
A	a school recruits more teachers	a firm sets the prices for its products
B	a central bank reduces money supply	a government spends more on defence
C	a government increases tax rates	a farmer decides which crops to grow
D	a household cuts its energy use	a worker accepts an offer of overtime

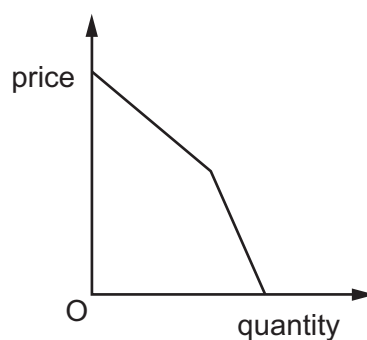
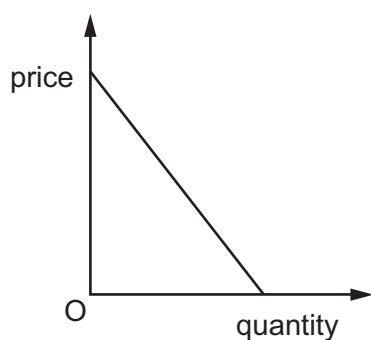
5 The table shows the quantity of coffee demanded per day and the quantity supplied per day.

price (\$) per kilo	demand (kilos)	supply (kilos)
12	16	26
11	18	23
10	20	20
9	22	17
8	24	14
7	26	11

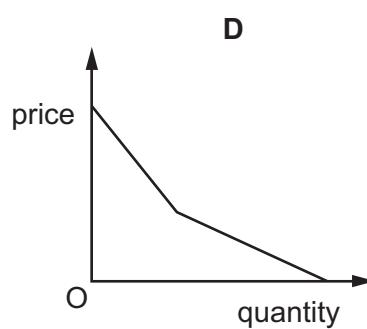
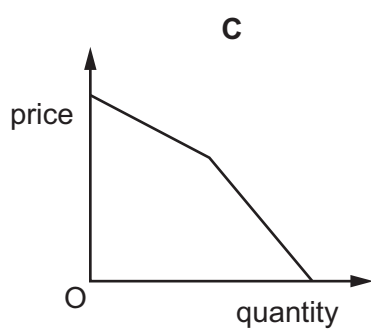
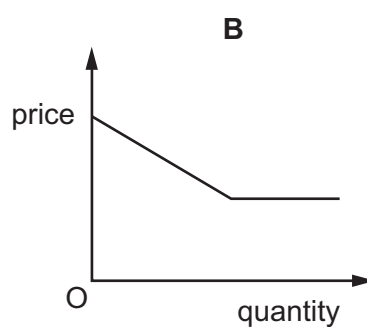
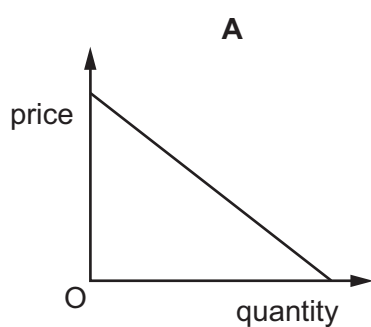
At the equilibrium price, what will be the total expenditure on coffee?

- A** \$10 **B** \$20 **C** \$200 **D** \$400

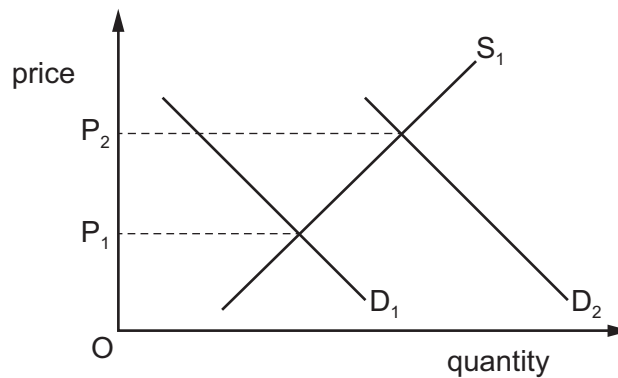
- 6 The diagrams show the demand curves for the only two buyers in a market.



What will be the shape of the market demand curve for the good?



- 7 The diagram shows the market for ice cream and the effects of very hot weather.



If prices had remained at P_1 even during the hot weather, what was likely to have happened in the market for ice cream?

- A equilibrium
 - B excess supply
 - C rising profits
 - D shortage
- 8 The supply of which good is likely to be most price elastic?

	the good is easily stored	time taken to produce the good
A	no	one day
B	no	one year
C	yes	one day
D	yes	one year

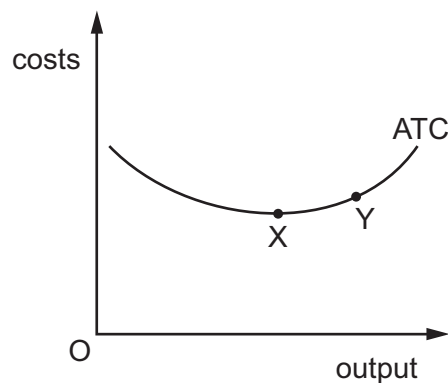
- 9 What is a characteristic of a demerit good?
- A it is more beneficial to the consumer than they realise
 - B it is overconsumed in the free market
 - C it is underproduced in the free market
 - D it provides external benefits

- 10 The table shows the average wage in four countries, **A**, **B**, **C** and **D**.

In which country is there the greatest relative wage discrimination against female employees?

	male \$	female \$
A	100	80
B	120	60
C	140	100
D	300	200

- 11 The diagram shows the average total cost curve (ATC) for a firm after a merger.



Why is the movement from X to Y likely to result from this merger?

- A** Consumer demand is rising.
 - B** Marketing economies of scale occur at higher levels of output.
 - C** The firm faces problems of co-ordination between departments.
 - D** The firm is negotiating discounts through bulk buying.
- 12 A restaurant employs two chefs who make all of the meals that are served to customers.

What is most likely to increase the productivity of the chefs?

- A** a decrease in the number of customers in the restaurant
- B** a decrease in the chefs' pay
- C** an increase in the quality of the food
- D** an increase in training for the chefs

13 What are fixed costs?

- A** costs that are divided by the amount produced
- B** costs that are present when output is zero
- C** costs that change according to the level of output
- D** costs that decrease when output increases

14 The table shows the daily output and costs of four firms making chairs.

Which firm has the highest average cost of production?

	output (units)	fixed costs (\$)	variable costs (\$)
A	6	100	140
B	9	30	150
C	12	200	160
D	15	120	330

15 The only information known about a firm is the price it charges for its product and the quantity it sells.

What else can be concluded from this?

- A** its average cost and profit
- B** its average cost and total revenue
- C** its average revenue and profit
- D** its average revenue and total revenue

16 If a very competitive market becomes a monopoly, what will be likely to increase and what will be likely to decrease?

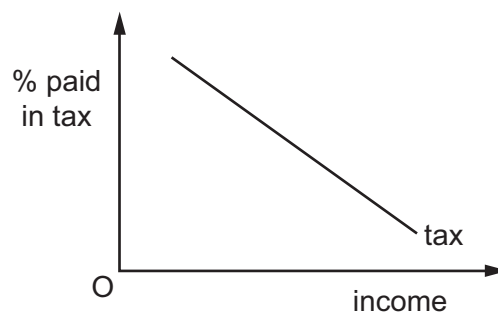
	increase	decrease
A	barriers to entry	economies of scale
B	consumer choice	prices
C	long-run profits	competition
D	output	market share

- 17 Many central banks around the world decreased interest rates during a recession caused by a pandemic.

What was the most likely macroeconomic aim of this policy?

- A economic growth
- B increase in the current account surplus
- C low inflation
- D redistribution of income

- 18 The diagram shows the percentage of income taken by a tax at different levels of income.



Which term is used to describe the tax?

- A indirect
- B progressive
- C proportional
- D regressive

- 19 What is **not** a likely consequence of a rise in the budget deficit in a year?

- A a rise in government borrowing
- B a rise in the level of exports
- C a rise in the national debt
- D a rise in the rate of inflation

- 20** When a government aims to encourage economic growth, it may adopt supply-side policies.

Which policy is a supply-side policy?

- A** increasing the money supply
- B** lowering interest rates
- C** reducing indirect taxation
- D** retraining unemployed workers

- 21** An economy that is fully employed is forecast to have an increase in total demand.

What is most likely to increase?

- A** the rate of absolute poverty
- B** the government budget deficit
- C** the level of unemployment
- D** the rate of inflation

- 22** A government conducted a labour force survey. It only included people of working age in the survey. The results are shown in the table.

	number of people
of working age	10 000 000
employed	7 000 000
unemployed	1 000 000
not seeking work	2 000 000

Which percentage of working-age people are in the labour force?

- A** 30%
- B** 70%
- C** 80%
- D** 90%

- 23** A school leaver is unable to find a job immediately after completing their education.

Which type of unemployment is this?

- A** cyclical
- B** frictional
- C** regional
- D** structural

24 Which changes are likely to lead to the biggest increase in inflation in country X?

	demand for goods and services in country X	supply of goods and services in country X
A	5% decrease	5% decrease
B	5% decrease	5% increase
C	5% increase	5% decrease
D	5% increase	5% increase

25 In rural areas in developing countries, farmers grow food for their own consumption.

Why might this mean that the GDP is a weak measure of the standard of living in those countries?

- A** The food grown is not exported.
- B** The GDP does not include agricultural production.
- C** The GDP only refers to the public sector.
- D** The value of the food is unknown.

26 Japan's population has an increasing proportion of elderly people.

What is the likely impact of this on the Japanese economy?

- A** increased government budget deficit
- B** increased rate of economic growth
- C** increased rate of emigration
- D** increased use of labour-intensive methods of production

27 An Argentine product initially sells in the US for \$50 when the exchange rate between the two countries is 5 pesos to 1 dollar (\$).

The exchange rate changes to 10 pesos to 1 dollar and the price of the product remains unchanged in Argentina.

What will be the new price of the product in the US?

- A** \$5
- B** \$25
- C** \$100
- D** \$500

28 Mining by multinational companies (MNCs) has both costs and benefits for the host nation.

Which activity is **least** likely to offer a benefit to the host nation?

- A** developing courses for training in mining
- B** investing in infrastructure to export minerals
- C** repatriating profits and dividends
- D** using new technology

29 The table shows the retail price at which the same book can be bought in four countries.

country	price in local currency	local currency
Australia	\$14.99	Australian dollars
Canada	\$11.99	Canadian dollars
New Zealand	\$20.95	New Zealand dollars
United Kingdom	£6.99	GB pound

What additional information is required to make a meaningful comparison of the price of the book between the countries?

- A** direct tax rates
- B** exchange rates
- C** inflation rates
- D** level of import tariffs

30 What is a consequence of a surplus on the current account of the balance of payments?

- A** a decrease in GDP
- B** a decrease in unemployment
- C** a depreciation of the foreign exchange rate
- D** deflation

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ECONOMICS

0455/13

Paper 1 Multiple Choice

May/June 2020

45 minutes

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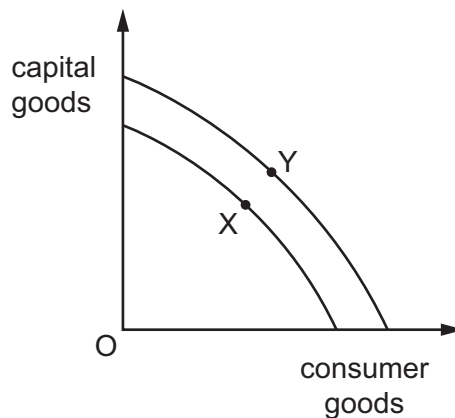
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- 1 A natural resource was discovered in a country. The exploitation of this resource allowed the country to double its gross domestic product within ten years.

Why did this **not** solve the basic economic problem?

- A Exploiting the resource required high expenditure on capital equipment.
 - B Exploiting the resource caused significant environmental damage.
 - C Gross domestic product was unevenly distributed in the country.
 - D Wants still exceeded the resources available to meet those wants.
- 2 The diagram shows a shift in a country's production possibility curve (PPC).



What would cause the shift from X to Y?

- A a fall in the unemployment rate
 - B a fall in consumer demand
 - C a rise in the rate of inflation
 - D a rise in the size of the labour force
- 3 A farmer decides to grow potatoes instead of wheat.

What is the opportunity cost of growing the potatoes?

- A the output of wheat
- B the price of seed potatoes
- C the profit from growing potatoes
- D the time spent preparing the potato field

4 Which are both macroeconomic decisions?

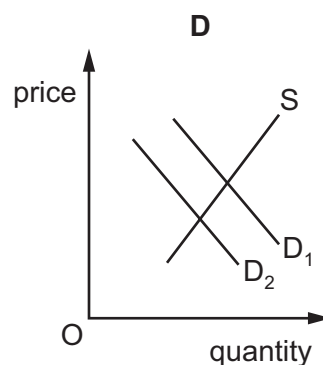
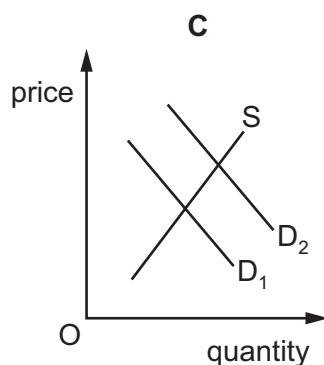
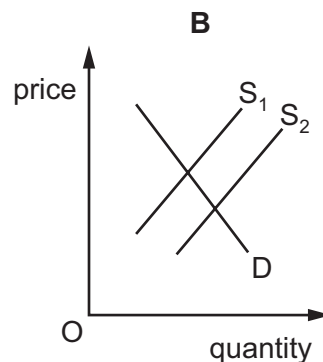
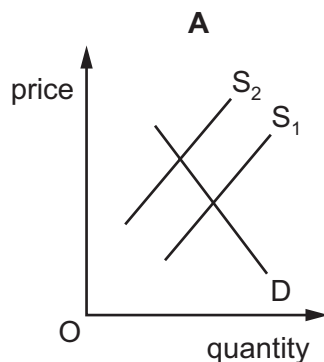
	decision 1	decision 2
A	a school recruits more teachers	a firm sets the prices for its products
B	a central bank reduces money supply	a government spends more on defence
C	a government increases tax rates	a farmer decides which crops to grow
D	a household cuts its energy use	a worker accepts an offer of overtime

5 What is the function of the price mechanism in a market economy?

- A** allocating resources and guiding choices
- B** allowing governments to provide price stability
- C** enabling markets to operate fairly
- D** preventing competitors from entering a market

6 The diagrams show changes in the market conditions for coffee.

Which diagram shows the effect of a poor harvest of coffee beans?

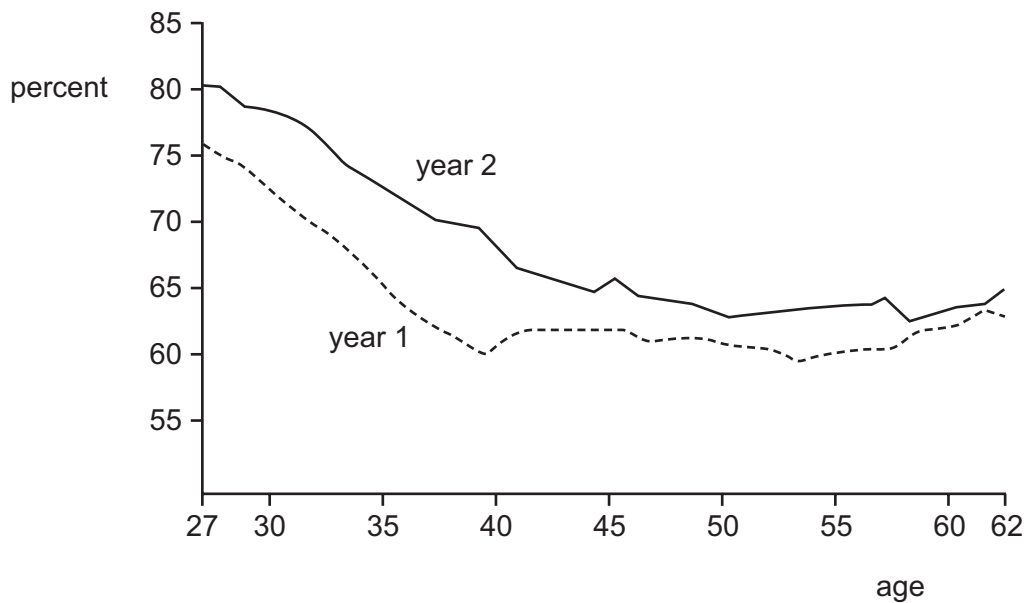


- 7 The price elasticity of supply of good X is 0.1. The good suddenly becomes very fashionable, leading to a large increase in demand.

What would be the likely outcome of this change in the short term?

- A a large increase in output
 - B a large increase in price
 - C a small increase in price
 - D a small increase in revenue
- 8 What is a disadvantage to employers of switching to production using division of labour?
- A average cost decreases
 - B flexibility of workers is lost
 - C repetition of tasks saves time
 - D training time decreases
- 9 What is an advantage to a country of having an efficient commercial banking system?
- A It controls the money supply.
 - B It discourages spending.
 - C It encourages tax evasion.
 - D It enables investment.

- 10 The graph shows women's wages as a percentage of men's wages in year 1 and year 2.



Which statement is shown by the graph to be true?

- A Younger women earn more than older women.
 - B Women's wages remain about the same between the ages of 40–50.
 - C In year 2, all women were earning more than men.
 - D In year 2, women were earning a higher percentage of men's wages than in year 1.
- 11 People's income decreases.

How is the proportion spent on food and leisure likely to change?

	food	leisure
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 12 A firm produces 1000 units and has a total cost of \$50 000. The variable cost per unit produced is \$40.

What is the total fixed cost of the firm?

- A \$1000
- B \$4000
- C \$10 000
- D \$40 000

- 13 The following information refers to a firm producing shoes.

At which level of output does the firm maximise profits?

	total output of pairs of shoes	total cost (\$)	total revenue (\$)
A	100	1000	1300
B	200	1800	2200
C	300	2700	3000
D	400	3200	3400

- 14 Firms can grow by increasing the internal scale of their operations.

What might be a disadvantage of this to the firm?

- A** average cost begins to fall
- B** it is difficult to motivate workers
- C** labour is replaced by robots
- D** markets become global

- 15 A government owns and runs an airline.

Which combination of ownership and sector is this?

	ownership	sector
A	private	secondary
B	private	tertiary
C	public	secondary
D	public	tertiary

- 16 What is **not** included in public expenditure?

- A** capital spending by firms
- B** interest payments on government borrowing
- C** investment in defence by the central government
- D** subsidies to bus companies from local government

17 When is the budget described as balanced?

- A when direct taxes and indirect taxes are equal
- B when exports and imports are equal
- C when government spending and government revenue are equal
- D when the demand for money and the supply of money are equal

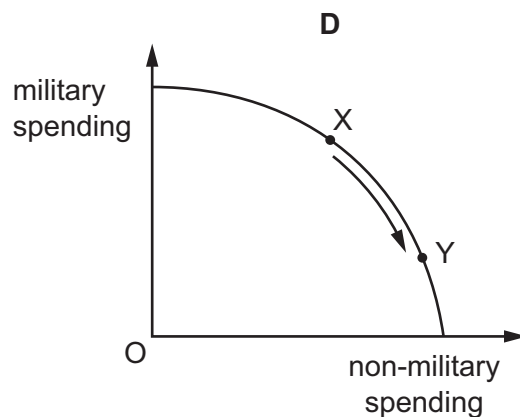
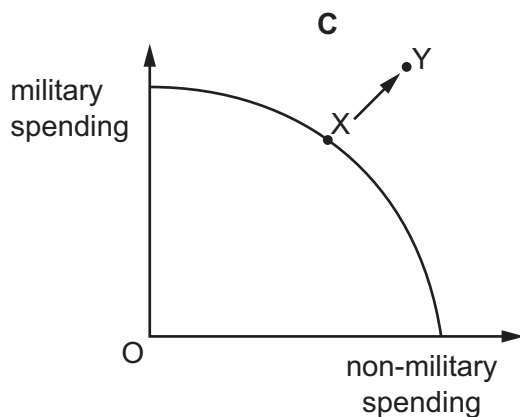
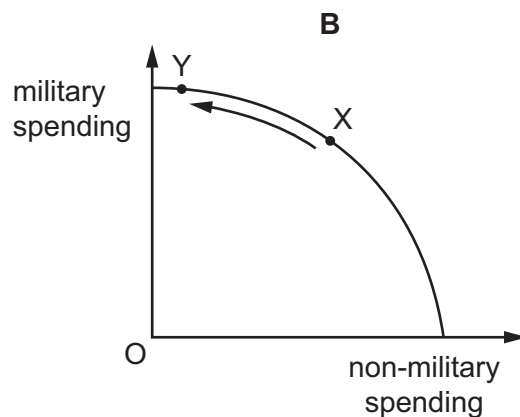
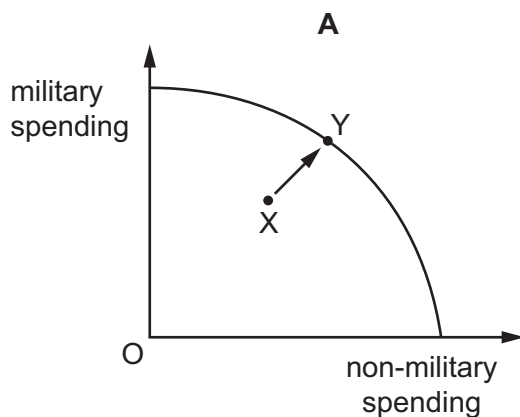
18 What is the main aim of supply-side policy?

- A increasing economic growth by raising productivity
- B increasing the balance of payments surplus by restricting free trade
- C reducing the government's budget deficit by increasing taxation
- D reducing the money supply by increasing the rate of interest

19 A government is **not** allowed to increase its military spending.

Government spending is currently at X.

Which diagram illustrates a possible change in government spending?



20 A country has full employment.

Which policy is **most** likely to lead to a fall in economic growth in the short run but an increase in economic growth in the long run?

- A lowering the retirement age
- B raising the school leaving age
- C restricting the immigration of key workers
- D selling assets owned in other countries

21 A government has a contractionary fiscal policy to reduce inflation. What will the government increase?

- A expenditure on infrastructure
- B income tax rates
- C personal tax allowances
- D unemployment benefits

22 What would **not** be required in the construction of an index of consumer prices?

- A the selection of a base year
- B the selection of a representative range of items
- C the calculation of average wage levels
- D the weighting of each item in the index

23 The table gives information about three economic indicators in four countries.

	rate of inflation %	rate of interest %	rate of unemployment %
country W	1.4	3.4	10.2
country X	3.7	8.7	12.3
country Y	3.6	7.3	14.2
country Z	2.1	6.0	7.7

What may be concluded from this information?

- A Countries with higher inflation have higher interest rates.
- B Countries with higher interest rates have lower unemployment.
- C The country with the lowest inflation had the highest unemployment.
- D The country with the lowest unemployment had the lowest inflation.

- 24 Real incomes have risen in a country.

Which situation would definitely have caused this?

	price level	money incomes
A	fell	fell
B	fell	rose
C	rose	rose
D	rose	fell

- 25 In recent years some low-income countries have achieved higher rates of economic growth than high-income countries.

What is **most** likely to explain this accelerated economic growth?

- A** ease of transfer of modern technology to increase productivity
- B** falling agricultural prices
- C** higher ratios of labour to capital in manufacturing industries
- D** increased trade barriers by high-income countries
- 26 Which changes usually result when a country develops and is able to provide free healthcare and good living conditions?

	birth rate	death rate	labour productivity
A	falls	falls	rises
B	falls	rises	falls
C	rises	falls	falls
D	rises	rises	rises

- 27 What are the effects on price and equilibrium quantity of the imposition of an import tariff on a good?

	price	equilibrium quantity
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

- 28 Which change will **not** increase a surplus on the current account of the balance of payments of a country?
- A a decrease in the value of imports
 - B a decrease in primary income outflows
 - C an increase in the amount of development aid received
 - D an increase in domestic inflation rates

- 29 An economy with a floating exchange rate experiences an increased deficit on the current account of the balance of payments.

What will result from this?

- A an increase in government debt
 - B an increase in its foreign currency reserves
 - C an increase in the demand for its currency on the foreign exchange market
 - D an increase in the supply of its currency on the foreign exchange market
- 30 The table shows components of Japan's current account balance in trillion Yen (¥) for 2011 and 2012.

year	balance of goods ¥trillion	balance of services ¥trillion	balance of primary income ¥trillion	balance of secondary income ¥trillion
2011	-1.61	-1.76	14.04	-1.11
2012	-5.23	-2.33	13.55	-1.02

Which balance improved between 2011 and 2012?

- A balance of goods
- B balance of services
- C balance of primary income
- D balance of secondary income

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0455/13

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October/November 2020

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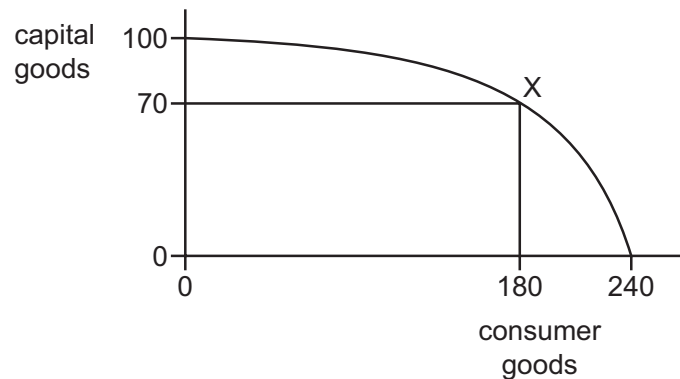
1 Why do consumers have to make choices when spending their income?

- A Advertising encourages consumer spending.
- B Consumers have unlimited incomes.
- C Consumer wants cannot all be satisfied with their income.
- D Not all products will be attractive to consumers.

2 What is the key role of an entrepreneur?

- A inventor
- B risk taker
- C shareholder
- D worker

3 The diagram shows the production possibility curve (PPC) of an economy producing at point X.



What would be the opportunity cost of moving from point X to produce only consumer goods?

- A 60 units of consumer goods
- B 70 units of capital goods
- C 100 units of capital goods
- D 180 units of consumer goods

- 4 Economics is divided into two: microeconomics and macroeconomics.

statement 1 When the price of oil falls there is an expansion in demand.

statement 2 The Organization of the Petroleum Exporting Countries (OPEC) can influence the price of oil.

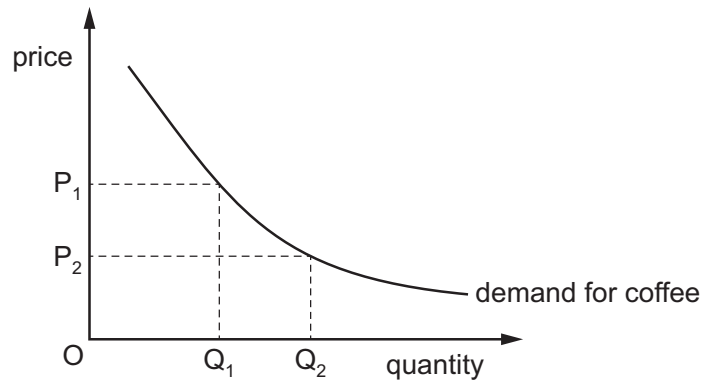
Which combination correctly describes these two statements?

	statement 1	statement 2
A	macroeconomic statement	macroeconomic statement
B	macroeconomic statement	microeconomic statement
C	microeconomic statement	macroeconomic statement
D	microeconomic statement	microeconomic statement

- 5 What is a disadvantage of a market economic system?

- A** Entrepreneurs lack incentives to produce what consumers want.
- B** Government intervention will reduce the efficiency of firms.
- C** Market dominance by firms can lead to higher prices.
- D** There is underproduction of demerit goods.

- 6 The diagram shows the demand curve for coffee in the US.

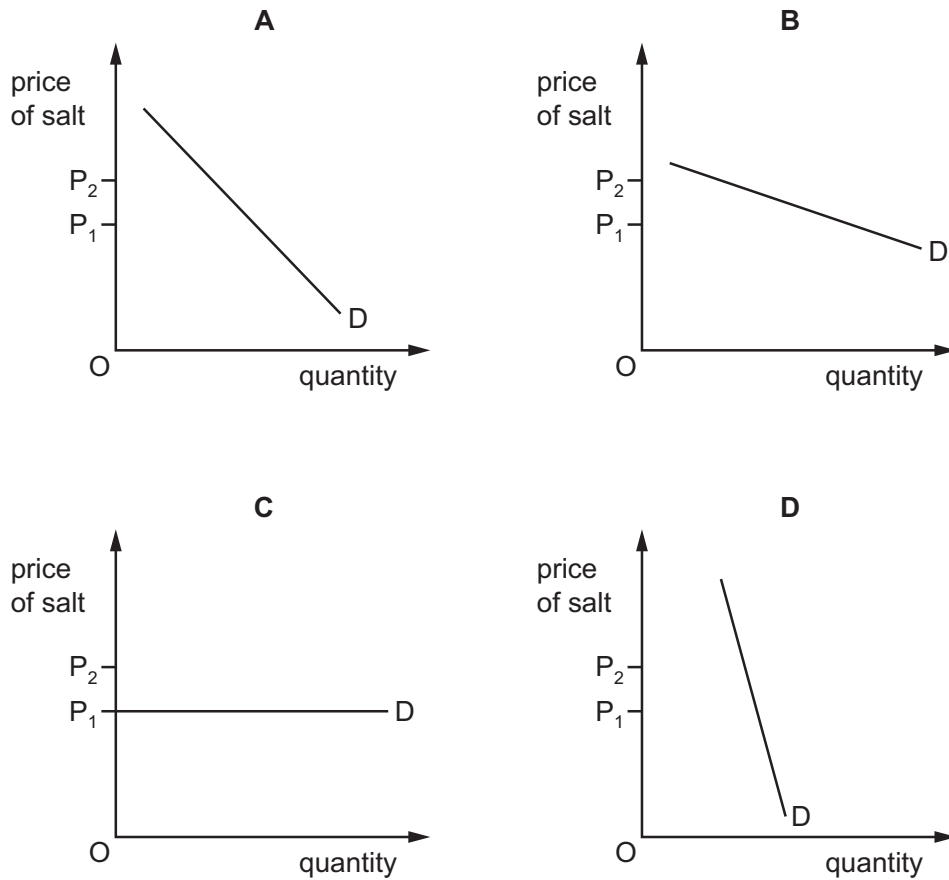


Why did the quantity demanded move from Q_1 to Q_2 ?

- A** Coffee became cheaper.
- B** Incomes rose in the US.
- C** There was a successful advertising campaign by coffee retailers.
- D** The price of substitutes for coffee rose.

- 7 In an African country with large areas of tropical desert the price elasticity of demand for salt is highly inelastic. This will result in greater consumer expenditure on salt when price changes from P_1 to P_2 .

Which diagram illustrates this situation?



- 8 In which occupation would wages tend to increase?
- A in those where a worker is paid weekly
 - B in those where a worker needs less training
 - C in those where there is an excess demand for labour
 - D in those where work becomes less dangerous
- 9 Which row shows a characteristic of money and a function of money?

	characteristic	function
A	acceptability	medium of exchange
B	cash	measure of value
C	divisibility	portability
D	store of value	bank deposit

10 The table shows how household spending changes with income.

income (\$ per month)	spending (\$ per month)
3000	3150
3300	3375
3600	3500
3900	3825
4200	4050
4500	4275

What is the lowest level of income at which savings are positive?

- A** \$3000 **B** \$3600 **C** \$3900 **D** \$4200

11 What can a central bank increase in order to reduce consumer borrowing?

- A** commercial bank deposits
B government spending
C the exchange rate
D the rate of interest

12 The table shows the total cost of firm X at each level of output.

output	total cost
0	3
1	5
2	6
3	9

At which level of output does total variable cost exceed total fixed cost?

- A** 0 **B** 1 **C** 2 **D** 3

13 A firm has fixed costs of \$1000. The table shows the variable cost at different levels of output.

output (units)	1	2	3	4
variable cost (\$)	100	190	270	350

If the goods are sold for \$500 each, how much profit will be made from the sale of 4 units?

- A** \$650 **B** \$1000 **C** \$1650 **D** \$2000

- 14 Which combination is usually found in a monopoly?
- A many buyers and many sellers
 - B many buyers and single seller
 - C single buyer and many sellers
 - D single buyer and single seller
- 15 What is usually considered to be an advantage to a firm of using division of labour?
- A high labour turnover
 - B increased mechanisation
 - C movement of labour between tasks
 - D need for quality control
- 16 What are two aims that a government normally pursues when managing the performance of the whole economy?
- A to encourage an increase in production and to prevent high inflation
 - B to ensure no one is unemployed and to reduce exports
 - C to give everyone equal incomes and to increase government revenue
 - D to protect the environment and to reduce interest rates
- 17 What is **most** likely to be the responsibility of a central government?
- A the provision of immigration officials at an airport
 - B the provision of security cameras in a shopping centre
 - C the provision of security staff at a bank
 - D the provision of ticket inspectors on a train
- 18 A government decreased the tax on all goods produced in its country.
- What is the **most** likely consequence of this?
- A a decrease in exports
 - B an increase in imports
 - C an increase in production
 - D a worsening of the balance of trade in goods

19 Which government policy measure would cause an increase in a country's supply of labour?

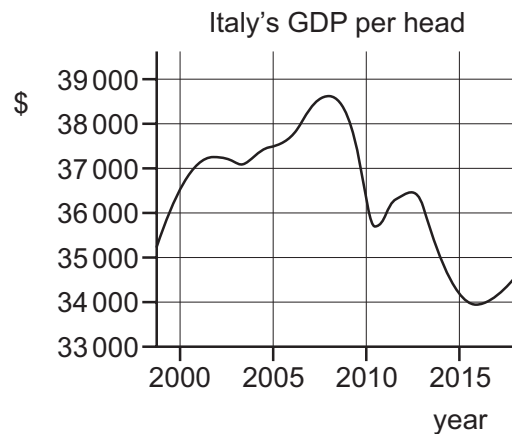
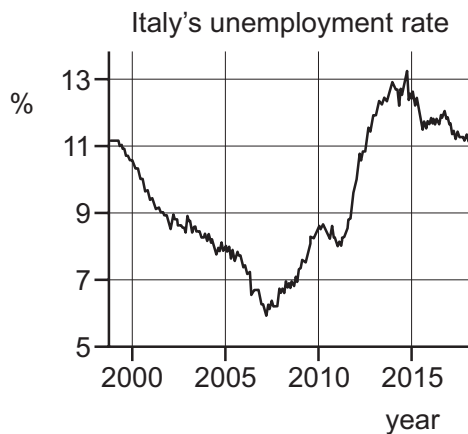
- A increasing unemployment benefits
- B lowering interest rates
- C raising income tax
- D raising the age of retirement

20 Due to a rise in the number of retired people, there has been increased demand for some government expenditure.

Which type of government expenditure is **most** likely to be directly affected?

- A defence
- B health services
- C re-training grants
- D street lighting

21 The diagrams show Italy's unemployment rate and GDP per head.



When do Italy's unemployment rate and GDP per head rise at the same time?

- A 2000–2001
- B 2007–2008
- C 2009–2010
- D 2014–2015

22 An economy is experiencing rising prices.

Which government policy will help reduce consumer expenditure?

- A** introducing compulsory saving for income earners
- B** investing more in building infrastructure
- C** issuing more banknotes and coins
- D** reducing indirect taxes

23 Some goods take a greater percentage of a typical household's total spending than others.

How is this accounted for in the construction of a consumer prices index?

- A** by deducting the goods
- B** by giving a weight to the goods
- C** by taking an average of price fluctuations during a year
- D** by using the price elasticity of demand for the goods

24 One of the indicators of living standards is the Human Development Index (HDI).

What is **not** taken into consideration when calculating the HDI?

- A** education
- B** income per head
- C** level of savings
- D** life expectancy

25 Which factor in the world's low-income countries limits their economic development?

- A** balance of payments surpluses
- B** high saving ratios
- C** large inflows of foreign investment
- D** rapid population growth

- 26** The table shows the percentage employment in the primary, secondary and service sectors in four countries.

Which country is likely to be the **most** developed?

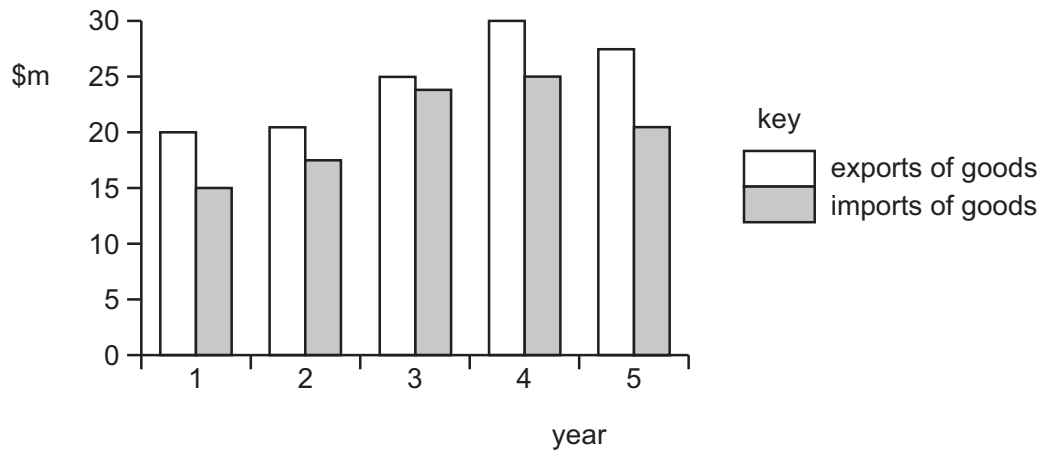
country	percentage employment		
	primary sector	secondary sector	service sector
A	10	35	55
B	20	60	20
C	35	35	30
D	40	40	20

- 27** What would **not** be included in the current account of the balance of payments?
- A** dividends earned from a firm in another country
 - B** imports of TVs from another country
 - C** purchase of a house in another country
 - D** rents paid to owners of land in another country
- 28** What is **most** likely to discourage international specialisation and trade for an economy?
- A** decreasing labour supply
 - B** decreasing transport costs
 - C** increasing oil prices
 - D** increasing trade barriers
- 29** Many low-income countries rely on multinational companies (MNCs) to provide economic development.

What is a disadvantage of this for the low-income country?

- A** Local firms close because MNCs are more efficient.
- B** New production techniques are introduced.
- C** The balance of payments may improve.
- D** The MNCs have to pay taxes on their profits.

30 The diagram shows the value of a country's exports and imports of goods over five years.



Between which two years did the country have an increase in the value of imports and an improvement in its balance of trade in goods?

- A** 1 and 2 **B** 2 and 3 **C** 3 and 4 **D** 4 and 5

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Cambridge IGCSE™

ECONOMICS

0455/13

Paper 1 Multiple Choice

May/June 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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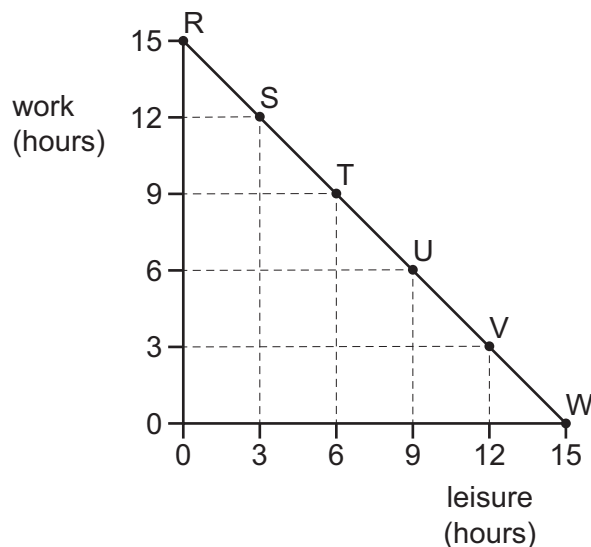
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- 1 Increasing output of one good reduces production of another good.

Which economic concept does this change represent?

- A average cost
 - B diseconomies of scale
 - C economies of scale
 - D opportunity cost
- 2 What condition in an economy would encourage immigration of labour?
- A high cost of housing
 - B preference for domestic over foreign qualifications
 - C reduced quotas for foreign workers
 - D shortage of skilled workers
- 3 The production possibility curve (PPC) shows the hours per day that a person has for either work or leisure.



This person works 6 hours a day but then decides to work 9 hours a day.

Which movement shows this change?

- A T to R
 - B T to U
 - C U to V
 - D U to T
- 4 Who is a microeconomic decision maker?
- A the director of an international trade organisation
 - B the entrepreneur of a firm
 - C the finance minister of a government
 - D the governor of a central bank

5 What is an essential feature of a market economy?

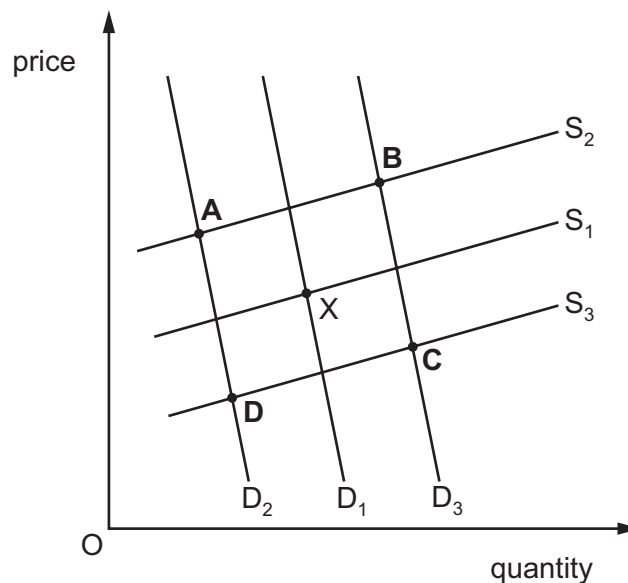
- A Central planners determine what, how and for whom to produce.
- B It aims for equality in the distribution of goods and services.
- C The market price reflects both the private and external costs of production.
- D The price mechanism sends signals to consumers and producers to allocate resources.

6 What is a definition of market failure?

- A market forces of demand and supply do not allocate resources efficiently
- B not all consumers can afford to buy the goods they would like
- C private benefits of consumption are greater than external benefits
- D public goods are only provided by a government

7 The diagram shows the market for oil. The original equilibrium is X. Oil producers discover a new source of oil while there is economic growth.

What is the new equilibrium?



8 In response to an increase in price from \$5 per kilo to \$6 per kilo, a farmer increased supply from 400 kilos to 500 kilos per week.

What is the price elasticity of supply?

- A 0.8
- B 0.9
- C 1.2
- D 1.25

- 9 Average incomes rose by 5% but savings did not rise.

What might explain this?

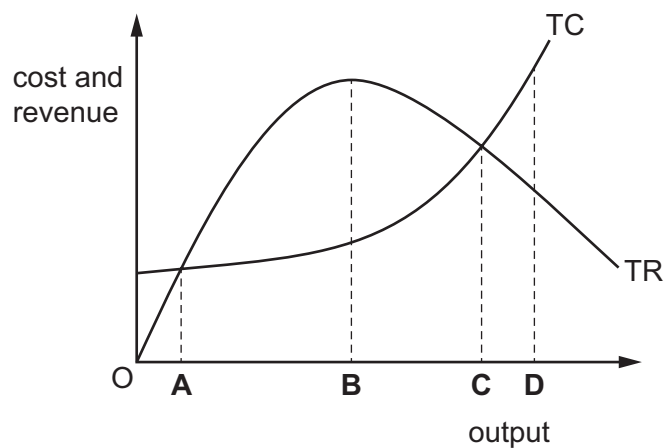
- A Consumer confidence in the economy fell.
 - B Incomes rose more slowly than the rate of inflation.
 - C Interest rates for savings rose.
 - D The rate of income tax was reduced.
- 10 Which firm is in the tertiary sector?
- A bread bakery
 - B fruit grower
 - C meal delivery
 - D road builder
- 11 What is a benefit to a worker of being a member of a trade union?
- A access to advice
 - B guaranteed employment
 - C opportunity to work extra hours
 - D payment of subscriptions
- 12 A firm employs 10 workers. Each worker is paid a weekly wage of \$200 and produces 50 goods per week.
- What is the average cost of labour per good produced?
- A \$0.4 B \$4 C \$20 D \$200
- 13 How would advertising a good result in a retail firm increasing its market share?
- A It will improve the personal service in its shops.
 - B It will increase the firm's costs.
 - C It will reduce demand for competitors' products.
 - D It will result in diversification in the firm.

14 What describes the total revenue of a firm?

- A fixed costs plus variable costs
- B income from sales minus total costs
- C quantity of goods sold multiplied by unit price
- D variable costs divided by output

15 The diagram shows the total revenue (TR) and total cost (TC) of a firm in a market.

At which level of output will the firm maximise profits?



16 What is fiscal policy?

- A government decisions on money supply and interest rates taken to influence total demand
- B government decisions on spending and taxation designed to influence total demand
- C government measures designed to influence total supply in the economy
- D government regulation of the foreign exchange rate to influence imports

17 What is the money supply?

- A the total quantity of foreign currency available within the economy
- B the total quantity of money available within the economy
- C the total quantity of money issued by the central bank
- D the total quantity of money within commercial banks

18 The table shows sources of government revenue for an economy.

sources of revenue	\$ billions
sale of government assets	100
sales tax	300
tariffs on imports	50
tax on employment income	500
tax on inherited wealth	50
tax on company profits	100

What is the total amount of tax revenue raised by direct taxes?

- A** \$600 billion **B** \$650 billion **C** \$950 billion **D** \$1100 billion

19 The table shows the Consumer Prices Index (CPI) of a country for five years.

year	CPI
1	100
2	120
3	135
4	140
5	138

Which statement about the country is correct?

- A** It faced deflation in year 2.
B It faced deflation in year 3.
C It faced inflation in year 4.
D It faced inflation in year 5.

20 What may cause deflation?

- A** advances in technology and increases in labour productivity
B government using a policy of very low interest rates
C increases in the costs of production that reduce firms' profits
D increases in the rate of inflation as measured by the CPI

21 Economic growth can be defined as

- A** a reduction in a country's rate of inflation.
- B** an increase in a country's exports.
- C** an increase in a country's population.
- D** an increase in a country's productive capacity.

22 The table compares the distribution of employment in selected industries in two years.

industry	employment in millions	
	year 1	year 2
agriculture	4	3
mining	2	2
manufacturing	6	6
retailing	4	4
transport	4	5
total	20	20

How did the distribution of employment change between year 1 and year 2?

	primary sector	secondary sector
A	fell	rose
B	fell	unchanged
C	rose	fell
D	rose	unchanged

- 23** In a year, two changes occurred in a company.

Company directors' salaries increased by 15%.

Office workers' wages increased by 5%.

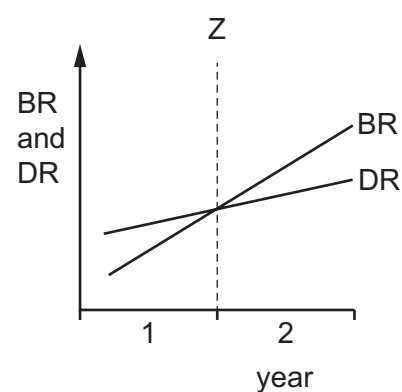
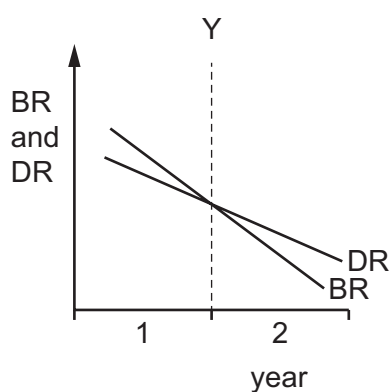
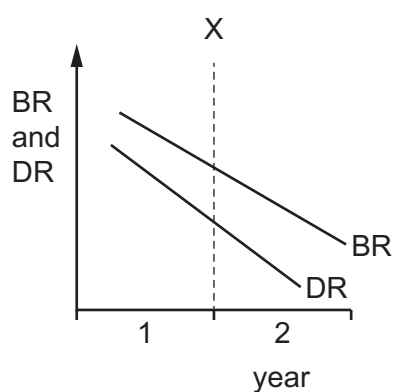
The rate of inflation was 3.4%.

What happened to real income?

	company directors' real income	office workers' real income
A	fell	fell
B	fell	rose
C	rose	fell
D	rose	rose

- 24** The diagrams show birth rate (BR) and death rate (DR) in three countries, X, Y and Z, in two years, 1 and 2.

There was no migration.



Where was there a rise in population in year 1 and a fall in population in year 2?

- A** X and Z **B** X only **C** Y and Z **D** Y only

- 25** The richest 60% of the population of a high-income economy received an increase in income. The income of the rest of the population did not change.

What happened to absolute and relative poverty?

	absolute poverty	relative poverty
A	increased	increased
B	increased	remained constant
C	remained constant	increased
D	remained constant	remained constant

- 26** Gross Domestic Product (GDP) is a better measure of comparative living standards when it is adjusted for the effects of

- A** exports and inflation.
- B** imports and exports.
- C** population change and exports.
- D** population change and inflation.

- 27** What is a benefit of a multinational company (MNC) to the host country?

- A** A MNC may improve the reputation of its home country as a high-quality producer.
- B** Exports by a MNC may result in an improved trade balance for the host country.
- C** Production by a MNC may lead to higher levels of pollution in the host country.
- D** Profits made by a MNC are sent back to its home country.

- 28** Globalisation is the process by which domestic firms become involved in international markets.

What encourages globalisation?

- A** controls on foreign exchange
- B** immigration restrictions
- C** increasing tariffs
- D** widespread use of the internet

- 29** What does a foreign exchange rate between Malaysia and the US measure?

- A** the cost of the Malaysian currency in the US currency
- B** the difference in the cost of living between Malaysia and the US
- C** the difference in the standard of living between Malaysia and the US
- D** GDP of Malaysia divided by the GDP of the US

30 A country has a deficit on its current account of its balance of payments.

What could increase the size of its deficit?

- A** increased exports of its services
- B** increased international competitiveness of its goods
- C** increased numbers of visitors from abroad
- D** increased spending on its military bases abroad

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Cambridge IGCSE™

ECONOMICS

0455/13

Paper 1 Multiple Choice

October/November 2021

45 minutes

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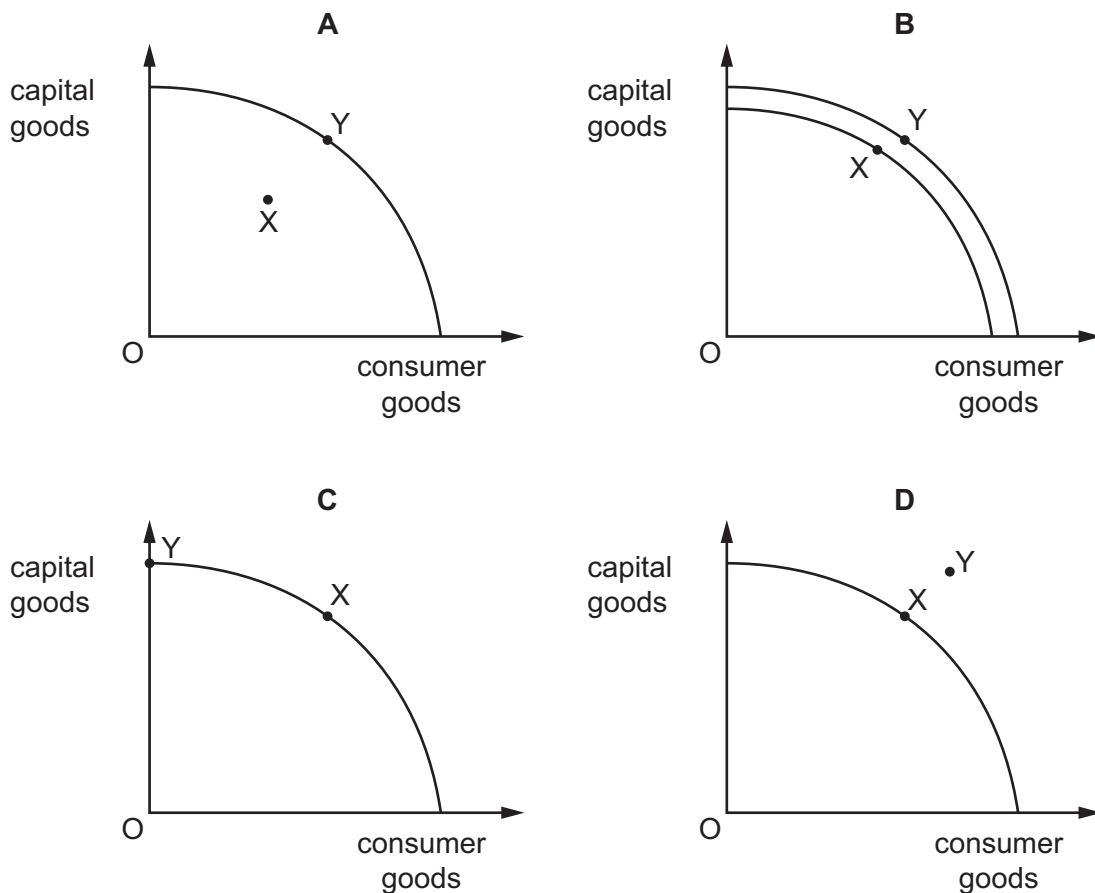
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- 1 To help reduce the price of oil, new supplies are needed. However, objectors oppose exploration of new sites because of the environmental damage it may cause.

Why is this statement an example of the basic economic problem?

- A Oil is a limited resource.
 - B Oil is expensive.
 - C The exploration involves demand and supply.
 - D There are external costs involved in production.
- 2 Which diagram shows an opportunity cost by movement from point X to point Y?

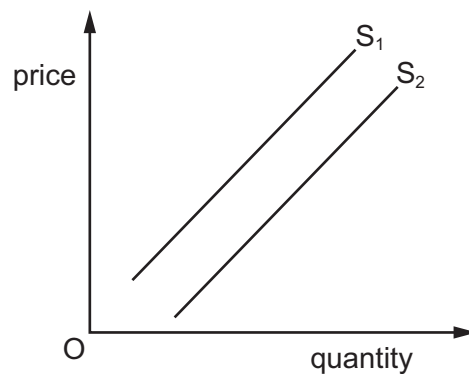


- 3 Helium is a gas that is limited in supply because it takes thousands of years to form. The US government holds 35% of the world's supply of helium and has been selling its stocks. Helium is essential in medical scanners. It is also used for party balloons, which is a wasteful alternative use of a valuable good.

Which two concepts apply to this statement?

- A demand and supply, government subsidy
- B excess demand, resource allocation
- C opportunity cost, private monopoly
- D public sector, factors of production

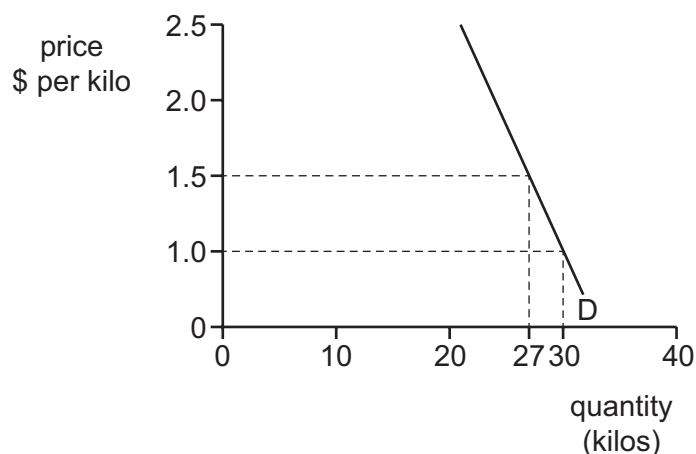
- 4 What is an example of a public good?
- A healthcare
 - B street lights
 - C unemployment benefits
 - D vaccinations
- 5 Why does a government provide certain goods and services in a mixed economic system?
- A The government always provides goods more cheaply than private firms.
 - B The government considers only private costs and benefits.
 - C The government provides goods to prevent the development of monopolies.
 - D The government provides public goods because private firms cannot charge for them.
- 6 What is a microeconomic decision?
- A a central bank reducing interest rates
 - B a gas firm reducing its prices
 - C a government increasing income tax
 - D a government increasing the national minimum wage
- 7 The diagram shows a shift in the supply curve for New Zealand's airlines from S_1 to S_2 .



What is the cause of this shift?

- A a decrease in the costs of New Zealand's airlines
- B a decrease in the number of people wanting to fly to New Zealand
- C an increase in the price of train and bus travel in New Zealand
- D an increase in the tax on air travel in New Zealand

- 8 The diagram shows the demand curve for rice.



What is the price elasticity of demand (PED) for rice as price increases from \$1.0 to \$1.5 per kilo?

- A 0
 B 1
 C less than 1
 D greater than 1
- 9 The table shows the output of cakes from four bakeries, **A–D**.

Which bakery has the highest labour productivity?

	labour (hours per day)	output (cakes per day)
A	10	40
B	40	640
C	50	750
D	100	500

- 10 What is an advantage of labour-intensive production and what is an advantage of capital-intensive production?

	labour-intensive	capital-intensive
A	each item can be individually made	average costs of production are low
B	keeps unemployment down	fixed costs are high
C	workers have pride in the product	machinery may break down
D	workers have to work hard	there is a ready market for the product

- 11 The market equilibrium wage rate is \$10 per hour.

What explains why the wage rate actually paid is \$12 per hour?

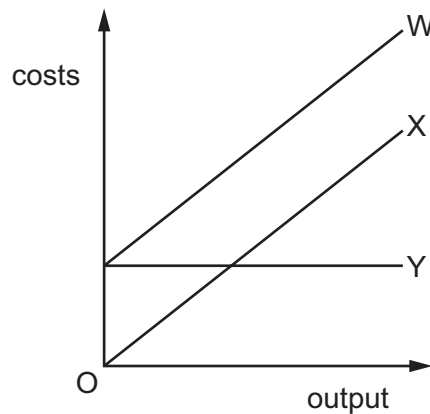
- A Employers are competing for labour.
- B The government sets a minimum wage of \$12 per hour.
- C There is a surplus of skilled labour.
- D Workers have received unpaid training.

- 12 A firm imports 20 high quality bicycles into the US at a cost of \$3000 each. It sells them all, making a profit of \$1000 per bicycle.

What is the firm's average revenue?

- A \$1000 B \$2000 C \$3000 D \$4000

- 13 The diagram shows total cost (TC), total fixed cost (TFC) and total variable cost (TVC).



Which costs are shown by W, X and Y?

	W	X	Y
A	TC	TFC	TVC
B	TC	TVC	TFC
C	TFC	TC	TVC
D	TVC	TC	TFC

- 14** The table shows output and total cost of a firm with four production methods, **A–D**.

Which method causes diseconomies of scale as the firm expands production from 1000 to 3000 units?

	output (units)		
	1000	2000	3000
	total cost (\$)		
A	8 000	10 000	12 000
B	8 000	14 000	27 000
C	10 000	16 000	21 000
D	10 000	20 000	30 000

- 15** A clothing manufacturer expands by taking over a clothing retailer.

Which type of merger is this?

- A** backward vertical
 - B** conglomerate
 - C** forward vertical
 - D** horizontal
- 16** Which economic situation exists when there are two consecutive quarters (six months) of negative economic growth?
- A** budget surplus
 - B** current account deficit
 - C** inflation
 - D** recession
- 17** Why might measures to reduce unemployment also make inflation rise?
- A** They encourage cheap imports.
 - B** They increase demand.
 - C** They reduce firms' costs.
 - D** They require wages to fall.

18 Which change affecting an economy's labour market promotes economic growth?

- A** increasing trade union strike action
- B** lowering the age of retirement
- C** reducing training of workers
- D** removing immigration controls

19 The table shows a government's receipts from taxation.

	\$m
air passenger duty	10
tax on firms' profits	100
import duty	75
income tax	200
inheritance tax	50
sales tax (VAT)	300

What is the total amount of revenue raised by indirect taxes?

- A** \$300 m **B** \$350 m **C** \$385 m **D** \$435 m

20 Which statement relating to supply-side policies is correct?

- A** They aim to increase aggregate demand.
- B** They aim to increase the long-run capacity of the economy.
- C** They aim to reduce cyclical unemployment.
- D** They aim to work in the short term.

21 What is always indicated by an increase in the Consumer Prices Index (CPI)?

- A** an increase in consumer spending in an economy
- B** an increase in living standards
- C** an increase in the average cost of living
- D** an increase in the purchasing power of money

Due to an issue with Question 22, the question has been removed from the question paper.

23 Which combination of policy measures is **most** likely to increase the level of employment?

- A** decrease general taxation and decrease the rate of interest
- B** decrease general taxation and increase the rate of interest
- C** increase general taxation and decrease the rate of interest
- D** increase general taxation and increase the rate of interest

24 What could reduce poverty?

- A** greater economic growth
- B** less spending on education
- C** more regressive taxation
- D** privatisation of hospitals

25 The table shows information about four countries, **A–D**.

Which country is **most** likely to have a falling population?

	access to a healthy diet	cost of bringing up children
A	falling	falling
B	falling	rising
C	rising	falling
D	rising	rising

26 The table shows statistics for four countries, **A–D**.

Which country has the lowest standard of living?

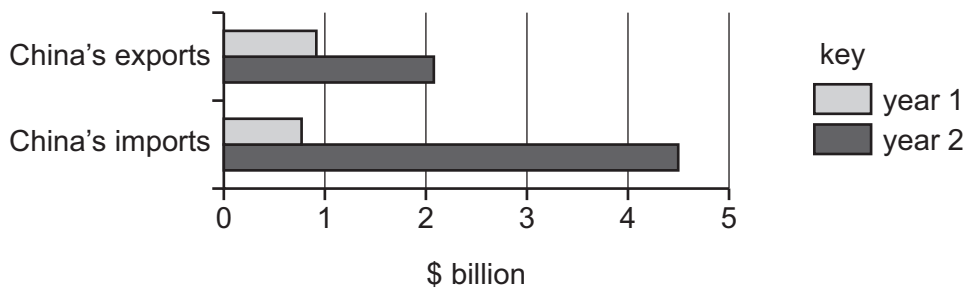
	average annual growth rate of population (%)	population density (per square kilometre)	life expectancy (years)	real GDP per head (\$)
A	1.9	19	46	190
B	2.7	2	58	1700
C	3.7	45	59	210
D	4.2	89	44	190

27 Malaysia and Indonesia specialise in the production of palm oil.

What is a disadvantage of specialisation?

- A** concentration of labour in the activity in which it is most productive
- B** creation of jobs to meet world demand
- C** reliance on trade with other countries for other goods
- D** rising palm oil prices

28 The diagram shows China's trade with Brazil for two years.



What happened to China's trade balance with Brazil between year 1 and year 2?

- A** It experienced a falling surplus.
- B** It experienced a rising deficit.
- C** It moved from deficit to surplus.
- D** It moved from surplus to deficit.

- 29** What is a reason for trade protection?
- A** to reduce a deficit on the current account of the balance of payments
 - B** to reduce a surplus on the current account of the balance of payments
 - C** to reduce economic growth
 - D** to reduce inflation
- 30** What is an immediate effect for a country of a fall in its foreign exchange rate?
- A** a fall in the money supply
 - B** an increase in purchasing power
 - C** cheaper imports
 - D** more competitive exports

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Cambridge IGCSE™

ECONOMICS

0455/13

Paper 1 Multiple Choice

May/June 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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INFORMATION

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- 1 Which factor has the correct factor reward identified?

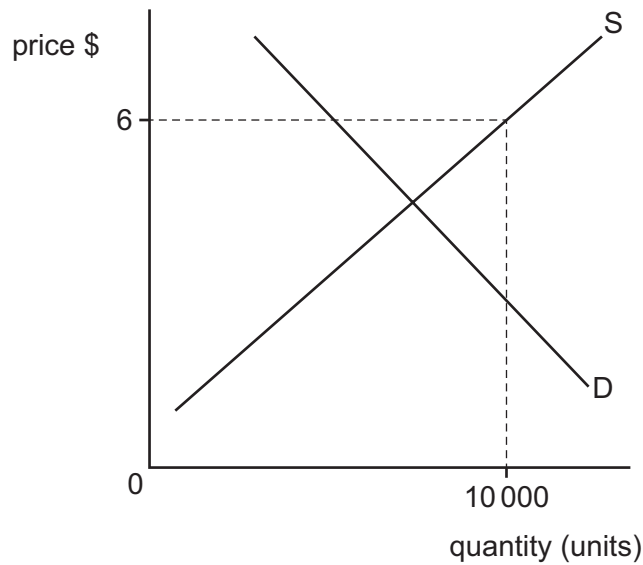
	factor	factor reward
A	capital	profit
B	enterprise	wages
C	labour	interest
D	land	rent

- 2 A student has nothing to do on a Friday evening. She withdraws \$5 from the \$100 she has in a savings account and buys a present to take to a party, to which admission is free.

What does this involve?

- A** an opportunity cost equal to \$95
 - B** an opportunity cost equal to other goods she could have bought for \$5
 - C** no opportunity cost, as entrance to the party is free
 - D** no opportunity cost, as she had no better way of using the time
- 3 What would cause a shift in a country's production possibility curve?
- A** a fall in unemployment
 - B** a recovery from a recession
 - C** a rise in prices
 - D** the destruction of factories in a war
- 4 Which topic is studied in macroeconomics?
- A** cost-push inflation
 - B** market price determination
 - C** public goods
 - D** the output of a firm
- 5 China is moving towards a more mixed economic system and reducing the role of the public sector.
- Which economic policy measure might best achieve this?
- A** creating excess capacity in state-owned enterprises
 - B** encouraging competition among private sector firms
 - C** protecting infant industries
 - D** subsidising transport infrastructure

- 6 The diagram shows the supply and demand for a product.



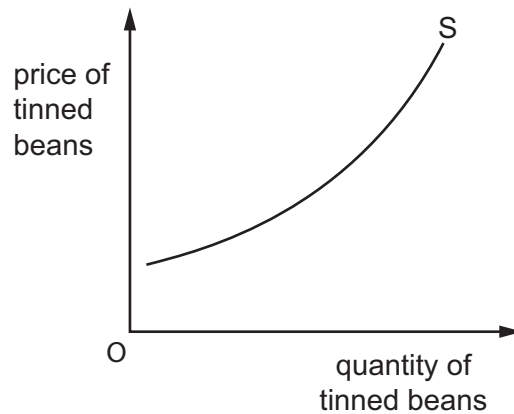
Suppliers have decided to produce 10 000 units and charge a price of \$6.

What is the result of this decision in the short run?

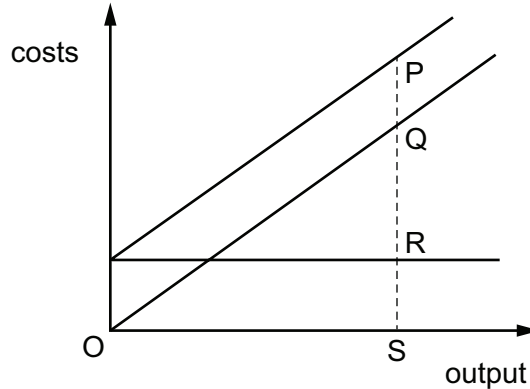
- A A stable equilibrium price will be achieved.
 - B Suppliers will be left with unsold stock.
 - C The equilibrium market price will increase.
 - D There will be excess demand at the price of \$6.
- 7 Which statement about price elasticity of demand (PED) is correct?
- A PED measures the percentage change in quantity demanded divided by the percentage change in price.
 - B PED measures the change in price divided by the change in the quantity demanded.
 - C PED means a change in price will cause an equal change in the quantity demanded.
 - D PED means a change in demand will result in a greater percentage change in price.

- 8 A manufacturer of tinned beans mechanises its assembly line. This increases output by 30% and reduces labour by 20%.

How and why will this affect supply curve S?



- A S will move to the left due to an increase in average costs.
 B S will move to the left due to an increase in the price of tinned beans.
 C S will move to the right due to an increase in consumer demand.
 D S will move to the right due to an increase in productivity.
- 9 The diagram shows the fixed costs, variable costs and total costs of a firm at output S.



Which distance represents the firm's variable costs?

- A PQ B PS C QR D QS

- 10** A cinema has 500 seats. It raised its admission price from \$2 to \$5 and daily revenue increased from \$800 to \$1500.

What can be concluded from this information?

- A** Price elasticity of demand for cinema seats was elastic.
 - B** Price elasticity of supply of cinema seats was elastic.
 - C** The cinema operated below full capacity.
 - D** The cinema's profits rose by \$700.
- 11** What is an outcome of a competitive market?
- A** high prices and low quality
 - B** low prices and large choice
 - C** high profits and low quality
 - D** low profits and little choice
- 12** What might prevent an individual choosing a particular occupation?
- A** little opportunity for career progression
 - B** low cost of travelling to work
 - C** no risk to personal health
 - D** wage rate above national minimum wage
- 13** What might encourage a consumer to spend less and save more?
- A** the expectation that prices will fall
 - B** the expectation that prices will rise
 - C** the expectation that unemployment will fall
 - D** the expectation that real GDP will rise

14 The table shows how three people, X, Y and Z, spend their income.

	person X	person Y	person Z
food, clothing and housing	30%	25%	50%
entertainment and leisure	35%	35%	25%
luxury goods	35%	40%	25%

What is the likely order of income, from lowest income to highest income, for these three people?

A $Y \rightarrow X \rightarrow Z$

B $Y \rightarrow Z \rightarrow X$

C $Z \rightarrow X \rightarrow Y$

D $Z \rightarrow Y \rightarrow X$

15 Which activity is correctly linked to the organisation that provides it?

	organisation	activity
A	central bank	regulate the rate of inflation
B	central bank	set direct tax rates
C	commercial bank	manage the government's financial accounts
D	commercial bank	safeguard the country's foreign reserves

16 What is **not** usually a macroeconomic aim?

A balance of payments stability

B high government borrowing

C lowering cyclical unemployment

D reducing absolute poverty

- 17** A government decides to increase the indirect tax on petrol. Petrol has an inelastic price elasticity of demand.

What are likely to be the consequences?

	quantity of petrol bought	government revenue
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

- 18** In a country, there is an increase in the rate of interest to prevent inflation.

Which type of macroeconomic policy is this?

- A** fiscal policy
- B** monetary policy
- C** supply-side policy
- D** trade policy

- 19** A government significantly increases its spending on education and training over several years.

What will be the likely effect of this policy measure on the rate of inflation in both the short run and the long run?

	short-run effect	long-run effect
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

- 20** What may cause a recession?

- A** an increase in consumer spending
- B** an increase in government spending
- C** an increase in imports
- D** an increase in investment

- 21 Why might the macroeconomic aim of full employment conflict with the aim of stable prices?
- A Full employment leads to higher cost of imports.
 - B Full employment leads to increased income inequality.
 - C Full employment leads to increases in wages.
 - D Full employment leads to lower exports.
- 22 In a country, inflation is 10% and nominal interest rates are 7%.
- Which group is **most** likely to benefit from this situation?
- A borrowers
 - B employers
 - C lenders
 - D savers
- 23 Which action is **not** performed by a government as part of its international role?
- A building offshore wind farms
 - B imposing tariffs on imports
 - C issuing visas to foreign tourists
 - D providing humanitarian aid to refugees
- 24 Which components, in addition to Gross Domestic Product (GDP) per head, are included in the Human Development Index (HDI)?
- A average earnings and inequalities of incomes
 - B balance of trade and balance of payments
 - C life expectancy at birth and expected years of schooling
 - D size of population and age structure of population
- 25 What is likely to cause an immediate decrease in the size of the labour force?
- A a fall in the average size of families
 - B a fall in the birth rate
 - C a reduction in the age of retirement
 - D an increase in net immigration

26 The table shows some economic indicators.

Which increase in the first indicator is **most** likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
D	productivity	living standards

27 When are countries **most** likely to specialise and trade with each other?

- A** when the cost of transport between them is high
- B** when there are large differences in their resource allocations
- C** when they have access to the same technology
- D** when they have high tariffs and other protective measures

28 A government removed the quota on goods imported into the country.

What is the **most** likely result of this?

- A** a decrease in demand for domestic production
- B** a decrease in domestic unemployment
- C** a decrease in exports
- D** a decrease in the balance of trade deficit

29 A country has a surplus on the current account of its balance of payments.

What would be **most** likely to cause the country to move into deficit?

- A** devaluation of its fixed exchange rate
- B** government subsidies to its exporters
- C** improved technology in other countries
- D** productivity increases in its export industries

- 30** The governments of low-income countries often allow foreign multinational companies (MNCs) to mine minerals in their country.

Which conflict between benefit and cost might this cause the low-income countries?

	benefit	cost
A	improved balance of trade	training by the MNCs
B	higher employment	loss of a finite resource
C	increased profits for the MNCs	efficient production
D	more sustainable development	economic growth

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Cambridge IGCSE™

ECONOMICS

0455/13

Paper 1 Multiple Choice

October/November 2022

45 minutes

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Soft clean eraser
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- 1 The Chinese government is concerned about the level of poverty and the need for more resources in low-income regions of the country. As a result, it is increasing its expenditure in those regions and reducing it in high-income regions.

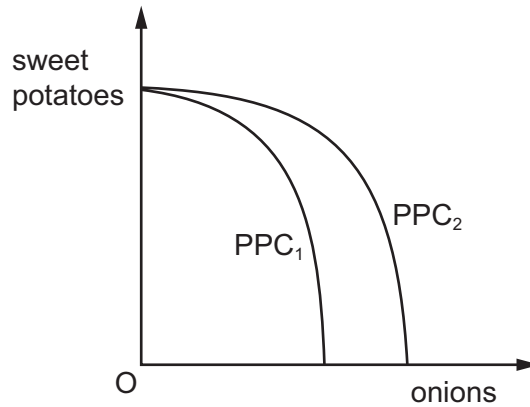
Which economic concept does this government policy illustrate?

- A diseconomies of scale
 - B market forces
 - C opportunity cost
 - D specialisation
- 2 An airline needs people and equipment. These can be divided into factors of production.

What is allocated to its correct factor of production?

	people or equipment	factor of production
A	aircraft	capital
B	airline owners	labour
C	computer network	land
D	pilots	enterprise

- 3 The diagram shows production possibility curves (PPC) for an economy that produces two goods, sweet potatoes and onions. Initially the economy is operating on PPC_1 .



Which combination of changes could shift PPC_1 to PPC_2 ?

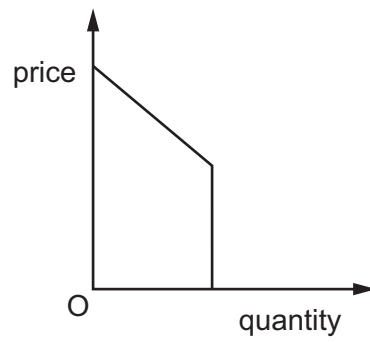
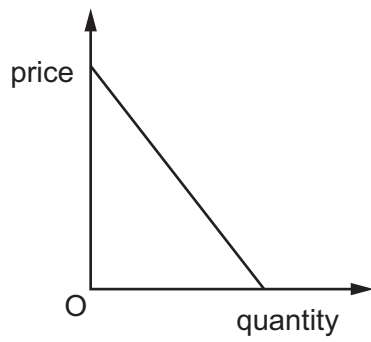
	change 1	change 2
A	a fuller use of existing resources in onion farms	a reduction in the price of sweet potatoes
B	a reduction in the price of onions	a larger population in the country
C	an increase in the price of sweet potatoes	an increased consumer preference for onions
D	an increase in the training of onion farmers	a greater use of technology on onion farms

- 4 A government decides to move towards a market economy by selling state-owned enterprises.

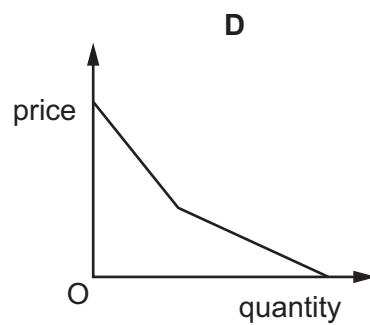
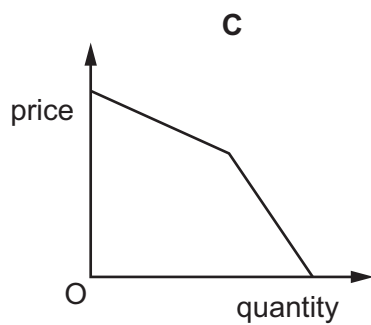
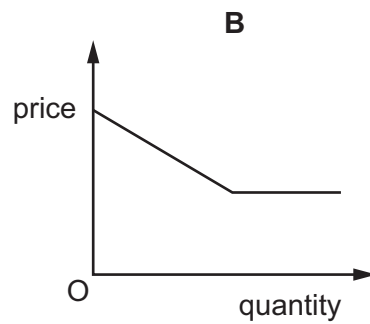
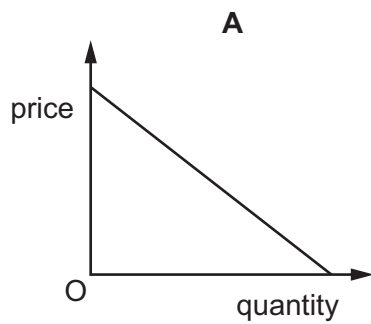
What is a possible motive for this?

- A** to create greater income equality
- B** to extend government control of the economy
- C** to increase efficiency of production
- D** to take account of external costs

- 5 The diagrams show the demand curves for the only two buyers in a market.



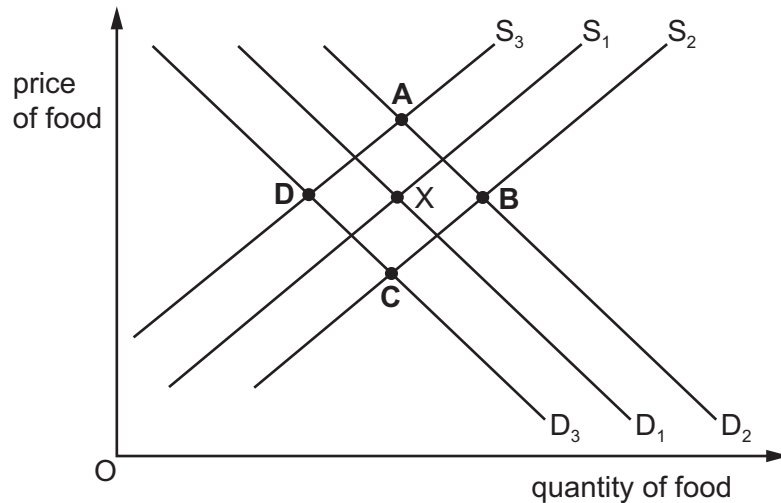
What will be the shape of the market demand curve for the good?



- 6 The shoppers in a country become worried about a sudden and dangerous rise in air pollution and so buy more food in case they have to stay at home. As the air pollution spreads, supermarket staff fall ill and the supermarkets struggle to keep their shelves full of food.

X was the initial equilibrium in the market for food in supermarkets.

What will be the new equilibrium as a result of the above situation?



- 7 Which factor can influence the price elasticity of supply of a product?

- A the degree of necessity of the product
- B the level of spare capacity in the industry
- C the price of substitutes
- D the proportion of income spent on the product

- 8 What is a possible consequence of market failure?

- A Consumers have complete information about goods.
- B Disequilibrium continues in the market.
- C Merit goods are under-supplied.
- D Some goods are no longer demanded.

- 9 Which organisations can directly fund the growth of firms?

	central banks	commercial banks	governments
A	no	yes	no
B	no	yes	yes
C	yes	no	no
D	yes	no	yes

10 Which advantage do coins have that makes them more suitable than paper banknotes to act as money?

- A They are more divisible.
- B They are more durable.
- C They are more portable.
- D They are more recognisable.

11 Which statement about different income groups is correct?

- A High-income groups do not need to borrow money.
- B High-income groups save less money than low-income groups.
- C Low-income groups find it easier to borrow than high-income groups.
- D Low-income groups save a smaller percentage of their income than high-income groups.

12 A musician has a choice of playing for an orchestra in either Germany or England.

Which combination of incomes and cost of living is **most** likely to cause her to choose the German orchestra?

	incomes and cost of living in Germany compared with those in England		
	pre-tax (gross) income	after-tax (net) income	cost of living
A	higher	higher	higher
B	higher	lower	lower
C	lower	higher	higher
D	lower	higher	lower

13 A trade union states that its members have experienced a loss in real income over the past five years.

What must have happened for this to be true?

- A Income tax rates have increased.
- B Prices have risen.
- C Savings have fallen.
- D Wages adjusted for inflation have fallen.

- 14** A firm provides a personal service to its customers. It prefers to remain labour-intensive rather than changing to more capital-intensive production.

Which aspect of remaining labour-intensive would support this choice?

- A** Customer satisfaction is higher.
 - B** Production costs are higher.
 - C** Production is less flexible.
 - D** Quality of customer service is worse.
- 15** Why might one profitable oil-drilling firm wish to take over another profitable oil-drilling firm?
- A** to bring its suppliers into the same firm
 - B** to get closer to its customers to increase sales
 - C** to reduce its costs per unit of output
 - D** to reduce the amount of corporation tax it paid

- 16** A government decides to boost the economy through the use of a budget deficit.

Which target should it adopt to achieve this aim?

- A** Direct taxation should exceed indirect taxation.
- B** Export earnings should exceed import expenditure.
- C** Government savings should exceed government investment.
- D** Government spending should exceed government revenue.

- 17** A government decides to use a fiscal policy measure.

What is an example of this?

- A** increasing the exchange rate
 - B** reducing the power of trade unions
 - C** reducing the rate of corporation tax
 - D** setting a low interest rate
- 18** What would the government reduce to decrease inflation?
- A** income tax
 - B** its foreign exchange rate
 - C** the money supply
 - D** the rate of interest

19 A country wishes to encourage economic growth.

Which policy measure is **most** likely to achieve this aim?

- A increasing interest rates
- B increasing spending on education
- C reducing the maximum permitted hours of work
- D reducing spending on infrastructure

20 How does a country usually measure its Gross Domestic Product?

- A by calculating the total value of all goods and services produced within the economy
- B by measuring the average prices of a basket of goods and services throughout the country
- C by subtracting government expenditure from government revenue
- D by surveying the number of people who are out of work but willing and able to work

21 What is the **most** likely consequence of increased unemployment?

- A higher output
- B higher government budget deficit
- C higher self-esteem
- D higher inflation

22 Why is deflation undesirable for an economy?

- A It reduces business confidence.
- B It reduces export competitiveness.
- C It reduces purchasing power.
- D It reduces real incomes.

23 Why does a government provide public goods?

- A Public goods are always used by everyone.
- B Public goods are not profitable for private firms.
- C Public goods can only be provided by monopolies.
- D Public goods create large external costs.

- 24** The table shows the percentage changes in earnings and consumer prices for four countries in one year.

Which country is likely to have experienced the greatest increase in real income during the year?

	country	earnings	consumer prices
A	France	+6.5	+3.5
B	Germany	+4.0	+4.0
C	Japan	+4.0	−1.0
D	UK	+6.5	−2.0

- 25** Which combination of government actions is **most** likely to raise the living standards of lower income groups in an economy?

	indirect tax	spending on healthcare	personal tax-free allowance
A	increase	increase	decrease
B	increase	decrease	increase
C	reduce	increase	decrease
D	reduce	increase	increase

- 26** What is the usual effect of net immigration for a high-income country?

- A** an increase in the size of the labour force
- B** a rise in the average age of the population
- C** lower economic growth
- D** reduced demand for housing

- 27 The table shows some details from a country's balance of payments. The country has no secondary income (current transfers).

item	\$ million
exports of goods	280
imports of goods	350
exports of services	110
imports of services	60
net primary income	–40

What is the country's balance on its current account?

- A a deficit of \$60 million
 - B a deficit of \$160 million
 - C a surplus of \$20 million
 - D a surplus of \$760 million
- 28 Vietnamese companies buy insurance from companies in the US.

How will this transaction be recorded in the Vietnamese balance of payments?

	section	credit / debit
A	trade in goods	credit
B	trade in services	credit
C	trade in services	debit
D	current transfers	debit

- 29 Country X produces cars and also imports cars.

Which group is **least** likely to benefit from the introduction of an import tariff on cars?

- A consumers of cars in country X
- B producers of cars in country X
- C the government of country X
- D workers making cars in country X

- 30** What may be a cost to its home country when a multinational company (MNC) expands abroad?
- A** Increased competition from the MNC may force firms in the host country to close.
 - B** Many jobs created by the MNC may be low-skilled.
 - C** The MNC's profits from the host country may be sent to its home country.
 - D** The MNC may cause job losses in its home country by moving production abroad.

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ECONOMICS

Paper 1 Multiple Choice

0455/13

May/June 2023

45 minutes

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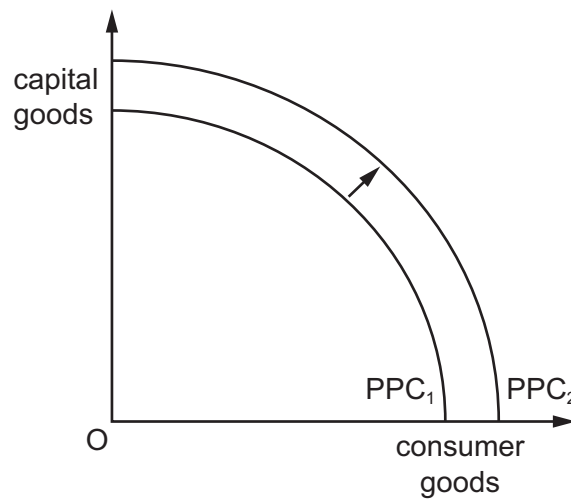
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- 1 GDP per capita in Switzerland is high.

What is the reason why Swiss citizens still face the basic economic problem?

- A Income in Switzerland is unevenly distributed.
 - B Inflation in Switzerland is high.
 - C Swiss citizens expect high living standards.
 - D Swiss citizens have to make choices in consumption.
- 2 The production possibility curve of a country has shifted from PPC_1 to PPC_2 .



What could have caused this shift?

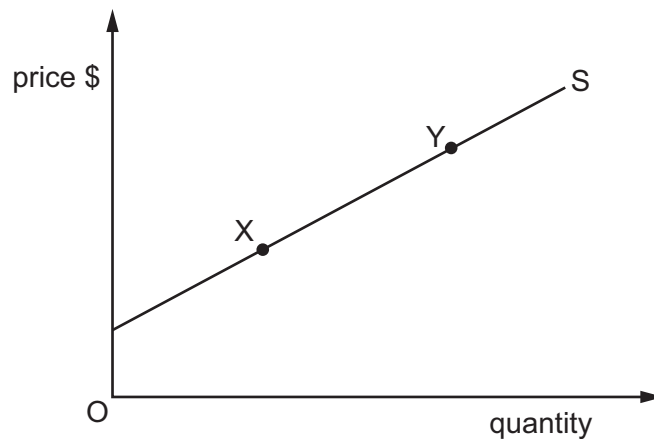
- A a decrease in the rate of unemployment
 - B a fall in the birth rate
 - C improved education
 - D outdated technology not being replaced
- 3 What is **most** likely to increase the geographical mobility of labour?
- A an increase in the amount of credit available to firms
 - B an increase in the quantity of low-cost housing
 - C an increase in spending by firms on research and development
 - D an increase in spending by government on apprenticeships and training

- 4 What is **not** a microeconomic decision?
- A A firm decides to increase the price of its product.
 - B A government decides to increase interest rates.
 - C A household decides to reduce its demand for fuel.
 - D A trade union decides to go on strike.

- 5 What is a feature of a market in equilibrium?

- A demand exceeds supply
- B no profits are earned
- C the market will clear
- D there will be a surplus of products

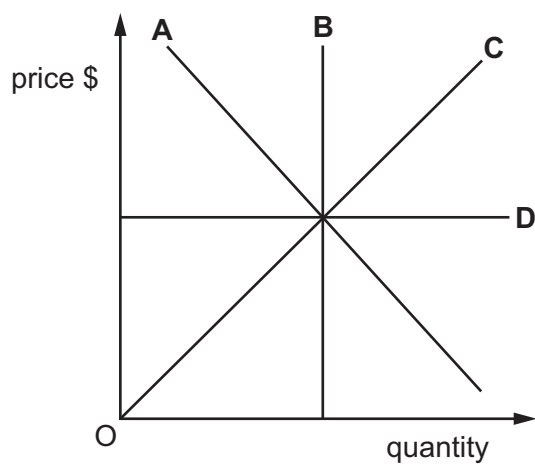
- 6 The diagram shows the supply curve for a good.



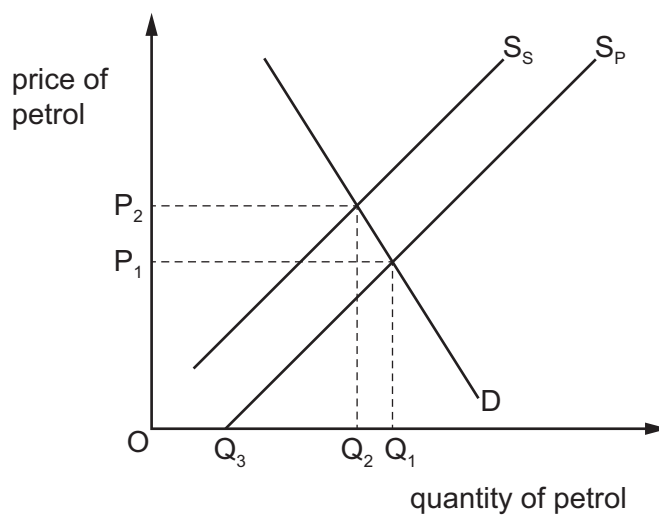
What is the name and cause of the movement from X to Y?

- A a contraction of supply caused by a decrease in demand
- B a contraction of supply caused by an increase in demand
- C an extension of supply caused by a decrease in demand
- D an extension of supply caused by an increase in demand

- 7 In the diagram, which supply curve has the perfectly inelastic supply?



- 8 The diagram shows the market for petrol (gasoline). S_P is the supply of petrol based on the private cost of petrol production and S_S is the supply of petrol based on the social cost of production.



Which distance shows the market failure caused by the production of petrol?

- A** OQ_1 **B** OQ_2 **C** Q_2Q_1 **D** Q_3Q_1

- 9 In a given year, the world output of coal was 3.94 billion metric tonnes at an average yearly price of \$252 per metric tonne.

Several years later, world output was 3.66 billion metric tonnes at an average yearly price of \$120 per metric tonne.

What might have caused such a fall in the price of coal?

- A almost half the world's coal reserves were in just two countries
 B the exhaustion of coal seams throughout the world
 C the switch to renewable sources of energy
 D the use of coal as a raw material as well as a fuel
- 10 A government believes that people eat too much sugar but not enough fruit.

Which combination of policies would the government introduce?

	sugar	fruit
A	increase its tax	increase its tax
B	increase its tax	subsidise its production
C	subsidise its production	increase its tax
D	subsidise its production	subsidise its production

- 11 Which row shows a characteristic of money and a function of money?

	characteristic	function
A	acceptability	medium of exchange
B	cash	measure of value
C	divisibility	portability
D	store of value	bank deposit

- 12 When will a central bank act as lender of last resort to a commercial bank?

- A when a commercial bank faces a liquidity crisis
 B when a commercial bank fails to make a profit
 C when a commercial bank needs to raise share capital
 D when a commercial bank reduces its lending rates

- 13** What is likely to increase the bargaining power of a trade union?
- A** when the economy is experiencing rising cyclical unemployment
 - B** when the labour market moves from long-term to short-term contracts of employment
 - C** when the price elasticity of demand for the product is price-elastic
 - D** when the trade union supplies all the labour required by the employer
- 14** What is a likely reason why firms do **not** grow in size?
- A** External diseconomies of scale occur at high levels of output.
 - B** Internal economies of scale occur at high levels of output.
 - C** Internal economies of scale occur at low levels of output.
 - D** Internal diseconomies of scale occur at low levels of output.

- 15** The table shows the activities of four firms.

firm 1	firm 2	firm 3	firm 4
shoe manufacture	website design	shoe manufacture	shoe retailer

Which combination of firms would be an example of horizontal integration?

- A** 1 and 2 **B** 1 and 3 **C** 2 and 4 **D** 3 and 4
- 16** What is a reason why firms making similar products sometimes locate near each other?
- A** Competition is decreased.
 - B** There are external economies of scale.
 - C** There are internal economies of scale.
 - D** Transport costs may be eliminated.

- 17 A government wishes to increase its spending on public goods.

Which sector should have a spending increase to achieve this?

- A education
- B healthcare
- C national defence
- D railways

- 18 Which government measure would lead directly to more exports of goods?

- A a devaluation of the currency
- B a restriction of bank credit creation
- C an increase in the rate of interest
- D the issue of more bank notes and coins

- 19 A government wishes to stimulate economic recovery.

Which action will assist this?

- A decreasing government investment
- B decreasing income tax
- C increasing indirect taxation
- D increasing interest rates

- 20 What is the **most** likely effect on an economy of a successful supply-side policy?

- A an increase in the general price level
- B an increase in the interest rate
- C an increase in the money supply
- D an increase in the potential GDP

- 21 A country is experiencing high economic growth caused by an increase in consumer spending. What are the **most** likely effects on inflation and unemployment?
- A inflation falls and unemployment falls
 - B inflation falls and unemployment rises
 - C inflation rises and unemployment falls
 - D inflation rises and unemployment rises
- 22 Which pair is **most** likely to be provided by the private sector in a mixed economy?
- A courts and prisons
 - B hospitals and tax collection
 - C insurance and banks
 - D weapon manufacture and defence
- 23 An economy is experiencing a sustained fall in the general price level. Which term is used to describe this?
- A deflation
 - B depreciation
 - C market disequilibrium
 - D recession
- 24 What is **most** likely to cause an increase in relative poverty?
- A an increase in state benefits
 - B an increase in the national minimum wage
 - C pension increases below the rate of inflation
 - D people working beyond retirement age
- 25 What might explain the high population growth in some developing countries?
- A high birth rates and falling death rates
 - B low immigration and high emigration
 - C falling birth rates and rising death rates
 - D falling life expectancy

- 26 Which combination of factors might cause a country to be classified as developing rather than developed?
- A a government budget deficit and a low death rate
 - B a high birth rate and a low death rate
 - C a large population and a current account deficit
 - D a poor education system and a low standard of living
- 27 What is certain to encourage a higher level of international trade?
- A conservation of resources and unstable exchange rates
 - B exploitation of resources and wider use of quotas
 - C increased support for home industries and increased tariffs
 - D more specialisation and falling transport costs
- 28 The import of a product from another country has been banned.
Which term describes this method of protection?
- A embargo
 - B exchange control
 - C quota
 - D tariff
- 29 A developing country's two major sources of income from international trade are fishing and tourism.
If the country's exchange rate depreciated, what is likely to happen?
- A Imported goods would become cheaper for local people.
 - B The country would definitely become poorer.
 - C The price of fish sold as exports would become cheaper.
 - D Tourists to the country would be discouraged by higher prices.

30 What is the correct formula for calculating the current account of the balance of payments?

- A** balance of trade in goods + balance of trade in services + primary income balance + secondary income balance
- B** government revenue from abroad – domestic government spending
- C**
$$\frac{\text{percentage change in quantity demanded of exports}}{\text{percentage change in price of imports}}$$
- D** total exports of services + total imports of goods

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Cambridge IGCSE™

ECONOMICS

Paper 1 Multiple Choice

0455/13

October/November 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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INFORMATION

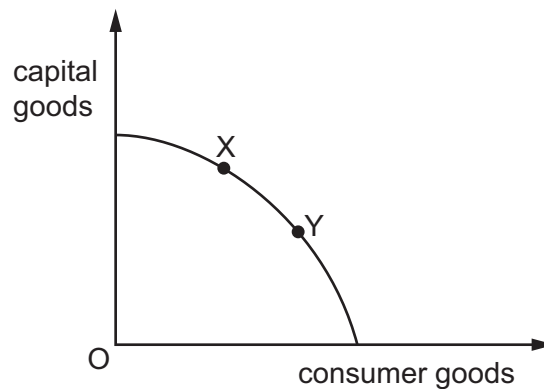
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- 1 A consumer has \$10 to spend. A meal costs \$9 and a drink costs \$5.

What would describe the situation if the consumer did **not** have enough money to purchase both the meal and the drink?

- A excess demand
 - B free goods
 - C market failure
 - D the economic problem
- 2 The diagram shows a production possibility curve (PPC) for a country. The country moved from position X to position Y on the PPC.

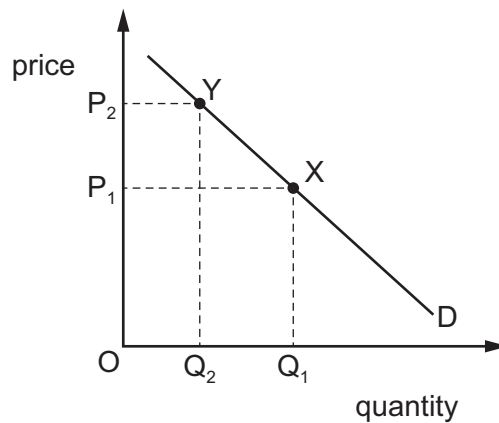


What is the **most** likely reason for this change?

- A Firms have decided to increase investment in technology.
 - B New economic resources have been discovered in the country.
 - C The government has brought about an increase in living standards.
 - D The government has encouraged long-term economic growth.
- 3 Which type of factor of production is a railway track?
- A capital
 - B enterprise
 - C labour
 - D land

- 4 Which statement must be correct if a market is in disequilibrium?
- A Quantity demanded and quantity supplied are equal.
 - B The government must intervene if anything is to be sold.
 - C There can be no changes to demand or supply.
 - D There is excess supply or excess demand.
- 5 What is a determinant of price elasticity of demand (PED)?
- A availability of stocks of the product
 - B change in the income of consumers
 - C degree of necessity of the product
 - D existence of monopoly
- 6 What would cause the supply curve for an agricultural product to shift to the right?
- A an increase in the costs of production
 - B an increase in the price of substitutes
 - C an increase in the price of the good
 - D an increase in the productivity of farms
- 7 What would increase the price elasticity of supply (PES) of a product?
- A an increase in the cost of inputs
 - B an increase in the firm's profits
 - C an increase in the number of close substitutes
 - D an increase in the time a product can be stored

- 8 The diagram shows a demand curve.



What does the movement from X to Y show?

- A** a decrease in quantity demanded due to an increase in price
 - B** a decrease in quantity demanded due to changes in the conditions of demand
 - C** an increase in quantity demanded due to changes in the conditions of demand
 - D** an increase in quantity demanded due to an increase in price
- 9 In a market there is a surplus of a good.
- Which change would cause the market to come to an equilibrium?
- A** a decrease in demand
 - B** a fall in price
 - C** a rise in price
 - D** an increase in supply
- 10 When the price of a good is \$10, the quantity demanded is 100 units per day.

Which combination of price change and price elasticity of demand will cause the largest increase in the quantity demanded for the good?

	price change	price elasticity of demand
A	price falls to \$9	0.8
B	price falls to \$9	1.2
C	price rises to \$11	0.8
D	price rises to \$11	1.2

- 11** A function of money is to act as a measure of value.

What does this mean?

- A** It is used for future savings.
- B** It is used to compare the worth of different goods.
- C** It is used to enable monthly payments for expensive goods.
- D** It is used to pay the price of a good.

- 12** In 2008–2009 the central bank of a developed country reduced interest rates from 5% to 0.5% per year to stimulate the economy.

How would this policy have affected the amount saved and the cost of borrowing by individuals?

	amount saved	cost of borrowing
A	decreased	decreased
B	decreased	increased
C	increased	decreased
D	increased	increased

- 13** Many small energy providers have closed down due to rising costs.

What is the likely effect of this on the price of energy and choice of energy providers for consumers, assuming there is no government intervention?

	price of energy	choice of energy providers
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

14 What is the **most** likely goal of a state-owned enterprise providing health services?

- A profits
- B public satisfaction
- C sales revenue
- D survival

15 Some governments allow monopoly markets to exist.

What is a reason for this?

- A to attract entry into the market
- B to fund research and development
- C to increase prices for consumers
- D to maximise monopoly profits

16 The table shows the costs incurred by a firm producing computers.

output (thousands)	total costs (\$ thousands)
0	20
1	1200
2	1350
3	1450

What are the fixed costs if 3000 computers are produced?

- A \$20 000 B \$1 430 000 C \$1 450 000 D \$4 020 000

17 A government increases its revenue by higher direct taxation of both personal incomes and company profits.

What is **most** likely to be the reason for this increase?

- A to control spending on specific consumer goods
- B to encourage business investment
- C to provide public and merit goods
- D to reduce pollution from industrial production

- 18 Income tax in a country gives all individuals an initial tax-free income allowance. Any income above this allowance is taxed at increasing rates as the incomes of individuals rise.

Which change to this income tax will be regressive?

- A decreasing the lowest rate of tax
- B decreasing the tax-free income allowance
- C increasing the tax-free income allowance
- D increasing the top rate of tax

- 19 A government lowers the rate of interest.

Who is **most** likely to be disadvantaged by this policy?

- A house buyers
- B manufacturers
- C retailers
- D savers

- 20 What is a supply-side policy measure?

- A a tariff on imported goods
- B an increase in indirect taxes
- C a contractionary monetary policy
- D the removal of barriers to entry to a market

- 21 What is the **most** likely consequence of economic growth?

- A more equal income distribution
- B more use of resources
- C reduced imports
- D reduced tax revenue

- 22 In high-income economies, cereal farming is highly productive but few workers are employed.

What could have caused this employment situation?

- A a fall in world demand for cereals
- B a lack of capital equipment
- C increased mechanisation of agriculture
- D large-scale migration from rural areas

- 23 Who is **most** likely to benefit during a period of inflation?

- A creditors (lenders)
- B debtors (borrowers)
- C fixed income earners
- D holders of cash

- 24 The table shows some economic indicators.

Which increase in the first indicator is **most** likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
D	productivity	living standards

- 25 Which combination would be **most** likely to increase the population of a country?

	birth rates	death rates	net immigration
A	high	high	positive
B	high	low	positive
C	low	high	negative
D	low	low	negative

26 Which economic consequence is **most** likely to result from an increasing proportion of the population being over the age of 65?

- A Government transfer payments will increase.
- B More facilities will be needed to retrain workers.
- C The total savings in the economy will increase.
- D There will be a rise in the economic growth rate.

27 What is **most** likely to encourage international specialisation?

- A similarities in climate in different countries
- B the ability to produce products more cheaply than other countries
- C the discovery of oil in a country that had no oil before
- D very high international transport costs

28 Country X established free trade agreements with other nations.

What would be the intended benefit of such agreements to country X?

- A increased labour shortages
- B increased tariff revenue
- C more efficient allocation of resources
- D protection from low wage competition

29 A country's foreign exchange rate appreciates significantly.

Which group in the country will directly benefit from this change?

- A a government department which only buys locally made goods
- B retailers who get all their supplies from foreign producers
- C workers in local companies that compete with foreign firms in the local market
- D workers in local companies that sell only in foreign countries

- 30** What is measured in the secondary income balance in a country's current account of the balance of payments?
- A** net contributions to international and regional organisations
 - B** net exports of goods and services
 - C** net foreign investment flows
 - D** net inflow of income from factors of production abroad

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Cambridge IGCSE™

ECONOMICS

0455/13

Paper 1 Multiple Choice

May/June 2024

45 minutes

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1 How can the economic problem be described?

- A as insufficient capital to satisfy our wants
- B as insufficient income to satisfy all our needs
- C as insufficient resources to satisfy our unlimited wants
- D as insufficient wealth to satisfy all our needs

2 What would be included in the factor of production land?

- A bread
- B factory building
- C sports arena
- D wheat

3 A deposit of shale oil is discovered in an area of farming.

The following estimates are made for a ten-year period.

- If the land is used only for farming, it would yield income after tax of \$10 billion.
- If the land is used only for shale oil extraction, it would yield income after tax of \$40 billion.
- The government would receive \$5 billion in taxes from farming and \$10 billion in taxes from shale oil extraction.

What is the opportunity cost of using the land only for farming?

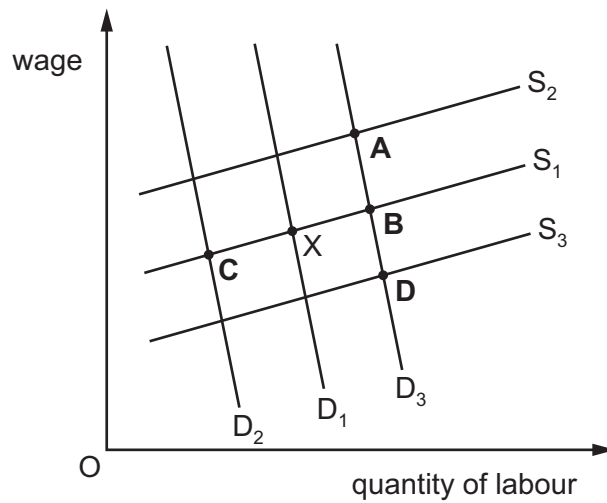
- A \$25 billion B \$30 billion C \$35 billion D \$45 billion

4 What three key questions determine resource allocation?

- A what, how, for whom
- B what, when, for whom
- C where, what, how
- D where, how, for whom

- 5 In the diagram, X represents the original equilibrium point in the labour market for engineers. An increase in the skills of engineers results in an increase in productivity.

Which point represents the new equilibrium in the labour market for engineers?



- 6 An explosion in an important oil pipeline causes the world price of a barrel of oil to increase from \$50 to \$100. Before the explosion, the world demand for oil was 100 million barrels per day. The world price elasticity of demand for oil is -0.2 .

What is the new global demand for oil (barrels per day) as a result of the explosion?

- A 20 million
 - B 80 million
 - C 90 million
 - D 120 million
- 7 What is included in the study of microeconomics?
- A demand-pull inflation
 - B diseconomies of scale
 - C increasing unemployment
 - D the size of the budget deficit

- 8 The price elasticity of supply (PES) of a product is 1.0.

The price of this product is \$10 and the quantity supplied is 200 units.

If the price of the product increases to \$11, by how many units will the quantity supplied increase?

- A 1 unit
- B 10 units
- C 20 units
- D 200 units

- 9 The government wishes to reduce the harmful emissions from road transport.

Which measure would be effective in helping to achieve this aim?

- A increased expenditure on oil exploration
- B introducing a subsidy on public transport
- C reduced taxation on the production of private vehicles
- D reducing incentives to purchase electric vehicles

- 10 What function does a central bank provide for an economy?

- A It issues bank notes to encourage spending.
- B It manages the debt of private sector firms.
- C It offers high interest rate accounts to encourage savings.
- D It provides mortgages to encourage home ownership.

- 11 A firm changes from producing individual pieces of wooden furniture by hand to a mechanised production process using the division of labour.

What is the most likely set of outcomes as a result?

	outcome 1	outcome 2	outcome 3
A	worker motivation will increase	average total cost will increase	total costs will increase
B	worker motivation will decrease	average total cost will increase	total costs will increase
C	worker motivation will decrease	average total cost will decrease	total costs will increase
D	worker motivation will decrease	average total cost will decrease	total costs will decrease

12 What is the best definition of a trade union?

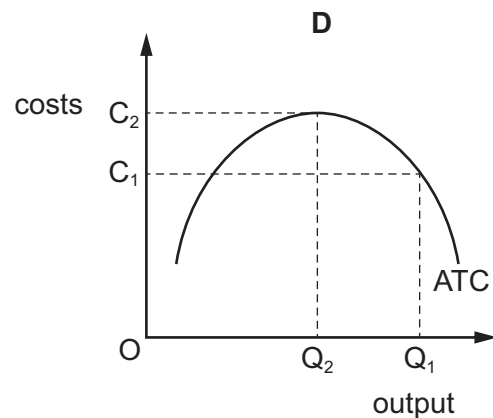
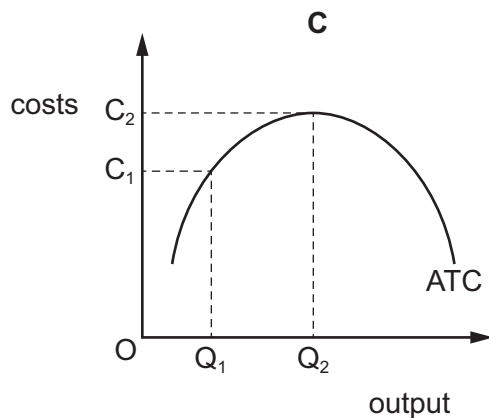
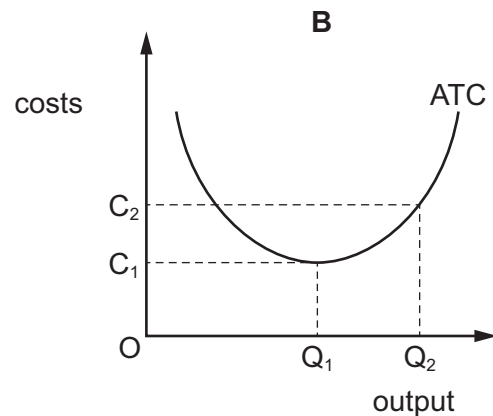
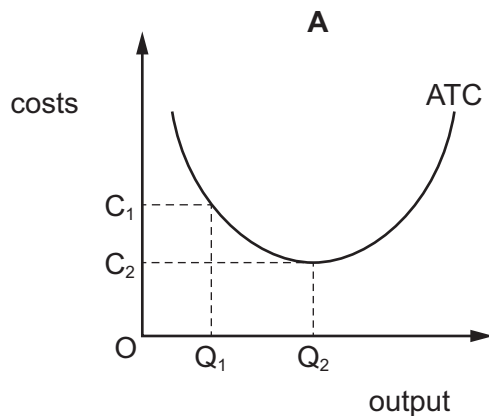
- A a group of countries that negotiates trade agreements
- B a group of firms that negotiates removing obstacles to trade
- C a group of workers that negotiates collectively on pay
- D a group of workers that negotiates fixing prices

13 What is most likely to be a disadvantage when operating a small firm?

- A a lack of external economies of scale
- B a lack of external diseconomies of scale
- C a lack of internal economies of scale
- D a lack of internal diseconomies of scale

14 A firm increased output from Q_1 to Q_2 and achieved economies of scale.

How is this shown on the firm's average total cost curve (ATC)?

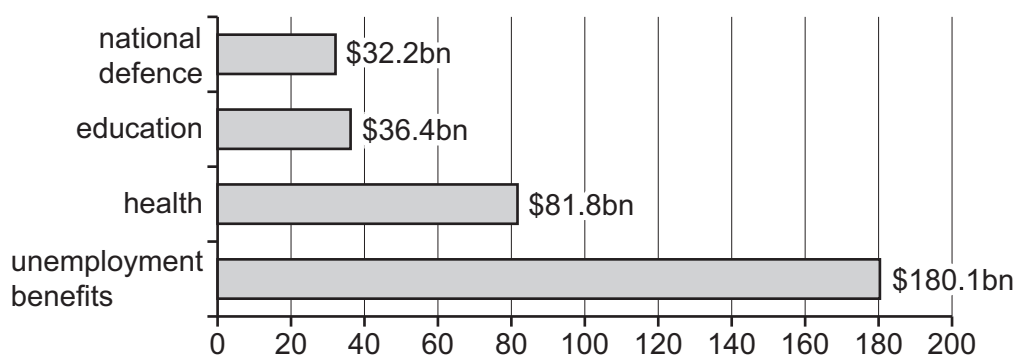


- 15** A busy restaurant employs a large number of highly skilled chefs to individually prepare high quality meals.

What is an advantage to the restaurant of this type of production?

- A** A highly skilled chef is paid more than an unskilled cook.
 - B** It is easier to prepare a wide variety of meals.
 - C** It takes time to train a highly skilled chef.
 - D** The quality of a meal varies according to which chef prepares it.
- 16** How is the average cost of a product calculated?
- A** by adding total variable and total fixed costs
 - B** by dividing total cost by output
 - C** by multiplying total variable cost by output
 - D** by subtracting fixed cost from total cost
- 17** Why might measures to reduce unemployment also make inflation rise?
- A** They encourage cheap imports.
 - B** They increase demand.
 - C** They reduce firms' costs.
 - D** They require wages to fall.

18 The diagram shows selected areas of government spending for a country.



What was the total government spending on merit goods?

- A** \$32.2 billion
- B** \$81.8 billion
- C** \$118.2 billion
- D** \$261.9 billion
- 19 What correctly explains the effect of monetary policy measures on macroeconomic aims?
- A** A higher exchange rate will make imports more expensive and improve the balance of payments.
- B** An increase in interest rates will encourage investment and lead to higher economic growth.
- C** An increase in the money supply in an economy without spare capacity will result in demand-pull inflation.
- D** Higher interest rates result in less income from savings and therefore higher unemployment.
- 20 What is the most likely impact of lower direct taxes on demand and on supply?

	demand	supply
A	decrease	decrease
B	decrease	increase
C	increase	increase
D	increase	decrease

- 21 The table shows the annual change in Gross Domestic Product (GDP) before adjustments for inflation have been made and the annual rate of inflation in four countries.

Which country has the highest rate of growth in real GDP?

	change in GDP %	inflation rate %
A	5	6
B	10	7
C	15	14
D	20	40

- 22 Which type of unemployment is generally regarded by economists as the **least** serious for the economy?

- A** cyclical
- B** frictional
- C** regional
- D** structural

- 23 The Consumer Prices Index (CPI) for a country rose during one year from 125 to 150.

What was the country's rate of inflation?

- A** 20% **B** 25% **C** 125% **D** 150%

- 24 What does the Human Development Index (HDI) indicate?

- A** economic development
- B** level of unemployment
- C** living standards
- D** rate of inflation

- 25 What best describes relative poverty?

- A** A 12-year-old boy has never been able to access a doctor or school.
- B** A person earns less than the minimum defined level of income.
- C** A person has a lower living standard than the minimum level acceptable in a society.
- D** A person is unable to afford the basic necessities of life.

26 The table shows population statistics for three countries in a particular year.

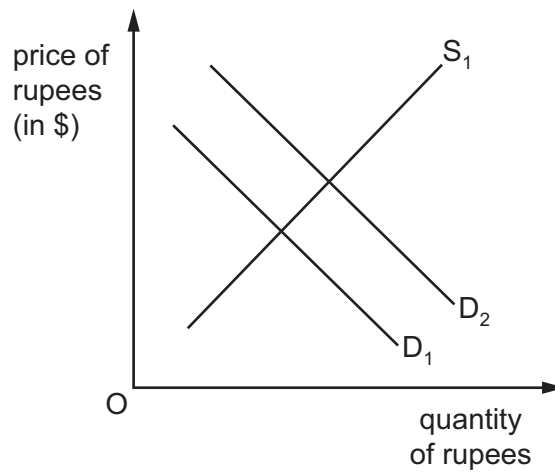
country	population size (millions)	birth rate (per thousand of population per year)	death rate (per thousand of population per year)	net migration
X	20	10	8	+20 000
Y	30	20	18	+50 000
Z	40	40	35	–1 000 000

What can be concluded from the table?

- A** country X has fewer females than country Y
 - B** country Y has the smallest population increase
 - C** country Y has the highest living standards
 - D** country Z has a decreasing population
- 27** What is most likely to promote international specialisation?
- A** similarities in climate in different countries
 - B** similarities in the availability of natural resources in different countries
 - C** instability in foreign exchange rates
 - D** the abolition of tariffs and customs duties
- 28** What are the effects on price and equilibrium quantity of the imposition of an import tariff on a good?

	price	equilibrium quantity
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

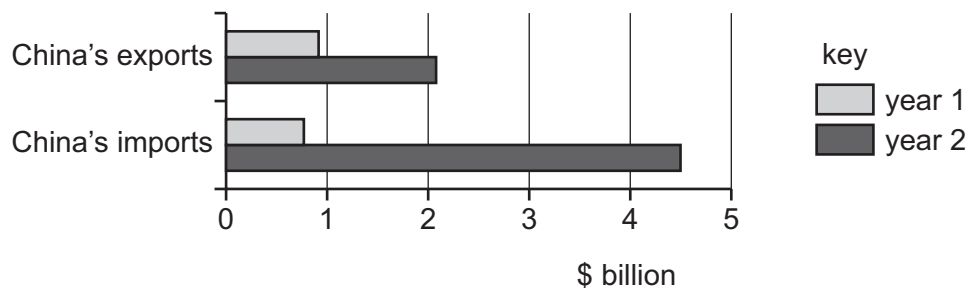
29 The diagram shows the market for the Indian rupee in US\$.



What will cause the demand curve for rupees to shift from D_1 to D_2 ?

- A a fall in Indian exports to the US
- B a fall in the US inflation rate
- C a rise in foreign direct investment into India
- D a rise in interest rates in the US

30 The diagram shows China's trade with Brazil for two years.



What happened to China's trade balance with Brazil between year 1 and year 2?

- A It experienced a falling surplus.
- B It experienced a rising deficit.
- C It moved from deficit to surplus.
- D It moved from surplus to deficit.

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ECONOMICS

0455/13

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October/November 2024

45 minutes

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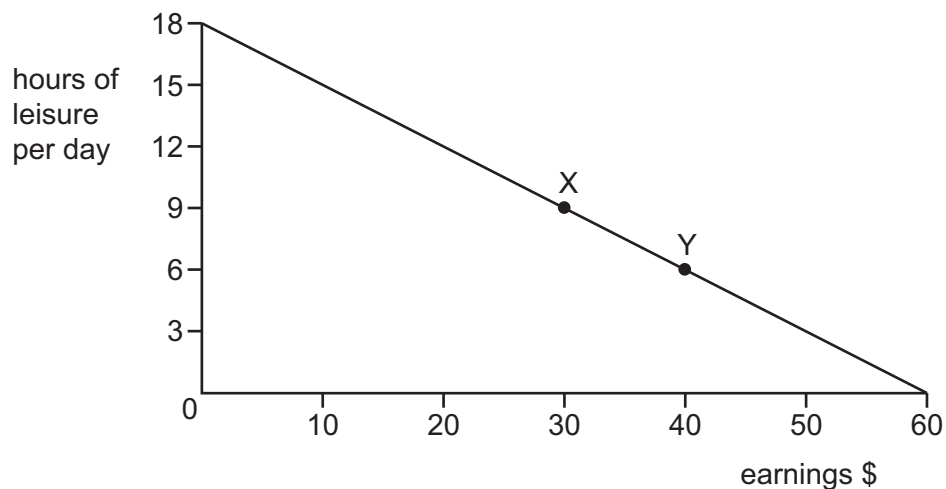
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- 1 What is the cause of the economic problem facing the global market for gold?
- A Consumer wants for gold are limited.
 - B Gold is a limited resource.
 - C Only governments can sell gold.
 - D There is an unlimited supply of gold.
- 2 The management of an airline decided to replace its aeroplanes with more technologically advanced aircraft. At the same time, the company retrained its pilots.

Which factors of production has the airline improved?

- A capital and labour
 - B capital and land
 - C labour and enterprise
 - D land and enterprise
- 3 The diagram shows the choices for an individual between leisure and earnings.



What is the opportunity cost to the individual of the extra earnings when moving from position X to position Y?

- A \$10
- B \$40
- C 3 hours of leisure per day
- D 6 hours of leisure per day

- 4 The world price of cocoa has been falling while the prices of products made from cocoa have been rising.

Which combination might explain this?

	market for cocoa	advertising expenditure on products made from cocoa
A	excess demand	decrease
B	excess supply	decrease
C	excess demand	increase
D	excess supply	increase

- 5 The table shows the amounts demanded and supplied of tomatoes at different prices. The initial equilibrium is at a price of \$40.

price (\$)	demand (kg)	supply (kg)
10	20	2
20	16	5
30	12	8
40	10	10
50	8	12

The following year, more efficient harvesting means that the supply increases by 50% at each price.

What will happen to the suppliers' total revenue?

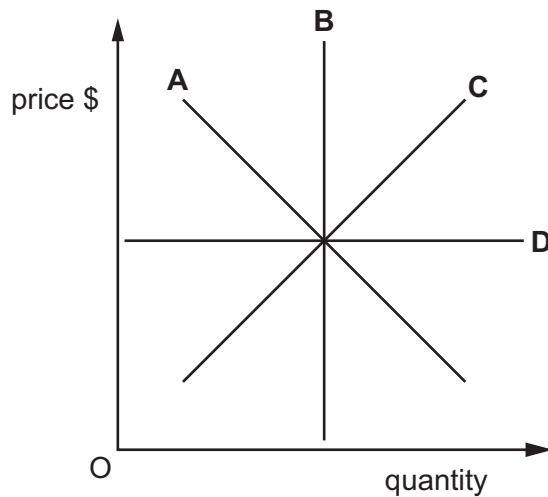
- A** It will fall by \$10.
- B** It will fall by \$40.
- C** It will rise by \$10.
- D** It will rise by \$200.
- 6 A fall in which variable would help eliminate a market shortage?
- A** quantity demanded
- B** price
- C** quantity supplied
- D** the number of firms

- 7 When the price of meat increased from \$5 to \$6 per kg, Joe decreased his purchase of meat from 40 kg to 20 kg a month.

What was Joe's price elasticity of demand for meat?

- A** 0.4 **B** 2.0 **C** 2.5 **D** 20

- 8 In the diagram, which line represents perfectly inelastic supply?



- 9 What is external benefit?

- A** private benefits minus private costs
B private benefits plus social benefits
C social benefits minus private benefits
D social benefits plus social costs

- 10 What is a function of a commercial bank?

- A** accepting deposits
B controlling money supply
C issuing notes and coins
D lending money to the government

- 11** Under which circumstances are households more likely to save?

	inflation rate	interest rate	unemployment rate
A	high	high	high
B	high	high	low
C	low	high	low
D	low	low	low

- 12** A country wishes to increase the supply of nurses.

What would be the most effective way of achieving this?

- A** extending the training period for nurses
 - B** improving the working conditions of nurses
 - C** increasing the national minimum wage
 - D** reducing grants for trainee nurses
- 13** Employers based in large cities often pay employees special allowances above standard pay rates.

What is the most likely reason for this?

- A** Job security and promotion prospects tend to be restricted.
 - B** Living costs and transport costs tend to be high.
 - C** There are few alternative job opportunities available.
 - D** Trade unions negotiate nationwide wage levels.
- 14** Workers in a country have been concerned about their wages not keeping pace with inflation.

How can trade unions assist workers in getting a pay rise?

- A** advise the workers to ask individually for a pay rise
- B** negotiate on behalf of their members to secure a pay rise
- C** offer to contribute financially to a pay rise
- D** request improved working conditions

15 How is total revenue calculated?

- A price divided by the total output
- B total output divided by the price
- C total output multiplied by the price
- D total output multiplied by total costs

16 There is a number of cafés selling snacks and drinks in a city centre. Several of these cafés close due to their owners retiring.

What is the likely effect on the prices and profits of the remaining cafés?

	prices	profits
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

17 What is a macroeconomic aim of government?

- A equilibrium prices in markets
- B high wages
- C low inflation
- D profit maximisation

18 The table shows earnings and total income tax paid per year.

earnings \$	total income tax paid \$
5000	1000
8000	2000
9000	3000

Which type of tax system does this illustrate?

- A indirect
- B progressive
- C proportional
- D regressive

19 What is an example of monetary policy?

- A** an increase in government spending
- B** an increase in indirect taxation
- C** an increase in rules and regulations
- D** an increase in the money supply

20 What is Gross Domestic Product (GDP) divided by in order to calculate GDP per head?

- A** the adult population
- B** the dependent population
- C** the total population
- D** the working population

21 What is the consequence of economic growth for individuals and for the economy?

	individuals	the economy
A	increase in absolute poverty	increase in inflation
B	increase in average incomes	increase in government tax revenue
C	increase in the variety of goods and services	reduction in exports
D	increase in unemployment	reduction in the standard of living

22 What does the labour force survey (LFS) measure?

- A** the number of workers on the national minimum wage
- B** the proportion of women in the labour force
- C** the unemployed population
- D** trade union membership

- 23** The table shows the weights allocated to the three items in a Consumer Prices Index (CPI) for two years.

item	weights	
	year 1	year 2
food	30	35
clothing	20	15
housing	50	50
total	100	100

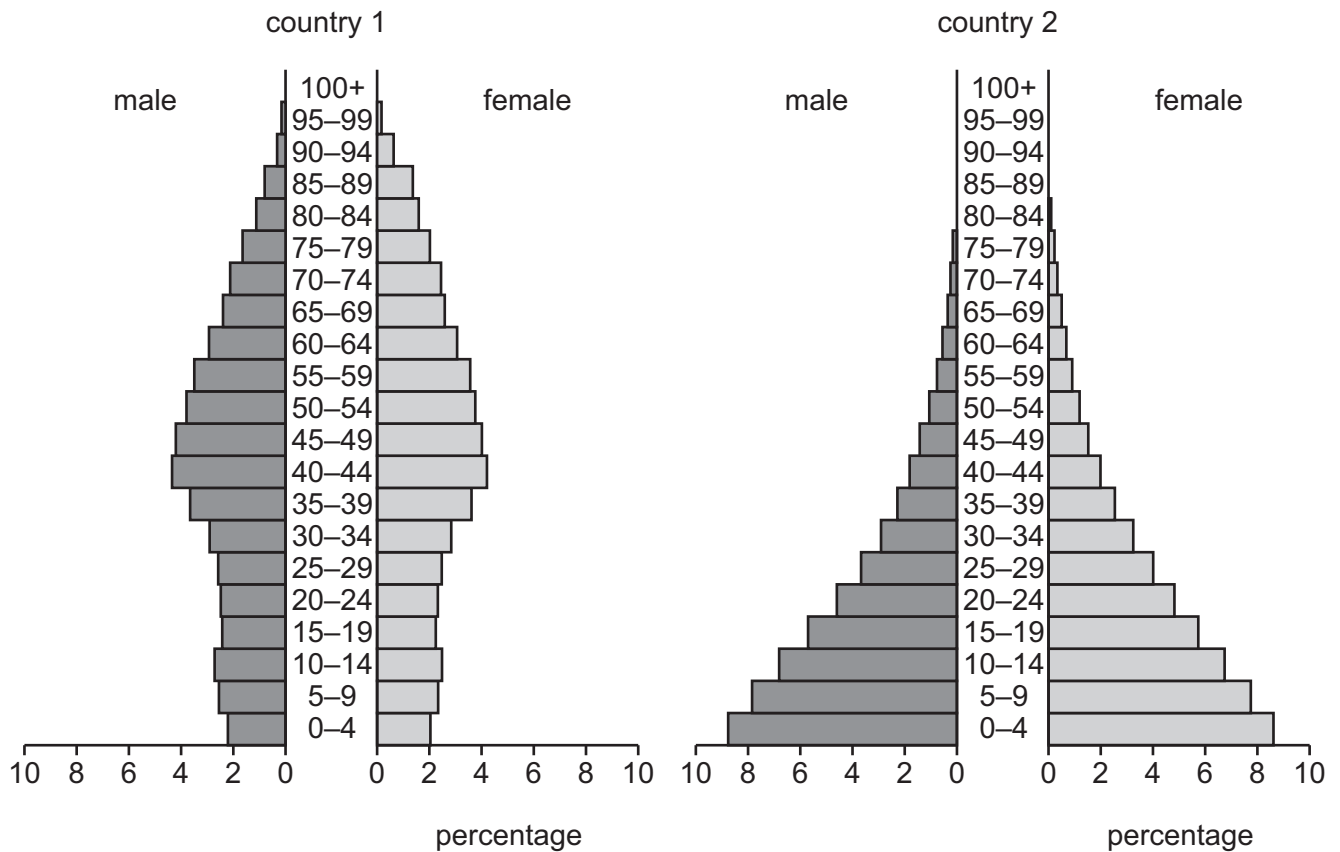
What can be concluded from this data?

- A** Clothing prices have fallen.
 - B** Living standards remain unchanged.
 - C** The average price level is unchanged.
 - D** The proportion of income spent on food has risen.
- 24** A government increases the rate of progressive income tax and its spending on hospitals.

What is likely to happen to the distribution of income and to living standards?

	distribution of income	living standards
A	becomes less even	fall
B	becomes less even	rise
C	becomes more even	fall
D	becomes more even	rise

25 The population pyramids for country 1 and country 2 in a given year are shown.



What can be deduced from these population pyramids?

- A** Country 1 has a greater population size than country 2.
- B** Country 1 has a higher life expectancy than country 2.
- C** Country 2 has a lower death rate than country 1.
- D** Country 2 spends more money on childcare than country 1.

26 Which country would be classified as the most developed based on the data in the table?

	gross domestic product per year (\$m)	population (millions)
A	600	3
B	700	2
C	12 000	40
D	15 000	100

27 What encourages international specialisation?

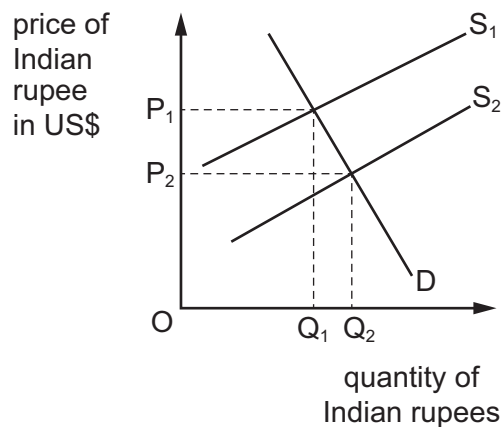
- A a foreign exchange shortage
- B diseconomies of scale
- C free trade
- D quotas

28 A country wants to limit the number of imported cars to a maximum of 100 000 in a year.

Which measure is most likely to achieve this objective?

- A an embargo
- B an import quota
- C an import tariff
- D a subsidy

29 The diagram shows a change in the exchange rate for the Indian rupee against the US\$.



What could cause the change in the exchange rate?

- A a decrease in the rate of inflation in India
- B an increase in demand for imports by people in India
- C greater foreign direct investment into India
- D greater purchases of its own currency by the Indian central bank

30 Country X records these selected items in the current account of its balance of payments.

- Country X exports \$200m of goods.
- Country X imports \$50m of services.
- Country Y's citizens working in country X send home to relatives \$25m.
- Country X sends country Y \$75m of aid.

By how much did the balance on the current account of country X increase?

- A** \$50m **B** \$100m **C** \$200m **D** \$350m

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Cambridge IGCSE™

ECONOMICS

0455/13

Paper 1 Multiple Choice

October/November 2025

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 What is **least** likely to increase the geographical mobility of labour?

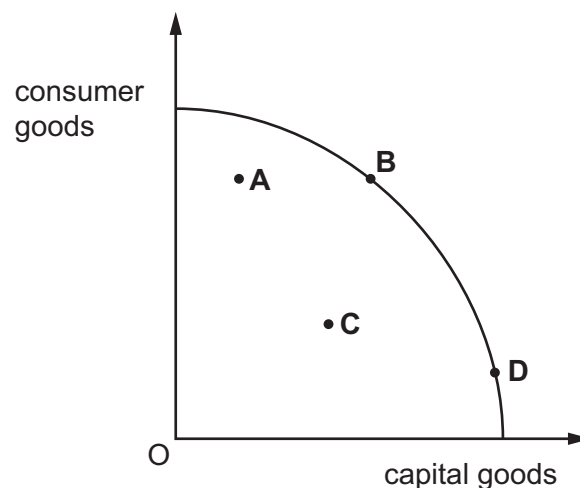
- A greater provision of information about available jobs
- B improved roads and communication network
- C increased opportunities for education and training
- D strengthened family ties and relationships

2 Which value does opportunity cost measure?

- A environmental damage
- B next best alternative forgone
- C output of labour
- D price paid

3 The diagram shows a production possibility curve (PPC).

Which position is most likely to lead to the greatest outward shift of the PPC?



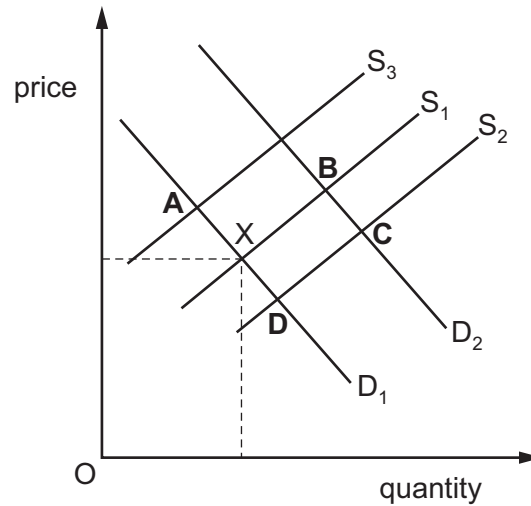
4 What is **not** a function of prices in a market economy?

- A prices allow income to be distributed equally
- B prices ration scarce resources among economic agents
- C prices rise and fall to reflect shortages and surpluses
- D prices send information to consumers and producers

- 5 The diagram shows the market for fresh fish in the Caribbean with equilibrium point X.

A new type of fishing boat increases production, which reduces costs.

Which point represents the new equilibrium?



- 6 The table shows the market schedule for good X.

price	quantity supplied	quantity demanded
10	400	100
9	300	200
8	200	300
7	100	400

If the quantity supplied increases by 50% at each price, what will the equilibrium price and quantity be?

	price	quantity
A	10	100
B	9	200
C	8	300
D	7	400

- 7 The price of fish has increased from \$3.00 to \$4.80. The quantity supplied of fish has increased from 100 units to 130 units.

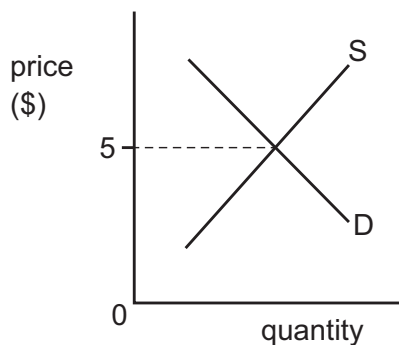
What is the price elasticity of supply (PES) of fish?

- A** 0.5 **B** 1.3 **C** 1.8 **D** 2

- 8 Which combination shows features of the mixed economic system?

	price mechanism	private sector	public sector
A	no	no	yes
B	no	yes	no
C	yes	yes	no
D	yes	yes	yes

- 9 The diagram shows the equilibrium price for bread.



What will be the short-term effect if the government sets a maximum price below \$5?

- A** a shift in the demand curve
B a shift in the supply curve
C an excess of demand over supply
D an excess of supply over demand
- 10 Why do banknotes function as money?
- A** They are backed by gold.
B They are durable.
C They are generally acceptable.
D They have intrinsic value.

- 11** Worker X earns less than worker Y.

What is most likely to be true of worker X?

- A** They have a longer period of training than worker Y.
- B** They have a longer working day than worker Y.
- C** They have skills that are more in demand than worker Y.
- D** They have weaker bargaining power than worker Y.

- 12** What would increase the strength of a trade union?

- A** a growth in part-time employment
- B** a growth in the membership
- C** a rise in the national minimum wage
- D** a rise in the standard of living

- 13** The size of the domestic car industry in Japan has enabled Japanese car producers to be more price competitive than rival car producers.

What is an explanation for this?

- A** Economies of scale are present in the Japanese car industry.
- B** Managerial problems exist in the Japanese car industry.
- C** Productivity is low in Japan.
- D** The Japanese car industry is very labour-intensive.

- 14** The table shows the output of cakes from four bakeries, **A**, **B**, **C** and **D**.

Which bakery has the highest labour productivity?

	labour (hours per day)	output (cakes per day)
A	10	40
B	40	640
C	50	750
D	100	500

- 15** The table shows a firm's average revenue and average cost at different levels of output.

When all output is sold, which level of output generates the most profit?

	output (units)	average revenue (US\$)	average cost (US\$)
A	5	10	30
B	10	20	20
C	15	25	15
D	20	30	18

- 16** What would make the existence of a monopoly market more likely?

- A** consumers prefer a variety of choice in products
- B** significant economies of scale can be achieved
- C** there are low barriers to entry and exit for firms
- D** there are no restrictions on international trade

- 17** Which role is **not** performed by a government?

- A** paying dividends to shareholders
- B** promoting international trade agreements
- C** providing state benefits
- D** subsidising merit goods

- 18** A government has stated for the next year it has four main aims.

- 1 low and stable inflation
- 2 providing subsidies to farmers
- 3 raising productivity of workers in the public sector
- 4 stability in the balance of payments

What are the two macroeconomic aims for the government?

- A** 1 and 2 **B** 1 and 4 **C** 2 and 3 **D** 3 and 4

19 What is **not** likely to be included in a government budget?

- A** anticipated tax revenue
- B** changes in exchange rates
- C** forecast government borrowing
- D** proposed government spending

20 Which combination of policy measures is most likely to increase total demand in an economy?

	money supply	interest rate	exchange rate
A	decrease	decrease	revaluation
B	decrease	increase	devaluation
C	increase	decrease	devaluation
D	increase	increase	revaluation

21 Which supply-side policy measure would most likely cause the greatest increase in labour productivity in a country?

- A** a decrease in the rate of corporation tax
- B** a reduced top rate of income tax
- C** improved education and training provision
- D** privatisation of a state-owned industry

22 How is economic growth of a country measured?

- A** by an increase in the monetary value of goods produced
- B** by an increase in the number of people in employment
- C** by an increase in the real Gross Domestic Product (GDP)
- D** by an increase in the value of the Human Development Index (HDI)

23 A country experiences a significant fall in unemployment.

What is a possible advantage and a possible disadvantage of such a fall?

	possible advantage	possible disadvantage
A	fall in government spending on unemployment benefits	fall in labour disputes
B	fall in tax revenue	fall in poverty
C	rise in living standards	rise in inflation rate
D	rise in output	rise in labour mobility

24 A country's Consumer Prices Index (CPI) falls from 120 to 110 in a year.

What will be a likely effect of this fall?

- A** incomes will fall in real terms
- B** savings will fall in real terms
- C** the rate of interest will rise
- D** the real value of debt will rise

25 The population sizes of four countries, **A**, **B**, **C** and **D**, are all equal.

Which country is most likely to have the highest population growth, given the changes in the table?

	birth rate	death rate	net migration
A	decreasing	increasing	unchanged
B	increasing	decreasing	increasing
C	increasing	increasing	decreasing
D	unchanged	increasing	decreasing

26 Which combination of characteristics would be found in a less developed economy?

	literacy rates	population growth	tertiary sector
A	high	high	small
B	low	high	small
C	high	low	large
D	low	low	large

27 What is a likely benefit of increased national specialisation?

- A** It guarantees a balance of trade in goods and services surplus.
- B** It increases dependency on other economies.
- C** It lengthens international supply chains.
- D** It reduces the cost of living.

28 What is **not** a likely benefit of free trade?

- A** consumers should experience lower prices
- B** consumers should have a greater choice of goods
- C** firms could be protected from foreign competition
- D** firms could take advantage of economies of scale

29 Which combination of changes would definitely raise the price of the Pakistani rupee on the foreign exchange market?

	demand for Pakistan's exports	Pakistan's demand for imports
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 30** What is a likely government policy to reduce a deficit on the current account of the balance of payments?
- A** increasing the value of the foreign exchange rate
 - B** increasing training for workers in export industries
 - C** reducing subsidies to domestic export industries
 - D** reducing tariffs on imported goods and services

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Cambridge IGCSE™

ECONOMICS

0455/13

Paper 1 Multiple Choice

May/June 2025

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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1 What is **not** a factor of production?

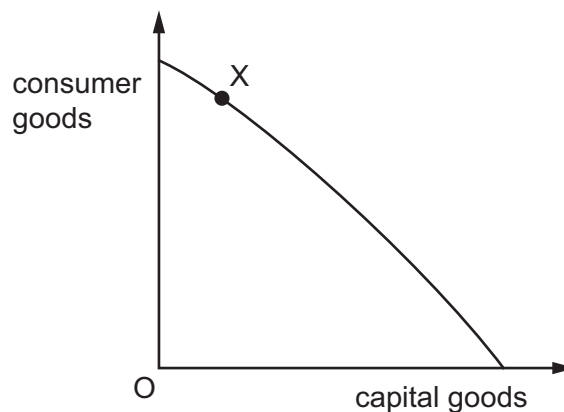
- A a 10 dollar note
- B a farm labourer
- C a farm shop
- D a tractor

2 A person works at home making small cakes. She can make 30 cakes an hour and works for four hours a day. The total cost of the ingredients is \$50 and she sells the cakes for \$2 each.

What is the opportunity cost if she takes a working day for a holiday?

- A \$50
- B \$240
- C 30 cakes
- D 120 cakes

3 An economy produces different types of goods using its limited resources. This can be illustrated by a production possibility curve (PPC).



What does point X on the PPC show?

- A All resources are used for the production of consumer goods.
- B More resources are allocated to producing capital goods than consumer goods.
- C Resources are allocated to produce a mixture of consumer goods and capital goods.
- D Total resources are not being fully utilised for production of these goods.

4 What is the function of the price mechanism in a market economy?

- A allocating resources and guiding choices
- B allowing governments to provide price stability
- C enabling markets to operate fairly
- D preventing competitors from entering a market

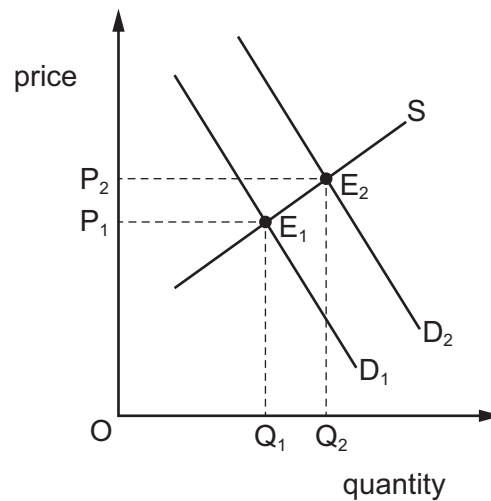
5 The table shows the demand and supply schedules for rice. The current price is \$2.00 per kilo.

price per kilo \$	quantity demanded (million tonnes)	quantity supplied (million tonnes)
2.50	5	30
2.00	10	25
1.50	20	20
1.00	30	15
0.50	40	10

What will happen if the price is reduced to \$1.00 per kilo?

- A The demand curve will shift to the left.
- B The market will move from shortage to surplus.
- C The market will move from surplus to shortage.
- D The supply curve will shift to the right.

- 6 The diagram shows the market for cherries in Chile.



What would cause a change in the market equilibrium from E_1 to E_2 ?

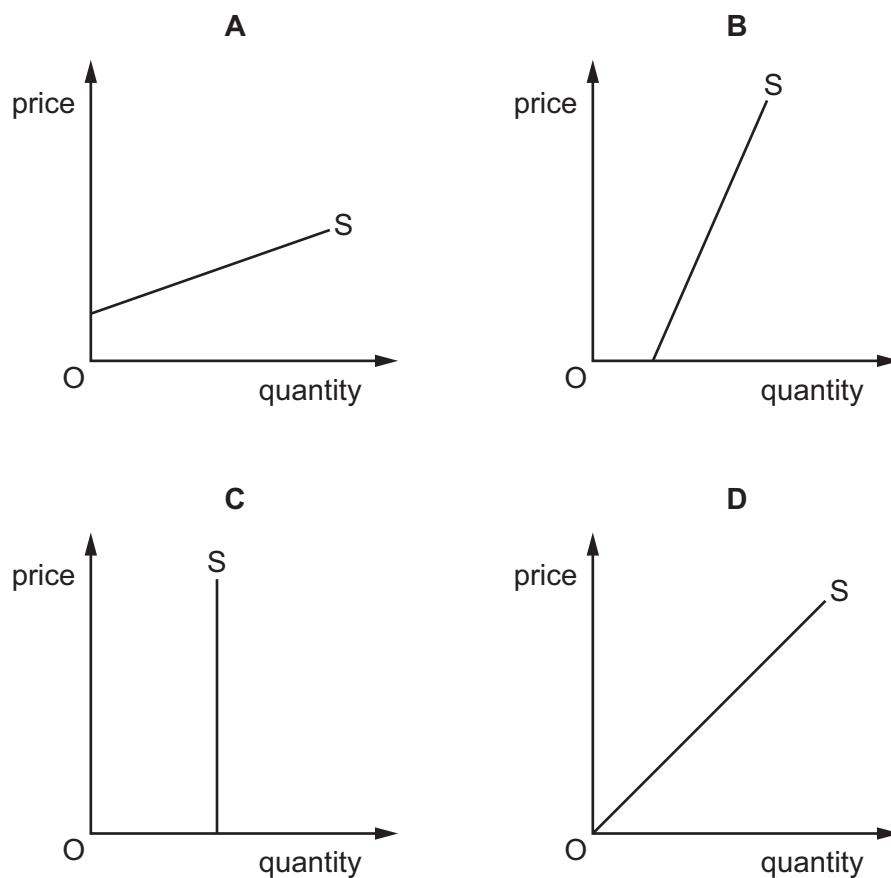
- A a newspaper article stating cherries are good for your health
 - B a poor harvest for cherries due to bad weather
 - C an increase in the imports of cherries from Israel
 - D the government reducing the sales tax on cherries
- 7 A German car producer estimates the price elasticity of demand (PED) for its cars is -2.0 .

What can be concluded from this information?

- A its cars are price elastic
- B its cars are price inelastic
- C its cars are unitary elastic
- D its cars take time to produce

8 The diagrams show the supply curves of four firms.

Which firm has a price elasticity of supply of greater than zero but less than one?



9 Which combination correctly describes features of a market economic system?

	resource allocation	ownership of land and capital
A	by government	private sector
B	by government	public sector
C	by price mechanism	private sector
D	by price mechanism	public sector

- 10** A country's central bank raised the rate of interest from 1% to 4% per year.

How would this change have affected the amount saved and the cost of borrowing by individuals?

	amount saved	cost of borrowing
A	decreased	decreased
B	decreased	increased
C	increased	decreased
D	increased	increased

- 11** What is a non-wage factor influencing an individual's choice of occupation?

- A** the availability of overtime work
- B** the hourly rate of pay
- C** the opportunity to get a financial bonus
- D** the risk of unemployment

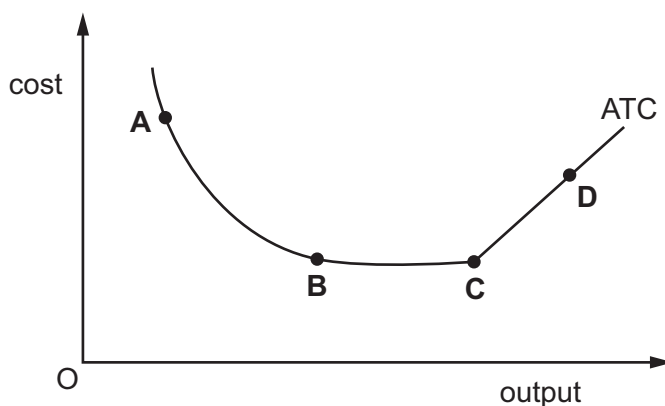
- 12** Workers in the secondary sector of an economy earn more on average than workers in the tertiary sector.

Which combination will most likely increase differences in wages between workers in the secondary and tertiary sector of an economy?

	secondary sector	tertiary sector
A	increased productivity	increased supply of workers
B	decreased demand for products	decreased productivity of workers
C	increased supply of workers	increased demand for products
D	weaker bargaining strengths of trade unions	decreased minimum wage

- 13** A manufacturing firm increases the scale of its production. Its average total cost (ATC) curve in the long run is shown below.

At which point on the ATC curve is the firm experiencing diseconomies of scale?



- 14** What is most likely to increase the demand for labour in an industry?

- A** a decrease in the price of capital used by the industry
- B** a decrease in the productivity of labour in the industry
- C** an increase in the demand for the industry's product
- D** an increase in the wage paid to labour in the industry

- 15** A firm has fixed costs of \$100 for its daily output. The table shows its daily total variable costs.

output (units)	1	2	3	4
total variable costs (\$)	200	360	500	720

What can be concluded about the firm's average total cost?

- A** It falls continuously.
- B** It is highest at output 4 units.
- C** It is lowest at output 3 units.
- D** It rises continuously.

- 16** A market changes from being very competitive to being a monopoly.

What is likely to happen to output and price in this market?

	output	price
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 17** What is the most likely reason for a government to aim for price stability?

- A** to improve international competitiveness
- B** to increase workers' wage demands
- C** to reduce consumer spending
- D** to reduce spending on employment-related benefits

- 18** A country's unemployment rate increased from 3.6% to 4.2% in one year.

What might be the consequences for tax revenues and welfare payments?

	tax revenues	welfare payments
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 19** In a country, some highly-paid workers reduce their working hours because of very high income tax rates at higher levels of income.

What is a disadvantage of this income taxation?

- A** It creates uncertainty for workers.
- B** It does not maximise tax revenue.
- C** It is inequitable for lower-income earners.
- D** It is regressive in the distribution of income.

20 What is most likely to be a reason for taxing oil?

- A** to conserve oil resources
- B** to create employment
- C** to encourage economic growth
- D** to reduce oil prices

21 Brazil's real GDP fell by 3.8% in a year.

What might have caused this?

- A** a decrease in imports
- B** a decrease in income tax
- C** an increase in interest rates
- D** an increase in output per worker

22 Factory owners invest in technologically-advanced industrial production by building new large-scale, energy-efficient factories.

What is a negative consequence of this for local people?

- A** a large increase in the factory owners' incomes
- B** a reduction in the rate of inflation
- C** a rise in structural unemployment
- D** lower emissions of carbon gases

23 Country X measures unemployment by counting the number of people claiming unemployment benefit.

Why might this method underestimate the level of unemployment?

- A** Some benefit claimants are working unofficially.
- B** Some employees work overtime.
- C** Some jobseekers do not claim benefits.
- D** Some people are unable to work.

24 What is likely to cause deflation?

- A** higher employment
- B** higher production costs
- C** increased money supply
- D** technological advances

25 What is the most likely reason that an improved standard of education will alleviate poverty?

- A** It will decrease the productivity of workers.
- B** It will decrease the rate of unemployment.
- C** It will increase the government budget deficit.
- D** It will increase the rate of inflation of an economy.

26 What will increase a country's population, all other things being equal?

- A** a rise in emigration
- B** a rise in immigration
- C** death rates higher than birth rates
- D** decreased life expectancy

27 Country Y decides to specialise in the domestic mining of rare metals required in the production of electric-car batteries.

What is a likely benefit of this for country Y?

- A** increased emigration
- B** increased exports
- C** increased imports
- D** increased tariff revenue

- 28** The UK government increases the price of steel imported from Germany by increasing an existing tariff.

Assuming steel has price-inelastic demand, what would be the effect on the revenues of German steel producers and the UK government?

	German steel producers' revenue	UK government revenue
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 29** The table shows the value of the UK pound (£) against the US dollar (\$) in June and September.

June	September
£1 = \$1.48	£1 = \$1.32

What will be the likely consequence for the UK economy in the short run of the change in the exchange rate?

- A** an increase in the budget deficit
- B** an increase in the price of exports
- C** an increase in the price of imports
- D** an increase in unemployment

30 The table shows a selection of economic data for a country.

	\$m
primary income	1000
secondary income	–500
total value of exported goods	1000
total value of imported goods	2000
total value of exported services	800
total value of imported services	200

What is the current account balance of the balance of payments of this country?

- A** \$100m **B** \$600m **C** \$4500m **D** \$4725m

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